



SUPREME COURT REPORTS

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Adani Power Ltd. & Anr

v.

Union of India & Ors.

(Civil Appeal No. 22 of 2026)

05 January 2026

[Aravind Kumar* and N.V. Anjaria, JJ.]

Issue for Consideration

By the impugned judgment dated 28 June 2019, the High Court declined to grant the reliefs sought by the appellant, Adani Power Limited, which had *inter alia* prayed for a declaration that no customs duty was leviable on electrical energy generated in its power plant located in a Special Economic Zone (SEZ) and supplied to the Domestic Tariff Area (DTA), and for consequential refund of amounts deposited towards such duty. The High Court took the view that its earlier judgment delivered in 2015 in favour of the appellant was confined to a particular notification and period, and could not be extended to the later period or to subsequent notifications issued by the Union.

Headnotes[†]

Customs Act, 1962 – ss.12, 25 – Special Economic Zones Act, 2005 – s.30 – SEZ Rules, 2006 – r.47(3) – Finance Act, 2010 – Firstly, what, in law, did the Gujarat High Court decide in its judgment dated 15 July 2015, and what is the true scope of that decision – Secondly, whether, in the period subsequent to 15 September 2010 and prior to 16 February 2016, there was any material changes in the statutory position or factual footing that would justify a different result from that arrived at in 2015 judgment – Thirdly, whether the High Court, in its impugned judgment of 28 June 2019, was justified in holding that no relief could be granted to the appellant in the absence of a specific and fresh challenge to Notification Nos. 91/2010-Cus. and 26/2012-Cus. – Fourthly, whether, in view of the 2015 declaration of law and its affirmation, the High Court in 2019 was at liberty, being a coordinate Bench, to deny relief by narrowing the effect of the earlier pronouncement:

* Author

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Held: The Gujarat High Court's judgment dated 15 July 2015, as a matter of law, declared that customs duty could not be levied on electrical energy cleared from the appellant's SEZ unit to the DTA, having regard to the absence of a lawful charging event u/s.12 of the Customs Act, the limited scope of s.25 of that Act, the parity requirement of s.30 of the SEZ Act and the constitutional constraints of Arts.14 and 265 is squarely applicable to the judgment and order dated 28.06.2019 – That declaration was not confined in principle to Notification No.25/2010-Cus. or to the period ending 15 September 2010 – It went to the authority to levy customs duty on SEZ-to-DTA electricity clearances in the statutory setting then obtaining – The subsequent notifications namely, Notification No.91/2010-Cus. prescribing ten paise per unit and Notification No.26/2012-Cus. prescribing three paise per unit, did not create a new levy on a new footing – They merely continued the same levy in altered form – The change in arithmetical rate by prospective character does not cure the lack of authority in principle – There was no material change in law or fact between 15 September 2010 and 15 February 2016 that would justify a departure from the 2015 ruling – Section 30 of the SEZ Act remained unaltered – Imported electrical energy bore no customs duty under the Customs Tariff Act, 1975 – The same parity logic applied to S.C.A. No.2233 of 2016 disposed of on 28.06.2019 – The Division Bench of the High Court in 2019, being a co-ordinate Bench, was bound either to follow the 2015 decision or, if it doubted its correctness or applicability, ought to have referred the question to a larger Bench – It could not have circumvented that discipline by artificially narrowing down the earlier ruling – Its refusal to extend the 2015 declaration to the later period was therefore contrary to law – Once it is held that the levy itself was without authority of law, the State cannot retain the amount collected under such levy – Restitution is a necessary incident of the finding of illegality – Accordingly, the impugned judgment of the High Court dated 28 June 2019 cannot be sustained. [Para 86]

Customs Act, 1962 – ss.12, 25 – Special Economic Zones Act, 2005 – s.30 – SEZ Rules, 2006 – r.47(3) – Finance Act, 2010 – Whether the levy of customs duty on electrical energy cleared by the appellant from its SEZ unit to the DTA during the relevant period, as sought to be enforced through Notification No. 25/2010-Cus., Notification No. 91/2010-Cus., Notification No. 26/2012-Cus., and similar instruments, was without authority of law:

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Held: The levy of customs duty on electrical energy cleared by the appellant from its SEZ unit to the DTA during the relevant period, as sought to be enforced through Notification No.25/2010-Cus., Notification No.91/2010-Cus., Notification No.26/2012-Cus., and similar instruments, was without authority of law. [Para 87]

Judicial Discipline – Decision by Co-ordinate Bench of the High Court:

Held: When a coordinate Bench of a High Court has already determined a question of law, a subsequent Bench of equal strength is bound to follow that view; if it doubts its correctness, the only permissible course is to refer the matter to a larger Bench. [Para 80]

Administrative Law – Where a court of competent jurisdiction has struck down the foundation of a levy as *ultra vires*:

Held: In administrative law, where a court of competent jurisdiction has struck down the foundation of a levy as *ultra vires*, that declaration renders all successive and derivative attempts to enforce the same levy equally unenforceable, unless the statutory or factual basis has materially changed – The State cannot defend the continuation of the same vice by saying, this is a different notification number – The Court is bound to look past the label and examine the substance. [Para 69]

Customs Act, 1962 – ss.12, 25 – Special Economic Zones Act, 2005 – s.30 – SEZ Rules, 2006 – r.47(3) – Finance Act, 2010 – Where a levy has been declared to be without authority of law:

Held: Where a levy has been declared to be without authority of law, a subsequent petition seeking enforcement of that declaration and consequential relief cannot be treated as a fresh challenge merely because the levy is sought to be continued under later or similar notifications – In the absence of any new statutory basis, such notifications do not create a new cause of action – A constitutional court is entitled to grant effective relief without insisting upon separate challenges to each such notification. [Para 74]

Case Law Cited

State of Uttar Pradesh v. Ajay Kumar Sharma [2015] 12 SCR 627 : (2016) 15 SCC 289 – referred to.

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List of Acts

Constitution of India; Special Economic Zones Act, 2005; Special Economic Zones Rules, 2006; Customs Act, 1962; Finance Act, 2010.

List of Keywords

Special Economic Zone (SEZ); Customs duty; Electrical energy; Absence of charging event; Section 25 of Customs Act, 1962; Delegated legislation; Exemption notification; Retrospective levy; Judicial discipline; Binding precedent; Domestic tariff area (DTA); Judicial precedent; Colourable exercise of delegated authority; Restitution; Discipline of precedent; Institutional necessity; Stability; Predictability; Doctrine of judicial discipline; Sequel proceeding; Fiscal jurisprudence; Subordinate legislation; Public interest; *Stare decisis et non quieta movere*; *Interest reipublicae ut sit finis litium*.

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 22 of 2026

From the Judgment and Order dated 28.06.2019 of the High Court of Gujarat at Ahmedabad in SCA No. 2233 of 2016

Appearances for Parties

Advs. for the Appellant(s):

P. Chidambaram, Sr. Adv., Mahesh Agarwal, Anshuman Srivastava, Rohan Talwar, Naman Agarwal, E. C. Agrawala.

Advs. for the Respondent(s):

Raghvendra P. Shankar, A.S.G., Gurmeet Singh Makker, Sharath Nambaiar, Diwakar Sharma, Ms. Satvika Thakur, Ms. B.sunita Rao, Ishaan Sharma.

Judgment / Order of the Supreme Court

Judgment

Aravind Kumar, J.

1. Leave granted.
2. This appeal is directed against the judgment and order dated 28 June 2019 passed by the High Court of Gujarat in Special Civil

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Application No. 2233 of 2016. By the impugned judgment, the High Court declined to grant the reliefs sought by the appellant, Adani Power Limited, which had inter alia prayed for a declaration that no customs duty was leviable on electrical energy generated in its power plant located in a Special Economic Zone (SEZ) and supplied to the Domestic Tariff Area (DTA), and for consequential refund of amounts deposited towards such duty. The High Court took the view that its earlier judgment delivered in 2015 in favour of the appellant was confined to a particular notification and period, and could not be extended to the later period or to subsequent notifications issued by the Union. Aggrieved, the appellant has approached this Court.

3. The controversy is not merely fiscal. It raises, in our view, questions that bear upon three foundational aspects of our legal order: first, the limits of delegated legislation in matters of taxation; secondly, the discipline of judicial precedent and the obligation of co-ordinate Benches to adhere to settled law; and thirdly, the obligation of the State to give effect to judicial declarations instead of reasserting, in altered form, a levy already declared to be without authority of law.
4. We have heard Mr. Chidambaram, learned senior counsel appearing on behalf of the appellant and the learned Raghav Shankar Additional Solicitor General appearing on behalf of the Respondents and before proceeding to consider their arguments it would be of relevance to note the factual background and it reads:

I. FACTUAL BACKGROUND

5. The appellant operates a coal-based thermal power plant of about 5,200 MW capacity within the Mundra Special Economic Zone (SEZ) in the State of Gujarat. The appellant is a co-developer in that notified SEZ. The electricity generated at this plant is partly consumed within the SEZ and substantially supplied to buyers in the DTA, including State utilities.
6. Under the architecture of the Special Economic Zones Act, 2005 (“the SEZ Act”), an SEZ is afforded a special fiscal treatment to encourage manufacturing and infrastructure creation. Section 30 of the SEZ Act provides that any goods removed from an SEZ into the DTA shall be chargeable to duties of customs “as if such goods had been imported into India”. The intent is to maintain parity between goods physically imported into India from abroad and goods cleared from an SEZ into the domestic economy.

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7. Prior to 2009, electrical energy per se did not attract customs duty on import. The relevant tariff entry treated imported electricity at a nil rate. In consequence, though Section 30 of the SEZ Act deems removals from the SEZ into the DTA to be subject to customs duty “as if imported”, electrical energy moving from an SEZ to the DTA bore, in practical terms, no customs duty. The fiscal neutrality in relation to electricity was maintained in a different way.
8. Rule 47(3) of the SEZ Rules, 2006 recognises that power generated in an SEZ may also be supplied to the DTA. To prevent misuse of duty-free inputs, Rule 47(3) provides that where electricity produced using duty-free inputs in the SEZ is cleared to the DTA, the SEZ unit would have to make good the customs duty benefit on that proportion of inputs relatable to the electricity so supplied out of the zone. In effect, the law captured the customs component in the inputs (for example, imported coal) to the extent the resulting electricity left the SEZ. The law did not, however, impose an independent customs duty on the electricity itself.
9. Matters changed in 2010. In the Union Budget of that year, the Central Government introduced a fiscal measure designed to impose customs duty on electrical energy cleared from an SEZ to the DTA. Clause 60 of the Finance Bill, 2010 (later enacted in the Finance Act, 2010) introduced changes to the general customs exemption notification regime such that electrical energy removed from an SEZ to the DTA would become liable to duty. What is of significance is that this was stated to operate retrospectively from 26 June 2009.
10. In anticipation of this change, on 27 February 2010, the Central Government issued Notification No. 25/2010-Cus. What this notification purported to do was, in form, to “grant an exemption”; in substance, it introduced a liability. It stipulated that electrical energy cleared from an SEZ to the DTA would suffer customs duty at 16% ad valorem, with retrospective effect from 26 June 2009. On the very footing of this notification, the authorities raised demands upon the appellant for payment of duty at 16%, not merely prospectively but going back to June 2009.
11. The appellant challenged this levy by filing a writ petition before the High Court of Gujarat in 2010. The challenge was to the legality and constitutional validity of the impost on electrical energy so cleared. During the pendency of the writ petition, the High Court granted

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interim relief on 6 May 2010. The appellant was permitted to continue to clear electricity from the SEZ into the DTA without payment of the disputed duty, subject to furnishing a bank guarantee to secure the amount in dispute. The appellant furnished the bank guarantee accordingly. Thus, though immediate cash outflow was avoided, the alleged liability stood secured.

12. While the writ petition remained pending, the Union altered the duty structure. With effect from 16 September 2010, by Notification No. 91/2010-Cus., the earlier 16% ad valorem duty was replaced by a specific-rate duty of ₹0.10 (ten paise) per unit of electrical energy cleared from the SEZ to the DTA. Later, with effect from 18 April 2012, by Notification No. 26/2012-Cus., this was further reduced to ₹0.03 (three paise) per unit. These subsequent notifications functioned prospectively. They did not, however, undo the retrospective component of Notification No. 25/2010-Cus. for the period 26 June 2009 to 15 September 2010.
13. The effect of this shift was twofold. First, for the period 26 June 2009 to 15 September 2010, the authorities asserted a retrospective customs duty at 16% ad valorem under Notification No. 25/2010-Cus. Secondly, for the period thereafter, the appellant was required to pay, and did pay, a per-unit customs duty on electrical energy cleared from the SEZ to the DTA, initially at ten paise per unit and later at three paise per unit, pursuant to Notification Nos. 91/2010-Cus. and 26/2012-Cus.
14. The appellant persisted with its challenge, maintaining that no customs duty at all could be lawfully imposed on the clearance of electrical energy from an SEZ into the DTA, having regard to the statutory scheme and constitutional limitations. The writ petition came to be finally heard by a Division Bench of the Gujarat High Court, which, by a judgment dated 15 July 2015, allowed the Writ petition.
15. The High Court's 2015 judgment is central or pivotal to the case on hand. The High Court held, first, that the statutory charge for customs duty lies in Section 12 of the Customs Act, 1962, read with Entry 83 of List I of the Seventh Schedule. Section 12 contemplates a levy on goods "imported into India". The High Court found that electrical energy generated within India in an SEZ and wheeled to buyers in the DTA is not, in substance, a case of "import into India". An SEZ, while fiscally distinct in treatment, is not a foreign territory. The

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legal fiction in Section 30 of the SEZ Act (“as if imported”) allows ascertainment of the rate of duty applicable to comparable imports; it does not convert intra-national supply of electricity into an act of import. There was, therefore, no identifiable charging event to attract customs duty under Section 12 in respect of such electricity.

16. The High Court held, secondly, that Notification No. 25/2010-Cus., though couched as an “exemption” notification, in truth operated as an instrument to impose duty. Section 25 of the Customs Act empowers the Central Government to exempt, in whole or in part, goods from duty that is otherwise leviable. That provision is beneficent in nature. It is a power to relax, not a power to create or levy tax. The High Court concluded that the Union could not, under the colour of exercising an exemption power, introduce a new levy at 16% ad valorem and then apply it retrospectively. The notification was, therefore, beyond the source of power: a colourable exercise of delegated authority.
17. The High Court held, thirdly, that the retrospective fastening of a 16% levy from 26 June 2009 violated the discipline of Article 265 of the Constitution which declares that no tax shall be levied or collected except by authority of law. The Court found that the executive could not, by subordinate legislation, retrospectively cast a tax liability for a past period absent of a clear charging sanction from Parliament. Once the basic levy was itself ultra vires, its retrospective application necessarily fails.
18. The High Court held, fourthly, that the structure of the levy created an arbitrary and unfair double burden. The SEZ Rules already ensured that, to the extent electricity left the zone for the DTA, the benefit of duty-free inputs was clawed back. If, in addition, customs duty were again recovered on the electricity so supplied, the same economic stream i.e., generation and sale of power would be subjected twice to customs incidence: once through neutralisation of duty on inputs, and again on clearance of the output. That, the Court held, was arbitrary.
19. For these reasons, the High Court in 2015 struck down the levy of customs duty on electrical energy cleared by the appellant from its SEZ unit into the DTA for the period 26 June 2009 to 15 September 2010. The offending notification and the enabling clause in the Finance Act were quashed to that extent as being ultra vires both the Customs Act and the Constitution. The appellant’s bank guarantee was directed to be released. The High Court thus, in substance,

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declared that, on the statutory scheme as it then stood, customs duty could not be demanded on the appellant's SEZ-to-DTA power clearances.

20. The Union of India carried the matter to this Court. On 20 November 2015, this Court declined to interfere with the judgment of the High Court. A subsequent review petition filed by the Union of India was dismissed in April 2016. The declaration of law made by the High Court, therefore, attained finality at least as between the parties, and in practical terms within the territorial jurisdiction of that High Court.
21. Thereafter, with effect from 16 February 2016, the Union issued Notification No. 9/2016-Cus. Under this measure, clearances of electrical energy from certain large SEZ-based generating stations (including the appellant's, which has capacity in excess of 1000 MW and was approved prior to 27 February 2009) into the DTA were placed at a nil rate of customs duty. Thus, prospectively from 16 February 2016, the levy itself was withdrawn insofar as the appellant was concerned.
22. What remained live, however, was the period between 16 September 2010 and 15 February 2016. For that period, the appellant had paid per-unit customs duty at ten paise and three paise pursuant to Notification Nos. 91/2010-Cus. and 26/2012-Cus. respectively. After the 2015 judgment, the appellant sought refund of those amounts, contending that once the High Court had declared that no customs duty could be imposed on SEZ-to-DTA electricity clearances, any amount collected under the same head, though at a different rate and prospectively, were liable to be refunded.
23. The appellant thereafter instituted Special Civil Application No. 2233 of 2016 before the High Court of Gujarat. In the said writ petition, the appellant prayed for (i) a declaration that no customs duty was leviable on clearances of electricity from its SEZ unit to the DTA for the subsequent period as well; (ii) directions restraining the authorities from seeking to recover such duty; and (iii) consequential refund of the amounts already deposited under protest towards such levy for the period after 15 September 2010 and prior to 16 February 2016.
24. The writ petition of 2016 came to be adjudicated by a Division Bench of the High Court and by judgment dated 28 June 2019, which is the subject of this appeal, the High Court dismissed the writ petition.

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25. The reasoning of the High Court in 2019 was as follows:

The Court held that the 2015 judgment dealt with Notification No. 25/2010-Cus., which had imposed the 16% retrospective levy up to 15 September 2010, and that the relief granted was explicitly limited to said period only. The High Court observed that subsequent notifications, namely, Notification No. 91/2010-Cus. prescribing ten paise per unit, and Notification No. 26/2012-Cus. prescribing three paise per unit were not expressly struck down in the 2015 proceedings. The Court stated that unless the validity of those later notifications was specifically challenged, no refund could be ordered in respect of amounts paid thereunder. On that basis, the High Court refused to direct refund, and it declined to extend the protective declaration of 2015 into the later period.

26. It is this approach which is under challenge before us.

II. SUBMISSIONS OF THE PARTIES

27. Shri. Chidambaram, Learned senior counsel appearing for the appellant submitted that the High Court, under the impugned judgment, failed to give effect to its own prior declaration of law. It was urged that the judgment of 15 July 2015 did not merely grant a one-time relief confined to a single notification; rather, it declared, as a matter of principle, that on the statutory framework as it then existed, customs duty could not be levied on the clearance of electrical energy from an SEZ to the DTA. That declaration, affirmed by this Court, was binding on the subsequent co-ordinate Bench of the High Court. It was submitted that there was no change in the law or in the underlying facts between 15 September 2010 and 15 February 2016. Consequently, the same legal consequence ought to have followed for that entire period.
28. Learned senior counsel further submitted that Section 30 of the SEZ Act requires parity of treatment. Goods removed from an SEZ into the DTA are to bear the same customs duty “as if imported into India”. Imported electrical energy has consistently stood at a nil rate of customs duty. Therefore, electrical energy cleared from an SEZ to the DTA must equally attract nil customs duty. Imposing duty on SEZ-generated electricity while imported electricity carries no duty produces an artificial and constitutionally suspect classification. It was urged that such a differential treatment directly defeats the object of the SEZ Act and violates Article 14 of the Constitution.

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29. It was next contended for the appellant that the Union could not, by issuing successive notifications at progressively lower rates (16% ad valorem; thereafter ten paise per unit; thereafter three paise per unit), achieve indirectly that which the High Court had already pronounced to be ultra vires. The appellant referred to the doctrine that a levy which is fundamentally unauthorised does not become lawful merely because the rate is altered, or because it is framed as prospective rather than retrospective. If the source is bad, every derivative iteration is equally bad.
30. Learned senior counsel also drew attention to the manner in which the levy was originally structured. Notification No. 25/2010-Cus. purported, on its face, to be an “exemption” notification. In reality, it operated as a charging instrument, introducing for the first time a 16% duty on electricity routed from the SEZ to the DTA, and doing so with retrospective effect. It was submitted that the power conferred by Section 25 of the Customs Act is a power to exempt goods from duty otherwise leviable; it is not a power to create a fresh levy in the first place. The use of an exemption notification to impose duty was, therefore, a colourable exercise of delegated legislation and fell foul of administrative law principles. According to the appellant, the High Court in 2015 correctly interdicted that exercise, and the same vice afflicts the subsequent notifications.
31. Learned senior counsel for the appellant submitted that the High Court in 2019 erred in accepting the plea of the respondents that no relief could be granted unless the subsequent notifications (Nos. 91/2010-Cus. and 26/2012-Cus.) were specifically impugned. It was urged that the appellant’s 2016 writ petition was not a fresh challenge launched in isolation; it was a sequel proceeding seeking enforcement of the 2015 declaration of law and refund of amounts deposited under protest pursuant to a levy that had already been held to be without authority of law. Once the foundational illegality of the levy was judicially determined, the State could not insist that each successive notification, though resting on the same ultra vires premise, must be struck down afresh before relief could follow. Such a view, it was submitted, would elevate procedural form over substantive illegality and would compel endless cycles of litigation on the same point.
32. It was lastly urged on behalf of the appellant that the doctrine of finality in adjudication, and the principle that litigation must at some

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stage come to an end, require that constitutional courts give effect to their own pronouncements in substance and not permit executive re-litigation of what has already been decided. The appellant, having succeeded in 2015 and having seen that decision withstand challenge before this Court, ought not to have been denied consequential relief merely because the levy later reappeared at a different numerical rate.

33. Per contra, Shri. Raghav Shankar , the learned Additional Solicitor General, appearing for the Union of India and the customs authorities, supported the impugned judgment. The thrust of the Union's submission was that the 2015 judgment of the High Court was concerned with Notification No. 25/2010-Cus., which imposed a levy of 16% ad valorem duty with retrospective effect up to 15 September 2010. It is further submitted that the relief granted in that case was expressly circumscribed to that period.
34. The learned Additional Solicitor General contended that the subsequent notifications, namely Notification No. 91/2010-Cus. (ten paise per unit) and Notification No. 26/2012-Cus. (three paise per unit), operated prospectively for later periods and at nominal specific rates. According to the Union, those notifications represented a different fiscal measure with a distinct objective: namely, to recoup, in part, the customs duty benefit on duty-free inputs where power so generated was supplied into the DTA. It was urged that these later notifications were not placed under specific challenge in the first writ petition decided in 2015.
35. The Union further submitted that even in the appellant's 2016 writ petition, the later notifications were not, in form, separately impugned. On that basis, it was contended that the High Court in 2019 was correct in refusing to quash those notifications or to direct refund of the amounts paid pursuant thereto, as no court can strike down a statutory instrument or direct restitution on its basis unless that instrument is first subjected to judicial review.
36. It was also submitted on behalf of Union of India that the appellant had, for years, paid the reduced per-unit duty without protest in respect of the post-September 2010 period, and that a belated attempt to seek refund, after success in respect of an earlier, different notification, ought to be viewed with circumspection.
37. It was lastly submitted that, with effect from 16 February 2016, the policy had already been calibrated by Notification No. 9/2016-Cus.,

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which exempted power from large SEZ units such as the appellant's. Thus, according to the Union, the grievance substantially stood redressed prospectively. What remained, in its submission, was a monetary claim for an intervening period, which the High Court correctly declined to entertain in the absence of a specific and direct challenge to the notifications governing that period on these grounds he sought for rejection of the appeal.

III. ISSUES FOR DETERMINATION

38. From the rival submissions and the record before us, the following questions arise for consideration:
- I. Firstly, what, in law, did the Gujarat High Court decide in its judgment dated 15 July 2015, and what is the true scope of that decision?
 - II. Secondly, whether, in the period subsequent to 15 September 2010 and prior to 16 February 2016, there was any material changes in the statutory position or factual footing that would justify a different result from that arrived at in 2015 judgment?
 - III. Thirdly, whether the High Court, in its impugned judgment of 28 June 2019, was justified in holding that no relief could be granted to the appellant in the absence of a specific and fresh challenge to Notification Nos. 91/2010-Cus. and 26/2012-Cus?
 - IV. Fourthly, whether, in view of the 2015 declaration of law and its affirmation, the High Court in 2019 was at liberty, being a co-ordinate Bench, to deny relief by narrowing the effect of the earlier pronouncement?
 - V. Fifthly, what order/direction?

IV. ANALYSIS

39. Before proceeding with the analysis of the issues framed above, it would be necessary to reproduce certain relevant statutory provisions which would be necessary for the adjudication of these issues. Accordingly we have reproduced all the relevant statutory provisions.
40. Section 12 of the Customs Act, 1962 for reference:

12. Dutiable goods.—(1) Except as otherwise provided in this Act, or any other law for the time being in force,

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duties of customs shall be levied at such rates as may be specified under the Customs Tariff Act, 1975 (51 of 1975), or any other law for the time being in force, on goods imported into, or exported from, India. (2) The provisions of sub-section (1) shall apply in respect of all goods belonging to Government as they apply in respect of goods not belonging to Government.

41. Section 30 of The Special Economic Zones Act, 2005 for reference:

30. Domestic clearance by Units.—Subject to the conditions specified in the rules made by the Central Government in this behalf,— (a) any goods removed from a Special Economic Zone to the Domestic Tariff Area shall be chargeable to duties of customs including anti-dumping, countervailing and safeguard duties under the Customs Tariff Act, 1975 (51 of 1975), where applicable, as leviable on such goods when imported; and (b) the rate of duty and tariff valuation, if any, applicable to goods removed from a Special Economic Zone shall be at the rate and tariff valuation in force as on the date of such removal, and where such date is not ascertainable, on the date of payment of duty.

42. Rule 47 of The Special Economic Zones Rules, 2006 for reference:

47. Sales in Domestic Tariff Area—

(1) A Unit may sell goods and services including rejects or wastes or scraps or remnants or broken diamonds or by products arising during the manufacturing process or in connection therewith, in the Domestic Tariff Area on payment of Customs duties under section 30, subject to the following conditions, namely-

(a) Domestic Tariff Area sale under sub-rule (1), of goods manufactured by a Unit shall be on submission of import licence, as applicable to the import of similar goods into India, under the provisions of the Foreign Trade Policy:

Provided that goods imported or procured from the Domestic Tariff Area and sold as such without being

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subjected to any manufacturing process shall be subject to the provisions of the Foreign Trade Policy as applicable to import of similar goods into India.

(b) Domestic Tariff Area sale under sub-rule (1) of rejects or scrap or waste or remnants arising during the manufacturing process or in connection there-with by the Unit shall not be subject to the provisions of the Import Trade Control (Harmonized System) of Classification of Export and Import Items:

Provided that the Central Government may notify restrictions, as it deems fit on all or any class of such goods mentioned under this clause.

(2) Scrap or dust or sweeping of gold or silver or platinum may be sent to Government of India Mint or Private Mint from a Unit and returned in standard bars in accordance with the procedure specified by Customs authorities or may be sold in the Domestic Tariff Area on payment of duty on the gold or silver or platinum content in the said scrap:

Provided that the value of samples of gold or silver or platinum sweepings or scrap or dust taken at the time of clearance and sent to the Government Mint or Private Mint for assaying and assessment shall be finalized on the basis of reports received from the Government Mint or Private Mint, as the case may be.

(3) Surplus power generated in a Special Economic Zone's Developer's Power Plant in the SEZ or Unit's captive power plant or diesel generating set may be transferred to Domestic Tariff Area on payment of duty on consumables and raw materials used for generation of power subject to the following conditions, namely:

(a) proposal for sale of surplus power received by the Development Commissioner shall be examined in consultation with the State Electricity Board, wherever considered necessary: Provided that consultation with State Electricity Board shall not be required for sale of power within the same Special Economic Zone;

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(b) norms for production of a unit of power shall be approved by the Approval Committee;

(c) sale of surplus power to other Unit or Developer in the same or other Special Economic Zone or to Export Oriented Unit or to Electronic Hardware Technology Park Unit or to Software Technology Park Unit or Bio-technology Park Unit, shall be without payment of duty;

(d) for sale of surplus power in Domestic Tariff Area, the Unit shall obtain permission from the Specified Officer and the State Government authority concerned;

(e) duty on sale of surplus power to the Domestic Tariff Area shall be as provided for in this rule.

(4) Valuation and assessment of the goods cleared into Domestic Tariff Area shall be made in accordance with Customs Act and rules made there under. 160

(5) Refund, Demand, Adjudication, Review and Appeal with regard to matters relating to authorised operations under Special Economic Zones Act, 2005, transactions, and goods and services related thereto shall be made by the Jurisdictional Customs and Central Excise Authorities in accordance with the relevant provisions contained in the Customs Act, 1962, the Central Excise Act, 1944, and the Finance Act, 1994 and the rules made there under or the notifications issued there under.

43. Section 25 of The Customs Act, 1962 for reference:

25. Power to grant exemption from duty. —(1) If the Central Government is satisfied that it is necessary in the public interest so to do, it may, by notification in the Official Gazette, exempt generally either absolutely or subject to such conditions (to be fulfilled before or after clearance) as may be specified in the notification goods of any specified description from the whole or any part of duty of customs leviable thereon.

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(2) If the Central Government is satisfied that it is necessary in the public interest so to do, it may, may, by special order in each case, exempt from the payment of duty, under circumstances of an exceptional nature to be stated in such order, any goods on which duty is leviable.

(2A) The Central Government may, if it considers it necessary or expedient so to do for the purpose purpose of clarifying the scope or applicability of any notification issued under sub-section (1) or order issued under sub-section (2), insert an explanation in such notification or order, as the case may be, by notification in the Official Gazette, at any time within one year of issue of the notification under sub-section (1) or order under sub-section (2), and every such explanation shall have effect as if it had always been the part of the first such notification or order, as the case may be.

(3) An exemption under sub-section (1) or sub-section (2) in respect of any goods from any part of the duty of customs leviable thereon (the duty of customs leviable thereon being hereinafter referred to as the statutory duty) may be granted by providing for the levy of a duty on such goods at a rate expressed in a form or method different from the form or method in which the statutory duty is leviable and any exemption granted in relation to any goods in the manner provided in this sub-section shall have effect subject to the condition that the duty of customs chargeable on such goods shall in no case exceed the statutory duty.

Explanation.—"Form or method", in relation to a rate of duty of customs, means the basis, namely, valuation, weight, number, length, area, volume or other measure with reference to which the duty is leviable.

(4) Every notification issued under sub-section (1) or sub-section (2A) shall, unless otherwise provided, come into force on the date of its issue by the Central Government for publication in the Official Gazette.

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(6) Notwithstanding anything contained in this Act, no duty shall be collected if the amount of duty leviable is equal to, or less than, one hundred rupees.

(7) The mineral oils (including petroleum and natural gas) extracted or produced in the continental shelf of India or exclusive economic zone of India as referred to in section 6 and section 7, respectively, of the Territorial Waters, Continental Shelf, Exclusive Economic Zone and Other Maritime Zones Act, 1976 (80 of 1976), and imported prior to the 7th day of February, 2002 shall be deemed to be and shall always be deemed to have been exempted from the whole of the duties of customs leviable on such mineral oils and accordingly, notwithstanding anything contained in any judgment, decree or order of any court, tribunal or other authority, no suit or other proceedings in respect of such mineral oils shall be maintained or continued in any court, tribunal or other authority.

(8) Notwithstanding the exemption provided under sub-section (7), no refund of duties of customs paid in respect of the mineral oils specified therein shall be made.

RE: QUESTION I – SCOPE AND EFFECT OF THE 2015 JUDGMENT

44. We turn first to the 2015 judgment. The High Court there did four things of significance. It examined (i) the constitutional and statutory basis of the levy; (ii) the character of the notification said to impose it; (iii) the retrospective enforcement of that levy; and (iv) the arbitrariness inherent in the structure of the levy.
45. On the constitutional and statutory basis, the High Court held that the levy was ultra vires because there was, in substance, no “import into India” that could trigger the charge under Section 12 of the Customs Act. This went to the very root of the matter. The Court was not deciding a mere technical irregularity. It held that the alleged taxable event did not exist in law. The absence of a taxable event is a jurisdictional defect.
46. On the character of the notification, the High Court found that the Union had attempted, by Notification No. 25/2010-Cus., to employ the language of an “exemption” notification to in fact impose and

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quantify a new levy of 16% on SEZ-to-DTA power clearances. The High Court held that Section 25 of the Customs Act is a power to relax duty, not a power to invent it. This was a finding on the limits of delegated legislation.

47. On retrospectivity, the High Court found that fastening a 16% ad valorem duty with effect from 26 June 2009 through delegated action offended Article 265 of the Constitution, which requires authority of law for every tax levy and collection.
48. On arbitrariness, the High Court found that the structure of the levy burdened the appellant twice over i.e., once by drawback of duty on inputs under Rule 47(3) of the SEZ Rules, and then again by demanding customs duty on the final electricity output itself.
49. These findings were not casual or incidental. They were the foundation upon which the High Court granted relief. The Court did not say merely that Notification No. 25/2010-Cus. Suffered from a drafting defect. It said, in substance: (i) there is no lawful charging event in respect of this commodity when cleared from an SEZ to the DTA; (ii) the Union cannot use an exemption notification to create a duty that Parliament has not imposed; (iii) retrospective demand without statutory sanction violates Article 265; and (iv) the structure produces arbitrary double burden.
50. We are of the clear view that these four propositions together constitute the ratio decidendi of the 2015 judgment. It follows that the 2015 judgment was not confined, in principle, to a single notification or to a particular cut-off date. The declaration of law extended to the very authority to levy customs duty on electrical energy cleared from an SEZ to the DTA in the statutory setting then prevailing. Absence a change in that setting, that declaration governed all periods standing on the same footing.
51. Accordingly we hold that the judgment of the Gujarat High Court dated 15 July 2015 was not a limited adjudication confined to the validity of one notification or to a closed span of time. It was a declaration of law founded on constitutional and statutory interpretation, determining that on the then-existing legal framework no customs duty could be levied on electrical energy transmitted from an SEZ to the DTA. The reasoning of said decision went to the very root of the taxing power i.e., it identified the absence of a charging event, the misuse of the

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exemption power, and the inherent arbitrariness of the scheme. Once such a declaration of law was rendered and affirmed by this Court, it acquired binding normative force and governed all transactions resting on the same legal footing. The essence of that pronouncement was not temporal but structural; it struck at the authority to levy, not merely at the rate or the period. The **2015 judgment** therefore stands as a general exposition of law, and its ratio decidendi covers the subsequent period ***unless a demonstrable change in the legal foundation is shown.***

RE: QUESTION 2 – WHETHER ANY CHANGE IN STATUTORY OR FACTUAL FOOTING JUSTIFIED A DIFFERENT RESULT

52. We next turn to an aspect which, in our view, requires emphasis: the use of an “exemption” notification to impose, in substance, a levy.
53. Section 25 of the Customs Act authorises the Central Government, if it is satisfied that it is necessary in the public interest so to do, to exempt generally either absolutely or subject to conditions goods of any specified description from the whole or any part of customs duty leviable thereon. The premise of Section 25 is that there is a duty “leviable thereon” in the first place. The function of an exemption notification is, therefore, to relax or remit a duty already otherwise attracted by law.
54. What Notification No. 25/2010-Cus. did, however, was precisely the reverse. It purported to declare, for the first time, that electrical energy cleared from an SEZ to the DTA would be subjected to customs duty at the rate of 16% ad valorem. The instrument was dressed in the garb of an exemption, but its true operation was to create a duty where none existed, and to quantify that duty, and to apply it retrospectively.
55. In administrative law terms, this is a classic instance of a colourable exercise of delegated power. A delegate cannot do indirectly what it has no authority to do directly. The power to exempt is not a power to tax. The two stand on opposite constitutional planes. The essential legislative function of imposing a tax or duty rests with Parliament and must be located in a charging provision. The executive cannot, by subordinate instrument, enlarge the field of taxation under the pretext of tailoring an exemption.

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56. We consider it necessary to state this principle clearly. Delegated legislation is subject to judicial review not only for substantive unreasonableness, but also for purpose. Where the dominant purpose for which a delegated power is conferred is departed from, and the power is pressed into service to achieve an end for which it was never granted, the exercise is ultra vires. The immunity of a fiscal notification from scrutiny is no greater than that of any other form of subordinate legislation.
57. The High Court in 2015 correctly detected that inversion: a provision designed to grant relief (exemption) had been inverted to impose a burden (levy). Such inversion is not a mere irregularity; it is an illegality at source. The said finding of the High Court is in consonance with settled principles of law declared by this Court. Hence, we affirm said finding.
58. That conclusion has a direct bearing on the respondent's present defence. If the very manner in which the levy was introduced was beyond the scope of delegated authority, then subsequent notifications which continue to demand duty on the same taxable fiction namely, that SEZ-to-DTA electricity is to be treated as exigible to customs duty cannot be insulated merely because they altered the rate from 16% to ten paise to three paise, or because they framed the imposition of customs duty prospectively. In other words, where the root is ultra vires, the branch cannot claim legitimacy by altering its foliage.
59. We must also underline a basic proposition of fiscal jurisprudence: a tax or duty can only be levied where there is (i) a clear charging provision enacted by competent legislature; (ii) an identifiable taxable event; and (iii) a statutory rate-making mechanism. The machinery provisions may regulate assessment and collection. Exemption notifications may relax or remit the levy. But neither machinery provisions nor exemption notifications can substitute for the absence of a charge.
60. Section 12 of the Customs Act is the charging provision. It contemplates a duty on goods imported into India. Section 30 of the SEZ Act says that goods cleared from an SEZ to the DTA "shall be chargeable to duties of customs as leviable on such goods when imported". This is a parity clause. It says: treat SEZ-to-DTA clearances as if they bore the same duty as comparable imports. It does not say: regard every

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SEZ-to-DTA clearance as an “import into India” for all purposes of Section 12, irrespective of physical reality, and irrespective of whether such imports actually bear any duty.

61. The High Court in 2015 correctly held that electrical energy generated within India and wheeled into the DTA is not, in truth, a case of import into India. The deeming fiction of Section 30 of the SEZ Act is intended to align duty treatment, not to expand the scope of the charging section beyond what Parliament has enacted. A deeming fiction cannot be pressed beyond the purpose for which it was enacted.
62. Put differently: Section 30 of the SEZ Act does not create a new customs levy. It only says that if (and to the extent that) such goods would have attracted customs duty had they physically crossed the border, then the same incidence will apply when those goods move from the SEZ to the DTA. If, on actual import, electrical energy attracts no customs duty, then, by force of Section 30, the same result i.e., no customs duty must follow for SEZ clearances of electrical energy. Nothing in Section 30 either authorises or contemplates the imposition of a fresh or differential levy singling out SEZ-generated power.
63. This parity logic sits at the centre of the scheme. Imported electricity bore no customs duty. SEZ electricity a like commodity was nonetheless subjected to duty. That differential treatment violates both the statutory parity mandated by Section 30 of the SEZ Act and the equality guarantee under Article 14. The High Court in 2015 captured this, and we reaffirm it.
64. The Union urged before us that the per-unit duties of ten paise and three paise were meant to recoup, in part, the benefit of duty-free inputs such as imported coal. That argument does not survive scrutiny. Rule 47(3) of the SEZ Rules already obliges the SEZ power generator, when electricity leaves the SEZ, to neutralise the customs duty foregone on inputs to that extent. The scheme already accounts for input duty benefit. Having so neutralised, to then impose an additional customs duty on the electricity output itself is to double count. That offends fairness and constitutional discipline.
65. On a plain application of the principles governing the power to tax, we are satisfied that the levy on electricity generated in the Special Economic Zone and supplied to the Domestic Tariff Area, as sought to be enforced against the appellant, has no sanction in law. The charge

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does not find support in the statutory scheme. We also find that, even after the decision rendered in 2015, there has been no change either in the law or in the relevant facts which could justify taking a view different from the one already taken. The legal position having remained the same, the conclusion reached earlier must continue to hold the field. Section 30 of the SEZ Act continued unchanged; the Customs Tariff continued to prescribe a nil rate on imported electrical energy; and the constitutional parameters of Articles 14 and 265 remained constant. The subsequent notifications merely varied the form and rate of duty; they did not cure the fundamental absence of authority to tax. The attempt of the executive to reintroduce the very same levy through the route of an “exemption” notification cannot be sustained. What could not be done directly has been sought to be achieved indirectly, which is impermissible in law and contrary to the limits of delegated power. Section 25 of the Customs Act confers a power to exempt, not to impose. To use it as an instrument of levy transgresses the limits of delegated legislation and amounts to usurpation of the legislative function. The Court’s duty of judicial review extends to restraining such misuse of delegated authority. ***Hence, in substance and in law***, the position after 2015 remained identical to what it was before; the same illegality persisted, and the same conclusion necessarily follows.

RE: QUESTION III – RE: GRANT OF RELIEF IN THE ABSENCE OF A SEPARATE CHALLENGE TO THE EXEMPTION NOTIFICATIONS

66. We now turn to what was pressed by the respondents both before the High Court in 2019 and before us: namely, that the later notifications (Notification No. 91/2010-Cus. prescribing ten paise per unit and Notification No. 26/2012-Cus. prescribing three paise per unit) were not specifically impugned by the appellant, and therefore, absent a direct attack on their validity, no relief could be granted in respect of amounts paid thereunder.
67. We are unable to accept said contention. It proceeds on a misconception of what was before the High Court in 2016 and what was finally decided in 2015.
68. The appellant’s 2016 writ petition was not an abstract attempt to launch a fresh constitutional challenge to each successive notification in isolation. It was a sequel proceeding.

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69. In administrative law, where a court of competent jurisdiction has struck down the foundation of a levy as ultra vires, that declaration renders all successive and derivative attempts to enforce the same levy equally unenforceable, unless the statutory or factual basis has materially changed. The State cannot defend the continuation of the same vice by saying, this is a different notification number. The Court is bound to look past the label and examine the substance.
70. To insist that the appellant ought to have challenged Notification No. 91/2010-Cus. and Notification No. 26/2012-Cus. afresh, when those notifications do no more than perpetuate the same unauthorised levy in altered denomination, is to elevate form over substance. Constitutional adjudication does not proceed on technical formalism when illegality has already been declared in principle.
71. This Court, while exercising jurisdiction under Article 136, and the High Court, while exercising jurisdiction under Article 226, are vested with ample power to mould appropriate relief. Once a levy has been held to be beyond the authority of law, a constitutional court is not expected to remain a silent spectator while the very same levy is sought to be continued through successive or similar notifications. The jurisdiction of a constitutional court is remedial in nature and extends to ensuring that what has been declared unlawful is not brought back in another form. The contention that “no relief can be granted unless each successor notification is separately struck down” is inconsistent with that remedial character, and would reward repetition of illegality. We reject it.
72. We also find that there is no material factual distinction between the levy struck down in 2015 and the levy sought to be enforced thereafter against the appellant for the period between 16 September 2010 and 15 February 2016. The commodity is the same (electrical energy). The movement is the same (SEZ to DTA). The asserted source of power is the same (customs levy under colour of Section 25 of the Customs Act read with Section 30 of the SEZ Act). The only difference lies in the numerical rate and the period for which it applies. Those differences do not cure the fundamental absence of a lawful charging event and the misuse of an exemption mechanism to impose duty. The levy is the same in character, and it is that character which was condemned.

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73. In our view, the High Court, in its judgment of 2019, fell into error in accepting the submission of the Union that the later notifications continued to operate merely because they were not specifically set aside in the decision of 2015. Once the levy itself had been held to be without authority of law, its continuance through subsequent notifications could not be sustained. The invalidity goes to the root and does not depend upon the form or sequence of the notifications. We reject the respondents' contention that the appellant could not be granted relief because the later notifications were not independently impugned.
74. We accordingly hold that where a levy has been declared to be without authority of law, a subsequent petition seeking enforcement of that declaration and consequential relief cannot be treated as a fresh challenge merely because the levy is sought to be continued under later or similar notifications. ***In the absence of any new statutory basis, such notifications do not create a new cause of action. A constitutional court is entitled to grant effective relief without insisting upon separate challenges to each such notification. The High Court, in the impugned judgment of 2019, erred in taking a contrary view.***

RE: QUESTION IV – EFFECT OF A BINDING DECLARATION ON A LATER CO-ORDINATE BENCH

75. There remains one further aspect of principle. The High Court's judgment of 15 July 2015 striking down the levy of customs duty on SEZ-to-DTA electrical energy was delivered by a Division Bench of that Court. The Union of India challenged that judgment before this Court. This Court declined interference. The High Court's judgment thereby attained finality, both as between the parties and as a binding declaration of law within that jurisdiction.
76. The writ petition filed in 2016 by the appellant came to be heard in 2019 by another Division Bench of the same High Court. That Bench, while noting the existence of the 2015 judgment, proceeded on the basis that the earlier decision was confined to Notification No. 25/2010-Cus. and to the period ending 15 September 2010. Having so read it down, the Bench in 2019 declined to extend relief to what it viewed as a "different" set of notifications.

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77. The discipline expected of coordinate Benches does not permit such an approach. This Court, in ***State of Uttar Pradesh v. Ajay Kumar Sharma (2016) 15 SCC 289***, has reiterated that once a coordinate Bench of a High Court has settled a question of law, a subsequent Bench of equal strength is bound to follow that view when confronted with the same issue. If the later Bench believes that the earlier view is so manifestly erroneous or inapplicable that it ought not to be followed, the later Bench must refer the matter to a larger Bench for reconsideration. What it cannot do is to sidestep or whittle down the earlier pronouncement by confining it artificially or by treating it as a fact-specific indulgence.
78. The discipline of precedent is not a matter of personal predilection; it is an institutional necessity. ***Stare decisis et non quieta movere*** which means to stand by what is decided and not to disturb what is settled, is a working rule which secures stability, predictability and respect for judicial outcomes. The law cannot change with the change of the Bench.
79. In the present case, if the Division Bench in 2019 was of the opinion that the 2015 decision could not, or ought not, apply to the later notifications or to the later period, the proper course was to request that the question be placed before a larger Bench of the High Court. The Bench in 2019 did not do so. Instead, it narrowed the effect of the 2015 judgment and declined relief for the subsequent years. That course was impermissible. The 2019 Bench was bound by the declaration of law in 2015, unless duly referred to a larger Bench.
80. We accordingly hold that the Division Bench of 2019 acted contrary to the settled doctrine of judicial discipline. When a coordinate Bench of a High Court has already determined a question of law, a subsequent Bench of equal strength is bound to follow that view; if it doubts its correctness, the only permissible course is to refer the matter to a larger Bench. This rule, has been reaffirmed by this Court in ***State of U.P. v. Ajay Kumar Sharma (2016) 15 SCC 289***, is not procedural etiquette but a structural safeguard against judicial inconsistency. The discipline of *stare decisis* ensures coherence and predictability in law, which are indispensable to the legitimacy of adjudication. The 2019 Bench, by confining the earlier decision to a narrow time frame without referring the matter to a larger Bench, effectively unsettled a settled proposition and undermined the authority of precedent. Such

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a course was impermissible. The coordinate Bench was duty-bound to apply the ratio of the 2015 judgment to the appellant's case, and its failure to do so vitiates the impugned decision.

81. We now turn to an aspect which goes beyond the immediate dispute between the parties. The case also concerns the obligation of the administration to give full effect to judicial decisions once they have attained finality. The authority of the rule of law rests not only in the pronouncement of judgments but equally in their proper implementation. It is therefore necessary to briefly recall the principles that govern the conduct of the executive after a court has finally settled the legal position.
82. When a High Court of competent jurisdiction declares a levy to be ultra vires and unconstitutional, and this Court declines to interfere, that declaration cannot be treated as a one-time indulgence for a closed period. It is incumbent upon the authorities thereafter to conform their conduct to the law so declared. They cannot, consistent with constitutional discipline, continue to enforce the same levy for a later period on the strength of slightly altered subordinate instruments and then resist restitution on grounds of technical pleading.
83. It is well settled that in the public interest there must be an end to litigation. The appellant succeeded in 2015. The Union failed in its challenge before this Court. The appellant then approached the High Court in 2016 essentially seeking implementation of the declaration already made. To deny relief on the footing that it is a new notification or that period was not expressly mentioned is to frustrate finality and to compel the citizen to engage in repetitive litigation to secure, in practice, what has already been recognised in principle.
84. Accordingly we hold that once the 2015 judgment had declared the levy to be ultra vires and this Court had declined interference, it was incumbent upon the administrative authorities to conform their conduct to that declaration. Judicial pronouncements are not advisory opinions; they are binding commands of law. When the executive continues to enforce, under new guise, a levy that has been judicially struck down, it acts in defiance of constitutional discipline and erodes public confidence in the rule of law. Finality of adjudication is an essential component of good governance. The repetition of an invalidated levy through successive notifications compels needless litigation, burdens the courts, and subjects citizens to prolonged

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uncertainty. The authorities in this case were obliged to treat the matter as concluded and ought to have extended the benefit of the 2015 decision uniformly to all subsequent periods until the law was altered by legislative action. Their failure to do so justified judicial intervention. The doctrine *interest reipublicae ut sit finis litium* which essentially means, that it is in the public interest that there be an end to litigation would squarely apply; the State must exemplify obedience to judgments, not resistance to them.

85. This litigation has spanned more than a decade. The substantive question at its core was only this: whether, in the absence of a clear charging section, customs duty could be imposed on electrical energy cleared from an SEZ into the DTA? And, according to our observations above it stood answered in 2015 and that answer withstood scrutiny by this Court also. What ought to have followed thereafter was faithful implementation, not renewed resistance.
86. Accordingly, we summarise our conclusions as follows:
 - (i) The Gujarat High Court's judgment dated 15 July 2015, as a matter of law, declared that customs duty could not be levied on electrical energy cleared from the appellant's SEZ unit to the DTA, having regard to the absence of a lawful charging event under Section 12 of the Customs Act, the limited scope of Section 25 of that Act, the parity requirement of Section 30 of the SEZ Act and the constitutional constraints of Articles 14 and 265 is squarely applicable to the judgment and order dated 28.06.2019.
 - (ii) That declaration was not confined in principle to Notification No. 25/2010-Cus. or to the period ending 15 September 2010. It went to the authority to levy customs duty on SEZ-to-DTA electricity clearances in the statutory setting then obtaining.
 - (iii) The subsequent notifications namely, Notification No. 91/2010-Cus. prescribing ten paise per unit and Notification No. 26/2012-Cus. prescribing three paise per unit, did not create a new levy on a new footing. They merely continued the same levy in altered form. The change in arithmetical rate by prospective character does not cure the lack of authority in principle.
 - (iv) The argument that no relief could be granted in the absence of a fresh and specific challenge to each later notification is untenable.

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The appellant's 2016 writ petition was a sequel, seeking enforcement of the prior declaration and refund of amounts deposited under protest. Constitutional courts are empowered to secure compliance with their own pronouncements and are not bound to insist on repetitive challenges to substantially identical measures.

- (v) There was no material change in law or fact between 15 September 2010 and 15 February 2016 that would justify a departure from the 2015 ruling. Section 30 of the SEZ Act remained unaltered. Imported electrical energy bore no customs duty under the Customs Tariff Act, 1975. The same parity logic applied to S.C.A. No. 2233 of 2016 disposed of on 28.06.2019
- (vi) The Division Bench of the High Court in 2019, being a co-ordinate Bench, was bound either to follow the 2015 decision or, if it doubted its correctness or applicability, ought to have referred the question to a larger Bench. It could not have circumvented that discipline by artificially narrowing down the earlier ruling. Its refusal to extend the 2015 declaration to the later period was therefore contrary to law.
- (vii) Once it is held that the levy itself was without authority of law, the State cannot retain the amount collected under such levy. Restitution is a necessary incident of the finding of illegality.

CONCLUSION:

- 87. We declare that the levy of customs duty on electrical energy cleared by the appellant from its SEZ unit to the DTA during the relevant period, as sought to be enforced through Notification No. 25/2010-Cus., Notification No. 91/2010-Cus., Notification No. 26/2012-Cus., and similar instruments, was without authority of law.
- 88. We accordingly hold that the impugned judgment of the High Court dated 28 June 2019 cannot be sustained. In view of the foregoing discussion, the appeal is allowed. The judgment and order dated 28 June 2019 of the High Court of Gujarat in Special Civil Application No. 2233 of 2016 is set aside.

RE: QUESTION V – WHAT DIRECTIONS ?

- 89. The respondents, namely the Union of India through the concerned Ministry and the jurisdictional customs authorities, shall, after due

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verification, refund to the appellant such amount that has been deposited in cash or through encashment of security or otherwise under protest by the appellant, towards customs duty on the clearance of electrical energy from SEZ unit into the DTA for the period in question, namely, 16 September 2010 to 15 February 2016. It is made clear that the said refund shall not carry any interest.

90. The verification and refund exercise shall be undertaken and be completed by the jurisdictional Commissioner of Customs within a period of eight (8) weeks from the date of this judgment. The appellant shall cooperate by furnishing the particulars of such deposits made if sought for by the authorities for the aforesaid period. The authorities shall not raise any hyper-technical objections so as to defeat the substance of this direction.
91. It is further directed that no further demand shall be enforced against the appellant in respect of customs duty on electrical energy cleared from its SEZ unit to the DTA for the period covered in this appeal, as the levy having been held unsustainable. For the avoidance of doubt, we clarify that we express no opinion as to any future legislative regime that Parliament may enact. Our findings are confined to the aforesaid period and statutory framework arising in the present appeal.
92. In view of the directions issued above, we do not consider it necessary to make any order as to costs and it is made easy. All pending applications, stands disposed of.

Result of the case: Appeal allowed.

[†]Headnotes prepared by: Ankit Gyan

Kadirkhan Ahmedkhan Pathan
v.
The Maharashtra State Warehousing Corporation & Ors.
(Civil Appeal No. 53 of 2026)
06 January 2026
[J.K. Maheshwari* and Vijay Bishnoi, JJ.]

Issue for Consideration

Whether in absence of any provision in the Maharashtra State Warehousing Corporation (Staff) Service Regulations, 1992 for institution of departmental proceedings against a superannuated employee, the Corporation could have proceeded against the appellant applying Rule 27(I)(2)(b)(i) of the Maharashtra Civil Services (Pension) Rules, 1982. In case enquiry is instituted after retirement of appellant, whether the Corporation had the jurisdiction to continue such enquiry and impose punishment, withholding the retiral benefits and direct recovery.

Headnotes[†]

Maharashtra Civil Services (Pension) Rules, 1982 – r.27(I)(2)(b)(i) – Maharashtra State Warehousing Corporation (Staff) Service Regulations, 1992 – r.110 – The case of the appellant before High Court was that he had superannuated from the service as ‘Storage Superintendent’ on 31.08.2008, whereafter, he was served with a show-cause notice seeking explanation for unresolved railway transportation losses – He was held responsible for financial loss to the Corporation to the tune of Rs. 18,09,809/- – Writ petition before the High Court – The High Court vide impugned judgment refused to entertain the writ petition and disposed it off with directions to take recourse of appeal specified in the 1992 Regulations – Correctness:

Held: It is the specific case of the appellant that the Corporation lacks jurisdiction to institute the departmental proceedings against him in absence of any provision in 1992 Regulations – *Per contra*, the Corporation has tried to make out a case on the anvil of r.110 – It is pertinent to note that, in the present case, in furtherance to r.110 of 1992 Regulations, no board decision/order/notification

* Author

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adopting 1982 Pension Rules in *toto* for the employees of the Corporation has been brought on record – In the context of the provision of r.27, it cannot be made applicable *ipso facto* until the Board of Directors has taken a conscious decision specifying the circumstances and making similar benevolent provision as made in 1982 Pension Rules; or having sanction of the Government as required u/r.27(2) (b)(i) for instituting or continuing the proceedings in the contingency as specified applying the Regulations – The usage of the word ‘shall’ in r.27(2)(b)(i) implies that the requirement of sanction from the Government prior to institution of departmental enquiry is mandatory in nature for each case – Such mandate cannot be diluted or by-passed by the Corporation under the pretext of general sanction or general practice – Thus, the irresistible conclusion can be drawn that the Corporation had no jurisdiction to institute the departmental proceedings against the appellant for the alleged misconduct and to direct recovery against him applying 1982 Pension Rules – The impugned departmental proceedings against the appellant is hereby quashed and the Corporation is directed to release all the retiral benefits to the appellant. [Paras 21, 27, 30, 31]

Case Law Cited

Bhagirathi Jena v. Board of Directors, O.S.F.C. and Others [1999] **2 SCR 354 : (1999) 3 SCC 666 – relied on.**

Girijan Cooperative Corporation Limited Andhra Pradesh v. K. Satyanarayana Rao (2010) **15 SCC 322**; *Anant R. Kulkarni v. Y.P. Education Society and Others* [2013] **6 SCR 1124 : (2013) 6 SCC 515 – referred to.**

List of Acts

Maharashtra Civil Services (Pension) Rules, 1982; Maharashtra State Warehousing Corporation (Staff) Service Regulations, 1992.

List of Keywords

Service Law; Superannuation; Retiral benefits; Service Rules; Service Regulations; Losses; Railway transportation losses; Financial loss; Jurisdiction ; Departmental enquiry; Rule 27(1)(2)(b)(i) of Maharashtra Civil Services (Pension) Rules, 1982; Rule 110 Maharashtra State Warehousing Corporation (Staff) Service Regulations, 1992.

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Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 53 of 2026

From the Judgment and Order dated 25.01.2021 of the High Court of Judicature at Bombay at Aurangabad in WP No. 10858 of 2018

Appearances for Parties

Advs. for the Appellant(s):

Anjani Kumar Jha, Varun V. Solshe, Vivek C. Solshe.

Advs. for the Respondent(s):

Yash Prashant Sonavane, Ravindra Keshavrao Adsure.

Judgment / Order of the Supreme Court

Judgment

J.K. Maheshwari J.

1. Leave granted.
2. Assailing the final judgment dated 25.01.2021 passed by the Division Bench of High Court of Judicature at Bombay Bench at Aurangabad (hereinafter referred to as “**High Court**”) in Writ Petition No. 10858 of 2018, disposing-of the writ petition with directions to the appellant (retired employee) to prefer appeal against the order of disciplinary authority directing recovery, the instant appeal has been preferred.
3. The issue in the present *lis* revolves around the institution of the departmental enquiry by the respondent – Maharashtra State Warehousing Corporation (for brevity, ‘**Corporation**’) against the appellant after his superannuation in absence of any provision in the governing service rules and regulations, i.e., ‘Maharashtra Civil Services (Pension) Rules, 1982 (in short ‘**1982 Pension Rules**’)’ and ‘Maharashtra State Warehousing Corporation (Staff) Service Regulations, 1992 (in short ‘**1992 Regulations**’)’.
4. The case of the appellant before High Court was that he had superannuated from the service as ‘Storage Superintendent’ on 31.08.2008, whereafter, he was served with a show-cause notice seeking explanation for unresolved railway transportation losses. A charge-sheet was served to him, which was followed by the

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punishment order, whereby he was held responsible for financial loss to the Corporation to the tune of Rs. 18,09,809/-, directing recovery against him. Aggrieved, the appellant preferred writ petition *inter-alia* praying for quashing of show-cause notice as well as the action taken in furtherance thereto. The High Court *vide* impugned judgment refused to entertain the writ petition and disposed it off with directions to take recourse of appeal specified in the 1992 Regulations. Hence, the present appeal.

FACTS

5. Shorn of unnecessary details, the facts put in brief are that the appellant had joined the Corporation on 04.01.1969 and superannuated on 31.08.2008 as Storage Superintendent. After approximately 11 months, based on the allegations of storage loss and Railway Transit Loss (RTL) to tune of Rs. 22,22,561/- and Rs. 15,20,666/- between March, 2006 to June, 2008 during his tenure as 'Centre Head', a show-cause notice dated 18.08.2009 was served to the appellant, *inter-alia* alleging that on review, increase in storage loss was found from 1% to 5.75% and 6.87% and transportation loss was also much higher than reasonable and expected amounts. The appellant was asked to submit explanation within 10 days, failing which, departmental enquiry would be initiated. Having found the reply of the appellant unsatisfactory, the Corporation alleged that appellant had violated Regulation 74¹(5) and 74²(13) of the 1992 Regulations and served him charge-sheet dated 18.02.2010.
6. Appellant *vide* letter 06.03.2010 submitted reply and denied the charges, however, he was asked to appear before the Enquiry Officer on 24.03.2011. The appellant appeared and prayed to supply the material documents, on which the next was scheduled on 12.05.2011. The appellant did not appear on the said date on the pretext of non-supply of the documents. The department continued the enquiry and served the second show-cause notice dated 09.11.2012, asking explanation as to why disciplinary action should not be taken against him on the findings of the charges which were found partially proved. Disputing the same, the appellant again submitted a reply,

¹ Acts of misconduct – (5) Causing wilful damage to work in process or to any property of the Corporation.

² (13) – Indiscipline or breach or flouting of any instructions or orders issued by the Corporation, from time to time regarding working, conduct etc.

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however in vain. The Corporation *vide* order dated 10.12.2012 held him responsible for the losses to the tune of Rs. 18,09,809/- and consequently, withheld his retiral benefits of Rs. 4,43,013/-, inclusive of gratuity, provident fund and leave encashment.

7. The appellant through RTI (right to information) found that the RTL was reduced to Rs. 2,46,461/-, however, on further contest, the appellant sought release of his retiral benefits. The Corporation served him with the third show-cause notice dated 20.10.2016 seeking explanation as to why he should not be held responsible for the loss caused to the Corporation to the tune of Rs. 3,70,820/- and why such be not recovered from him. Finally, the Corporation *vide* punishment order dated 04.03.2017 found the appellant guilty and responsible for the financial losses to the tune of Rs. 18,09,809/- and directed recovery. Out of said amount, the Corporation withheld the retiral benefits of the appellant of Rs. 4,43,013/-, and the remaining dues of Rs. 13,66,796/- were directed to be recovered.
8. Aggrieved, the appellant preferred Writ Petition No. 10858 of 2018 seeking following reliefs:-

“a. This Hon’ble Court be pleased to issue writ of mandamus or any other writ order or direction in the nature of writ of mandamus and be pleased to quash and set aside the enquiry and the action, if any, taken pursuant to the show cause notice dated 18.08.2009;

b. This Hon’ble Court be pleased to quash and set aside the communication dated 4th March, 2017 and further be pleased to direct the respondents to forthwith pay to the petitioner all the retiral benefits such as provident fund, gratuity, leave encashment, arrears of 6th Pay Commission etc. with interest till realization of the amount;

c. This Hon’ble Court be pleased to quash and set aside the impugned show cause notice dated 20.10.2016 issued by the General Manager (QC) of respondent no. 1;

d. Pending hearing and final disposal of this writ petition, the respondents be forthwith directed to pay this petitioner all the retiral benefits such as provident fund, gratuity, leave encashment etc. with interest till realization of the amount;

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9. In the backdrop of the facts, the appellant posed the issue of jurisdiction to institute the departmental proceedings against him after his superannuation by the Corporation in absence of having any provisions in the 1992 Regulations. It was said, he was neither placed under suspension, nor any enquiry was pending against at the time of superannuation. On the contrary, it was the case of the Corporation that in terms of Rule 110³ of the 1992 Regulations, in cases for which specific provision has not been made, the Corporation can proceed under Rule 27⁴ of 1982 Pension Rules. By impugned judgment, the High Court accepted the contention of the Corporation and said that though there is no specific provision in the 1992 Regulations for institution of the departmental proceedings post superannuation, however, instituting proceedings against the retired employee, with the aid of Rule 27 of the 1982 Pension Rules can be done in terms of Rule 110 of 1992 Regulations. On the question of withholding the retiral benefits, since his service was not pensionable, it was concluded, as per Rule 9(37) of 1982 Pension Rules, 'pension' includes 'gratuity' and hence, the Corporation was entitled to withhold only gratuity and no other retiral benefits like provident fund, leave encashment and insurance. Lastly, considering the remedy of appeal in the 1992 Regulations, the High Court refrained to delve into the merit and disposed the writ petition granting liberty to the appellant to challenge the order of the disciplinary authority before the appellate authority. Hence, the present appeal.

ARGUMENTS OF THE APPELLANT AND THE RESPONDENTS

10. Mr. Varun V. Solshe, learned counsel for the appellant submits that the Corporation at the very inception lacked the jurisdiction to institute the departmental proceedings. Rule 110 of the 1992 Regulations deals the contingencies for which a specific provision in the Regulations has not been made. It is in the nature of residuary clause (or mere a referral clause), which equips the Corporation to regulate the matters as far as possible alike retired 'employees' of Government of Maharashtra. It does not confer jurisdiction to make out a new case for carrying out departmental enquiry against retired employees of the corporation.

3 Application of Rules, Regulations, and Orders of the Government of Maharashtra.

4 Right of Government to withhold or withdraw pension.

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11. It is further submitted that, the Rule 27 of the 1982 Pension Rules does not come to the aid, for the reason that as per clause (b), if departmental proceedings had not been instituted while the government servant was in service before his retirement, or during his re-employment, it could not have been instituted without the sanction of the Government, which was not secured at appropriate level.
12. *Per contra*, Mr. Ravindra Keshavrao Adsure, learned counsel for the respondent, submitted that in compliance of the order passed by the High Court, an amount of Rs. 1,89,548/- qua other retiral benefits except gratuity was already returned to the appellant *vide* cheque dated 22.02.2021, which was accepted by the appellant. In this view, estoppel is operative against him to challenge the order of the High Court.
13. On the issue of jurisdiction to institute the departmental enquiry, it is urged that such objection was never raised before the Corporation or at any stage of enquiry or proceedings. Further, Rule 110 of the 1992 Regulations in specific terms stipulate, all matters for which no specific provision has been provided, they shall be regulated as far as possible in the same manner as in the case of the employees of the Government of Maharashtra. The 1982 Pension Rules are applicable to the employees of Government of Maharashtra and as per Rule 27, the Corporation has the right alike Government to withhold or withdraw the pension of an employee for the financial loss caused to the Corporation during his tenure.
14. Insofar as requirement of prior sanction of the State Government as contemplated under Rule 27(2)(b)(i) of 1982 Pension Rules for instituting departmental proceedings is concerned, it is said, 1992 Regulations were drafted by the Corporation and sent to the State Government *vide* letter dated 04.03.1990 for approval. The State Government had granted approval to the same *vide* letter dated 31.03.1990, whereafter the Regulations were published in the Maharashtra State Gazette Part-IVC dated 02.01.1992. Therefore, once the State Government had granted approval then it shall include sanction for exercising power under Rule 27 of the 1982 Pension Rules.

APPRECIATION OF ARGUMENTS

15. Learned counsel for the parties are heard at length and records are perused. The question that falls for our consideration is '*whether in*

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absence of any provision in the 1992 Regulations for institution of departmental proceedings against a superannuated employee, the Corporation could have proceeded against the appellant applying Rule 27(1)(2)(b)(i) of the 1982 Pension Rules? In case enquiry is instituted after retirement of appellant, whether the Corporation had the jurisdiction to continue such enquiry and impose punishment, withholding the retiral benefits and direct recovery?’

16. Since both the questions are inter-linked, they are taken up together for discussion and answered simultaneously. Before adverting to the submissions of parties, it is necessary to refer the relevant Regulations, which are reproduced as thus:-

Rule 110 of 1992 Regulations –

“Application of Rules, Regulations, and Orders of the Government of Maharashtra – All matters for which specific provisions have not been made in these Regulations shall, as far as possible and to such extent as may be considered as appropriate by the Corporation, be regulated in the same manner as in the case of employees of the Government of Maharashtra.”

A bare perusal of above, it reveals, in all such cases for which there is no specific provision contained in the Regulations, the Corporation as far as possible and to such an extent, as may be considered appropriate by it, regulate such cases in the same manner as in the case of employees of the Government of Maharashtra. In other words, it is in the nature of miscellaneous provision, incorporated in the Regulations with an intent to cover such cases on which the Regulations are silent. If Corporation considers it appropriate to adopt and to apply the Service Rules as applicable to the employees of Government of Maharashtra, they are at liberty to do so.

17. Rule 27 of the 1982 Pension Rules –

27. Right of Government to withhold or withdraw pension

(1) Government may, by order in writing, withhold or withdraw a pension or any part of it, whether permanently or for a specified period, and also order the recovery from such pension, the whole or part of any pecuniary loss caused to Government, if, in any departmental or

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judicial proceedings, the pensioner is found guilty of grave misconduct or negligence during the period of his service including service rendered upon re-employment after retirement:

Provided that the Maharashtra Public Service Commission shall be consulted before any final orders are passed in respect of officers holding posts within their purview:

Provided further that where a part of pension is withheld or withdrawn, the amount of remaining pension shall not be reduced below the minimum fixed by Government.

(2) (a) The departmental proceedings referred to in sub-rule (1), if instituted while the Government servant was in service whether before his retirement or during his re-employment, shall, after the final retirement of the Government servant, be deemed to be proceedings under this rule and shall be continued and concluded by the authority by which they were commenced in the same manner as if the Government servant had continued in service.

(b) The departmental proceedings, if not instituted while the Government servant was in service, whether before his retirement or during his re-employment –

(i) shall not be instituted save with the sanction of the Government,

(ii) shall not be in respect of any event which took place more than four years before such institution, and

(iii) shall be conducted by such authority and at such place as the Government may direct and in accordance with the procedure applicable to the departmental proceedings in which an order of dismissal from service could be made in relation to the Government servant during his service.

(3) No judicial proceedings, if not instituted while the Government servant was in service, whether before his retirement or during his re-employment, shall be instituted in respect of a cause of action which arose or in respect of an event which took place, more than four years before such institution.

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(4) In the case of a Government servant who has retired on attaining the age of Superannuation or otherwise and against whom any departmental or judicial proceedings are instituted or where departmental proceedings are continued under sub-rule (2), a provisional pension as provided in rule 130 shall be sanctioned.

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On reading of the above, it is luculent that the Government has the right to withhold or withdraw the pension or any part thereof for a limited period or for the period as it deemed fit or recover the loss, if any, on account of grave misconduct or negligence of the pensioner during his employment or upon re-employment after retirement, after consultation with the Public Service Commission. While doing so, in case of withholding or withdrawing the pension, remaining pension shall not be reduced to the threshold fixed by the Government.

18. In case the departmental proceedings have not been instituted while government servant was in service or before his retirement or during his re-employment, and the Government wishes to institute the proceedings, it may be instituted with the sanction of the Government. It is also made clear that the institution of any proceeding after retirement can be for a cause which took place within four years prior to the institution. Similarly, if the proceedings are already instituted, but have not culminated, they can be continued in the same pace and manner as specified in Rule 27(1). After institution of the proceedings, if the government servant attains the age of superannuation and the proceedings are continued under sub-rule (2), a provisional pension as provided in Rule 130 shall be sanctioned.
19. On appreciation of Rule 27(b), it can safely be observed that in cases where the departmental proceedings were instituted post-retirement without obtaining sanction of the government till culmination as specified in the rules and simultaneously if the cause of action of such proceedings arose prior to four years of date of institution, such proceedings could not have been instituted or continued. Therefore, the provision is benevolent in nature, as it regulates the State's discretion to institute or continue departmental proceedings.
20. As referred above, in particular Rule 110, which appears to be a miscellaneous provision and residuary in nature. The adoption of 1982

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Pension Rules in Rule 110 of 1992 Regulations is limited, when there is no specific provision and if the Corporation considers it appropriate to apply 1982 Pensions Rules, the same can be made applicable for the purpose of regulation of the employees of the Corporation alike the employees of the Government of Maharashtra. Therefore, 1982 Pension Rules do not have ipso facto application until they have been either adopted or applied by a conscious decision taken at appropriate level.

21. On appreciation of the facts of the present case, it is undisputed that the appellant stood retired on 31.08.2008. The first show cause notice dated 18.08.2009 was served on him approximately after 11 months from the date of his superannuation asking explanation with respect to the financial losses occurred during his tenure as Centre Head. It is the specific case of the appellant that the Corporation lacks jurisdiction to institute the departmental proceedings against him in absence of any provision in 1992 Regulations. *Per contra*, the Corporation has tried to make out a case on the anvil of Rule 110, laying much emphasis on the fact that it empowers the Corporation to deal with the employees of the Corporation alike the cases of employees of Government of Maharashtra in absence of any specific provision. Therefore, the case of the appellant ought to be dealt under 1982 Pension Rules, and accordingly punishment order was passed against him, directing recovery.
22. In such factual backdrop, when the matter posted for hearing on 11.11.2025, certain queries cropped up and in the proceedings, a detailed order was passed, which is reproduced as thus:-

“1. During hearing, learned counsel for the petitioner referring to Clause 110 of the Maharashtra State Warehousing Corporation (Staff) Service Regulations (For short, the ‘Regulations’) contended that applicability of the Rules, Regulations and orders of the Government of Maharashtra is not ipso facto. The said fact finds support from the Maharashtra Civil Services (Pension) Rules, 1982 (for short, the ‘Pension Rules’) which are made applicable against him in particular clause 27(1)(2)(b)(i) of the Pension Rules. It is further contended by him that by way of implication of Rules 27(4), those Rules would be applicable to those employees who are getting pension.

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In such circumstances, the interpretation as made by the High Court is not justified.

2. Per contra, learned counsel for the respondent referring to the findings as recorded by the High Court submits that the Pension Rules have rightly been made applicable in the facts of the case.

3. After hearing for some time, it is put forth to the respondent that in furtherance to Clause 110 of the Regulations, any decision has been taken by the Corporation indicating the applicability of the Pension Rules and, in particular, to initiate and continue the departmental enquiry which was not absolute under the Pension Rules and is subject to approval by the Government.

4. Learned counsel for the respondent prays for and is granted a week's time to ascertain the said fact and to revert on the same.

5. List on 18.11.2025 immediately after the fresh miscellaneous matters.”

23. In reply, the Corporation filed additional affidavit dated 15.11.2025, stating as thus:-

“7. With regard to two queries specifically raised by this Hon'ble Court at the time of hearing on 11.11.2025, I submit on the basis of record available with MSWC as under:-

a. Regulation 110 of Maharashtra State Warehousing Corporation (Staff) Service Regulations, 1992 contemplates that all matters, for which specific provisions have not been made under those Regulations of 1992, shall as far as possible and to such an extent as may be considered appropriate by the Corporation, be regulated in the same manner as in the case of employees of Government of Maharashtra by various Rules, Regulations, Orders of Government of Maharashtra.

Perusal of MSWC's record so far, though show that there is no specific order, circular, either at the instance of MD and/or Board of Directors of MSWC for adoption and applicability of Rule 27 of MCS (Pension) Rules, 1982,

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but with utmost respect and accountability, it is submitted that wording in Regulation 110 does not contemplate any specific Order/Circular for adoption and applicability of Rule 27 of MCS (Pension) Rules, 1982. But admittedly, MSWC all along has been consistently resorting to, applying and adopting Rule 27 of MCS (Pension) Rules, 1982 while taking action against delinquent employee who has retired.

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b. Further, with regard to issue of sanction of the State Government before instituting enquiry as contemplated under Rule 27(2)(b)(i) of MCS (Pension) Rules, 1982, it is submitted that

(i) Regulations were drafted by MSWC and vide letter dated 04.03.1990 sent to State Government for approval.

(ii) State Government (Cooperation & Textile Department) vide letter dated 31.03.1990 granted approval.

(iii) Thereafter in Maharashtra Government Gazette Part IVC (Page 29) dated 02.01.1992, those Regulations were published.

(iv) Then, Jt. MD vide Circular dated 10.07.1992 circulated those Regulations for the knowledge of all the Officers and Officers of MSWC.

(v) Thus, admittedly these Regulations came into force w.e.f. 02.01.1992 i.e., the date of publication in Government Gazette.

Thus, once State Government has granted approval on 31.03.1990 to entire Regulations; inclusive of Regulation 110 then, it clearly means that for exercising power under Rule 27(2)(b) of MCS (Pension) Rules, 1982, State Government has already granted general sanction on 31.03.1990 itself and more particularly when those Regulations were published in Maharashtra Government Gazette on 02.01.1992.

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24. The perusal of the averments of additional affidavit, two things are patently clear; *first*, that no resolution or order was passed by the Corporation adopting or applying the 1982 Pension Rules to the employees of the Corporation and the entire exercise was being carried out based on general practice; *second*, even if it is assumed that Rule 27(2)(b) was applicable in the case of appellant, no document has been brought on record to show that mandate of sanction as provided in the said sub rule was complied with.
25. In reference to the above fact guidance can be taken from a judgment of '**Girijan Cooperative Corporation Limited Andhra Pradesh Vs. K. Satyanarayana Rao**'⁷⁵, wherein the issue arose regarding a case of alleged financial irregularities with respect to year 1992-93, for which disciplinary proceeding were initiated against the delinquent employees in year 1999, i.e., one year prior to their retirement in year 2000. The proceedings were continued after the retirement based on the circular dated 29.08.1998, whereby the Cooperative Corporation in its Board's resolution for adoption of the 'Andhra Pradesh Civil Service Rules' and 'Andhra Pradesh Fundamental Rules' to its employees whenever the GCC service rules of employees are silent, conferred power to the MD to adopt the same. This Court while interpreting the circular, opined that indeed MD had the power to adopt, but no such adoption had been brought to the notice of the Court, therefore, continuance of the enquiry/departmental proceedings were not found to be valid.
26. It is pertinent to note that, in the present case, in furtherance to Rule 110 of 1992 Regulations, no board decision/order/notification adopting 1982 Pension Rules in *toto* for the employees of the Corporation has been brought on record. Rule 110 is general in nature and where specific provisions have not been made in the said Regulations, then in the contingency, as far as possible and to such extent as may be considered appropriate by Corporation, the cases may be regulated in the manner as in the case of government employees. In the context of the provision of Rule 27, as discussed, it cannot be made applicable *ipso facto* until the Board of Directors has taken a conscious decision specifying the circumstances and making similar benevolent provision as made in 1982 Pension Rules;

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or having sanction of the Government as required under Rule 27(2)(b)(i) for instituting or continuing the proceedings in the contingency as specified applying the Regulations.

27. Further, the clarification given by the Corporation in its additional affidavit regarding sanction that once the 1992 Regulations were granted approval by the State Government *vide* letter dated 31.03.1990, 'general sanction' was accorded for instituting departmental proceedings under Rule 27(2)(b)(i) of the 1982 Pension Rules, is devoid of any discernable logic. The usage of the word 'shall' in Rule 27(2)(b)(i) implies that the requirement of sanction from the Government prior to institution of departmental enquiry is mandatory in nature for each case. Such mandatory safeguard is intended to prevent institution of unwarranted proceedings against the superannuated employees. Therefore, such mandate cannot be diluted or by-passed by the Corporation under the pretext of general sanction or general practice, hence, stand as taken and the argument put forth by respondents are repelled.
28. At this juncture, it is apposite to refer the judgment in '**Bhagirathi Jena Vs. Board of Directors, O.S.F.C. and Others**'⁶, wherein this Court while dealing the issue of initiation of departmental enquiry, in absence of specific provision and its continuance after retirement, had observed as thus:-

"7. In view of the absence of such a provision in the abovesaid regulations, it must be held that the Corporation had no legal authority to make any reduction in the retiral benefits of the appellant. There is also no provision for conducting a disciplinary enquiry after retirement of the appellant and nor any provision stating that in case misconduct is established, a deduction could be made from retiral benefits. Once the appellant had retired from service on 30-6-1995, there was no authority vested in the Corporation for continuing the departmental enquiry even for the purpose of imposing any reduction in the retiral benefits payable to the appellant. In the absence of such an authority, it must be held that the enquiry had lapsed and the appellant was entitled to full retiral benefits on retirement."

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29. In '**Anant R. Kulkarni Vs. Y.P. Education Society and Others**'⁷, this Court *inter-alia* dealing with a similar question as to under what circumstances enquiry can be conducted against the delinquent employee who has retired on reaching the age of superannuation, observed as thus:-
30. After analyzing Rule 110 of 1992 Regulations and Rule 27 of 1982 Pension Rules and also considering the averments made in additional affidavit filed as directed on 11.11.2025, the Corporation was unable to produce a conscious decision of the Board regarding adoption of Pension Rules and the circumstances explaining the situation to apply the same rules as applicable to the employees of the Government of Maharashtra to the employees of the Corporation in the matter of institution and continuance of the disciplinary proceedings post retirement. In light of the above discussions and in view of the judgments referred hereinabove, the irresistible conclusion can be drawn that the Corporation had no jurisdiction to institute the departmental proceedings against the appellant for the alleged misconduct and to direct recovery against him applying 1982 Pension Rules. As such the questions as posed hereinabove are answered in favour of the appellant against the Corporation.
31. Accordingly, the present appeal is allowed and the impugned order passed by the High Court is set-aside. The impugned departmental proceedings against the appellant are also hereby quashed, and the Corporation is directed to release all the retiral benefits to the appellant within a period of eight weeks. The recovery, if any, made from the appellant in the interregnum, shall also be refunded within the period as specified.
32. Pending application(s), if any, shall stand disposed-of.

Result of the case: Appeal allowed.

⁷Headnotes prepared by: Ankit Gyan

**Golden Food Products India
v.
State of Uttar Pradesh & Others**

(Civil Appeal No(s). 56-57 of 2026)

06 January 2026

[B.V. Nagarathna* and R. Mahadevan, JJ.]

Issue for Consideration

The authority conducting the auction expected a higher bid than what the highest bidder had bid, whether it can be a reason to discard the highest bid.

Headnotes[†]

Auction – Ghaziabad Development Authority (GDA)-respondent no.2 herein had advertised the allotment of various plots through an auction – On 15.03.2024, an open auction was conducted in which the reserve price of the subject plot was fixed at Rs.25,600/- per sq. mtr. – The appellant submitted a bid of Rs.29,500/- per sq. mtr., which was the highest, and was thus declared the highest bidder – However, later respondent found that the GDA–respondent no.2 had cancelled the allotment – Thereafter, on 22.05.2024, the GDA-respondent no.2 officially notified the appellant that they had cancelled their financial bid and announced that a fresh auction would take place for the plot – Since it noticed that “similar properties” in the same scheme had received substantially higher prices than offered by the appellant – Writ petition filed by the appellant before the High Court was dismissed – The High Court held that the appellant cannot claim an “indefeasible right” to insist upon the execution of a sale deed in its favour – Later, appellant filed another writ petition, which was also dismissed – Correctness:

Held: An auction process has a sanctity attached to it and only for valid reasons that the highest bid can be discarded in an auction which is otherwise held in accordance with law – If a valid bid has been made which is above the reserve price, there should be a rationale or reason for not accepting it – Therefore, the decision to discard the highest bid must have a nexus to the rationale or the reason – Merely because the authority conducting the auction expected a higher bid than what the highest bidder had bid cannot

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be a reason to discard the highest bid – In the instant case, no other party had placed a bid higher than the appellant herein – There was no infirmity in the conduct of the auction – No other party had complained about the process of auction conducted by the GDA-respondent no.2 – The bid offered by the appellant herein was the highest and above the reserve price – In the circumstances, the said bid ought to have been accepted by GDA-respondent no.2 rather than cancelling the same without notice to the appellant herein – Hence, the cancellation of the bid submitted by the appellant herein is quashed – The impugned orders of the High Court dated 24.05.2024 and 15.07.2024 passed in the respective writ petitions are set-aside – The appellant is directed to re-deposit the earnest money – After the re-deposit of the earnest money, the GDA-respondent no.2 shall make an order of allotment of the subject plot in favour of the appellant herein and take all consequential steps for concluding the auction process in favour of the appellant herein. [Para 33]

Case Law Cited

Eva Agro Feeds (P) Ltd. v. Punjab National Bank [2023] 13 SCR 861 : (2023) 10 SCC 189; *Tata Motors Ltd. v. Brihan Mumbai Electric Supply & Transport Undertaking* [2023] 6 SCR 695 : (2023) 19 SCC 1; *K. Kumara Gupta v. Sri Markendaya & Sri Omkareswara Swamy Temple* [2022] 8 SCR 968 : (2022) 5 SCC 710; *Haryana Urban Development Authority v. Orchid Infrastructure Developers (P) Ltd.* [2017] 1 SCR 847 : (2017) 4 SCC 243; *Rajasthan Housing Board v. G.S. Investments* [2006] Supp. 7 SCR 868 : (2007) 1 SCC 477; *State of Orissa v. Harinarayan Jaiswal* [1972] 3 SCR 784 : (1972) 2 SCC 36; *Uttar Pradesh Avas Evam Vikas Parishad v. Om Prakash Sharma* [2013] 6 SCR 199 : (2013) 5 SCC 182; *Meerut Development Authority v. Association of Management Studies* [2009] 6 SCR 663 : (2009) 6 SCC 171; *Indore Vikas Praadhikaran (IDA) v. Shri Humud Jain Samaj Trust*, 2024 SCC OnLine SC 3511; *M.P. Power Management Company Limited v. Sky Power Southeast Solar India (Private) Limited* [2022] 5 SCR 1 : (2023) 2 SCC 703; *Nagar Nigam, Meerut v. Al Faheem Meat Exports (P) Ltd.* [2006] Supp. 10 SCR 354 : (2006) 13 SCC 382; *Subodh Kumar Singh Rathour v. Kolkata Metropolitan Development Authority* [2024] 7 SCR 532 : (2024) 15 SCC 461 – referred to.

List of Acts

Constitution of India.

Golden Food Products India v. State of Uttar Pradesh & Others**List of Keywords**

Auction; Sanctity of Auctions; Bid; Cancellation of bid; Revenue Maximization; Indefeasible Right; Doctrine of Non-Arbitrariness; Reserve Price; Irrelevant Considerations; Reasoned Order; Plot Size Disparity; Earnest Money Deposit; Madhuban Bapudham Yojana.

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No(s). 56-57 of 2026

From the Judgment and Order dated 15.07.2024 and 24.05.2024 of the High Court of Judicature at Allahabad in WC Nos. 20059 and 17883 of 2024, respectively

Appearances for Parties

Advs. for the Appellant(s):

Vipin Sanghi, Sr. Adv., Siddharth Praveen Acharya, Aditya Bhati, Lakshay Sharma, Bhuvnesh Vyas.

Advs. for the Respondent(s):

Malak Manish Bhatt, Ms. Sukanya Joshi.

Judgment / Order of the Supreme Court**Judgment**

Nagarathna, J.

Leave granted.

2. The present appeals have been filed against the following impugned final orders passed by the Allahabad High Court:
 - a) Final order dated 24.05.2024 passed in Writ C No.17883/2024 (for short, “Impugned Order No.1”); and
 - b) Final order dated 15.07.2024 passed in Writ C No.20059/2024 (for short, “Impugned Order No.2”),
whereby the High Court dismissed the aforesaid writ petitions.
3. In brief, the facts of the case are that the Ghaziabad Development Authority (“GDA”) – respondent No.2 herein had advertised the

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allotment of various plots through an auction dated 25.08.2023, including an industrial plot bearing Plot No.26, Madhuban Bapudham Yojana, Ghaziabad, measuring an area of 3150 square metres (“the plot”, in question). The auction was conducted through a two-bid system – a ‘technical bid’ and a ‘financial bid’.

4. On 02.02.2024, the appellant submitted separate technical and financial bids. In the financial bid, the appellant submitted an offer of Rs.25,920/- per square metre, and deposited a demand draft of Rs.80,64,000/- as earnest money. On 14.03.2024, the GDA - respondent No.2 notified the appellant that their technical bid had been approved. Subsequently, on 15.03.2024, an open auction was conducted in which the reserve price of the plot was fixed at Rs.25,600/- per square metre. There were only two bidders in the auction, including the appellant. The appellant submitted a bid of Rs.29,500/- per square metre, which was the highest, and was thus declared the highest bidder.
5. Thereafter, on 25.04.2024, the appellant preferred a representation addressed to the Vice-Chairman of the GDA - respondent No.2, requesting issuance of an allotment letter for the said plot. On not receiving any reply, the appellant filed an RTI Application bearing Diary No.33697/RTI/2024, asking GDA - respondent No.2 to furnish internal note sheets and memos of the appellant’s bid. However, upon going to the office of GDA - respondent No.2 to inspect the same, they found that the GDA - respondent No.2 had cancelled the allotment. Thereafter, on 22.05.2024, the GDA - respondent No.2 officially notified the appellant that they had cancelled their financial bid and announced that a fresh auction would take place for the plot.
6. According to the GDA - respondent No.2, upon comparing the price received for the plot in question with the prices received for “similar properties” under the Madhuban Bapudham Yojana in the financial year 2023-24, it found that the following prices were received:

Type of Property	Area (in square metre)	Reserve Price (per square metre)	Date of Sale	Selling Price (per square metre)
Industrial Plot	131.90	Rs.25,600/-	25.08.2023	Rs.83,500/-
Industrial Plot	123.83	Rs.25,600/-	25.08.2023	Rs.82,000/-
Industrial Plot	123.92	Rs.25,600/-	25.08.2023	Rs.82,000/-
Industrial Plot	132.20	Rs.25,600/-	25.08.2023	Rs.1,21,000 /-

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7. Therefore, since it noticed that “similar properties” in the same scheme had received substantially higher prices than offered by the appellant in its bid, the auction committee recommended cancelling the appellant’s bid in order to conduct a fresh auction. This decision was approved by the Vice-Chairman of GDA - respondent No.2. Following this, the appellant was notified of the decision and its earnest money deposit was refunded.
8. Aggrieved, the appellant approached the Allahabad High Court through Writ C No.17883/2024, seeking a writ of mandamus directing the GDA - respondent No.2 to issue an allotment letter in favour of the appellant and also execute a sale deed with respect to the plot. By Impugned Order No.1 dated 24.05.2024, the High Court dismissed the Writ Petition, taking on record the submission of the GDA - respondent No.2 that the appellant’s financial bid was lower than the bids for other plots in the same scheme and holding that the appellant cannot claim an “indefeasible right” to insist upon the execution of a sale deed in its favour.
9. The appellant again approached the High Court through Writ C No.20059/2024, seeking that the letter dated 22.05.2024, by which the GDA - respondent No.2 informed them of the non-acceptance of their financial bid, be quashed. In addition, the appellant sought directions to issue an allotment letter in its favour, as well as execute a sale deed in respect of the plot. By Impugned Order No.2 dated 15.07.2024, the High Court held that in the absence of a challenge to its order dated 24.05.2024, the same had attained finality as the appellant had not preferred any modification or review of the same. In addition, letter dated 22.05.2024 was sent prior to the order dated 24.05.2024 and leave was granted to the appellant to participate in a fresh auction conducted by the GDA - respondent No.2. Therefore, the said Writ Petition was deemed to be misconceived and hence dismissed. Aggrieved, the appellant preferred SLP (C) Nos.18095-18096 of 2024, before this Court, challenging Impugned Order Nos.1 and 2, which have been converted into the Civil Appeals that arise for our consideration.

Submissions:

10. We have heard learned senior counsel Sri Sanghi for the appellant and learned counsel for the respondents. We have perused the material on record.

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11. Learned senior counsel for the appellant Sri Sanghi submitted that the respondents arbitrarily cancelled the appellant's bid on the ground that the quoted rate was allegedly lower than the rates fetched for smaller plots of different dimensions in the same scheme. However, this ground was not mentioned in the auction brochure and was only disclosed after the appellant filed multiple RTI applications. The RTI replies reveal that the appellant's technical bid was valid and that his price bid was the highest. The decision to cancel the bid for "low rates compared to smaller plots" was an extraneous and arbitrary consideration.
12. The appellant also submitted that the replies to his RTI applications establish that he had complied with all tender conditions and had validly deposited the required earnest money. The cancellation of the appellant's bid amounts to rewriting the tender after the bids were opened, which is not permitted in law. It is contrary to Article 14 of the Constitution of India as it is arbitrary, for a statutory authority to cancel a valid bid on grounds that were not mentioned in the auction brochure. That comparing the appellant's bid with dissimilar plots (which were smaller) amounts to imposing new tender conditions after the auction. Our attention was drawn to the decision of this Court in ***Eva Agro Feeds (P) Ltd. vs. Punjab National Bank, (2023) 10 SCC 189 ("Eva Agro Feeds")*** in which a two-judge bench of this Court (B.V. Nagarathna and Ujjal Bhuyan, JJ.) held that *"...mere expectation of the Liquidator that a still higher price may be obtained can be no good ground to cancel an otherwise valid auction and go for another round of auction. Such a cause of action would not only lead to incurring of avoidable expenses but also erode the credibility of the auction process itself"*. The appellant submitted that this principle applies in the present case, where the auction was cancelled arbitrarily because of a ground that was not provided in the brochure.
13. The RTI responses show that an adjacent plot of the same scheme was allotted without any benchmarking against smaller plots. Further, they show that the GDA - respondent No.2 allotted several plots above 2000 square metres at prices only marginally above the reserve price. In contrast, the appellant's bid was a full 15.23% above the reserve price (Rs.29,500/- as against Rs.25,600/-). Therefore, the respondent's treatment of the appellant was inconsistent, selective and arbitrary.

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14. The appellant further submitted that the High Court, in its impugned orders, failed to appreciate the difference between an ‘indefeasible right to allotment’, and the ‘right to fair and non-arbitrary treatment’. In the present case, the respondents cancelled the allotment without a show-cause notice or hearing, which violates the principles of natural justice. It was contended that simply returning the earnest money deposited cannot legitimise an arbitrary cancellation.
15. *Per contra*, learned counsel for the respondents submitted that participation in a tender or auction does not confer any vested/enforceable right to obtain the bid. Unless the auctioning authority accepts the bid and communicates the same, the highest bid is only an offer, which is revocable at the authority’s discretion. In this case, no letter of acceptance or allotment was ever issued to the appellant. On the contrary, the earnest money deposit was returned, thereby extinguishing any semblance of a contractual relationship. The appellant cannot compel the execution of a sale deed. The reasons for cancellation were also communicated, which means that the decision was not arbitrary.
16. Further, the respondents also submitted that judicial review in matters pertaining to tender processes is limited. In this regard, our attention was drawn to the decision of a three-Judge Bench of this Court in ***Tata Motors Ltd. vs. Brihan Mumbai Electric Supply & Transport Undertaking, (2023) 19 SCC 1***, wherein it was observed that “*courts should not use a magnifying glass while scanning the tenders and make every small mistake appear like a big blunder. In fact, the courts must give “fair play in the joints” to the government and public sector undertakings in matters of contract*”.
17. It was submitted that following from this principle, the respondent’s decision to cancel the action was based on objective considerations (the prevailing market rates and the need for safeguarding public revenue). Comparable plots in subsequent auctions had obtained significantly higher prices and therefore the decision to re-auction the plot in question was a measure intended to maximise public benefit.
18. It was further submitted that the tender document expressly stated that the decision of the Vice-Chairman/Authority in matters of allotment are final and binding. Therefore, the cancellation in the present case was not without authority and was within the scope of the tender conditions made available to the appellant.

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Points for Consideration:

- a) Whether the High Court was right in dismissing the writ petitions filed by the appellant herein?
 - b) What Order?
19. The undisputed facts of the case are that the GDA - respondent No.2 had advertised the allotment of various plots through an auction dated 25.08.2023. The appellant's technical bid as well as the financial bid were accepted on 14.03.2024 and on 15.03.2024, respectively. The reserve price fixed for the subject plot measuring 3150 square metres was Rs.25,600/- per square metre and the appellant had bid Rs.29,500/- per square metre which was the highest bid and therefore the appellant was declared the highest bidder. In fact, there were only two bidders in the auction including the appellant. Since no further steps were taken by the GDA - respondent No.2 in the matter of issuance of allotment letter to the appellant herein, steps were taken to ascertain about the same. The appellant became aware that the GDA - respondent No.2 had cancelled the allotment and had notified the appellant about the cancellation only on 22.05.2024. This was done without any prior intimation to the appellant. The reason for cancellation according to GDA - respondent No.2 was owing to the low bid which was made by the appellant herein although it was higher than the reserve price. The High Court has accepted the said contention of GDA - respondent No.2 and has accordingly dismissed the writ petitions filed by the appellant herein.
20. We have considered the arguments advanced at the Bar, in light of the facts of this case and the judgments of this Court relied upon by the learned counsel for the respective parties.
21. In ***K. Kumara Gupta vs. Sri Markendaya & Sri Omkareswara Swamy Temple, (2022) 5 SCC 710***, it was observed by this Court that unless and until it was found that there was any material irregularity and/or illegality in holding the public auction and/or the auction was vitiated by any fraud or collusion, it is not open to set aside the auction or sale in favour of the highest bidder on the basis of some representation made by a third party who did not even participate even in the auction proceedings and did not make any offer. If there is repeated interference in the auction process, the object and purpose

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of holding public auction and its sanctity would be frustrated. That unless there are allegations of fraud, collusion, etc., the highest offer received in the public offer should be accepted as a fair value. Otherwise, there shall not be any sanctity of any public auction.

22. In *Eva Agro Feeds*, it was observed that the mere expectation of the liquidator (in the said case) which could also mean the auction seller that, a still higher price may be obtained can be no good ground to cancel an otherwise valid auction and go in for another round of auction. Such a course of action would not only lead to incurring of avoidable expenses but also erode credibility of the auction process itself. Thus, the auctioning authority must adhere to the rule of law and an auction cannot be cancelled arbitrarily.
23. In the present case, the main contention of learned senior counsel for the appellant was that in an arbitrary manner, GDA - respondent No.2 cancelled the appellant's bid on the ground that it was lower than the rates fetched for smaller plots of different dimensions of the same Scheme. That the technical bid of the appellant was accepted and the price quoted by the appellant was Rs.29,500/- per square metre which was higher than Rs.25,600/- per square metre which was the reserve price. The appellant's financial bid was also accepted. Therefore, the decision to subsequently cancel the financial bid of the appellant owing to "a low rate" quoted by the appellant as compared to the "other smaller plots" is an arbitrary and extraneous reason. That once the auction has been held in accordance with law and there had been no fraud, collusion or any other infirmity in the holding of the auction and the earnest money has been validly deposited, there could not have been any subsequent cancellation of the bid. In the instant case, merely because a higher rate could have been achieved then what was accepted and declared by the auctioning authority could not be the reason for setting aside the auction itself. That the price quoted by the appellant herein was 15.23% above the reserve price. Further, without any issuance of the notice to the appellant herein, the financial bid had been cancelled. Returning of the earnest money deposited by the appellant herein would not legitimize an arbitrary cancellation. Hence, it was contended that the impugned orders of the High Court may be set aside and a direction may be issued to the respondents herein to issue a letter of allotment of the subject plot in the name of the appellant herein.

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24. In order to justify the cancellation, learned counsel for GDA - respondent No.2 contended that the bid made by the appellant was low as compared to bids received in respect of "smaller plots" on the very same date. Therefore, the discretion was rightly exercised by GDA - respondent No.2 to cancel the financial bid of the appellant and return the earnest money.
25. As already noted, Rs.25,600/- per square metre was the reserve price fixed for the subject plot measuring 3150 square metres which is a larger area compared to other smaller plots which also carried the same reserve price. Ordinarily when large areas of industrial land are auctioned, the overall price would be separately assessed as compared to the smaller plots. This is because insofar as the industrial plots are concerned, most of the applicants seek allotment of smaller plots and the demand for larger plots would be scarce. Since the GDA- respondent No.2 intended to auction an area of 3150 square metres as one plot which is a large plot, the reserve price was also fixed at Rs.25,600/- per square metre. As noted above, that can be compared to the reserve price fixed for the smaller plots of land which was also Rs.25,600/-. Intentionally, an identical reserve price was fixed owing to a lower demand for a larger plot. Otherwise, a higher reserve price could have been fixed by the GDA – respondent No.2 for the subject plot. Merely because the area of plot in the instant case was 3150 square metres and it was a larger plot, the reserve price could not have been higher. Therefore, the reserve price fixed for the smaller plot as well as what has been fixed for the subject plot was uniform i.e. Rs.25,600/- per square metre. Therefore, there has been a uniformity in the fixing of the reserve price insofar as the subject plot as well as the smaller plot is concerned, as is evident from the table extracted above which are all under the very same Madhuban Bapudham Yojna in the financial year 2023-24.
26. In the instant case, the date of auction of the subject plot was 25.08.2023 which was the very same date on which the other smaller plots were auctioned. Merely because the selling price or the financial bids made by the parties *vis-à-vis* the smaller plots were concerned was higher per square metre cannot be a reason to also expect a very high price or a similar price insofar as the subject plot measuring 3150 square metres is concerned. After all, from the table reproduced above, it is evident that the smaller plots were measuring between 123.83 square metres to 132.20 square metres only whereas in the

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instant case the subject plot is a large area of 3150 square metres. The subject plot cannot be compared with the smaller plots auctioned on that very day. There were only two parties who made their bids in respect of the subject plot and the appellant herein was the highest bidder. This fact also demonstrates that there were no bidders for the said extent of plot as there was no demand for the same unlike a demand for smaller plots. GDA - respondent No.2 could not have therefore expected to receive a similar rate of bid per square metre *vis-à-vis* a smaller plot insofar as the subject plot is concerned. As already noted, the reserve price in respect of the smaller plot as well as the subject plot was fixed at the same rate. However, as noted above there were only two bidders who bid for the subject plot measuring 3150 square metres. The demand for smaller plots being more as compared to larger plots, naturally the bid amounts were higher for smaller plots. There being lesser demand for the subject plot being 3150 square metres, only two bidders submitted their financial bid and the appellant was declared to be the higher bidder.

27. Further, the amount of Rs.29,500/- per square metre which was bid by the appellant herein was above Rs.25,600/- per square metre being the reserve price. Naturally, the appellant was declared to be the highest bidder. This is in fact a crystallization of the future rights and obligation of the parties. The appellant had a right to receive the allotment letter and GDA - respondent No.2 had a duty to issue the same, particularly in the absence of fraud, collusion or any other reason which could have led to the cancellation of the auction. Thereafter, GDA- respondent No.2 could not have compared the selling price of the smaller plots with the financial bid made by the appellant herein so as to cancel the auction itself. The same was done on an irrelevant consideration. Therefore, it was arbitrary, whimsical and irrational. Hence, the appellant was justified in seeking the reliefs before the High Court. The High Court ought to have considered the case of the appellant in the above perspective and granted relief to the appellant herein by directing GDA - respondent No.2 to pass an order of allotment to the appellant herein. Instead, the High Court has been swayed by the argument of GDA - respondent No.2 to the effect that the bid offered by the appellant herein was on the lower side. The learned senior counsel for the appellant contended that the adjacent plot and the plots above 2000 square metres have been allotted by the GDA - respondent No.2 at prices only marginally above the reserve price whereas in the instant case the appellant had bid a price which

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was 15.23% above the reserve price. The High Court has also been impressed by the argument that the appellant had no vested right as no letter of acceptance of bid was issued to it and the earnest money of Rs.80,64,000/- was returned to the appellant and therefore, there was no right in the appellant to insist upon the allotment of the subject plot. This reasoning is also incorrect and flawed. Having regard to the facts of the present case and the discussion made above, the High Court was not right in dismissing the writ petitions.

28. In our view, there cannot be any imprimatur of the Court to such arbitrary cancellation of auction by an instrumentality or agency of the State in the absence of there being any fraud, collusion, suppression etc. Merely because the smaller plots measuring 123 to 132 square metres were auctioned and sold at a higher price as compared to the subject plot measuring 3150 square metres which is a large sized plot, could not have been the basis for cancelling the auction insofar as the subject plot is concerned. The demand for smaller plots being higher was sold at a higher price per square metre than the subject plot, where there was no demand for the subject plot as only two bidders participated in the auction. The bid of the appellant was above the reserve price. There was no other reason to cancel the auction sale of the subject plot. Therefore, GDA - respondent No.2 was under an obligation in law having accepted the bid offered by the appellant to issue the allotment letter instead of cancelling the auction on the basis of irrelevant considerations that too behind the back of the appellant. Expectation of a higher bid in a subsequent auction cannot be a reason to cancel an auction held in accordance with law.
29. The appellant herein as also all bidders would have made all financial arrangements before making technical and financial bids in an auction. The technical bid of the appellant herein was accepted. There was no reason to decline the financial bid made by the appellant which was the highest bid. The financial bid was also over and above the reserve price. There was no reason attributed to the appellant for cancellation of the auction sale. In the circumstances, the appellant had a legitimate expectation to receive an allotment letter *vis-à-vis* the subject plot as it was the highest bidder. Instead, without any prior notice to the appellant the auction itself was cancelled which constrained the appellant to approach the High Court. The High Court has lost sight of these facts of the matter and has simply dismissed the writ petitions filed by the appellant herein which is not correct.

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30. We could consider the judgments cited at the Bar as under:

- a) In ***Haryana Urban Development Authority vs. Orchid Infrastructure Developers (P) Ltd., (2017) 4 SCC 243***, the contract contained an express clause stating that the presiding officer had the right to reject a bid without offering any reasons. Although twenty-seven bidders participated in the said auction and the reserve price was Rs.106.65 crores and the highest bid was Rs.111.75 crores for 9.527 acres of land in Gurgaon, the bid was cancelled. However, such a clause is conspicuous by its absence in the present case.
- b) In ***Rajasthan Housing Board vs. G.S. Investments, (2007) 1 SCC 477***, owing to a news item published in a newspaper that large scale bungling had taken place in the auction due to which the price fetched for the plots was much below the market rate, a direction was issued by this Court to hold a fresh auction. Such a situation did not arise in the instant case.
- c) In ***State of Orissa vs. Harinarayan Jaiswal, (1972) 2 SCC 36***, there was a direction to hold a re-auction as the power to accept or reject the bid was given to the highest authority in the State and the State Government was of the opinion that the price was inadequate. Possibly, in the facts of the said case, the said direction was issued by this Court.
- d) In ***Uttar Pradesh Avas Evam Vikas Parishad vs. Om Prakash Sharma, (2013) 5 SCC 182***, the reserve price was fixed at Rs.1,80,200/- and the respondent therein offered Rs.1,31,500/- which was much less than the reserve price. Hence, the bid was rightly rejected.
- e) In ***Meerut Development Authority vs. Association of Management Studies, (2009) 6 SCC 171***, the request of the respondent therein for allotment of remaining 20,000 square metres to them as they had acquired 37,000 square metres of land as per the reserve price, was rejected as the price quoted had been lower than the reserve price for the said remaining land and rightly so.
- f) In ***Indore Vikas Praadhikaran (IDA) vs. Shri Humud Jain Samaj Trust, 2024 SCC OnLine SC 3511***, this Court distinguished ***Eva Agro Feeds*** and found that the bid could not be accepted as the tender committee while finalizing the bids noticed that property tax of Rs.1.25 crore in respect of the

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subject land therein was outstanding. On noticing this error, the Board decided to cancel the bid of the respondent therein and decided to issue a fresh notice inviting tenders.

31. The following judgments also require consideration:

- a) In ***M.P. Power Management Company Limited vs. Sky Power Southeast Solar India (Private) Limited, (2023) 2 SCC 703***, the bid of the respondent therein was accepted and it was observed that public interest cannot always be conflated with an evaluation of the monetary gain or loss alone.
- b) In ***Nagar Nigam, Meerut vs. Al Faheem Meat Exports (P) Ltd., (2006) 13 SCC 382***, an advertisement inviting applications for a fresh contract to run a slaughterhouse was sustained. In the said judgment, it was observed that the award of government contracts through public auction or public tender was to ensure transparency in the public procurement, to maximise the economy and efficiency in government procurement, to promote healthy competition among the tenderers and to eliminate irregularities, interference and corrupt practices by the authorities concerned. In rare and exceptional cases, for instance during natural calamities and emergencies declared by the Government; where the procurement is possible from a single source only; where the supplier or contractor has exclusive rights in respect of the goods or services and no reasonable alternative or substitute exists; where the auction was held on several dates but there were no bidders or the bids offered were too low, etc., this normal rule may be departed from and such contracts may be awarded through “private negotiations”. The Government must then have freedom of contract. Some fair play in the joints is a necessary concomitant for an administrative body functioning in an administrative sphere. The plea of the respondent therein seeking permission to modernize the slaughterhouse and therefore, to refrain from issuing an advertisement was negated.
- c) In ***Subodh Kumar Singh Rathour vs. Kolkata Metropolitan Development Authority, (2024) 15 SCC 461***, this Court observed that merely because the rates embodied in a contract with the passage of time have become less appealing, the same cannot become a determinative criterion for either terminating the contract or for the courts to decline interference in such contractual disputes. Public interest cannot be used as a pretext

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to arbitrarily terminate contracts. Merely because the financial terms of a contract are less favourable over a period of time does not justify its termination. It was observed that the mere possibility of fetching a higher license fee was no ground to cancel the tender issued to the appellant therein.

32. An auction process has a sanctity attached to it and only for valid reasons that the highest bid can be discarded in an auction which is otherwise held in accordance with law. If a valid bid has been made which is above the reserve price, there should be a rationale or reason for not accepting it. Therefore, the decision to discard the highest bid must have a nexus to the rationale or the reason. Merely because the authority conducting the auction expected a higher bid than what the highest bidder had bid cannot be a reason to discard the highest bid. In the instant case, no other party had placed a bid higher than the appellant herein. There was no infirmity in the conduct of the auction. No other party had complained about the process of auction conducted by the GDA - respondent No.2. The bid offered by the appellant herein was the highest and above the reserve price. In the circumstances, the said bid ought to have been accepted by GDA - respondent No.2 rather than cancelling the same without notice to the appellant herein. Hence, the cancellation of the bid submitted by the appellant herein is quashed.
33. For the aforesaid reasons, the impugned orders of the High Court dated 24.05.2024 and 15.07.2024 passed in the respective writ petitions are set-aside. The appellant is directed to re-deposit the earnest money preferably within four weeks from today. Within two weeks from the date of the re-deposit of the earnest money, the GDA - respondent No.2 shall make an order of allotment of the subject plot in favour of the appellant herein and take all consequential steps for concluding the auction process in favour of the appellant herein. These appeals are allowed in the aforesaid terms.

Parties to bear their own costs.

Result of the case: Appeals allowed.

Abhay Kumar Patel & Ors.

v.

State of Bihar & Ors.

(Civil Appeal No. 54 of 2026)

06 January 2026

[J.K. Maheshwari* and Vijay Bishnoi, JJ.]

Issue for Consideration

Whether the Bihar Engineering Service Class-II Recruitment (Amendment) Rules, 2022 can be made applicable to the 2019 Advertisements after the written examination has been conducted and the provisional merit list has been published.

Headnotes[†]

Service Law – Appointment/Recruitment/Selection – Bihar Engineering Services Class - II Recruitment Rules, 2019 – The dispute in the present case is with respect to the retrospective application of an amendment to the Bihar Engineering Services Class – II Recruitment Rules, 2019, specifically the introduction of r.8(5), whereby weightage for prior contractual work experience was introduced after the selection process comprising the written examination had initiated and the provisional merit list had already been published – The appellants had preferred the writ petition challenging the retrospective application of the Bihar Engineering Service Class-II Recruitment (Amendment) Rules, 2022 – The High Court dismissed the writ petition – Correctness:

Held: In the present case, the “game” had not only commenced but was at its fag end – The written examinations were held in March 2022 – The results were declared in June/July 2022 – The candidates were called for document verification – At this stage, the selection process had proceeded significantly, and would have concluded with the filling up of vacancies – The issuance of the 2022 Amendment Rules, introducing r.8(5) with retrospective effect from 06.03.2019, attempts to rewrite the rules of the game which has already begun – By reducing the 25 weightage of the written examination to 75 marks and introducing 25 marks for

* Author

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contractual experience, the State has fundamentally altered the basis of selection and changed the ‘eligibility criteria for being placed in the merit list’ which is not permissible – While the State undoubtedly has the power to amend rules under the proviso to Art.309 of the Constitution of India, this power is not unbridled – The power of retrospective legislation cannot be exercised to take away vested rights or to arbitrarily disrupt a selection process that has already resulted in the identification of successful candidates by publication of a provisional merit list – The distinction drawn by the respondents regarding the “provisional” nature of the merit list is untenable – The list was provisional subject to verification of documents, not subject to a fundamental change in the criteria for placement in the merit list itself – The retrospective application of r.8(5) creates an anomaly where candidates who competed under one set of rules are now being judged by another, *ex post facto* – This directly impacts the appellants, who may be pushed down the merit list or ousted entirely by candidates who score lower in the written exam but gain the newly introduced additional marks for contractual service – The finding of the High Court that the amendment was merely a policy decision and could be applied retrospectively to the selection process in vogue is completely erroneous – The retrospective application of r.8(5) of the 2019 Rules, as introduced by the 2022 Amendment Rules, cannot be sustained insofar as the recruitment process initiated vide the 2019 Advertisements following the 2019 Rules prevalent at the said point of time – Impugned judgment and order of the High Court is set aside. [Paras 34-38, 41, 42, 44]

Case Law Cited

Tej Prakash and Others v. Rajasthan High Court and Others [2024] 12 SCR 28 : (2025) 2 SCC 1 – followed.

K. Manjusree v. State of Andhra Pradesh & Anr. [2008] 2 SCR 1025 : (2008) 3 SCC 512; *Partha Das v. State of Tripura*, 2025 SCC OnLine SC 1844; *Shankarsan Dash v. Union of India* [1991] 2 SCR 567 : (1991) 3 SCC 47 – referred to.

List of Acts

Constitution of India; Bihar Engineering Services Class-II Recruitment Rules, 2019; Bihar Engineering Service Class-II Recruitment (Amendment) Rules, 2022.

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List of Keywords

Retrospective effect; Rules of the game; Power to amend rules; Retrospective legislation; *Ex post facto*; Written examination; Provisional merit list; Prior contractual work experience; Selection process; Rewriting the rules of the game; Eligibility criteria; Alteration in the basis of selection; Additional marks for contractual service.

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 54 of 2026

From the Judgment and Order dated 05.07.2023 of the High Court of Judicature at Patna in CWJC Nos. 18302 of 2022

With

Special Leave Petition (Civil) No. 8231 of 2025

Appearances for Parties

Advs. for the Appellant(s):

Vijay Kumar, Ms. Kaveeta Wadia, Sr. Advs., Manoj Kumar Srivastava, Vivek Jain, Manoj Kashyap, Shashank Tripathi, Ms. Chhavi Jain.

Advs. for the Respondent(s):

Anshul Narayan, Abhindra Maheshwari, Prem Prakash, Navin Prakash, Smarhar Singh, Ms. Shweta Kumari, Pankaj Prakash, Dhananjaya Kumar Tyagi, Mohd Asim, Manoj Kumar, Jai Krishna Singh.

Judgment / Order of the Supreme Court

Judgment

J.K. Maheshwari, J.

Civil Appeal No. of 2026

1. Leave granted.
2. Assailing the final judgment and order dated 05.07.2023 passed in CWJC No. 18302 of 2022 by the High Court of Judicature at Patna (hereinafter referred to as “**High Court**”), dismissing the writ petition filed by the appellants, the present appeal has been preferred.

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3. The dispute in the present case is with respect to the retrospective application of an amendment to the Bihar Engineering Services Class – II Recruitment Rules, 2019 (hereinafter referred to as “**2019 Rules**”), specifically the introduction of Rule 8(5), whereby weightage for prior contractual work experience was introduced after the selection process comprising the written examination had initiated and the provisional merit list had already been published.
4. The appellants had preferred the Writ Petition challenging the retrospective application of the Bihar Engineering Service Class-II Recruitment (Amendment) Rules, 2022 *vide* Notification No. Sec. 02/Estt.-Appointment-01-01/2019-5565(S) (hereinafter referred to as “**2022 Amendment Rules**”) dated 09.11.2022, issued by the Road Construction Department, Government of Bihar, which amended the 2019 Rules with retrospective date i.e., 06.03.2019.
5. The Division Bench of the High Court dismissed the writ petition, observing that the issuance of the 2022 Amendment Rules was a policy decision of the State to grant weightage to contractual employees and that the appellants had no indefeasible right to appointment merely because of inclusion of their names in the merit list, and as such, retrospective application of the said amendment would not be illegal. Hence, the present appeal.

FACTS IN BRIEF

6. Prequel to the present litigation, the Road Construction Department, Government of Bihar, notified the 2019 Rules *vide* Notification No. 02/Estt.-Appointment-01-01/2018-3042(S) dated 06.03.2019. These rules were promulgated by the State Government in exercise of powers conferred under Article 309 of the Constitution of India, to govern the recruitment to the post of Assistant Engineers in various departments. Rules 8, 9, 12 and 13 of the said Rules are relevant for the said purpose, and are reproduced as under:

“8. Candidate –

(1) shall be of such age as may be notified by the Governor,

(2) shall be of good conduct,

(3) shall be of good health and not of unsound mind,

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(4) (i) *Shall be degree holder of Civil/Mechanical/Electrical Engineering from any Indian University/Institute (AICTE Approved), OR,*

(ii) Only regular technical courses Degree obtained from any Deemed Universities duly recognized by University Grants Commission shall be valid and in technical courses degree conducted through distance education shall not be entertained

(iii) Must be an Associate Member of the Institution of Engineers or must have passed 'A' and 'AA' from any of the branches of the Institution of Engineers or must have passed A' and 'AA' from an Institution recognized by the Institution of Engineers India

Note -

(1) A person who is in Government service in a temporary or officiating capacity or on probation shall be eligible to apply for direct recruitment under the provisions of this rule

(2) Save the following persons, no person confirmed in Government service, shall be eligible

(a) Members of the Lower Engineering Services and

(b) Members of other services possessing the qualifications specified in clause (4) shall be eligible for appointment by promotion or transfer in accordance with the procedures laid down in Part III of these Rules.

XXX XXX XXX XXX XXX

9. *(a) Every year, as appropriate, the Commission will declare vacancies to be filled by direct recruitment in this service on the basis of results of the competitive examination and will invite applications only from the candidates for appointment under Rule 5 and 6. The examination will be conducted according to the syllabus specified in the schedule appended to these rules, which will be changed from time to time by the Commission with the prior approval of the State Government.*

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Provided that the Commission shall limit the number of candidates qualified for admission to the examinations of a particular year may fix and if the number of candidates exceeds the fixed number, the Commission Will be able to make preliminary selection of the candidates and on the basis of preliminary examination (written) will be able to admit the candidates in the examination.....

xxx xxx xxx xxx xxx

12. *Provided that in determining the suitability of a candidate for appointment, the total marks obtained in the written examination and not the marks obtained in any particular subject or subjects will be considered.*

Provided also that the Commission may determine relaxation in minimum qualifications for Scheduled Caste and Scheduled Tribe candidates.

xxx xxx xxx xxx xxx

13. *On the basis of the marks obtained in the written examination, the names of the candidates along with their applications will be numbered by the Commission in the order of merit and merit. This list will be presented to them by the date as directed by the Governor.”*

7. The Bihar Public Service Commission (hereinafter referred to as “**BPSC**”) issued four advertisements inviting applications for the post of Assistant Engineer (Civil, Mechanical, and Electrical) in various departments as indicated in the table below (hereinafter collectively referred to as “**2019 Advertisements**”) –

Advertisement No.	Date of Advertisement	Nature of Post	No. of Posts	Department Concerned
01/2019	08.03.2019	Assistant Engineer (Civil)	31 83	PWD Minor Water Resources
02/2019	08.03.2019	Assistant Engineer (Electrical)	33	PWD

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03/2019	13.09.2019	Assistant Engineer (Civil)	18	Minor Water Resource
04/2019	13.09.2019	Assistant Engineer (Mechanical)	10	Minor Water Resource

8. As per Rule 13 of 2019 Rules, a written examination was to be conducted for the selection of the eligible candidates for appointment against the posts so notified. The final merit list had to be drawn on basis of scores obtained in the written examination.
9. The selection process commenced with the issuance of the 2019 Advertisements, and written examination was conducted on 12.03.2022. Based on the performance of the recruitment candidates in the written examination, the BPSC published provisional merit lists of successful candidates and such provisional selected candidates including the appellants herein were called for document verification on various dates as tabulated below:

Date of Publication of Provisional Merit List	Corresponding Date fixed for Document Verification	Corresponding Advertisements
15.06.2022	30.06.2022 01.07.2022 02.07.2022	01/2019
22.06.2022	06.07.2022	03/2019
22.06.2022	06.07.2022	04/2019
13.07.2022	20.07.2022	01/2019
19.07.2022	29.07.2022	02/2019
23.07.2022	27.07.2022	01/2019

10. In the meanwhile, and after the written examination pursuant to the 2019 Advertisements was conducted, CWJC 9797 of 2022 was filed by some people who were working on contractual basis in the State of Bihar, on 07.07.2022 challenging the 2019 Rules, contending *inter alia* that in the said rules, there is no provision for weightage of work experience or age relaxation on contract basis in terms of the Memorandum No. 3/MO-13/2018 S No. 12534/Patna-15 dated 17.09.2018 of the

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Department of General Administration of the Government of Bihar and the Memo No. 1003 dated 22.01.2021 of the General Administration Department of the Government of Bihar (hereinafter referred to as the “**2018 Memo**” and “**2021 Memo**” respectively). From record it is not clear that any directions were passed in the said Writ Petition, in fact, it was disposed of as infructuous on 23.03.2023 granting liberty to file a separate writ petition. It is not clear from the record as to whether any subsequent writ petition was filed or not.

11. After publication of the provisional merit lists and conclusion of document verification pursuant to the 2019 Advertisements, the State Government issued the 2022 Amendment Rules *vide* notification dated 09.11.2022 in exercise of powers under the proviso to Article 309 of the Constitution of India. This notification amended Rule 8 of the 2019 Rules, inserting a new sub-rule, Rule 8(5), which introduced a provision for grant of additional marks up to a maximum of 25 per 100 marks to candidates having work experience on a contractual basis in government offices and institutions under the State of Bihar on the post of Assistant Engineer (Civil/Mechanical/Electrical). The maximum weightage of marks obtained in the written examination conducted by the BPSC was fixed at 75 marks per 100 marks. The said amendment also contained a *note* that “to calculate the weightage of the marks in the examination the percentage marks obtained in the examination shall be multiplied by 0.75”. The 2022 Amendment Rules were made applicable retrospectively w.e.f. 06.03.2019 i.e., the date the original 2019 Rules came into existence. Additionally, Rule 8(5)(iii) provided for relaxation in the upper age limit for Assistant Engineers (Civil/Mechanical/Electric) employed on contractual basis for a period equivalent to the period worked on contract.
12. The said Rule 8(5) which was introduced by means of the 2022 Amendment Rules is relevant, and is therefore reproduced as under:

“8(5) Basis of Selection-

(i) The Selection for appointment to the posts of Assistant Engineers (Civil/Mechanical/Electrical) in the basic category of Assistant Engineers (Civil/Mechanical/electrical) cadre shall be made by the Commission after calculating the marks obtained in the competitive examination conducted by the Commission and the preference of work done on the contract basis. The work experience of all government/

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non-private (central government, panchayat, municipal bodies etc.) offices/institutions under the State of Bihar shall be valid for the preference of work done on contract basis. Candidates having experience of working on the post of Assistant Engineer (Civil/Mechanical/Electrical) on contract basis, who fulfil the essential qualifications for the recruitment in this cadre, shall be given preference in selection by giving additional marks according to sub-rule (ii) of this Rule.

(ii) The merit list of the candidates shall be prepared on the following basis:

	Full Marks
<i>(a) Weightage of mark obtained in the written examination conducted by the commission</i>	75 Marks
<i>(b) Maximum weightage for the working experience on contract basis - (The weightage of per working year shall be 5 marks subject to the maximum limit of 25 marks. For any fraction of year of working experience, the proportionate weightage, the marks shall be calculated by multiplying the number of working days by 5 and dividing it by 365)</i>	25 Marks
<i>Total -</i>	100 Marks

Note – To calculate the weightage of the marks in the examination, the percentage of marks obtained in the examination shall be multiplied by 0.75.

(iii) Assistant Engineers (Civil/Mechanical/Electrical) already employed on contract basis will be given relaxation in the upper age limit for a period equivalent to the period worked on contract. For above relaxation in upper age limit, work experience of all government/non-private (central government, panchayat, municipal bodies etc) officers/institutions under the State of Bihar shall be valid. The period of working on contract basis shall be decided on the basis of salary payment certificate issued by the controlling officer concerned. For this, the period up to the cut-off date mentioned in the advertisement published by the commission may be counted for work experience.”

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13. The appellants, who had already secured their place in the provisional merit list pursuant to the 2019 Advertisements, prepared in accordance with the 2019 Rules, filed CWJC No. 18302 of 2022 before the High Court praying as follows –

- i. To issue an appropriate writ(s)/order(s)/direction(s) in the nature of certiorari for quashing part of the notification bearing memo no. 5565(S) dated 09.11.2022 issued under the signature of Additional Chief Secretary, Road Construction Department, Government of Bihar to the extent it directs implementation of the amendment to Rule 8(5) of the Bihar Engineering Service Class-II Recruitment Rules, 2019 introduced vide this Notification retrospectively from 06.03.2019 for grant of weightage and age relaxation from this date.*
- ii. To issue an appropriate writ(s)/order(s)/direction(s) in the nature of mandamus commanding the respondents to not implement the notification bearing memo no. 5565(S) dated 09.11.2022 with retrospective effect from 06.03.2019.*
- iii. To issue an appropriate writ(s)/order(s)/direction(s) in the nature of mandamus commanding the respondents not to interfere with the merit lists dated 15.06.2022 (against advertisement no. 01/2019), 22 06 2022 (against advertisement no. 03/2019 & 04/2019), 19.07.2022 (against advertisement no. 02/2019) published by the Bihar Public Service Commission on the basis of the Bihar Engineering Service Class-II Recruitment (Amended) Rules, 2022, introduced through the notification bearing no. memo no. 5565(S) dated 09.11.2022.*
- iv. To issue an appropriate writ(s)/order(s)/direction(s) in the nature of mandamus commanding the respondents to proceed with the selection process against the merit list published on 15.06.2022, 22.06.2022 & 19.07.2022 by Bihar Public Service Commission against the post of Assistant Engineer under different departments of Government of Bihar.*

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- v. *To declare and hold that the notification bearing memo no. 5565(S) dated 09.11.2022 cannot have retrospective operation with effect from 06.03.2019, once the merit list has been published.*
 - vi. *To any other relief(s) that the petitioners are entitled to in the facts and circumstances of the case.*
14. The challenge presented by the appellants before the High Court was that after initiation of the recruitment process, the 2022 Amendment Rules could not have been made applicable to the ongoing recruitment process. The 2019 Rules, in pursuance of which the recruitment process was initiated, did not contain any provision for grant of weightage or age relaxation. As such, in the present appeal, we are not concerned with the validity of Rule 8(5) or the 2022 Amendment Rules and the scope of our examination is limited to its application to the ongoing recruitment process which had already commenced under the 2019 Advertisements.

FINDINGS OF THE HIGH COURT

15. The High Court, while dismissing the writ petition, found that the decision to grant weightage and age relaxation to contractual employees was a decision taken in line with a pre-existing 2018 policy for grant of such benefits. It was held that the appellants had merely participated in recruitment process and no rights had accrued in their favour at that stage. The Court observed that the power to legislate under the proviso to Article 309 of the Constitution of India includes the power to legislate retrospectively. Since the minimum requisite qualification has not been changed and the appellants have not been disqualified, no prejudice has been caused by retrospective application of Rule 8(5) inserted by the 2022 Amendment Rules.

ARGUMENTS ADVANCED BY THE APPELLANTS

16. Learned senior advocate Mr. Vijay Kumar, appearing for the appellants, vehemently argued that the selection process must be governed by the rules and stipulations as existing on the date of the advertisement. It is submitted that the 2019 Rules, as they stood when the 2019 Advertisements were issued, prescribed selection solely on the basis of the written examination, without any weightage or age relaxation for contractual experience.

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17. It is argued that the appellants participated in the process, qualified the written examination, appeared for document verification, and have thereby acquired a vested right to be considered for appointment as per the original criteria. The insertion of Rule 8(5) vide the 2022 Amendment Rules dated 09.11.2022 and applying the same retrospectively, essentially alters the merit list by introducing new marks requirement for a specific class of candidates i.e., candidates who have previously worked as contractual employees with the government, after the process had reached its fag end and document verification was already done.
18. Heavy reliance was placed on the principle of law that *the rules of the game cannot be changed once the game has begun*. Reference was made to the decisions of this Court in ***K. Manjusree v. State of Andhra Pradesh & Anr.***¹ and ***Tej Prakash and Others v. Rajasthan High Court and Others***² arguing that the introduction of new eligibility criteria for selection once the process has started is impermissible.
19. It was further urged that the retrospective application is arbitrary and violative of Articles 14 and 16 of the Constitution of India. By applying the amendment retrospectively from 06.03.2019, the State has sought to reopen a concluded selection process to the detriment of meritorious candidates who had already been selected after passing the written examination and in whose favour rights had accrued.

ARGUMENTS ADVANCED BY RESPONDENT

20. *Per contra*, learned Additional Standing Counsel for the State, Mr. Anshul Narayan submitted that the amendment was a policy decision taken to give due recognition to the services of contractual employees who had served in the State for long periods. It was argued that the amendment was in consonance with the General Administration 2021 Memo, which envisaged weightage for contractual employees in the process of appointment for regular employment.
21. It was contended that the merit list published during June-July 2022 was merely *provisional* and did not confer an indefeasible right to appointment. The government possesses the competence

1 (2008) 3 SCC 512.

2 (2025) 2 SCC 1.

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to frame and amend rules under Article 309 of the Constitution of India and the proviso thereto, and such power includes the power to amend rules retrospectively to rectify anomalies or implement policy decisions. It was further argued that no prejudice has been caused to the appellants as the recruitment process had not attained finality since appointment letters had not yet been issued. The amendment merely added a weightage component to ensure equity for contractual employees who had served the Government and did not disqualify the appellants.

ANALYSIS OF RULES AND REASONINGS

22. After hearing learned counsels at length and on perusal of the material on record, in our view, the short question that falls for our consideration is *whether the 2022 Amendment Rules can be made applicable to the 2019 Advertisements after the written examination has been conducted and the provisional merit list has been published?*
23. It is not in dispute that the instant recruitment processes in furtherance to the 2019 Advertisements were initiated, under the 2019 Rules governing the selection on the date of issuance of the advertisements.
24. Bare perusal of Rules 8, 9, 12 and 13 of the 2019 Rules, the scheme of the selection process becomes clear to all. Rule 8 is placed in Part-II of the 2019 Rules titled 'DIRECT RECRUITMENT'. It prescribes the eligibility of the candidates who can be considered for direct recruitment. It prescribes that the candidate should be of such age as may be notified by the Governor and shall be of good conduct, good health and not of unsound mind. It further prescribes that such a candidate must be a Civil/Mechanical/Electrical Engineering degree holder from any AICTE approved Indian university / institute and provides that only regular courses of such universities recognized by University Grant Commission and not distance education courses are valid for this purpose. The candidate must be an associate member of the Institution of Engineers and also must have passed 'A' and 'AA' from any branch of Institution of Engineers or an institution recognized by the Institution of Engineers. The *note* appended with the said rule clarifies that persons who are in government services in a temporary, officiating or probationary capacity, shall also be eligible for direct recruitment under 2019 Rules. The 2019 Advertisements reproduced the eligibility criteria as laid down in Rule 8 verbatim with no change.

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25. Rules 9, 12 and 13 are placed in Part-III of the 2019 Rules titled 'PROCEDURE FOR APPOINTMENT'. Rule 9 envisages that BPSC shall declare vacancies to be filled by direct recruitment on the basis of a competitive examination and will invite application from candidates strictly as per Rules 5 and 6 that provide for method of recruitment. It further mandates that the said examination will be conducted as per syllabus prescribed by BPSC with prior approval of State Government and if BPSC considers it necessary, a preliminary examination can also be conducted as a screening test.
26. Rule 12 prescribes that suitability of a candidate for purpose of the appointment has to be determined on basis of total marks obtained in the written examination and not the marks obtained in any particular subject or subjects. It also provides that BPSC may specify relaxation in minimum qualifications for Scheduled Caste and Scheduled Tribe candidates. Subsequently, as per Rule 13, the names of the candidates along with their applications will be numbered by BPSC on the basis of the marks obtained in the written examination in order of merit and such list will be presented as directed by the Governor.
27. Upon holistic analysis of the rules above, it is clear that the suitability of the candidates for the purpose of appointment as per the 2019 Rules has to be determined only as per marks obtained in the written examination. This means that essentially the selection process involves following three stages – (i) Application by the candidate; (ii) Written Examination (including preliminary examination, as the case may be); (iii) Preparation of the Merit List on basis of total marks obtained in written examination. In this background, the adverse effect of retrospective applicability of the amendment brought into 2019 Rules as per the 2022 Amendment Rules has to be adjudicated.
28. The 2022 Amendment Rules provide for age relaxation and preference in selection to persons working on contractual basis on the post of Assistant Engineer (Civil / Mechanical / Eletrical) in all government and non-private (central government, panchayat, municipal bodies) offices / institutions under State of Bihar. In the 'Short title, extent and commencement' of the 2022 Amendment Rules, it is stated that '*it shall come into force from the date of coming into force of the Bihar Engineering Services Class-II Recruitment Rules, 2019, i.e. 06.03.2019*'. As such, the 2022 Amendment Rules were made applicable from the date of inception of the 2019 Rules. It is relevant

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to observe that Rule 8(5) which is the subject matter of dispute, is titled 'Basis of selection' and it has been included in Section 8 – which lays down the eligibility criteria of candidates.

29. Upon a perusal of the unamended 2019 Rules and the 2019 Advertisements, it is luculent that the selection was to be based solely on the marks obtained in the written examination. There was no mention of weightage or age relaxation for contractual experience. The appellants were informed about and competed in the recruitment process on these terms, their selection as per the applicable 2019 Rules was going to be in terms of the marks obtained in the written examination alone which they wrote and found place in the provisional merit list. While things stood thus, the 2022 Amendment Rules were issued, introducing additional marks and age relaxation.
30. The law regarding the sanctity of the recruitment process and changes in the eligibility criteria and procedure after the initiation of the recruitment process, is well-settled. In **K. Manjusree** (Supra) this Court had held:

“27. The minimum marks were prescribed ... after the selection process was completed ... This is clearly impermissible. The rules of the game, meaning thereby, that the criteria for selection cannot be altered by the authorities concerned in the middle or after the process of selection has commenced.”

31. The Constitution Bench of this Court in **Tej Prakash Pathak** (Supra) gave a nod of approval to the principles as laid down in **K. Manjushree** (Supra) and held that even if the relevant rules permit the competent authority to set benchmarks at different stages of a recruitment process, the same must be done at any time before the relevant stage is reached.

“52. Thus, in our view, the appointing authority/recruiting authority/competent authority, in absence of rules to the contrary, can devise a procedure for selection of a candidate suitable to the post and while doing so it may also set benchmarks for different stages of the recruitment process including written examination and interview. However, if any such benchmark is set, the same should be stipulated before the commencement of the recruitment

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process. But if the extant Rules or the advertisement inviting applications empower the competent authority to set benchmarks at different stages of the recruitment process, then such benchmarks may be set any time before that stage is reached so that neither the candidate nor the evaluator/examiner/interviewer is taken by surprise.

53. *The decision in K. Manjusree [K. Manjusree v. State of A.P., (2008) 3 SCC 512 : (2008) 1 SCC (L&S) 841] does not proscribe setting of benchmarks for various stages of the recruitment process but mandates that it should not be set after the stage is over, in other words after the game has already been played. This view is in consonance with the rule against arbitrariness enshrined in Article 14 of the Constitution and meets the legitimate expectation of the candidates as also the requirement of transparency in recruitment to public services and thereby obviates malpractices in preparation of select list.”*

32. The Constitution Bench in **Tej Prakash Pathak** (Supra) concluded and answered the reference as follows:

“Conclusions

65. *We, therefore, answer the reference in the following terms:*

65.1. *Recruitment process commences from the issuance of the advertisement calling for applications and ends with filling up of vacancies;*

65.2. *Eligibility criteria for being placed in the select list, notified at the commencement of the recruitment process, cannot be changed midway through the recruitment process unless the extant Rules so permit, or the advertisement, which is not contrary to the extant Rules, so permit. Even if such change is permissible under the extant Rules or the advertisement, the change would have to meet the requirement of Article 14 of the Constitution and satisfy the test of non-arbitrariness;*

65.3. *The decision in K. Manjusree [K. Manjusree v. State of A.P., (2008) 3 SCC 512 : (2008) 1 SCC (L&S) 841] lays down good law and is not in conflict with the decision in*

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Subash Chander Marwaha [State of Haryana v. Subash Chander Marwaha, (1974) 3 SCC 220 : 1973 SCC (L&S) 488]. Subash Chander Marwaha [State of Haryana v. Subash Chander Marwaha, (1974) 3 SCC 220 : 1973 SCC (L&S) 488] deals with the right to be appointed from the select list whereas K. Manjusree [K. Manjusree v. State of A.P., (2008) 3 SCC 512 : (2008) 1 SCC (L&S) 841] deals with the right to be placed in the select list. The two cases therefore deal with altogether different issues;

65.4. *Recruiting bodies, subject to the extant Rules, may devise appropriate procedure for bringing the recruitment process to its logical end provided the procedure so adopted is transparent, non-discriminatory/non-arbitrary and has a rational nexus to the object sought to be achieved;*

65.5. *Extant Rules having statutory force are binding on the recruiting body both in terms of procedure and eligibility. However, where the rules are non-existent, or silent, administrative instructions may fill in the gaps;*

65.6. *Placement in the select list gives no indefeasible right to appointment. The State or its instrumentality for bona fide reasons may choose not to fill up the vacancies. However, if vacancies exist, the State or its instrumentality cannot arbitrarily deny appointment to a person within the zone of consideration in the select list."*

33. The principles laid down by the Constitution Bench in **Tej Prakash Pathak** (Supra) were applied in the case of **Partha Das v. State of Tripura**,³ in a judgment where one of us, J.K. Maheshwari, J., while dealing with a challenge which was brought by the candidates to the decision of the Tripura Government to cancel an ongoing recruitment process after publication of the provisional merit list pursuant to an executive instruction of the State to do away with interviews in recruitment process of Class-IV posts held as follows:

"47. *The recruitment process under the two advertisements commenced on the date of their respective issuance. At the cost of repetition and as discussed above, much*

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water had flown after such commencement. The State had taken active and tangible steps such as constituting the Recruitment Board, setting up different State teams for recruitment rallies which were conducted all across India, candidates were tested physically, in a written exam and orally through an interview. A provisional merit list was purportedly prepared in pursuance of the recruitment process. After all this, Cancellation Memorandum was issued on 20.08.2018 which was general in nature, effectively setting the clock back and putting the entire process at nought.

48. *The reasoning behind the said cancellation, as suggested by the State of Tripura, is that it was decided by the Government that not only future recruitment, but also ongoing recruitment processes must invariably be governed by the NRP. In the context of the present case, the marked difference which would be brought about by the NRP is that interview cannot be conducted as a part of the procedure for recruitment given that the post of 'Enrolled Follower' is a Group-D post, even though the stage of taking interviews is already over in the present case.*

49. *This Court in Tej Prakash Pathak (Supra) has affirmed the decision in K. Manjusree v. State of A.P.⁹, and held that the recruitment authority can devise a procedure for selection only in absence of rules to the contrary, however, the same should be done prior to commencement of the recruitment process. It has been held that if benchmarks are to be laid down in different steps of the recruitment process, they cannot be laid down after the completion of that particular step, when the game has already been played. The relevant portion of the said judgment is reproduced below as thus:—*

“52. *Thus, in our view, the appointing authority/ recruiting authority/competent authority, in absence of rules to the contrary, can devise a procedure for selection of a candidate suitable to the post and while doing so it may also set benchmarks for different stages*

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of the recruitment process including written examination and interview. However, if any such benchmark is set, the same should be stipulated before the commencement of the recruitment process. But if the extant Rules or the advertisement inviting applications empower the competent authority to set benchmarks at different stages of the recruitment process, then such benchmarks may be set any time before that stage is reached so that neither the candidate nor the evaluator/examiner/ interviewer is taken by surprise.

53. *The decision in K. Manjusree [K. Manjusree v. State of A.P., (2008) 3 SCC 512 : (2008) 1 SCC (L&S) 841] does not proscribe setting of benchmarks for various stages of the recruitment process but mandates that it should not be set after the stage is over, in other words after the game has already been played. This view is in consonance with the rule against arbitrariness enshrined in Article 14 of the Constitution and meets the legitimate expectation of the candidates as also the requirement of transparency in recruitment to public services and thereby obviates malpractices in preparation of select list.”*

50. *In the present case, not only benchmarks are being set after the game has been played, rather the State has decided that a portion of the game itself, the step of interview, should not have been played at all. As discussed above, in pursuance of Rule 24(e) of the TSR Rules, the DGP had approved interview as one of the tests required to be passed. Thereafter, candidates participated in interviews and were ranked accordingly. It can be said that the stage of interview was over much prior to the issuance of the Cancellation Memorandum.”*

34. In the present case, the “game” had not only commenced but was at its fag end. The written examinations were held in March 2022.

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The results were declared in June/July 2022. The candidates were called for document verification. At this stage, the selection process had proceeded significantly, and would have concluded with the filling up of vacancies.

35. The issuance of the 2022 Amendment Rules, introducing Rule 8(5) with retrospective effect from 06.03.2019, attempts to rewrite the rules of the game which has already begun. By reducing the weightage of the written examination to 75 marks and introducing 25 marks for contractual experience, the State has fundamentally altered the basis of selection and changed the 'eligibility criteria for being placed in the merit list' which is not permissible.
36. While the State undoubtedly has the power to amend rules under the proviso to Article 309 of the Constitution of India, this power is not unbridled. The power of retrospective legislation cannot be exercised to take away vested rights or to arbitrarily disrupt a selection process that has already resulted in the identification of successful candidates by publication of a provisional merit list.
37. The distinction drawn by the respondents regarding the "provisional" nature of the merit list is untenable. The list was provisional subject to verification of documents, not subject to a fundamental change in the criteria for placement in the merit list itself. Once a candidate has cleared the written examination and found a place in the merit list based on the announced criteria in line with the extant Rules and the advertisement, a legitimate expectation arises that the selection will be finalized based on the criteria which was advertised at the time of initiation of the recruitment process.
38. The retrospective application of Rule 8(5) creates an anomaly where candidates who competed under one set of rules are now being judged by another, *ex post facto*. This directly impacts the appellants, who may be pushed down the merit list or ousted entirely by candidates who score lower in the written exam but gain the newly introduced additional marks for contractual service.
39. We also note the argument regarding the General Administration Department's 2018 Memo and 2021 Memo. While these resolutions reflect a policy to grant weightage, they were executive instructions. The recruitment in question was governed by the statutory 2019 Rules, which did not incorporate these resolutions at the time of the

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2019 Advertisements. The State cannot rely on executive instructions to override statutory rules that were in force during the initiation of the recruitment process, especially to the detriment of candidates who had no notice of such weightage or age relaxation. Additionally, when the 2019 Advertisements were issued, there was no whisper about the applicability of the said resolutions; it was only when a challenge was made by the candidates that the State raised the defense, taking a pretext of the aforesaid resolutions, which is an afterthought and not tenable at all.

40. It is trite law that participation in a recruitment process or mere placement on the merit list does not create an indefeasible right to appointment, which was settled by this Court in ***Shankarsan Dash v. Union of India***⁴ and followed in a multitude of decisions. However, changing the eligibility criteria for placement in the merit list, after conclusion of the written examination for that purpose, contrary to the extant rules prevalent at the time of the advertisement, cannot be justified on this basis. In the present case, if the additional marks and age relaxation as envisaged under the 2022 Amendment Rules is permitted, it will result in recasting of the provisional merit list pursuant to the 2019 Advertisements. Such a decision to do away with the merit list must be reasonable and non-arbitrary. Learned counsel for the Respondent - State has contended that the decision to grant additional marks and age relaxation to the contractual Assistant Engineers is a decision taken in larger public interest, and in order to reward the experience of people serving the State in contractual posts. Be that as it may, while this may be a justification advanced by the State for introducing the 2022 Amendment Rules, it would not justify the application of the 2022 Amendment Rules to the 2019 Advertisements and the recruitment process pursuant thereto. After the examination has been conducted, no public purpose can be served by changing the criteria for selection at this stage.
41. Therefore, in the facts of this case, the finding of the High Court that the amendment was merely a policy decision and could be applied retrospectively to the selection process in vogue is completely erroneous. Even assuming that the 2022 Amendment Rules are policy decisions of the State, they cannot be implemented in a manner that

4 (1991) 3 SCC 47.

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violates the fundamental right to equality under Article 14 and 16 of the Constitution of India by changing the selection criteria after the selection process has already begun.

42. In view of the discussions made above, in our considered opinion, the retrospective application of Rule 8(5) of the 2019 Rules, as introduced by the 2022 Amendment Rules, cannot be sustained insofar as the recruitment process initiated vide the 2019 Advertisements following the 2019 Rules prevalent at the said point of time.
43. In view of the above, the irresistible conclusion that can be drawn in the facts of the present case is that the selection process pursuant the 2019 Advertisements must be finalized in accordance with the 2019 Rules as they existed on the date of the advertisements, i.e., without taking into account the 2022 Amendment Rules by which the weightage and age relaxation for contractual experience was introduced. As such, the final merit list shall be drawn and appointments shall be made, completing the process within 2 months' from the date of this judgment.
44. Consequently, the impugned judgment and order dated 05.07.2023 passed by the High Court of Judicature at Patna in CWJC No. 18302 of 2022 is set aside. The appeal is allowed. The respondents are directed to finalize the appointments based on the merit lists published in June/July 2022, strictly following the unamended 2019 Rules.
45. It has been informed that the State has made appointments pursuant to the impugned judgment of the High Court which stands set-aside, however, their services may be dispensed with, in accordance with law. We also make it clear that the directions as issued shall not have any adverse impact if the State of Bihar wishes to continue the services of the persons appointed as above, if they are deemed fit, on the vacancies available, if any, or by creating supernumerary posts without affecting the merit list as indicated above.
46. Pending application(s), if any, shall stand disposed of. There shall be no order as to costs.

SPECIAL LEAVE PETITION (C) NO. 8231 OF 2025

1. The present Special Leave Petition has been filed assailing the interim order dated 13.02.2025 passed in CWJC No. 18429 of 2025 by the High Court of Judicature at Patna, wherein the writ petition filed by

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the petitioners herein was adjourned *sine die*. The relevant portion of the said order of High Court dated 13.02.2025 is reproduced for ready reference –

*“4. The issue was debated before this Court in SWJC No. 18302 of 2022, titled as **Abhay Kumar Patel & Ors. vs. The State of Bihar & Ors.**, wherein a Division Bench of this Court vide judgment date 05.07.2023 upheld the validity of the amendment as also the formulae evolved for bringing and collating the marks to the scale of 100. Such formulae was necessarily to be fixed for the reason that 25 marks in maximum was to be given as weightage which is to be calculated on the basis of five marks for one particular year of having served on temporary basis.*

5. The afore-noted judgment is under challenge before the Supreme Court vide S.L.P. No. 22323/2023.

6. The contention of the petitioners here is that not only the introduction of the principle of weightage is incorrect and is against the overwhelming number of decisions by different courts but even the formulae for calculating the marks on scale of 100 is unfortunately rendering anomolous (sic) results.

7. We are afraid, such objections cannot be raised at this stage when a judgment by the Division Bench of this Court has upheld not only the amendment in the Rules of 2019 but even the formulae developed for calculating the marks on scale of 100.

8. The issue raised cannot be decided now presently as the matter is pending consideration before the Supreme Court.

9. Let this case be listed after the disposal of the afore-noted S.L.P. No. 22323/2023.”

2. The Writ Petition was filed by the Petitioners challenging the validity of the 2022 Amendment Rules, particularly the insertion of Rule 8(5) thereof and the formulae for distribution of marks prescribed therein.
3. Since we have decided Civil Appeal arising out of SLP (Civil) No. 22323 of 2023 by a judgment pronounced today, where the scope of our examination is limited to the applicability of the 2022 Amendment

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Rules to the 2019 Advertisements, it would be appropriate to request the High Court to decide CWJC No. 18429 of 2025 on merits. While doing so, we make it clear that we have not examined the challenge to the *vires* of Rule 8(5) itself or the 2022 Amendment Rules in the Civil Appeal arising out of SLP (Civil) No. 22323 of 2023 and views expressed therein shall not prejudice the case of either parties and all contentions shall be kept open.

4. In light of the above, this special leave petition is disposed of with a direction that the High Court shall adjudicate CWJC No. 18429 of 2025.
5. Pending applications, if any, shall be disposed of.

Result of the case: Civil Appeal No. 54 of 2026 is allowed.
SLP(C) No. 8231 of 2025 is disposed of.

[†]Headnotes prepared by: Ankit Gyan

Jan De Nul Dredging India Pvt. Ltd.

v.

Tuticorin Port Trust

(Civil Appeal No. 98 of 2026)

07 January 2026

[Pamidighantam Sri Narasimha and Pankaj Mithal,* JJ.]

Issue for Consideration

Whether the Division Bench of the High Court in exercise of powers u/s.37 of the Arbitration and Conciliation Act, 1996 was justified to interfere with the judgment and order of the Single Judge of the High Court passed u/s.34 of the Arbitration and Conciliation Act, 1996 upholding the award of the Arbitral Tribunal.

Headnotes[†]

Arbitration and Conciliation Act, 1996 – Major Port Trust Act, 1963 – The respondent-Tuticorin Port Trust undertook a major dredging project and issued Notice Inviting Tender – The appellant-Dredging India was one of the bidders and the contract was awarded to it – The appellant-Dredging India completed work project much ahead of schedule – Disputes arose between the parties relating to alleged non-payment and under-payment of dues as raised under the final bill – Arbitration clause was invoked by the the appellant-Dredging India – The Arbitral Tribunal vide its award dated 18.10.2014 *inter alia* awarded an amount of Rs.14,66,04,216/- – The arbitral award was challenged by the respondent-Port Trust u/s.34 of the 1996 Act – The award of the Arbitral Tribunal was upheld by the Single Judge of the High Court – However, the High Court directed for the deletion of the claim awarded by the Arbitral Tribunal in respect of Claim No.7 i.e. idle charges for the Backhoe Dredger (BHD) – Correctness:

Held: In the instant case, the power to award compensation for idle time of the equipment including Backhoe Dredger is traceable to Clause 51.1 of the Lease Agreement and therefore the Arbitral Tribunal was not wrong in interpreting the clauses so as to make an award in favour of the appellant-Dredging India under Claim No.7 –

* Author

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In such a situation, the interpretation given by the Arbitral Tribunal is apparently a plausible view and was rightly not disturbed by the Single Judge in exercise of power u/s.34 of the Act – Therefore, in appeal u/s.37 of the Act, the said reasoning could not have been disturbed so as to permit a different view – The interpretation given by the Arbitral Tribunal had to be accepted by the Appellate Court – In the case at hand, the Arbitral Award contains logical reasons in construing the various clauses of the License Agreement and the view taken by the Arbitral Tribunal had been accepted by the court u/s.34 of the Act as a reasonable and a possible view – The License Agreement permits deployment of Backhoe Dredger (BHD) without specifying whether it is a minor or a major dredger – This Court is of the opinion that the Appellate Court manifestly erred in law in interfering with the judgment and order of the Single Judge of the High Court passed u/s.34 of the Act so as to disturb the arbitral award in respect of Claim No.7. [Paras 46, 48, 49, 50]

Arbitration and Conciliation Act, 1996 – s.34 – Whether the Challenge to the award, in the instant case was on any of the grounds enumerated u/s.34 or on the ground that the award of the Claim No.7 is against the fundamental policy of India or the basic notions of morality or justice:

Held: In the case at hand, a challenge to the award of the Arbitral Tribunal before the Single Judge of the High Court would reveal that it was confined to Claim No.7 and that too on the merits of the same and not on the ground of violation of the public policy of India or that it is against the basic notions of morality or justice – The Arbitral Tribunal, in making the award, has interpreted the various clauses of the License Agreement so as to hold that the appellant-Dredging India is entitled for appropriate compensation with regard to idling of its Backhoe Dredger (BHD) for want of non-supply of site within time – Apparently, the challenge to the award of the Arbitral Tribunal was neither on any of the grounds enumerated u/s.34, nor even on the ground that the award of the Claim No.7 is against the fundamental policy of India or the basic notions of morality or justice – That being the position, the award of the Arbitral Tribunal was not liable to be disturbed u/s.34 of the Act and was rightly not disturbed – It is settled in law that the appellate powers u/s.37 are limited to the scope of s.34 and cannot exceed beyond it – The award of the Arbitral Tribunal is not contrary to any substantive provision of law or any provision of the Act. [Paras 28, 29, 30, 38]

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Arbitration and Conciliation Act, 1996 – s.34 – Grounds for challenging the arbitral award:

Held: The Act provides for the challenge of the arbitral award before the court on limited grounds as contemplated by s.34 of the Act i.e. where one of the party was under some incapacity; or where the arbitration agreement itself was not valid; or the parties were not given proper notice of the appointment of an arbitrator or the arbitral proceedings; or was unable, for some reason, to present his case before the Arbitrator or Arbitral Tribunal; or if the arbitral award deals with the dispute not contemplated or falling within the terms of the arbitration or deals with the matters beyond the scope of the arbitration; or where the constitution of the Arbitral Tribunal was not in accordance with arbitration agreement; and, or where the court finds the subject matter of the arbitral dispute was incapable of settlement by arbitration or the arbitral award is in conflict with the public policy of India. [Para 26]

Arbitration and Conciliation Act, 1996 – s.37 – Appellate Court – Jurisdiction u/s.37:

Held: The jurisdiction of the court u/s.37 of the Act is akin to the jurisdiction of the court u/s.34 of the Act, and, therefore, the scope of interference by the court in appeal u/s.37 cannot go beyond the grounds on which challenge can be made to the award u/s.34 of the Act – Moreover, the courts exercising powers u/ss.34 and 37, do not act as a normal court, and therefore, ought not to interfere with the arbitral award on a mere possibility of an alternative view – In other words, the scope of interference of the court with the arbitral matters is virtually prohibited, if not absolutely barred – The powers of the Appellate Court are even more restricted than the powers conferred by s.34 of the Act – The appellate power u/s.37 of the Act is exercisable only to find out if the court exercising power u/s.34 of the Act, has acted within its limits as prescribed thereunder or has exceeded or failed to exercise the power so conferred – The Appellate Court exercising powers u/s.37 of the Act has no authority of law to consider the matter in dispute before the Arbitral Tribunal on merits so as to hold as to whether the award of the Arbitral Tribunal is right or wrong – The Appellate Court in exercise of such power cannot sit as an ordinary court of appeal and reappraise the evidence to record a contrary finding – The award of the Arbitral Tribunal cannot

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be touched by the court unless it is contrary to the substantive provision of law or any provision of the Act or the terms of the agreement. [Paras 36, 37]

Arbitration and Conciliation Act, 1996 – Purpose of the Act – Minimum intervention of the Court:

Held: The Act is a special enactment which aims to resolve contractual/commercial disputes through arbitration with the minimum intervention of the court, if not without the intervention of the court – In the event, the courts are allowed to step in at every stage and the arbitral awards are subjected to challenge before the courts in hierarchy before court of first instance, through regular appeals and finally by means of SLP/Civil Appeal before the Supreme Court, it would obviate/frustrate and defeat the very purpose of the Act – It is therefore, necessary to accept the arbitral award if it is not patently illegal or does not fall within the scope of intervention u/s.34 of the Act – The appeal thereof has a much narrower scope of intervention particularly when the arbitral award has been upheld u/s.34 of the Act – The appellate jurisdiction acquires little significance only when the arbitral award has been erroneously upheld or set aside by the court in exercise of its power u/s.34 of the Act as discussed earlier, but has no authority of law to consider the matter which was before the Arbitral Tribunal on merits. [Para 51]

Case Law Cited

MMTC Limited v. Vedanta Limited [2019] 3 SCR 1023 : (2019) 4 SCC 163; *Konkan Railway Corpn. Ltd. v. Chenab Bridge Project* [2023] 11 SCR 215 : (2023) 9 SCC 85; *Punjab State Civil Supplies Corpn. Ltd. v. Sanman Rice Mills*, 2024 SCC OnLine SC 2632; *UHL Power Company Limited v. State of Himachal Pradesh* [2022] 1 SCR 1 : (2022) 4 SCC 116; *National Highways Authority of India v. M/s Hindustan Construction Company Ltd.*, 2024 INSC 388 – relied on.

Bombay Slum Redevelopment Corporation Private Limited v. Samir Narain Bhojwani [2024] 7 SCR 136 : (2024) 7 SCC 218; *Ssangyong Engineering and Construction Company Limited v. National Highways Authority of India (NHAI)* [2019] 7 SCR 522 : (2019) 15 SCC 131; *Larsen Air Conditioning and Refrigeration Company v. Union of India & Ors.* [2023] 11 SCR 86 : (2023) 15 SCC 472 – referred to.

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List of Acts

Arbitration and Conciliation Act, 1996, Major Port Trust Act, 1963.

List of Keywords

Section 34 of Arbitration and Conciliation Act, 1996; Section 37 of Arbitration and Conciliation Act, 1996; Minimum intervention of Court; Non-payment of dues; Under-payment of dues; Backhoe Dredger; Interpretation by Arbitral Tribunal; Patent Illegality; Public Policy of India; Idling Charges; Plausible View; Deference; Merits of the Case; Re-appreciation of Evidence.

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 98 of 2026

From the Judgment and Order dated 15.03.2021 of the High Court of Judicature at Madras in OSA No. 101 of 2020

Appearances for Parties

Advs. for the Appellant(s):

Chander U. Singh, Sr. Adv., Ms. Surekha Raman, Amarjit Singh Bedi, Shreyash Kumar, Yashwant Sanjenbam, M/S. K J John And Co.

Advs. for the Respondent(s):

S. Nagamuthu, Sr. Adv., Mohan Raj A, Ms. Charulata Chaudhary.

Judgment / Order of the Supreme Court

Judgment

Pankaj Mithal, J.

1. Leave granted.
2. The appellant-Jan De Nul Dredging India Private Limited¹ is a company registered under the Indian Companies Act, 1956 with an expertise in executing complex dredging operations.

¹ Hereinafter referred to as 'appellant-Dredging India'

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3. The respondent-Tuticorin Port Trust² is a statutory authority constituted under the Major Port Trust Act, 1963. It undertook a major dredging project titled “Deepening of the Channel and Basin to Cater to 12.80 meter Draught Vessels at Tuticorin Port”. In context with the above project to enhance the navigational depth of the port to accommodate larger sea vessels, the Port Trust on 15.07.2009 issued Notice Inviting Tender³.
4. The appellant-Dredging India was one of the bidders. After the evaluation of the bids, the contract was awarded to it. A formal work order was issued to it on 28.10.2010. Consequently, a License Agreement incorporating the tender conditions was formally executed between the parties on 27.12.2010 which involved the monetary value of Rs.465,47,56,517/- (Rupees Four Hundred Sixty Five Crore Forty Seven Lakhs Fifty Six Thousand Five Hundred and Seventeen only). It was stipulated that the work would be completed within 14 months from the commencement i.e. by 28.06.2012.
5. The equipment to be deployed for the execution of the project under the License Agreement included one Cutter Suction Dredger (CSD) with a cutter power of 3,000 HP or more, three Self-Propelled Barges with hopper capacity of 16,000 cubic meters each, Floating/ Submersible Pipelines of 800-900 mm diameter and one Backhoe Dredger (BHD) Jerommeke with a bucket capacity of 3 to 4 cubic meters along with supporting and survey vessels.
6. Clause ‘C’ of the tender conditions which was part of the NIT stipulated as under :-

“(C) Plant and Equipment – Dredgers and ancillary equipments:

The intending Tenderers should own or hire suitable plant and equipment if it is on hiring, proof of availability of the plant and equipment on lease/charter for the entire duration of the work at short notice specifically for this project shall also be attached. It will be incumbent on the intending Tenderers to describe fully the equipment and plant which they propose to utilize for completing the work within the

² Hereinafter referred to as ‘respondent-Port Trust’

³ In short ‘NIT’

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prescribed period. The choice of technology and plant and equipment proposed to be deployed will be left to the choice of the intending tenderers, subject to satisfying the Port Trust and the adequacy of the proposed technology and plant and equipment.

The Port Trust has assessed and average daily output of 12000 cubic meters for the scenario of deployment of Heavy Duty CSD to complete the work within the specified period of Fourteen Months for which the following indicative plant & equipment could be required.

- 1. Cutter Suction Dredger having cutter power 3000 HP or more -1 No.*
- 2. Self-propelled barges having hopper capacity 1600 Cubic Meters - 3 Nos.*
- 3. Sufficient length of Floating/Submersible Pipe lines with and without ball joints 800 mm to 900 mm diameter.*
- 4. Backhoe Dredger having bucket capacity 3 to 4 Cubic Meters - 1 No.*
- 5. Supporting vessels*
- 6. Survey Vessels etc.,*

The tender document is open to firms/ companies/voluntary formed Joint Ventures/ Consortia meeting all the Minimum Eligibility Criteria as stipulated herein above."

7. In view of the above clause, it was open for the appellant-Dredging India to deploy such equipment as may be necessary for the dredging purposes including major/minor dredgers. It was also free to deploy as many dredgers as may be felt necessary by it, subject to satisfaction of the respondent-Port Trust. It included one Backhoe Dredger (BHD) having bucket capacity of 3 to 4 cubic meter.
8. The appellant-Dredging India commenced operations under the aforesaid project on 28.12.2010. It deployed sufficient equipment more than what was agreed upon in the License Agreement, including two major Cutter Suction Dredger (CSD) as well as a Backhoe Dredger (BHD). The dredging work of the project was completed much ahead of schedule on 30.08.2011 i.e. eight months before the stipulated deadline.

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9. Upon the completion of the work, a joint survey was conducted by the respondent-Port Trust and the National Institute of Oceanography, Goa. The work was found to have been completed satisfactorily. Accordingly, the port was commissioned at a new depth on 19.11.2011. A Completion Certificate/Taking Over Certificate was issued to the appellant-Dredging India on 02.04.2012, much before the deadline of 28.06.2012, for the completion of the work.
10. The appellant-Dredging India submitted a final bill on 29.05.2012 but it was not settled in full. Consequently, disputes arose between the parties relating to alleged non-payment and under-payment of dues as raised under the final bill.
11. In the above scenario, the appellant-Dredging India was left with no option but to invoke the arbitration clause as contained in the License Agreement. The dispute was referred on 20.09.2012 to an Arbitral Tribunal consisting of three members. The appellant-Dredging India raised as many as eleven claims, one of which was Claim No.7 regarding idle time due to respondent-Port Trust's failure to provide possession of and access to site.
12. The Arbitral Tribunal dealt with all the eleven claims and with the agreement of the parties decided Claim Nos.5, 6 and 7 together. The Arbitral Tribunal *vide* its award dated 18.10.2014 *inter alia* awarded an amount of Rs.14,66,04,216/- (Rupees Fourteen Crore Sixty Six Lakh Four Thousand Two Hundred and Sixteen only) to the appellant-Dredging India in respect of Claim No.7 i.e. regarding idling charges of Backhoe Dredger (BHD).
13. The aforesaid arbitral award was challenged by the respondent- Port Trust before the Learned Single Judge of the Madras High Court under Section 34 of the Arbitration and Conciliation Act, 1996⁴, by means of O.P. No.152/2015. Though, the respondent-Port Trust assailed the amounts awarded under Claim Nos. 3, 4, 5, 6, 7, 9 and 10 but at the time of hearing restricted its challenge only to the amount awarded under Claim No.7 with regard to idling charges for Backhoe Dredger (BHD).
14. The respondent-Port Trust contended before the Learned Single Judge of the High Court that under Clause 38 of the License

4 Hereinafter referred to as 'the Act'

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Agreement, the idle time charges were to be paid only in respect of idling of the major dredgers and that Backhoe Dredger (BHD) did not fall in that category. The Tribunal as such was not justified in accepting any claim in respect of idling of the Backhoe Dredger (BHD).

15. The Learned Single Judge of the High Court on 10.09.2019 dismissed the petition filed under Section 34 of the Act upholding the findings of the Arbitral Tribunal and that Clause 38 of the License Agreement did not confine the payment of idle time compensation in respect of major dredgers only inasmuch as under Clause 51 of the License Agreement, it was open for the appellant-Dredging India to deploy dredgers without specifying whether major or minor dredgers. The Learned Single Judge further noted that the Tribunal had adequately considered the material on record and had interpreted the relevant clauses in the proper perspective and as such, there was no occasion for him to interfere with the award in exercise of limited jurisdiction under Section 34 of the Act.
16. Even after the award of the Arbitral Tribunal was upheld by the Learned Single Judge of the High Court, the respondent-Port Trust was not satisfied. It went in appeal under Section 37 of the Act before the Division Bench of the High Court by means of OSA No.101/2020. The appeal was restricted to the claim made and awarded under Claim No.7.
17. It was argued that idle time compensation applicable in respect of major dredgers, could not have been awarded in respect of a minor dredger i.e. Backhoe Dredger (BHD). It was also contended that the Arbitral Tribunal had erroneously awarded idle time charges for a non-major dredger. The Backhoe Dredger (BHD) was not a major dredger therefore no idle time compensation could have been claimed or awarded if it had remained idle for any reason.
18. The Division Bench of the High Court *vide* judgment and order dated 15.03.2021 allowed the appeal of the respondent-Port Trust and directed for the deletion of the claim awarded by the Arbitral Tribunal as upheld by the Learned Single Judge of the High Court in respect of Claim No.7 i.e. idle charges for the Backhoe Dredger (BHD).
19. The aforesaid judgment and order of the Division Bench, passed in exercise of powers under Section 37 of the Act, has been assailed by the appellant-Dredging India in this appeal.

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20. Shri Chander U. Singh, learned senior counsel for the appellant-Dredging India, at the threshold argued that the scope of Section 37 of the Act is very limited and cannot extend beyond the ambit of Section 34 of the Act. Therefore, the Division Bench of the High Court manifestly erred in law in disturbing the judgment and order of the Learned Single Judge of the High Court upholding the arbitral award. Since the arbitral award had interpreted the various clauses of the License Agreement and had recorded a definite finding thereon in passing the award and as it was found that there was no scope for interference with it under Section 34 of the Act, the Appellate Court ought not to have varied or reversed the same. The interpretation of the clauses of the License Agreement, as made by the Arbitral Tribunal had to be accepted and that the appellate court had no jurisdiction to interpret those clauses in a different manner.
21. In defence, Shri S. Nagamuthu, learned senior counsel for the respondent-Port Trust, argued that the Division Bench had rightly set aside the arbitral award in respect of Claim No.7 as the claim of the appellant-Dredging India for the delay in handing over the site was under Clauses 41.1 and 41.2 of the License Agreement and, therefore, the Tribunal could not have awarded compensation under Clause 51.1 which deals with the interruption of work due to port traffic etc. Secondly, the Arbitral Tribunal could not have relied upon Claim Nos.5 and 6 which were based on delays due to traffic in and outside port channel to award any compensation under Claim No.7 which was independent and the delay was not on account of port traffic. The award of the claim by the Arbitral Tribunal for Claim No.7 was patently illegal. The claim for compensation due to idling of the Backhoe Dredger (BHD) which was admittedly a minor dredger, was not covered under Clause 38 which only provided for the compensation for the idling of the major dredgers.
22. Apart from other things, the broad question which falls for our consideration is whether the Division Bench in exercise of powers under Section 37 of the Act was justified to interfere with the judgment and order of the Learned Single Judge passed under Section 34 of the Act upholding the award of the Arbitral Tribunal.
23. The ancillary issues which may arise are: whether the Backhoe Dredger (BHD) can be categorized as a minor dredger or is a major dredger; or whether deployment of a minor dredger was not stipulated

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under the License Agreement; and whether on the conjoint reading of Clauses 38, 41.1, 41.2 and 51.1, the appellant-Dredging India is entitled to any compensation for the idling of the said Backhoe Dredger (BHD).

24. The primary object of the Act is to provide speedy and inexpensive mode of resolution of disputes through the process of arbitration with the minimum intervention of the law courts. In this context, it would be beneficial to refer and quote Section 5 of the Act which reads as under:-

“5. Extent of judicial intervention-Notwithstanding anything contained in any other law for the time being in force, in matters governed by this Part, no judicial authority shall intervene except where so provided in this Part.”

25. The above Section 5 of the Act contemplates that in matters of arbitration governed by Part-I i.e. in relation to domestic arbitration, minimum intervention of the judicial authority is acceptable unless it is otherwise provided under Part-I of the Act. In other words, in order to speed up the remedial measures under the Act in relation to domestic arbitration, there has to be minimum intervention of the court and, if necessary, it has to be only in strict compliance with the provisions of the Act.
26. The Act provides for the challenge of the arbitral award before the court on limited grounds as contemplated by Section 34 of the Act i.e. where one of the party was under some incapacity; or where the arbitration agreement itself was not valid; or the parties were not given proper notice of the appointment of an arbitrator or the arbitral proceedings; or was unable, for some reason, to present his case before the Arbitrator or Arbitral Tribunal; or if the arbitral award deals with the dispute not contemplated or falling within the terms of the arbitration or deals with the matters beyond the scope of the arbitration; or where the constitution of the Arbitral Tribunal was not in accordance with arbitration agreement; and, or where the court finds the subject matter of the arbitral dispute was incapable of settlement by arbitration or the arbitral award is in conflict with the public policy of India.
27. In short, apart from the above grounds, the arbitral award is not open for challenge under Section 34 of the Act on any other ground.

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So, the intervention of the court is limited. Therefore, technicalities apart, the main ground for challenge of the arbitral award in the instant case, which survives is that of the award being in conflict with the public policy of India i.e. whether it is in contravention with the fundamental policy of India or is in conflict with the most basic notions of morality or justice.

28. In the case at hand, a challenge to the award of the Arbitral Tribunal before the Learned Single Judge of the High Court would reveal that it was confined to Claim No.7 and that too on the merits of the same and not on the ground of violation of the public policy of India or that it is against the basic notions of morality or justice.
29. The Arbitral Tribunal, in making the award, has interpreted the various clauses of the License Agreement so as to hold that the appellant-Dredging India is entitled for appropriate compensation with regard to idling of its Backhoe Dredger (BHD) for want of non-supply of site within time. Apparently, the challenge to the award of the Arbitral Tribunal was neither on any of the grounds enumerated under Section 34, nor even on the ground that the award of the Claim No.7 is against the fundamental policy of India or the basic notions of morality or justice.
30. That being the position, the award of the Arbitral Tribunal was not liable to be disturbed under Section 34 of the Act and was rightly not disturbed. It is settled in law that the appellate powers under Section 37 are limited to the scope of Section 34 and cannot exceed beyond it. Certainly, therefore, if an award is not liable to be disturbed under Section 34 of the Act, the same could not have been interfered with in exercise of powers under Section 37 of the Act.
31. In **MMTC Limited vs. Vedanta Limited**⁵, this Court has very succinctly laid down the powers of Appellate Court under the Act. It held as under :-

“14. As far as interference with an order made under Section 34, as per Section 37, is concerned, it cannot be disputed that such interference under Section 37 cannot travel beyond the restrictions laid down under Section 34. In other words, the court cannot undertake an independent

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assessment of the merits of the award, and must only ascertain that the exercise of power by the court under Section 34 has not exceeded the scope of the provision. Thus, it is evident that in case an arbitral award has been confirmed by the court under Section 34 and by the court in an appeal under Section 37, this Court must be extremely cautious and slow to disturb such concurrent findings.”

32. In **Konkan Railway Corpn. Ltd. v. Chenab Bridge Project**⁶, a three-judge bench of this Hon’ble Court has extensively dealt with the jurisprudence around Sections 34 and 37 of the Arbitration Act. This Court has held that:

“18. At the outset, we may state that the jurisdiction of the court under Section 37 of the Act, as clarified by this Court in MMTC Ltd. v. Vedanta Ltd.⁷, is akin to the jurisdiction of the court under Section 34 of the Act. Scope of interference by a court in an appeal under Section 37 of the Act, in examining an order, setting aside or refusing to set aside an award, is restricted and subject to the same grounds as the challenge under Section 34 of the Act.

19. Therefore, the scope of jurisdiction under Section 34 and Section 37 of the Act is not akin to normal appellate jurisdiction. It is well-settled that courts ought not to interfere with the arbitral award in a casual and cavalier manner. The mere possibility of an alternative view on facts or interpretation of the contract does not entitle courts to reverse the findings of the Arbitral Tribunal.”

33. In **Punjab State Civil Supplies Corpn. Ltd. v. Sanman Rice Mills**⁸, this Hon’ble Court, while examining the scope of Section 34 and Section 37 of the Arbitration Act, has held that:

“20. In view of the above position in law on the subject, the scope of the intervention of the court in arbitral matters is virtually prohibited, if not absolutely barred and that the interference is confined only to the extent envisaged under

6 (2023) 9 SCC 85

7 (2019) 4 SCC 163

8 2024 SCC OnLine SC 2632

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Section 34 of the Act. The appellate power of Section 37 of the Act is limited within the domain of Section 34 of the Act. It is exercisable only to find out if the court, exercising power under Section 34 of the Act, has acted within its limits as prescribed thereunder or has exceeded or failed to exercise the power so conferred. The Appellate Court has no authority of law to consider the matter in dispute before the arbitral tribunal on merits so as to find out as to whether the decision of the arbitral tribunal is right or wrong upon reappraisal of evidence as if it is sitting in an ordinary court of appeal. It is only where the court exercising power under Section 34 has failed to exercise its jurisdiction vested in it by Section 34 or has travelled beyond its jurisdiction that the appellate court can step in and set aside the order passed under Section 34 of the Act. Its power is more akin to that superintendence as is vested in civil courts while exercising revisionary powers. The arbitral award is not liable to be interfered unless a case for interference as set out in the earlier part of the decision, is made out. It cannot be disturbed only for the reason that instead of the view taken by the arbitral tribunal, the other view which is also a possible view is a better view according to the appellate court.

21. It must also be remembered that proceedings under Section 34 of the Act are summary in nature and are not like a full-fledged regular civil suit. Therefore, the scope of Section 37 of the Act is much more summary in nature and not like an ordinary civil appeal. The award as such cannot be touched unless it is contrary to the substantive provision of law; any provision of the Act or the terms of the agreement.”

34. In **UHL Power Company Limited vs. State of Himachal Pradesh**⁹, a three judges Bench of this Court observed as under:-

“The jurisdiction conferred on the courts under Section 34 of the Arbitration Act is fairly narrow, when it comes to the scope of an appeal under Section 37 of the Arbitration

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Act, the jurisdiction of the Appellate Court in examining an order, setting aside or refusing to set aside an order, is all the more circumscribed.”

35. In a recent case of ***Bombay Slum Redevelopment Corporation Private Limited vs. Samir Narain Bhojwani***¹⁰, a Bench of this Court, of which one of us (P. Mithal, J.) was a member, had held that the jurisdiction of the Appellate Court dealing with an appeal under Section 37 of the Act against the judgment in a petition under Section 34 of the Act is more constrained than the jurisdiction of the court dealing with a petition under Section 34 of the Act.
36. The gist of the aforesaid decisions is that the jurisdiction of the court under Section 37 of the Act is akin to the jurisdiction of the court under Section 34 of the Act, and, therefore, the scope of interference by the court in appeal under Section 37 cannot go beyond the grounds on which challenge can be made to the award under Section 34 of the Act. Moreover, the courts exercising powers under Sections 34 and 37, do not act as a normal court, and therefore, ought not to interfere with the arbitral award on a mere possibility of an alternative view.
37. In other words, the scope of interference of the court with the arbitral matters is virtually prohibited, if not absolutely barred. The powers of the Appellate Court are even more restricted than the powers conferred by Section 34 of the Act. The appellate power under Section 37 of the Act is exercisable only to find out if the court exercising power under Section 34 of the Act, has acted within its limits as prescribed thereunder or has exceeded or failed to exercise the power so conferred. The Appellate Court exercising powers under Section 37 of the Act has no authority of law to consider the matter in dispute before the Arbitral Tribunal on merits so as to hold as to whether the award of the Arbitral Tribunal is right or wrong. The Appellate Court in exercise of such power cannot sit as an ordinary court of appeal and reappraise the evidence to record a contrary finding. The award of the Arbitral Tribunal cannot be touched by the court unless it is contrary to the substantive provision of law or any provision of the Act or the terms of the agreement.
38. Undoubtedly, in the case at hand, the award of the Arbitral Tribunal is not contrary to any substantive provision of law or any provision of

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the Act. Yet, it has been disturbed by the Appellate Court, apparently by giving a different interpretation of the clauses of the License Agreement which jurisdiction was not vested in it. Ordinarily, the interpretation given by the Arbitral Tribunal, as affirmed by the court in exercise of powers under Section 34 of the Act ought to have been accepted.

39. In regard to the contention that the arbitral award was contrary to the terms of the Licence Agreement, it would be trite to state that due and proper interpretation of the various clauses of the Licence Agreement was given by the Arbitral Tribunal and the same also had the approval of the Learned Single Judge by his judgment passed in exercise of powers under Section 34 of the Act and as such the Appellate Court could not have given a different interpretation to the said clauses. The Appellate Court was actually bound by the interpretation of the clauses of the Licence Agreement as given by the Arbitral Tribunal and accepted by the Court under Section 34.
40. In **National Highways Authority of India v. M/s Hindustan Construction Company Ltd.**¹¹ a Bench of this Court, speaking through Justice Oka, of which one of us (Shri P. Mithal, J.) was also a member held as under:

“There cannot be any dispute that as far as the construction of the terms of a contract is concerned, it is for the Arbitral Tribunal to adjudicate upon. If, after considering the material on record, the Arbitral Tribunal takes a particular view on the interpretation of the contract, the Court under Section 34 does not sit in appeal over the findings of the arbitrator.”

In view of the aforesaid decision, if the interpretation given by the Arbitral Tribunal cannot be disturbed under Section 34 of the Act, the same cannot also be disturbed by exercising powers under Section 37 of the Act.

41. Shri S. Nagamuthu, learned senior counsel for the respondent-Port Trust, had cited **Ssangyong Engineering and Construction Company Limited vs. National Highways Authority of India (NHAI)**¹², to contend that when there is patent illegality in the award,

11 2024 INSC 388

12 (2019) 15 SCC 131

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the same could always be corrected in appeal under Section 37 of the Act. A close reading of the above decision would reveal that in order to apply the same, first, it has to be established that there is a patent illegality on the face of the award; secondly, mere contravention of substantive laws of India by itself is no longer a ground available to set aside the award; and if the Arbitrator gives no reason for an award, it would amount to patent illegality. In the present case, no patent illegality on the face of the award stands established. The Arbitral Award is a speaking award with findings and interpretations based upon reasons. Moreover, there is apparently no violation of the fundamental policy of any Indian law or the basic notions of morality and justice to enable the courts to interfere with the award.

42. Insofar as the merits of the case or other ancillary points arising in the matter as referred to above, it would be relevant to refer to Clauses 38, 41.1, 41.2 as well as Clause 51.1 of the License Agreement. The aforesaid clauses are being reproduced hereinbelow for the sake of convenience :-

“Clause 38- STOPPAGE OF WORKS

The Contractor may be instructed to stop the works from time to time due to security reasons, moving ships, or any other reasons as per the instructions of the Port Authorities.

The Contractor shall furnish idle time charges for the major dredgers proposed to be deployed by him in the BOQ. The rate for idle time charges, quoted by the lowest Bidder, will be finalized taking into account the lowest idle time charges quoted by the other Bidders.

Clause 41.1- POSSESSION OF SITE AND ACCESS THERETO

Save in so far as the Contract may prescribe:

a) the extent of portions of the Site of which the Contractor is to be given possession from time to time and

b) the order in which the Works shall be executed as may be mutually agreed on and as per the programme,

c) so much of the Site, and

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d) such access as, in accordance with the Contract, is to be provided by the Employer as may be required to enable the Contractor to commence and proceed with the execution of the Works in accordance with the programme referred to in Clause 44.1, if any, and otherwise in accordance with such reasonable proposals as the Contractor shall, by notice to the Engineer. The Engineer will, from time to time as the Work proceeds, give to the Contractor possession of such further portions of the Site as may be required to enable the Contractor to proceed with the execution of the Works with due dispatch in accordance with such programme or proposals, as the case may be.

Clause 41.2- FAILURE TO GIVE POSSESSION

If the Contractor suffers delay and/or incurs costs from failure on the part of the Employer to give possession in accordance with the terms of Sub-Clause 41.1, the Engineer shall, after due consultation with the Employer and Contractor, determine any extension of time to which the Contractor is entitled under Clause 43.1, and the amount of such costs which shall be added to the Contract Price and shall notify the Contractor accordingly.

Clause 51.1- INTERRUPTIONS TO WORK

The Contractor shall allow in his rates for any loss of working time due to weather, surveying, positioning of craft, shifting of dredger/equipment during maintenance. Idle time of the dredger/equipment exceeding a continuous period of 4 (four) hours due to interruption caused by Port traffic, berthing, unberthing, or shifting of vessels and other operations in the Harbour basin and Approach Channel, excluding the specified times under Sub-Clause 6.0 Section III shipping operations (i.e., from 07.00 hours to 14.00 hours) as instructed/agreed by the Engineer, shall be paid for at the quoted rates included in the Bill of Quantities, subject to the Engineer being notified by the Contractor within 12 hours on each occasion of such interruptions. The idle time for such payment shall be reckoned as the total time in one continuous interruption minus 2 hours.

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Berthing programme of vessels will be provided every day after berthing meeting at 12.00 hours or when ETAs are made available to Port by shipping agencies.

Notice will be given approximately 1 hour before the sailing of vessels, and the Contractor shall contact the Port Marine Department for any information in this regard. No claim whatsoever for additional payments on account of the specified interruption will be entertained.”

43. The aforesaid Clause 38 though speaks about stoppage of work and about idle time charges for the major dredger deployed by the contractor i.e. the appellant-Dredging India, but it nowhere prohibits the appellant-Dredging India to claim compensation in respect of any other equipment including Backhoe Dredger, if it remains idle. The aforesaid Clause 38 cannot be read so as to mean that since it provides for idle time charges for major dredgers, compensation in respect of other equipment or minor/special dredgers is not permissible.
44. Clauses 41.1 and 41.2 provide for the consequences of failure on part of the respondent-Port Trust to give possession of the site in time including extension of time and costs. However, this does not *ipso facto* mean that idle time compensation would not be admissible if the site is not made available for any other reason covered under the terms of the License Agreement.
45. The aforesaid Clauses 41.1 and 41.2 cannot be read in isolation. If we read the aforesaid clauses of the Licence Agreement conjointly with Clause 51.1, it would be evident that idle time charges or compensation are available even if any equipment is kept idle on account of delay or non-providing of the site for operation within time. In view of Clause 51.1, the argument that since the Claim No. 7 was virtually under Clauses 41.1 and 41.2, the Arbitral Tribunal could not have awarded claim under Clause 51.1 is misconceived, inasmuch as it is settled in law that if the power to grant a relief is available under the Act or the terms and conditions of the Licence Agreement, it is immaterial as to under which clause the same is claimed.
46. In the instant case, the power to award compensation for idle time of the equipment including Backhoe Dredger is traceable to Clause 51.1 of the Lease Agreement and therefore the Arbitral Tribunal was not

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wrong in interpreting the clauses so as to make an award in favour of the appellant-Dredging India under Claim No. 7. In such a situation, the interpretation given by the Arbitral Tribunal is apparently a plausible view and was rightly not disturbed by the Learned Single Judge in exercise of power under Section 34 of the Act. Therefore, in appeal under Section 37 of the Act, the said reasoning could not have been disturbed so as to permit a different view. The interpretation given by the Arbitral Tribunal had to be accepted by the Appellate Court.

47. In paragraph 15 of **Larsen Air Conditioning and Refrigeration Company vs. Union of India & Ors.**¹³, this Court observed that the limited and extremely circumscribed jurisdiction of the court under Section 34 of the Act, permits the court to interfere with an award, sans the grounds of patent illegality but if an arbitrator construes a term of a contract in a reasonable manner, it will not mean that the award can be set aside on that ground.
48. In the case at hand, the Arbitral Award contains logical reasons in construing the various clauses of the License Agreement and the view taken by the Arbitral Tribunal had been accepted by the court under Section 34 of the Act as a reasonable and a possible view. Therefore, in the light of above referred decision of **Larsen Air Conditioning (supra)**, the Arbitral Award could not have been set aside even if there was a possible second view regarding the interpretation of the clauses of the License Agreement.
49. In the light of the above discussion, the ancillary issues, whether the Backhoe Dredger (BHD) is a minor or a major dredger or whether it could have been deployed for the project work, pales into insignificance. The License Agreement permits deployment of Backhoe Dredger (BHD) without specifying whether it is a minor or a major dredger. Moreover, as discussed earlier, it was open for the appellant-Dredging India to deploy the equipment as may be felt necessary by it, and, therefore, the deployment of the Backhoe Dredger (BHD) was not contrary to any terms of the License Agreement.
50. In view of the aforesaid factual and legal position, we are of the opinion that the Appellate Court manifestly erred in law in interfering

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with the judgment and order of the Learned Single Judge of the High Court passed under Section 34 of the Act so as to disturb the arbitral award in respect of Claim No.7.

51. Before parting, we consider it proper to note that the Act is a special enactment which aims to resolve contractual/commercial disputes through arbitration with the minimum intervention of the court, if not without the intervention of the court. In the event, the courts are allowed to step in at every stage and the arbitral awards are subjected to challenge before the courts in hierarchy before court of first instance, through regular appeals and finally by means of SLP/ Civil Appeal before the Supreme Court, it would obviate/frustrate and defeat the very purpose of the Act. It is therefore, necessary to accept the arbitral award if it is not patently illegal or does not fall within the scope of intervention under Section 34 of the Act. The appeal thereof has a much narrower scope of intervention particularly when the arbitral award has been upheld under Section 34 of the Act. The appellate jurisdiction acquires little significance only when the arbitral award has been erroneously upheld or set aside by the court in exercise of its power under Section 34 of the Act as discussed earlier, but has no authority of law to consider the matter which was before the Arbitral Tribunal on merits.
52. In the light of the above discussion, in our opinion, the impugned judgment and order dated 15.03.2021 passed by the Division Bench of the High Court under Section 37 of the Act is unsustainable in law and is accordingly set aside.
53. The appeal is allowed with no order as to costs.

Result of the case: Appeal allowed.

Sumit Bansal
v.
M/s MGI Developers and Promoters and Another
(Criminal Appeal No. 141 of 2026)
08 January 2026
[Sanjay Karol and Prashant Kumar Mishra,* JJ.]

Issue for Consideration

a) Whether the High Court was right in quashing Complaint Case No.3298 of 2019 and the consequential summoning order dated 06.03.2019 against respondent nos.1 and 2 herein arising out of the dishonour of the firm's cheque Nos.057140 and 057141, on the ground that it related to the same underlying liability for which another complaint *i.e.*, Complaint Case No.2823 of 2019 had already been instituted and whether the same would not amount to conducting a 'mini trial' which is clearly prohibited under the scheme of s.482 of the Cr.PC; and b) Whether the High Court erred in not quashing the criminal proceedings against respondent no.2 arising out of Complaint Case No.2823 of 2019, Complaint Case No.13508 of 2019 and Complaint Case No.743 of 2020.

Headnotes[†]

Code of Criminal Procedure, 1973 – s.482 – Negotiable Instruments Act, 1881 – Parties entered into an Agreement to Sell dated 07.11.2016 in respect of three commercial units – The total sale consideration agreed between the parties was Rs.1,72,21,200/- was admittedly paid by the complainant to the proprietorship firm – Upon the failure of respondent nos.1 (firm) and 2 (proprietor) to execute the Sale Deed(s), respondent no.1 issued cheques, which were returned dishonored – A total of five complaint cases came to be filed by the complainant against the same set of accused, each complaint relating to distinct cheque instruments and separate dates of presentation and dishonour: (i) Complaint Case No.2823/2019; (ii) Complaint Case No.3298/2019; (iii) Complaint Case No.13508/2019; (iv) Complaint Case No.740/2020; and (v) Complaint Case No.743/2020, the last two arising out of the same set of

* Author

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transactions – Respondents filed petitions u/s.482 CrPC before the High Court seeking quashing of the complaints and the summoning orders – The High Court quashed the complaint relating to the firm's cheques (Complaint Case No.3298 of 2019) in entirety, and also partially quashed the complaint relating to the personal cheques (Complaint Case No.2823 of 2019) – Correctness:

Held: In Complaint case 3298 of 2019, having perused the impugned judgment of High Court *qua* quashing of Complaint Case No.3298 of 2019, this Court is unable to concur with the reasoning reached by the High Court – It is well settled that u/s.138 of the NI Act, a separate cause of action arises upon each dishonour of a cheque provided the statutory sequence of presentation, dishonour, notice, and failure to pay is complete – The fact that multiple cheques arise from one transaction will not merge them into a single cause of action – In the present case, the cheques forming the subject of the two complaints (Complaint Case No.2823 of 2019 and Complaint Case No.3298 of 2019) were distinct instruments drawn on different accounts, presented on different dates, dishonoured separately, and followed by independent statutory notices – The scheme of s.138 of the NI Act does not bar prosecution in such circumstances – Whether those cheques were issued as alternative or supplementary instruments, or represented fresh undertakings, is a disputed question of fact requiring evidence at the time of trial and cannot be resolved at the threshold – The inherent jurisdiction of the High Court u/s.482 of the Cr.PC cannot be used to decide such disputed issues – This Court is of the view that the High Court exceeded its jurisdiction and was not justified in quashing Complaint Case No.3298 of 2019 – As far as other complaint cases *i.e.* Complaint Case No.743 of 2020, Complaint Case No.13508 of 2019 and Complaint Case No.2823 of 2019 are concerned, the record clearly indicates that these complaints (Complaint Case No.2823 of 2019, Complaint Case No.13508 of 2019 and Complaint Case No.743 of 2020) arise out of cheques issued and dishonoured on different dates in 2018 and 2019, each followed by independent statutory notices and complaint – On a careful reading of the ingredients required for commission of offence u/s.138 of the NI Act, this Court finds that the record clearly indicates that the cheques were dishonoured, statutory notices were served, cheques were returned, and the summons were thereafter issued – On such material, this Court is of the view that

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the complaint *prima facie* stands – Any disputed question of fact *qua* the offence alleged must be done during the trial – Thus, the High Court was justified in not quashing Complaint Case No.2823 of 2019, Complaint Case No.13508 of 2019 and Complaint Case No.743 of 2020 registered against respondent no.2 herein – All contentions of the parties are left open, which shall be decided by the Trial Court on its own merits and in accordance with law. [Paras 30, 34, 35, 38, 40, 44, 46]

Case Law Cited

State of Haryana and Others v. Bhajan Lal and Others [1990] Supp. 3 SCR 259 : (1992) Supp. 1 SCC 335; *Neeharika Infrastructure Private Limited v. State of Maharashtra and Others* [2021] 4 SCR 1044 : (2021) 19 SCC 401; *Kusum Ingots & Alloys Ltd. v. Pennar Peterson Securities Ltd. and Others* [2000] 1 SCR 1120 : (2000) 2 SCC 745 – relied on.

M.M.T.C. Ltd. and Another v. Medchl Chemicals and Pharma (P) Ltd. and Another [2001] Supp. 5 SCR 265 : (2002) 1 SCC 234 – referred to.

List of Acts

Code of Criminal Procedure, 1973; Negotiable Instruments Act, 1881; Legally Enforceable Debt.

List of Keywords

Section 482 of Code of Criminal Procedure, 1973; Mini trial; Power to quash criminal proceedings; Dishonour of cheque; Complaint; Statutory notice; Failure to pay; Separate cause of action; Dishonoured separately; Independent statutory notice; Disputed question of fact.

Case Arising From

CRIMINAL APPELLATE JURISDICTION: Criminal Appeal No. 141 of 2026

From the Judgment and Order dated 17.04.2025 of the High Court of Delhi at New Delhi in CRLMC No. 8002 of 2023

With

Criminal Appeal No(s). 142, 143, and 144 of 2026

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Appearances for Parties

Advs. for the Appellant(s):

Dr. Harshvir Pratap Sharma, Sr. Adv., Sameer Rohatgi, Namit Suri, Rameezuddin Raja, Ms. Pepakayala Geetanjali, Anish Singh, Tejas Patel, Harshvir Pratap Sharma, Akul Krishnan.

Advs. for the Respondent(s):

Dr. Harshvir Pratap Sharma, Sr. Adv., Tejas Patel, Akul Krishnan, Ms. Sakshi Apurva, Sameer Rohatgi, Namit Suri, Rameezuddin Raja, Ms. Pepakayala Geetanjali, Anish Singh.

Judgment / Order of the Supreme Court

Judgment

Prashant Kumar Mishra, J.

1. Leave granted.
2. The present batch of Appeals arises out of two separate judgments dated 17.04.2025 passed by the High Court of Delhi¹ in the petitions filed under Section 482 of the Code of Criminal Procedure, 1973² seeking quashing of a set of four complaints instituted under Section 138 read with Sections 141 and 142 of the Negotiable Instruments Act, 1881³.
3. The complainant in all the four complaints is one Shri Sumit Bansal, who is appellant in the lead Appeal and respondent in the connected Appeals, whereas the accused are M/s. MGI Developers and Promoters, a proprietorship concern, and its proprietor Shri Manoj Goyal, who are the respondents in the lead Appeal and the appellants in the connected Appeals. For our convenience in adjudicating all the Appeals, Shri Sumit Bansal will be referred to as 'the complainant', whereas M/s. MGI Developers and Promoters and Shri Manoj Goyal will be referred to as 'Respondent No. 1' and 'Respondent No. 2' respectively.

1 'High Court'

2 'Cr.PC'

3 'NI Act'

Sumit Bansal v. M/s MGI Developers and Promoters and Another**FACTUAL MATRIX**

4. The record discloses that the parties had entered into an Agreement to Sell dated 07.11.2016 in respect of three commercial units bearing Nos. S-1, S-2 and S-3 situated in a commercial project named “MGI Mansion”, located at Khasra Nos. 966 and 967, Village Noor Nagar, Tehsil and District Ghaziabad, Uttar Pradesh. The total sale consideration agreed between the parties was Rs. 1,72,21,200/- (Rupees One Crore Seventy-two Lakh Twenty-one Thousand and Two Hundred only), which was admittedly paid by the complainant to the proprietorship firm. Under the terms of the Agreement, the vendor was obliged to execute and register the Sale Deed(s) in favour of the complainant on or before 30.09.2018, and in the event of failure to do so, the entire amount received was to be refunded to the complainant together with an appreciation amount by way of compensation.
5. On 27.07.2018, Respondent No.2 executed a personal guarantee undertaking to ensure refund of the amount together with the appreciation amount in case the sale deeds were not executed to the complainant within the stipulated period. To secure the said liability, he also undertook to issue personal cheques corresponding to the firm’s cheques, to provide an alternative mechanism for repayment.
6. Upon the failure of Respondent Nos. 1 and 2 to execute the Sale Deed(s) by 30.09.2018, Respondent No. 1 issued two cheques of that date, namely Cheque No. 057140 for Rs. 1,72,21,200/- representing the principal consideration, and Cheque No. 057141 for Rs. 35,00,000/- representing the appreciation amount. In addition, in terms of his personal guarantee, Respondent No. 2 issued two personal cheques, also dated 30.09.2018, being Cheque No. 114256 for Rs. 1,72,21,200/- and Cheque No. 114257 for Rs. 35,00,000/-. These cheques were handed over to the complainant with an understanding that the personal cheques could be presented earlier, while the firm’s cheques would be available for presentation later.
7. Acting on such understanding, the complainant presented the personal cheques for encashment on 05.12.2018. However, both the cheques were returned dishonoured on 06.12.2018 with the bank’s remark “Exceeds Arrangement”. Subsequently, the complainant presented the firm’s cheques on 15.12.2018, which too were returned unpaid

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- on 17.12.2018 with the remark “Funds Insufficient”. The complainant thereafter issued a statutory notice dated 21.12.2018 to all the accused persons demanding payment within the statutory period, but despite service, no payment was made.
8. Consequently, the complainant instituted the first two complaints under Section 138 of the NI Act. The first was Complaint Case No. 2823 of 2019, filed on 25.01.2019, in respect of the personal cheque Nos. 114256 and 114257 issued by Respondent No. 2, wherein cognizance was taken and summons issued on 20.06.2019. The second was Complaint Case No. 3298 of 2019, filed on 30.01.2019, in respect of the firm’s cheques Nos. 057140 and 057141, for which the summoning order was passed on 06.03.2019.
 9. Thereafter, in continuation of the earlier transaction, Respondent Nos. 1 and 2 again issued fresh cheques. On 28.02.2019, Respondent No. 1 issued Cheque No. 562629 for Rs. 35,00,000/-, and Respondent No. 2 issued Cheque No. 114275 for the same amount, again towards the appreciation sum. Cheque No. 114275, when presented on 11.03.2019, was dishonoured on 12.03.2019 with the endorsement “Exceeds Arrangement”. Respondent No. 1’s cheque No. 562629, presented on 08.05.2019, was also dishonoured on 09.05.2019 with the remark “Funds Insufficient”. A statutory notice having been issued and no payment made, the complainant filed another complaint, Complaint Case No. 13508 of 2019, for which cognizance and summoning were ordered on 17.08.2019.
 10. Subsequently, on 31.07.2019, further cheques were issued in relation to the same underlying transaction with Respondent No. 1 issued Cheque No. 562656 for Rs. 35,00,000/-, and Respondent No. 2 issued Cheque No. 000084 for Rs. 35,00,000/-. These were presented in October 2019 and were dishonoured on 28.10.2019 and 26.10.2019, respectively. The complainant issued statutory notices dated 30.10.2019, and upon failure of payment, instituted two more complaints being Complaint Case Nos. 740 of 2020 and 743 of 2020, both filed on 09.01.2020, wherein cognizance and summoning orders were passed on 24.11.2022.
 11. In this manner, a total of five complaint cases came to be filed by the complainant against the same set of accused, each complaint relating to distinct cheque instruments and separate dates of presentation and dishonour: **(i)** Complaint Case No. 2823/2019; **(ii)** Complaint Case

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No. 3298/2019; **(iii)** Complaint Case No. 13508/2019; **(iv)** Complaint Case No. 740/2020⁴; and **(v)** Complaint Case No.743/2020, the last two arising out of the same set of transactions.

12. Aggrieved by the institution and continuation of the said criminal complaints and the summoning orders passed thereafter, Respondent Nos. 1 and 2 preferred petitions before the High Court of Delhi under Section 482 of the Cr.PC seeking quashing of the complaints and the summoning orders.
13. Vide its judgment dated 17.04.2025 passed in Crl.MC No. 7912 of 2023 and Crl.MC No. 8002 of 2023, the High Court, upon consideration of the material, observed that the cheques which formed the basis of the first two complaints (i.e., Complaint Case Nos. 2823 of 2019 and 3298 of 2019) were drawn and presented in respect of the same underlying liability, namely, refund of the same sale consideration under the Agreement to Sell dated 07.11.2016. The Court held that the complainant could not simultaneously maintain two separate complaints in respect of the same debt or liability, merely because separate sets of cheques i.e., one issued in the name of the firm and another personally by its proprietor, had been presented and dishonoured. It was, thus, concluded that continuation of both complaints would amount to parallel prosecution for the same cause of action. On that reasoning, the High Court quashed the complaint relating to the firm's cheques (Complaint Case No. 3298 of 2019) in entirety, and also partially quashed the complaint relating to the personal cheques (Complaint Case No. 2823 of 2019) only insofar as it concerned Smt. Kavita Rani Goyal, who was not a signatory to the cheques nor shown to be involved in the transaction.
14. In a separate judgment dated 17.04.2025 passed in Crl.MC No. 2161 of 2024 and Crl.MC No. 7632 of 2023 as regard to the later complaints (Complaint Case No. 13508 of 2019 and Complaint Case No. 743 of 2020) against both the respondents, the High Court noted that those cheques were issued subsequently, on distinct dates, representing independent and fresh causes of action upon successive dishonours. The High Court, therefore, held that the same could not be said to be barred by reason of multiplicity or identity of cause and declined to quash those complaints at the threshold, observing that whether

4 This Complaint Case is not a subject-matter of the present Appeals.

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those instruments were issued in discharge of legally enforceable debt would be a matter of trial.

15. Being aggrieved, the complainant has preferred the present Appeal, which is the lead matter, before this Court challenging the quashing of Complaint Case No. 3298 of 2019 by the High Court, whereas Respondent No. 2 has filed separate Appeals, which are companion Appeals, assailing the refusal of the High Court to quash the other complaints against him. The complainant did not challenge the order insofar as it related to Smt. Kavita Rani Goyal, therefore, that portion remains uncontested before us.
16. While issuing notice on the lead Appeal, preferred by the complainant, this Court had stayed the effect and operation of the impugned judgment dated 17.04.2025 in CrI.MC No. 8002 of 2023, whereby the High Court had quashed Complaint Case No. 3298 of 2019 against Respondent No. 2.

SUBMISSION OF PARTIES

17. Learned counsel for the complainant argued that the impugned judgment of the High Court failed to recognise that the respondents throughout the litigation have nowhere disputed the issuance, presentation and dishonour of the cheques and nor have denied the underlying liability.
18. Learned counsel has submitted that the High Court erred in quashing Complaint Case No. 3298 of 2019 against the respondents on the ground that since the personal cheques issued by Respondent No. 2 were already presented, the other cheques issued from the firm's account ought to have been returned. Learned counsel points out that neither of the cheques were cancelled nor returned by the complainant to the respondents. Therefore, learned counsel submits that once the ingredients of Section 138 of the NI Act are satisfied, presumption of liability continues to exist against the respondents.
19. With respect to the Appeals filed by the respondents challenging the High Court's refusal to quash other complaint cases, learned counsel for the complainant submits that the impugned judgment of the High Court was correct in not quashing Complaint No. 2823 of 2019 as regards Respondent No.2, Complaint Case No. 13508/2019, and Complaint Case No. 743/2020, registered against the respondents.

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20. Lastly, learned counsel for the complainant submits that the arguments of the respondents that the payment has already been made to the complainant is a disputed question of fact and the High Court was right in not interfering with the same under Section 482 of the Cr.PC.
21. *Per contra*, learned senior counsel for the respondents has argued that all the four complaints against them are not in conformity with Section 138 of the NI Act. He points out that the principal amount in the alleged Agreement dated 07.11.2016 was of Rs 1,72,21,200/- and Rs 35,00,000/- as appreciation amount, however, the total amount claimed in these five complaints goes to Rs 5,19,42,400/-.
22. Learned senior counsel for the respondents has argued that the Complaint Case No. 3298 of 2019 was rightly quashed by the High Court. He submits that the complainant had already exhausted his remedy by instituting the personal cheque issued by Respondent No.2 and, therefore, was barred by estoppel in instituting the other cheques issued by the firm.
23. Lastly, with respect to the other complaints, learned senior counsel for the respondents submits that no amount is due to be paid to the complainant as the same is already returned. Therefore, he submits that there exists no liability whatsoever of the respondents.

ANALYSIS

24. We have heard the learned counsel for the parties and have carefully perused the material on record.
25. The issues that arise for our consideration are:
 - a) Whether the High Court was right in quashing Complaint Case No. 3298 of 2019 and the consequential summoning order dated 06.03.2019 against Respondent Nos. 1 and 2 herein arising out of the dishonour of the firm's cheque Nos. 057140 and 057141, on the ground that it related to the same underlying liability for which another complaint i.e., Complaint Case No. 2823 of 2019 had already been instituted and whether the same would not amount to conducting a 'mini trial' which is clearly prohibited under the scheme of Section 482 of the Cr.PC; and
 - b) Whether the High Court erred in not quashing the criminal proceedings against Respondent No. 2 arising out of Complaint

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Case No. 2823 of 2019, Complaint Case No. 13508 of 2019 and Complaint Case No. 743 of 2020.

26. Before advertng to the rival contentions, it is appropriate to recall the settled legal principles which govern the exercise of the inherent jurisdiction of the High Court under Section 482 of the Cr.PC. This Court in catena of judgments has emphasised that the High Court must avoid usurping the function of a Trial Court or conducting a *mini trial* when disputed factual questions attend the maintainability of a complaint. In ***State of Haryana and Others vs. Bhajan Lal and Others***⁵, a Division Bench of this Court had discussed about the scope of Section 482 of the Cr.PC as follows:

“102. In the backdrop of the interpretation of the various relevant provisions of the Code under Chapter XIV and of the principles of law enunciated by this Court in a series of decisions relating to the exercise of the extraordinary power under Article 226 or the inherent powers under Section 482 of the Code which we have extracted and reproduced above, we have given the following categories of cases by way of illustration wherein such power could be exercised either to prevent abuse of the process of any court or otherwise to secure the ends of justice, though it may not be possible to lay down any precise, clearly defined and sufficiently channelised and inflexible guidelines or rigid formulae and to give an exhaustive list of myriad kinds of cases wherein such power should be exercised.

(1) Where the allegations made in the first information report or the complaint, even if they are taken at their face value and accepted in their entirety do not prima facie constitute any offence or make out a case against the accused.

(2) Where the allegations in the first information report and other materials, if any, accompanying the FIR do not disclose a cognizable offence, justifying an investigation by police officers under Section 156(1) of the Code except under an order of a Magistrate within the purview of Section 155(2) of the Code.

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(3) Where the uncontroverted allegations made in the FIR or complaint and the evidence collected in support of the same do not disclose the commission of any offence and make out a case against the accused.

(4) Where, the allegations in the FIR do not constitute a cognizable offence but constitute only a non-cognizable offence, no investigation is permitted by a police officer without an order of a Magistrate as contemplated under Section 155(2) of the Code.

(5) Where the allegations made in the FIR or complaint are so absurd and inherently improbable on the basis of which no prudent person can ever reach a just conclusion that there is sufficient ground for proceeding against the accused.

(6) Where there is an express legal bar engrafted in any of the provisions of the Code or the concerned Act (under which a criminal proceeding is instituted) to the institution and continuance of the proceedings and/or where there is a specific provision in the Code or the concerned Act, providing efficacious redress for the grievance of the aggrieved party.

(7) Where a criminal proceeding is manifestly attended with mala fide and/or where the proceeding is maliciously instituted with an ulterior motive for wreaking vengeance on the accused and with a view to spite him due to private and personal grudge.”

(emphasis supplied)

27. In a much recent decision of this Court in ***Neeharika Infrastructure Private Limited vs. State of Maharashtra and Others***⁶, a three-Judge Bench had held that the power to quash criminal proceedings must be exercised sparingly, and only where the complaint, even if accepted in full, discloses no offence or continuation would amount to abuse of process of law. This Court had issued the following directions to the High Courts to be kept in mind while exercising the power under Section 482 of the Cr.PC:

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“Conclusions

33. In view of the above and for the reasons stated above, our final conclusions on the principal/core issue, whether the High Court would be justified in passing an interim order of stay of investigation and/or “no coercive steps to be adopted”, during the pendency of the quashing petition under Section 482CrPC and/or under Article 226 of the Constitution of India and in what circumstances and whether the High Court would be justified in passing the order of not to arrest the accused or “no coercive steps to be adopted” during the investigation or till the final report/charge-sheet is filed under Section 173CrPC, while dismissing/disposing of/not entertaining/not quashing the criminal proceedings/complaint/FIR in exercise of powers under Section 482CrPC and/or under Article 226 of the Constitution of India, our final conclusions are as under:

33.1....

33.2. Courts would not thwart any investigation into the cognizable offences.

33.3. It is only in cases where no cognizable offence or offence of any kind is disclosed in the first information report that the Court will not permit an investigation to go on.

33.4. The power of quashing should be exercised sparingly with circumspection, as it has been observed, in the “rarest of rare cases” (not to be confused with the formation in the context of death penalty).

33.5. While examining an FIR/complaint, quashing of which is sought, the court cannot embark upon an enquiry as to the reliability or genuineness or otherwise of the allegations made in the FIR/complaint.

33.6....

33.7. Quashing of a complaint/FIR should be an exception rather than an ordinary rule.

33.8 to 33.11....

33.12. The first information report is not an encyclopedia which must disclose all facts and details relating to the

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offence reported. Therefore, when the investigation by the police is in progress, the court should not go into the merits of the allegations in the FIR. Police must be permitted to complete the investigation. It would be premature to pronounce the conclusion based on hazy facts that the complaint/FIR does not deserve to be investigated or that it amounts to abuse of process of law. After investigation, if the investigating officer finds that there is no substance in the application made by the complainant, the investigating officer may file an appropriate report/summary before the learned Magistrate which may be considered by the learned Magistrate in accordance with the known procedure.

33.13 and 33.14....

33.15. When a prayer for quashing the FIR is made by the alleged accused and the court when it exercises the power under Section 482CrPC, only has to consider whether the allegations in the FIR disclose commission of a cognizable offence or not. The court is not required to consider on merits whether or not the merits of the allegations make out a cognizable offence and the court has to permit the investigating agency/police to investigate the allegations in the FIR.

.....”

(emphasis supplied)

28. On these lines, it is apt clear that even though the powers under Section 482 of the Cr.PC are very wide, its conferment requires the High Court to be more cautious and diligent. While examining any complaint or FIR, the High Court exercising its power under this provision cannot go embarking upon the genuineness of the allegations made. The Court must only consider whether there exists any sufficient material to proceed against the accused or not.
29. As we have now discussed the trite law on the powers of High Court under Section 482 of the Cr.PC, we will now individually deal with the facts of the present Appeals. Considering that there are two sets of Appeals before us, one by the complainant and other three by Respondent No. 2, we would be dealing both sets separately.

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A. Criminal Appeal arising out of S.L.P. (Criminal) No.10770 of 2025 (preferred by the complainant)

30. From the material on record, it is evident that the complainant was in possession of two cheques bearing nos. 057140 and 057141, both dated 30.09.2018, for Rs.1,72,21,200/- and Rs.35,00,000/- respectively, issued by Respondent No. 2 on behalf of the firm. The complainant asserts that, citing temporary financial constraints in the firm, Respondent No. 2 issued two additional cheques from his personal joint account (with his wife Smt. Kavita Rani Goyal) with nos. 114256 and 114257, also dated 30.09.2018, for the same amounts as a personal guarantee, to be invoked if repayment was sought prior to 15.12.2018. The complainant presented the personal cheques for encashment on 05.12.2018, which were dishonoured, and return memos were issued on 06.12.2018. Upon being apprised of the dishonour, the accused had expressed regret and advised the complainant to present the firm's cheques, assuring their honour. When the firm's cheques were presented for encashment, they were also dishonoured. This led to two complaints being filed, first was Complaint Case No. 2823 of 2019, filed on 25.01.2019, in respect of the personal cheques Nos. 114256 and 114257, and the second was Complaint Case No. 3298 of 2019, filed on 30.01.2019, in respect of the firm's cheque Nos. 057140 and 057141.
31. The complainant is before us challenging the impugned judgment by which the High Court had quashed Complainant Case No. 3298 of 2019 registered against Respondent Nos.1 and 2. In dealing with the case of the complainant before us, it would be appropriate to advert to the observations made by the High Court in paragraph 10 of the impugned judgment in CrI.MC Nos.7912/2023 and 8002/2023:

“10. As pointed hereinabove, it is the case of the respondent himself in CRL.M.C. 7912/2023 that the cheques issued from the personal bank account of petitioner no. 1 (jointly held by petitioner nos. 1 and 2) were given as an option to the respondent in case he wanted the money to be credited in his account before the date as stated in the said complaint, i.e., 15.12.2018. In essence therefore, the cheques issued by petitioner no. 1 from his personal bank account were in lieu of the cheques issued by petitioner no. 1 from the bank account of the petitioner firm. In

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these circumstances the cheques issued by petitioner no. 1 on behalf of the petitioner firm in the first instance should either have been returned by the respondent and in any case, ought not to have been presented. There is absolutely no disclosure on behalf of the respondent in the complaint filed subsequently with respect to the cheques issued by petitioner no. 1 on behalf of the petitioner firm, i.e., in Complaint Case no. 3298/2019 (subject-matter of CRL. M.C. 8002/2023) with regard to the cheques already issued by petitioner no. 1 from his personal bank account. In view of the averments made in the complaints, there cannot be in any manner, doubt left that the respondent exercised his option to present the cheques issued from the personal bank account of the petitioner towards the personal guarantee for discharge of the liability. In these circumstances, the respondent cannot be permitted to present the other set of cheques issued from the bank account of the petitioner firm again for the same transaction. In these circumstances, in the considered opinion of this Court, continuance of proceedings in Criminal Complaint no. 3298/2019 (subject matter of CRL.M.C. 8002/2023) would be an abuse of process of law and therefore, in the interest of justice, exercise of powers under Section 482 of the Cr.P.C. by this Court is warranted in the present case."

(emphasis supplied)

32. From a bare perusal of the above observation of the High Court, it can be seen that one of the important factors that weighed in with the High Court while allowing the quashing of Complainant Case No. 3298 of 2019 against Respondent Nos.1 and 2 was that firm's cheques (Nos. 057140 and 057141) and the personal cheques (Nos. 114256 and 114257) issued by Respondent No. 2 represented the same liability under the Agreement to Sell dated 07.11.2016 and, therefore, two parallel prosecutions could not simultaneously stand. The High Court was of the view that the cheques issued by Respondent No. 2 from his personal bank account were *in lieu* of the cheques issued from the bank account of the firm and, therefore, once the complainant had exercised his option to present the cheques issued by Respondent No. 2 from his personal account, the cheques

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issued from Respondent No. 1's bank account ought not to have been presented later and they should have been returned back. The High Court had also highlighted that in Complainant Case No. 3298 of 2019 which was filed on 30.01.2019, there was no disclosure on the part of the complainant about the earlier Complaint Case No. 2823 of 2019 filed on 25.01.2019 regarding the cheques issued by Respondent No. 2 from his personal bank account. In light of the above, the High Court had proceeded to quash Complaint Case No. 3298 of 2019, holding that its continuation along with Complaint Case No. 2823 of 2019 for the same transaction would be an abuse of process of law.

33. In ***Neeharika Infrastructure Private Limited*** (supra), this Court had made it clear that quashing was to be permissible only where the complaint on its face fails to disclose any offence or where there is unimpeachable material demonstrating abuse of process of law. On these lines, having perused the impugned judgment of High Court *qua* quashing of Complaint Case No. 3298 of 2019, we are unable to concur with the reasoning reached by the High Court. It is well settled that under Section 138 of the NI Act, a separate cause of action arises upon each dishonour of a cheque provided the statutory sequence of presentation, dishonour, notice, and failure to pay is complete. The fact that multiple cheques arise from one transaction will not merge them into a single cause of action. In the present case, the cheques forming the subject of the two complaints (Complaint Case No. 2823 of 2019 and Complaint Case No. 3298 of 2019) were distinct instruments drawn on different accounts, presented on different dates, dishonoured separately, and followed by independent statutory notices. The scheme of Section 138 of the NI Act does not bar prosecution in such circumstances.
34. Whether those cheques were issued as alternative or supplementary instruments, or represented fresh undertakings, is a disputed question of fact requiring evidence at the time of trial and cannot be resolved at the threshold. Questions such as whether the firm's cheques were issued in substitution of the personal cheques, whether the parties treated them as alternative securities, and whether both were intended to be simultaneously enforceable, are all mixed questions of fact. The inherent jurisdiction of the High Court under Section 482 of the Cr.PC cannot be used to decide such disputed issues.

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35. For these reasons, we are of the view that the High Court exceeded its jurisdiction and was not justified in quashing Complaint Case No. 3298 of 2019 and the summoning order dated 06.03.2019. The complaint on its face discloses the ingredients of offence under Section 138 of the NI Act and must proceed to trial.

B. Criminal Appeals arising out of S.L.P. (Criminal) Nos.11262 of 2025, 11647 of 2025 and 11787 of 2025 (preferred by Respondent No.2)

36. We shall now turn to the three Appeals filed by Respondent No. 2 challenging the High Court's refusal to quash Complaint Case No. 743 of 2020, Complaint Case No. 13508 of 2019 and Complaint Case No. 2823 of 2019.
37. Before we delve into the correctness of the impugned judgment of the High Court *qua* the foregoing complaints, it is apposite for us to refer to the Agreement to Sell dated 07.11.2016, which acts as a base for this entire litigation. The relevant portion of the said Agreement is reproduced hereinbelow:

"7a) That, in case the First Party is unable to get the Sale Deed of the said Commercial Unit(s) registered in favour of the Second Party till 30-09-2018, then the Second party shall be entitled to the refund of Full & Final Payment given against the said Commercial Unit(s). In such an eventuality, the First Party shall be liable to pay a compensation of Rs. 15000/- (Rupees Fifteen Thousand Only) Per day after 30-09-2018 which will be over & above the Full & Final payment amount.

7b) That the first party will also provide irrevocable Authority Letter in the name of Mr. Narinder Kumar Midha S/o Late Shri K.N. Midha R/o House No. 53, 2nd Floor, Road No.-42, West Punjabi Bagh, New Delhi-110026, enabling him to execute the Power of Attorney, Sale Deed, Agreement to Sell, whichever is applicable and receive consideration/ Free transfer to third party for the said commercial units.

7c) That the First Party also confirms for an appreciation amount of Rs. 35,00,000/- (Rupees Thirty Five Lakh only) to the Second Party if First Party will not be able to

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deliver the mentioned commercial units in schedule course of time and a post-dated cheque no. 057141 drawn on Central Bank of India, Ghaziabad Dt. 30-09-2018 issued to Second Party.”

(emphasis supplied)

38. The record clearly indicates that these complaints (Complaint Case No. 2823 of 2019, Complaint Case No. 13508 of 2019 and Complaint Case No. 743 of 2020) arise out of cheques Nos. 114256, 114257, 562629 and 000084 respectively, as issued and dishonoured on different dates in 2018 and 2019, each followed by independent statutory notices and complaint. It is also an admitted fact that each of the above cheques were issued by Respondent No.2 over and above the cheques of the principal amount of Rs.1,72,21,200/- and the appreciation amount of Rs. 35,00,000/-.
39. At this point, it is imperative to refer to the decision in ***Kusum Ingots & Alloys Ltd. vs. Pennar Peterson Securities Ltd. and Others***⁷, wherein a Division Bench of this Court had highlighted the ingredients which are to be satisfied for making out a case under Section 138 of the NI Act. The relevant excerpt is reproduced hereinbelow:

“10. On a reading of the provisions of Section 138 of the NI Act it is clear that the ingredients which are to be satisfied for making out a case under the provision are:

(i) a person must have drawn a cheque on an account maintained by him in a bank for payment of a certain amount of money to another person from out of that account for the discharge of any debt or other liability;

(ii) that cheque has been presented to the bank within a period of six months from the date on which it is drawn or within the period of its validity, whichever is earlier;

(iii) that cheque is returned by the bank unpaid, either because the amount of money standing to the credit of the account is insufficient to honour the cheque or that it exceeds the amount arranged to be paid from that account by an agreement made with the bank;

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(iv) the payee or the holder in due course of the cheque makes a demand for the payment of the said amount of money by giving a notice in writing, to the drawer of the cheque, within 15 days of the receipt of information by him from the bank regarding the return of the cheque as unpaid;

(v) the drawer of such cheque fails to make payment of the said amount of money to the payee or the holder in due course of the cheque within 15 days of the receipt of the said notice.”

40. On a careful reading of the ingredients required for commission of offence under Section 138 of the NI Act, we find that the record before us clearly indicates that the cheques, as provided above, were dishonoured, statutory notices were served, cheques were returned, and the summons were thereafter issued. On such material, we are of the view that the complaint *prima facie* stands. Any disputed question of fact *qua* the offence under Section 138 of the NI Act or any defence that Respondent No. 2 wants to raise against the offence alleged must be done during the trial.
41. One of the averments raised by the respondents is that the said cheques were presented illegally by the complainant despite receiving the entire amount already. Learned senior counsel for the respondents had argued that in fact the complainant had invested only Rs 66,50,000/- for which they have already returned Rs 97,00,000/-. Therefore, it is the case of the respondents that there exists no debt or liability.
42. However, we are of the view that the burden of proving whether there exists any debt or liability is something which must be discharged in trial. A bare perusal of Section 139 of the NI Act would indicate that once a cheque is issued in discharge of liability and dishonoured, a presumption of liability in favour of the complainant arises. The accused person is then required to rebut the presumption by raising facts that either there was no debt or liability when the cheque was drawn, or the cheque was not drawn in discharge of liability, or notice was not served in time. In this regard, we must refer to the decision in ***M.M.T.C. Ltd. and Another vs. Medchl Chemicals and Pharma (P) Ltd. and Another***⁸, wherein this Court had made the following observation on this aspect:

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“17. There is therefore no requirement that the complainant must specifically allege in the complaint that there was a subsisting liability. The burden of proving that there was no existing debt or liability was on the respondents. This they have to discharge in the trial. At this stage, merely on the basis of averments in the petitions filed by them the High Court could not have concluded that there was no existing debt or liability.”

(emphasis supplied)

43. The statutory presumption attached to the issuance of a cheque, being one made in discharge of a legally enforceable debt or liability, is required to be accorded due weight. Therefore, in circumstances where the accused approaches the Court seeking quashing of proceedings even before the commencement of trial, the Court must exercise circumspection and refrain from prematurely stifling the prosecution at the threshold, particularly by overlooking the legal presumption that operates in favour of the complainant.
44. For these reasons, we are of the view that the High Court was justified in not quashing Complaint Case No. 2823 of 2019, Complaint Case No.13508 of 2019 and Complaint Case No. 743 of 2020 registered against Respondent No. 2 herein. The foregoing complaints *prima facie* discloses the ingredients of offence under Section 138 of the NI Act and must proceed to trial.

CONCLUSION

45. In light of our aforesaid discussion and for the reasons above, we come to the following conclusion:
 - a) The Appeal arising out of SLP (Crl.) No. 10770 of 2025 preferred by the complainant is **allowed**. The judgment of the High Court dated 17.04.2025 passed in Crl.MC No. 8002 of 2023 quashing Complaint Case No. 3298 of 2019 and the summoning order dated 06.03.2019, is **set aside**. Complaint Case No. 3298 of 2019 shall stand restored for trial before the concerned Trial Court.
 - b) The Appeals arising out of SLP (Crl.) Nos. 11262 of 2025, 11647 of 2025 and 11787 of 2025 preferred by Respondent No. 2 are **dismissed**.

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46. All contentions of the parties are left open, which shall be decided by the Trial Court on its own merits and in accordance with law. We make it clear that none of the observations contained herein shall have a bearing on the main trial. The Trial Court shall independently arrive at its conclusion based on the evidence tendered before it.

Result of the case: Crl.A.No.141 of 2026 is allowed.

Crl.A.No. 142 of 2026, Crl.A. No. 143 of 2026
and Crl. A. No.144 of 2026 are dismissed.

†Headnotes prepared by: Ankit Gyan

Roshni Devi
v.
The State of Telangana and Others

(Criminal Appeal No. 116 of 2026)

08 January 2026

[J.K. Maheshwari and Atul S. Chandurkar,* JJ.]

Issue for Consideration

Issue arose whether the order of preventive detention passed by the Magistrate and upheld by the High Court u/s.3(2) of the Telangana Prevention of Dangerous Activities Act, 1986 valid in law.

Headnotes[†]

Telangana Prevention of Dangerous Activities of Boot-Leggings, Dacoits, Drug-Offenders, Goondas, Immoral Traffic Offenders, [Land-Grabbers, Spurious Seed Offenders, Insecticide Offenders, Fertiliser Offenders, Food Adulteration Offenders, Fake Document Offenders, Scheduled Commodities Offenders, Forest Offenders, Gaming Offenders, Sexual Offenders, Explosive Substances Offenders, Arms Offenders, Cyber Crime Offenders and White Collar or Financial Offenders] Act, 1986 – ss.2(a), 2(f), 3(2), 3(3) – Narcotics Drugs and Psychotropic Substances Act, 1985 – s.8(c) r/w s.20(b)(ii) (b) – Preventive detention – Daughter of *detenu* challenged detention order – Detention based on three criminal cases under NDPS Act alleging possession and peddling of ganja, and was found to be “drug offender” – Apprehension recorded that if released on bail she would continue illegal activities – Detention order upheld by High Court – Correctness:

Held: Order of detention merely refers to three crimes registered against the *detenu* – If the Detaining Authority was of the view that the *detenu* had violated any conditions of bail, steps for cancellation of her liberty could have been taken – That was not done – Mere apprehension on the part of the detaining authority that in the event of the *detenu* being released on bail, she was likely to indulge in

* Author

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similar crimes that would be prejudicial to maintenance of public order would not be a sufficient ground to order her preventive detention – Order of detention does not indicate in what manner the maintenance of public order was either adversely affected or was likely to be adversely affected so as to detain the *detenu* – Mere reproduction of the expressions mentioned in s.2(a) in the order of detention would not be sufficient – There is a fine distinction between “law and order” and “public order” – Mere registration of three offences by itself would not have any bearing on the maintenance of public order unless there is material to show that the narcotic drug dealt with by the *detenu* was in fact dangerous to public health under the Act of 1986, which is missing in the order of detention – Order of detention unsustainable and is quashed and set aside. [Paras 7-11]

Case Law Cited

Rekha v. State of Tamil Nadu, 2011 INSC 267 : [2011] 4 SCR 740; *Pesala Nookaraju v. Government of Andhra Pradesh & Ors.*, 2023 INSC 734 : [2023] 11 SCR 520; *Ameena Begum v. the State of Telangana and Others*, 2023 INSC 788 : [2023] 11 SCR 958; *Vijay Narain Singh v. State of Bihar* [1984] 3 SCR 435 : (1984) 3 SCC 14 – referred to.

List of Acts

Telangana Prevention of Dangerous Activities of Boot Leggers, Dacoits, Drug-Offenders, *Goondas*, Immoral Traffic Offenders [Land-Grabbers, Spurious Seed Offenders, Insecticide Offenders, Fertiliser Offenders, Food Adulteration Offenders, Fake Document Offenders, Scheduled Commodities Offenders, Forest Offenders, Gaming Offenders, Sexual Offenders, Explosive Substances Offenders, Arms Offenders, Cyber Crime Offenders and White Collar or Financial Offenders] Act, 1986; Narcotics Drugs and Psychotropic Substances Act, 1985.

List of Keywords

Preventive detention; Drug offender; Public order; Law and order; Subjective satisfaction; Extraneous considerations; Detaining authority; Bail; Judicial custody; Detention order; Possession and peddling of *ganja*; Illegal activities.

Supreme Court Reports**Case Arising From**

CRIMINAL APPELLATE JURISDICTION: Criminal Appeal No. 116 of 2026

From the Judgment and Order dated 28.10.2025 of the High Court for the State of Telangana at Hyderabad in WP No. 12443 of 2025

Appearances for Parties

Advs. for the Appellant(s):

Ravi Shankar Jandhyala, Sr. Adv., Kumar Abhishek, Sunny Kumar, Vikash Pandey, Satyam Parashar, Devi Venkata Srikar Pagadala.

Advs. for the Respondent(s):

Kumar Vaibhaw, Ms. Devina Sehgal, Dhananjay Yadav, Ishaan Ojha.

Judgment / Order of the Supreme Court**Judgment**

Atul S. Chandurkar, J.

1. Leave granted.
2. The appellant who is the daughter of the detenu-Aruna Bai alias Anguri Bai is aggrieved by the order of detention dated 10.03.2025 passed by the Collector and District Magistrate, Hyderabad under Section 3(2) of the Telangana Prevention of Dangerous Activities of Boot-Leggings, Dacoits, Drug-Offenders, Goondas, Immoral Traffic Offenders [Land-Grabbers, Spurious Seed Offenders, Insecticide Offenders, Fertiliser Offenders, Food Adulteration Offenders, Fake Document Offenders, Scheduled Commodities Offenders, Forest Offenders, Gaming Offenders, Sexual Offenders, Explosive Substances Offenders, Arms Offenders, Cyber Crime Offenders and White Collar or Financial Offenders] Act, 1986 (for short, the Act of 1986). She approached the High Court of Telangana by preferring Writ Petition No.12443 of 2025 for challenging the aforesaid order. The Division Bench of the High Court however refused to interfere with the order of detention and dismissed the said writ petition on 28.10.2025. Being aggrieved, the appellant has preferred the present appeal.

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3. The grounds of detention as referred to in the order of detention dated 10.03.2025 indicate consideration of the criminal history of the detenu. There is reference to Crime No. 243/ 2024 dated 16.09.2024 registered under Section 8 (c) read with Section 20 (b) (ii) (b) of the Narcotics Drugs and Psychotropic Substances Act, 1985 at the Prohibition and Excise Station Dhoolpet, District Hyderabad. There is also reference to Crime No.270/2024 dated 12.12.2024 registered against the detenu under similar provisions as in the first crime. The detenu came to be arrested on 12.12.2024 and while she was in judicial custody, Crime No.42/2024 under similar provisions came to be registered at the same Police Station on 17.12.2024. "Ganja" came to be seized from the detenu in this process. The detenu was found to be a "drug offender" under Section 2 (f) of the Act of 1986 and by observing that ill-effects of Ganja were harmful and injurious public health, power conferred by Section 3 (2) of the Act of 1986 came to be exercised. The Collector and District Magistrate was also of the view that the detenu had moved an application for grant of bail in Crime Nos. 243/2024 and 270/2024 which were pending. He apprehended that if the detenu succeeded in obtaining bail, she would continue to engage in illegal activities. The proceedings registered against her under the ordinary law had no deterrent effect and hence it was found necessary to detain her as a last resort in interest of public at large. On this basis, the order of detention came to be passed on 10.03.2025. Approval to the aforesaid order came to be granted under Section 3(3) of the Act of 1986 by the General Administration Department on 15.03.2025. Thereafter on 15.04.2025, the order of detention came to be confirmed.
4. The High Court was of the view that the repeated and well planned actions of the detenu were sufficient to raise the presumption of threat and alarm amongst the general public regarding their health which was the primary criteria for maintaining peace as well as law and order in society. It found that there was no reason to interfere with the subjective satisfaction record by the detaining authority and that the order of detention did not suffer from any irregularity warranting interference. On these findings the High Court declined to interfere with the order of detention.
5. Mr. Ravi Shankar Jandhyala, learned Senior Advocate for the appellant submitted that in absence of any material for recording satisfaction that the detenu had acted in a manner prejudicial to

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the maintenance of public order as required by Section 2 (a) of the Act of 1986, the detenu could not have been preventively detained. Merely because the detenu was found to be a “drug offender” under Section 2 (f) of the Act of 1986, there was no justification for passing the order of detention. The detenu had been enlarged on bail in Crime No.243 of 2024 and it could not be said that the conditions imposed while enlarging her were insufficient to prevent the detenu from committing any further offence. The order of detention was passed merely as an alternative to cancellation of bail. It was further submitted that merely by referring to the previous criminal history attributed to the detenu, the order of detention had been passed. In absence of any specific instance/s indicating the conduct of the detenu to be prejudicial to the maintenance of public order, there was no basis to direct her detention. Even if it was accepted that the detenu was involved in the offences as alleged, it could not be said that the same affected maintenance of public order. At the highest, the activities could be termed to be prejudicial to the maintenance of law and order. To substantiate the grounds as urged, reliance was placed on the decision in **Rekha Vs. State of Tamil Nadu**¹. It was thus submitted that in absence of relevant material on the basis of which subjective satisfaction could have been recorded by the detaining authority indicating the acts of the detenu to be prejudicial to the maintenance of public order, the order of detention was unsustainable. It was liable to be set aside.

6. Mr. Kumar Vaibhaw, learned counsel appearing for the respondents supported the order of detention. It was urged that the detenu was a drug offender within the meaning of Section 2 (f) of the Act of 1986. Considering her continuing involvement in dealing with Ganja which was evident from the crimes registered against her, the detaining authority was justified in coming to the conclusion that the detenu’s activities adversely affected the maintenance of public order. Her continued illegal acts indicated that the provisions of ordinary law were insufficient so as to deter her from continuing such illegal acts in dealing with narcotic drugs. Her continuous acts were therefore rightly found to be prejudicial to the maintenance of public order. The learned counsel referred to the affidavit dated 07.01.2026 filed on behalf of the Special Officer In-charge, Government of Telangana

1 2011 INSC 267

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as well as the documents filed along with it. The learned counsel referred to the decision in **Pesala Nookaraju Vs. Government of Andhra Pradesh & Ors.**² to urge that since the order of detention had been passed after recording subjective satisfaction that there was likelihood of breach of public order, no interference with the same was called for. It was thus submitted that the appeal was liable to be dismissed.

7. Having heard the learned counsel for the parties and having perused the documentary material on record we are satisfied that the order of preventive detention is liable to be set aside.
8. The order of detention merely refers to three crimes registered against the detenu on 16.09.2024, 12.12.2024 and 17.12.2024. It may be noted that pursuant to Crime No.270/2024 dated 12.12.2024, the detenu had been arrested and was in judicial custody when Crime No.42/2024 dated 17.12.2024 came to be registered. On the premise that if the detenu was released on bail she was likely to indulge in serious offences, the detaining authority proceeded to record that it was satisfied that cases registered against her under the ordinary law had no deterrent effect in preventing her prejudicial activities. Whether the conditions imposed while enlarging the detenu on bail in the earlier offences were insufficient to prevent her from indulging in similar offences has not been adverted to. It would be profitable to refer to the reason for detention as recorded by the Detaining Authority in the detention order. The relevant portion thereof reads as under:

“I am aware that you were arrested on 12-12-2024 in Crime No.270/2024 dated 12-12-2024 and 243/2024 dated 16-09-2024 of Prohibition & Excise Station Dhoolest and Crime No.42/2024 dated 17/12/2024 (produced before the Hon’ble Court through P.T. Warrant) of Excise Station Narayanguda Hyderabad and in Judicial Custody at Special Prison for Women Hyderabad at Chenchalguda. Subsequently, you have moved bail petition before the Hon’ble Sessions Court in Crime No. 243/2024 and 270/2024 vide Crl M.P. No. 695/2025 and 696/2025 Dt 11-02-2025 and granted bail. You have also filed bail petition in Crime No. 42/2024 vide Crl. M.P. No. 370/2025 and is pending before the Hon’ble Sessions Judge for orders, hence still in judicial custody.

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Considering entire material, including the bail petitions and the orders passed therein, I apprehend that if you succeed in obtaining bail and you being released on bail in due course, keeping in view that on the earlier occasions during the period 2016 to 2023, though you were released on bail, but did not mend your habitual nature of committing similar offences and again in the recent past during the year 2024 you have committed (3) more similar offences, I strongly believe though you are in judicial custody in Cr.No.42/2024 and your bail petition is pending, in case of being granted bail in the said case and after your release on bail you would again resort to similar unlawful activities of peddling of Ganja, and keeping in view your antecedents and considering the ill effects of Ganja on the public health and particularly youth and students and its impact on the society and having satisfied that the cases registered against you under the ordinary law have no deterrent effect in preventing your prejudicial activities, I strongly believe that you are not amenable to ordinary law, unless you are detained by an appropriate order of detention as a last resort, in the interest of public at large.

It is imperative to prevent you from acting in any manner prejudicial to maintenance of Public Order, I feel that recourse to normal law would involve considerable time and may not be effective deterrent in preventing you from indulging in further activities prejudicial to maintenance of public order in and around Hyderabad District.”

From the aforesaid observations, it is clear that the Detaining Authority intended to detain the mother of the appellant at any cost. Her conduct during the period from 2016 to 2023 has been kept in mind. If the Detaining Authority was of the view that the detenu had violated any conditions of bail, steps for cancellation of her liberty could have been taken. That has not been done here.

9. In this regard, we may refer to the decision of this Court in **Ameena Begum Vs. the State of Telangana and Others**³, wherein the effect of extraneous factors weighing in the mind of the Detaining Authority

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while passing an order of detention has been considered. Incidentally, the order of detention therein was also passed under the Act of 1986. It has been observed in paragraphs 49 to 52 as under: -

“.....At the same time, the detaining authority ought to ensure that the order does not manifest consideration of extraneous factors. The detaining authority must be cautious and circumspect that no extra or additional word or sentence finds place in the order of detention, which evinces the human factor - his mindset of either acting with personal predilection by invoking the stringent preventive detention laws to avoid or oust judicial scrutiny, given the restrictions of judicial review in such cases, or as an authority charged with the notion of overreaching the courts, chagrined and frustrated by orders granting bail to the detenu despite stiff opposition raised by the State and thereby failing in the attempt to keep the detenu behind bars.

50. What we have expressed above is best exemplified by the observations of the Commissioner in the Detention Order under challenge, which are considered appropriate to be quoted. Therein, the Commissioner inter alia stated as follows:

“The proposed detenu and his associate are notorious offenders and rowdy sheeters....

The proposed detenu was surrendered before the Hon’ble Court in Cr.No.35/2023 of Falaknuma PS and the Hon’ble Magistrate remanded him to judicial custody, he moved bail petitions in Cr.Nos. 18/2023 of Golconda PS and 35/2023 of Falaknuma PS. The prosecution has filed suitable counters strongly opposing the grant of bail to him, but the Hon’ble Magistrate granted bail to him in both the cases and ordered for his release. Subsequently, he was released from judicial remand on bail.

As seen from his past criminal history, background and antecedents and also his habitual nature of committing crimes one after the other and his efforts to come out of the prison, I strongly believe that if such a habitual criminal

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is set free, his activities would not be safe to the society and there is an imminent possibility of his committing similar offences by violating the bail conditions in one of the cases, which would be detrimental to public order, unless he is preventively detained from doing so by an appropriate order of detention.”

With respect to the stage of proceedings in the offences which form its basis, the Detention Order states that despite being contested by the State, bail has been granted to the Detenu in Crimes No. 4 and 5. Insofar as grant of bail to the Detenu is concerned, the Commissioner states that:

“I strongly believe that if such a habitual criminal is set free his activities would not be safe to the society and there is an imminent possibility of his committing similar offences by violating the bail conditions in one of the cases, which would be detrimental to public order, unless he is preventively detained from doing so by an appropriate order of detention.”

51. We are of the opinion that the aforesaid excerpts from the Detention Order lay bare the Commissioner’s attempt to transgress his jurisdiction and to pass an order of detention, which cannot be construed as an order validly made under the Act. The quoted observations are reflective of the intention to detain the Detenu at any cost without resorting to due procedure. It is neither the case of the respondents that the Detenu had not complied with the terms of the notice issued under section 41-A of the Cr. PC, nor has it been alleged that the conditions of bail had been violated by the Detenu. It is pertinent to note that in the three criminal proceedings where the Detenu had been released on bail, no applications for cancellation of bail had been moved by the State. In the light of the same, the provisions of the Act, which is an extraordinary statute, should not have been resorted to when ordinary criminal law provided sufficient means to address the apprehensions leading to the impugned Detention Order. There may have existed sufficient grounds to appeal against the bail orders,

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but the circumstances did not warrant the circumvention of ordinary criminal procedure to resort to an extraordinary measure of the law of preventive detention.

52. In **Vijay Narain Singh Vs. State of Bihar**⁴, Hon'ble E.S. Venkataramiah, J. (as the Chief Justice then was) observed:

32. ...It is well settled that the law of preventive detention is a hard law and therefore it should be strictly construed. Care should be taken that the liberty of a person is not jeopardised unless his case falls squarely within the four corners of the relevant law. The law of preventive detention should not be used merely to clip the wings of an accused who is involved in a criminal prosecution. It is not intended for the purpose of keeping a man under detention when under ordinary criminal law it may not be possible to resist the issue of orders of bail, unless the material available is such as would satisfy the requirements of the legal provisions authorising such detention. When a person is enlarged on bail by a competent criminal court, great caution should be exercised in scrutinising the validity of an order of preventive detention which is based on the very same charge which is to be tried by the criminal court."

(underlining ours, for emphasis)"

Thus, mere apprehension on the part of the detaining authority that in the event of the detenu being released on bail, she was likely to indulge in similar crimes that would be prejudicial to maintenance of public order would not be a sufficient ground to order her preventive detention.

10. Section 3 (1) of the Act of 1986 enables the Government, if it is satisfied that a drug offender ought to be prevented from acting in

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any manner prejudicial to the maintenance of public order to make an order of preventive detention. The expression “acting in any manner prejudicial to the maintenance of public order” has been defined by Section 2(a) of the Act 1986. As per the Explanation to the said provision, if any of the activities of the person concerned causes or is calculated to cause any harm, danger or alarm or a feeling of insecurity among the general public or a section thereof or in case of a grave widespread danger to life or public health is likely to be caused, such power can be exercised. The order of detention does not indicate in what manner the maintenance of public order was either adversely affected or was likely to be adversely affected so as to detain the detenu. Mere reproduction of the expressions mentioned in Section 2(a) of the Act of 1986 in the order of detention would not be sufficient. The detention order ought to indicate the recording of subjective satisfaction by the detaining authority in that regard. It is well settled that there is a fine distinction between “law and order” and “public order”. Mere registration of three offences by itself would not have any bearing on the maintenance of public order unless there is material to show that the narcotic drug dealt with by the detenu was in fact dangerous to public health under the Act of 1986. This material is found to be missing in the order of detention.

11. For aforesaid reasons, we find that the order of detention dated 10.03.2025 to be unsustainable. It is accordingly quashed and set aside. Consequently, the impugned judgment dated 28.10.2025 in Writ Petition No. 12443 of 2025 passed by the Division Bench of the High Court is also quashed. The detenu be released forthwith if not required in any other proceedings. The appeal is allowed in aforesaid terms leaving the parties to bear their own costs.

Result of the case: Appeal allowed.

Md Imran @ D.C. Guddu

v.

The State of Jharkhand

(Criminal Appeal No. 109 of 2026)

07 January 2026

[J.B. Pardiwala and K.V. Viswanathan, JJ.]

Issue for Consideration

Issue arose whether the accused added during trial u/s.319 CrPC, entitled to bail.

Headnotes[†]

Code of Criminal Procedure, 1973 – s.319 – Power to proceed against other persons appearing to be guilty – FIR registered against nine accused persons, however chargesheet filed only against three accused persons, whereas the closure report filed as regards the remaining six co-accused – On basis of the oral evidence of the eye-witnesses, application u/s.319 filed by the first informant before the trial court seeking that the six co-accused dropped by the police to be added and summoned as accused to face the trial – Application partly allowed, out of the six accused who were dropped, three accused persons summoned – Appellant arrested pursuant to non-bailable warrant issued against him, and the other two granted anticipatory bail by the High Court – Correctness:

Held: When a person is added as an accused u/s.319 and that person is ultimately arrested and prays for bail, the relevant consideration at the end of the court while considering his plea for bail should be the strong and cogent evidence than mere probability of his complicity – Test to be applied is one which is more than prima facie case as exercised at the time of framing of charge, but short of satisfaction to an extent that the evidence, if goes un rebutted would lead to conviction – Court should weigh factors like the nature of the offence, the quality of the evidence against the new accused and the likelihood of the person absconding or tampering with evidence – Court must be satisfied that there is strong and cogent evidence of the person's complicity at the threshold *i.e.* much higher than that required for framing charges against the original accused – Thus, on facts, appellant to be released on bail

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subject to terms and conditions that the trial court may deem fit to impose – Other two accused already on anticipatory bail – No case made out by the State for cancellation of anticipatory bail. [Paras 14, 15, 17, 18]

List of Acts

Code of Criminal Procedure, 1973; Penal Code, 1860; Arms Act.

List of Keywords

Bail; Oral evidence of the eye-witnesses; Adding of accused.

Case Arising From

CRIMINAL APPELLATE JURISDICTION: Criminal Appeal No. 109 of 2026

From the Judgment and Order dated 08.04.2025 of the High Court of Jharkhand at Ranchi in BA No. 2758 of 2025

With

Criminal Appeal No. 110 of 2026

Appearances for Parties

Advs. for the Appellant(s):

Ms. Pragma Baghel, Ms. Pallavi Langar, Sujeet Kumar Chaubey, Rajeev Singh, Samant Singh, Ms. Shefali Jain, Ms. Anu H. Kirutthika, Rohit Singh, Ashwani Kumar Singh, Rajeev Singh.

Advs. for the Respondent(s):

Ms. Pallavi Langar, Ms. Pragma Baghel, Sujeet Kumar Chaubey, Ganesh Khanna, Satyabeer Singh, Gaurav Kumar, Himanshu Bhushan, Ashok Anand, Rakesh Kumar Singh, Ajay Gupta, Akash Kakade, Parshant Phad.

Judgment / Order of the Supreme Court

Order

1. Leave granted.
2. Since the issues involved in both the captioned appeals are the same, those were taken up for hearing analogously and are being disposed of by this common order.

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3. So far as the Appeal arising out of S.L.P. (Crl) No. 12110/2025 is concerned, the same has been filed by one MD Imran @ D.C. Guddu.
4. The appeal filed by Imran @ D.C. Guddu arises from the order passed by the High Court of Jharkhand at Ranchi dated 08.04.2025 in BA No.2758/2025 by which the bail application filed by the appellant in connection with Daily Market Police Station Case No. 46 of 2018, arising out of S.T. No. 100239 of 2019 registered for the offence punishable under Sections 147, 148, 149 and 302 of the Indian Penal Code (for short "IPC") respectively and Sections 25(1-B)/A/26/27/35 of the Arms Act respectively came to be rejected.
5. It appears from the materials on record that the appellant herein viz. MD Imran @ D.C. Guddu was one of the accused persons named in the FIR lodged by the father of the deceased.
6. The FIR was registered against in all nine accused persons. At the end of the investigation chargesheet came to be filed only against three accused persons, whereas the closure report was filed so far as the other six co-accused are concerned. In the course of the trial, the eye-witnesses to the incident who are all family members of the deceased deposed as regards the involvement of all the nine accused persons originally named in the FIR.
7. The depositions of the eyewitnesses were recorded sometime in 2020 and 2021 respectively. In the year 2022 the first informant preferred an application under Section 319 of the Cr.P.C., before the trial court with a prayer that the other six co-accused who came to be dropped by the police should be added and summoned as accused to face the trial. Such application was filed on the strength of the oral evidence of the eye-witnesses which came on record.
8. The application filed by the first informant was looked into by the trial court and ultimately the same came to be partly allowed. Out of the six accused who were dropped, the trial court thought fit to summon three accused persons. So far as the other three are concerned, the trial court did not deem fit to add them in exercise of its powers under Section 319 of the Cr.P.C.
9. It is not in dispute that the original order passed by the trial court under Section 319 of the Cr.P.C. never came to be challenged. It attained finality. The appellant herein MD Imran @ D.C. Guddu came to be arrested pursuant to a non-bailable warrant issued

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against him. In so far as the respondents in the connected matters are concerned, before they could be arrested, they went before the High Court and prayed for anticipatory bail. The High Court granted them anticipatory bail.

10. In such circumstances referred to above, we have two appeals before us one filed by the accused MD Imran @ D.C. Guddu who came to be arrested and is in judicial custody and the connected appeal has been filed by the State of Jharkhand being aggrieved by the order passed by the High Court releasing the other two co-accused on anticipatory bail.
11. Since the three accused have now been summoned, the trial against them will have to proceed afresh. We are informed that charges have been framed.
12. We heard Mr. Samant Singh, Mr. Rakesh Kumar Singh & Mr. Ganesh Khanna, the learned counsel appearing for the respective accused persons and Ms. Pragya Baghel, the learned counsel appearing for the State of Jharkhand.
13. We looked into the matter threadbare. We also looked into the oral evidence of the eyewitnesses on the strength of which the three accused have now been summoned to face the trial for the offence of murder.
14. When a person is added as an accused under Section 319 Cr.P.C. and that person is ultimately arrested and prays for bail, the relevant consideration at the end of the court while considering his plea for bail should be the strong and cogent evidence than mere probability of his complicity. The test that has to be applied is one which is more than *prima facie* case as exercised at the time of framing of charge, but short of satisfaction to an extent that the evidence, if goes un rebutted would lead to conviction. The Court should weigh factors like the nature of the offence, the quality of the evidence against the new accused and the likelihood of the person absconding or tampering with evidence. In other words, the court must be satisfied that there is strong and cogent evidence of the person's complicity at the threshold i.e. much higher than that required for framing charges against the original accused.
15. The other two co-accused namely MD Samsher and MD Arshad respectively are already on anticipatory bail since 02.07.2025. We

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are informed that they have been appearing before the trial court on all dates.

16. Since the matter is at large before the trial court, we need not observe anything further.
17. It is ordered that MD Imran @ D.C. Guddu shall be released on bail subject to terms and conditions that the trial court may deem fit to impose.
18. So far as the other two accused are concerned, they are already on anticipatory bail. No case is made out by the State for cancellation of anticipatory bail.
19. In the result, the appeal filed by MD Imran @ D.C Guddu stands allowed and the appeal filed by the State of Jharkhand stands dismissed.
20. We make it clear that all the three accused shall regularly appear before the trial court and cooperate in expeditious disposal of the trial.
21. We further make it clear that the observations in this order are only for the purpose of deciding the bail application of MD Imran @ D.C. Guddu as well as for consideration of the State appeal against the order granting anticipatory bail to Md. Shamsher Alam and Md. Arshad. The trial court will proceed in accordance with law and the trial court will not be influenced by the observations in this order.
22. Pending Application(s) if any shall stand disposed of.

Result of the case: Appeal filed by the accused allowed.
Appeal filed by the State dismissed.

Kishorilal (D) Thr. Lrs & Ors.

v.

Gopal & Ors.

(Civil Appeal No. 172 of 2026)

12 January 2026

[Manoj Misra* and Ujjal Bhuyan, JJ.]

Issue for Consideration

Whether F.A. No. 213 of 2000 abated on non-substitution of LR's of 'M' i.e., appellant 1(2), who was one of the LR's of deceased-judgment debtor 'K'; whether the order of the High Court dtd.03.05.2013, holding that appellants No. 2 and 3 along with other heirs of 'K' sufficiently represented the interest of 'K' in the appeal, would, by the principle of *res judicata*, bar a declaration that the appeal had abated; whether by allowing impleadment of the heirs and legal representatives of 'M' as proforma respondents in F. A. No. 213 of 2000, vide order dtd.03.05.2013, the High Court, in effect set aside abatement, if any; whether, in the peculiar facts of the case, the High Court ought to have condoned the delay and set aside the abatement, if any, of F.A. No.213 of 2000.

Headnotes[†]

Non-substitution of some of the heirs/ legal representatives of a deceased party – Abatement of proceedings – When not – Estate of a deceased party if sufficiently represented by legal heirs on record, proceedings would not abate if some of the heirs are left out – First respondent filed suit for specific performance of agreement to purchase the suit scheduled property against appellant no.1-'K' (since deceased), now represented through his LR's – During pendency of the suit, appellants No.2 and 3 (appellants in connected appeal) purchased the suit property from 'K' – Suit decreed– Appeal (F. A. No.213 of 2000) filed by 'K' and appellants No.2 and 3 – 'K' died during pendency of the appeal, his four legal heirs were substituted as appellants No.1(1), 1(2)-'M', 1(3) and 1(4) – One of the LR's, 'M'-Appellant No.1(2) died – On his death, the remaining appellants filed application for deletion of 'M' from the array of parties – On deletion of 'M' from the

* Author

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array of parties in the appeal, and non-substitution of his LRs, application was filed by the first respondent to dismiss the appeal as having abated – Dismissed by High Court – Application was filed to implead heirs of ‘M’, allowed vide order dtd.03.05.2013 – Eventually, High Court dismissed the appeal as having abated holding that on deletion of ‘M’s name from the array of parties, the appeal abated – Challenge to:

Held: View of the High Court that the appeal had abated is erroneous – Where the estate of a deceased party is sufficiently represented by his legal heirs on record, proceedings would not abate if some of the heirs are left out – On the death of appellant No.1-‘K’, all his LRs were substituted as appellants No.1(1), 1(2)-‘M’, 1(3) and 1(4), though, later, one of them, appellant 1(2)-‘M’, died – Since three out of four legal heirs of ‘K’ were already on record, besides the appellants No.2 and 3 in whom title in the property resided, the estate of ‘K’-the vendor was sufficiently represented and, therefore, the appeal did not abate on non-substitution of LRs of ‘M’ as was rightly held earlier by the High Court *vide* order dtd.03.05.2013 – Impugned order(s) passed by the High Court, set aside – First appeals restored. [Paras 39, 40, 47]

Non-substitution of heirs/ legal representatives of a deceased party – Suit/proceeding, if abates – Factors to be examined:

Held: Before declaring a suit or proceeding to have abated on ground of non-substitution of the heirs/ legal representatives of a deceased party, the Court must examine whether the interest of the deceased party *qua* the subject matter of the proceeding is sufficiently represented by other parties already on record – If the interest of the deceased party is sufficiently represented by other parties already on record, and the decree/order eventually passed in the suit or proceeding would not be rendered non-executable for absence of that party, the suit or proceeding would not abate – In a suit for specific performance of an agreement for sale of an immovable property, vendor is a necessary party notwithstanding he has transferred his interest in the property to a third party – Thus, a suit or an appeal emanating from such a suit would abate if, upon death of the vendor, his legal heirs/ representatives are not substituted – Further, though a transfer *lis pendens* is not always void, such transferee’s title is subservient to the decree that may ultimately be passed in the pending suit – Therefore, a transferee *lis pendens* is not a necessary party in a suit for specific

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performance – However, a transferee *lis pendens* may pursue the appeal against a decree of specific performance against the vendor, as a legal representative/ inter-meddler of the estate of the vendor – But, having regard to the nature of decree that is required to be passed in a suit for specific performance, the vendor would have to be impleaded as a party in the appeal and on his death, on non-substitution of his heirs /legal representatives, the appeal would abate. [Para 38]

Suit for specific performance – Vendor, if a necessary party:

Held: Yes – Vendor is a necessary party in a suit for specific performance of an agreement for sale, notwithstanding that vendor has transferred his interest in the subject matter of the agreement to a third party as the transferee/ third party cannot be subjected to special covenants, if any, between the vendor and the plaintiff-purchaser – Besides that, the object of the decree of specific performance is to put the person who has agreed to purchase the property in the same position which he would have obtained in case the contracting parties *i.e.*, vendor and the purchaser had, pursuant to the agreement, executed a deed of sale and completed it in every way. [Para 35]

Non-substitution of the legal representatives/ legal heirs of a deceased party *vis-a-vis* non-substitution of one of the heirs of a deceased party:

Held: There is a clear distinction between non-substitution of the legal representatives/ legal heirs of a deceased party and non-substitution of one of the heirs of a deceased party – In the latter, if the interest of the deceased party is sufficiently represented by other heirs/ legal representatives on record, there will be no abatement. [Para 40]

Principle of *res judicata* – Applicability of – Whether the order of the High Court dtd.03.05.2013, holding that appellants No. 2 and 3 along with other heirs of ‘K’ sufficiently represented his interest in the appeal, would, by the principle of *res judicata*, bar a declaration that the appeal had abated:

Held: Yes – Once the High Court vide order dtd.03.05.2013 had taken the view that appeal had not abated on non-substitution of heirs of ‘M’ *i.e.*, appellant No.1(2), as other heirs of ‘K’ were on record besides appellants 2 and 3, it was not open for the High

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Court to revisit the issue later, because such an exercise by the High Court was hit by principle of *res judicata* which applies with equal force to different stages of the same proceeding as it does to a separate subsequent proceeding [Para 41]

Code of Civil Procedure, 1908 – Or.1, r.10 – Whether by allowing impleadment of the heirs and legal representatives of ‘M’ as proforma respondents in F. A. No. 213 of 2000, *vide* order dtd.03.05.2013, the High Court, in effect set aside abatement, if any:

Held: Since the appeal had not abated on non-substitution of legal heirs of deceased ‘M’ *i.e.*, appellant No.1(2), there was no question of setting aside abatement – Rather, the High Court was well within its jurisdiction in allowing impleadment of his heirs as proforma respondents in exercise of powers u/Or.1, r.10. [Para 46]

Whether, in the peculiar facts of the case, the High Court ought to have condoned the delay and set aside the abatement, if any, of F.A. No.213 of 2000:

Held: In view of the conclusion that the appeal had not abated, the High Court had the discretion to allow impleadment of M’s heirs and for such impleadment, it was not required to condone the delay or to set aside abatement. [Para 46]

Code of Civil Procedure, 1908 – ss.151, 152:

Held: Direction in the order dtd.09.05.2011 to delete appellant No.1 was a clerical/ typographical error inasmuch as the prayer made was to delete appellant No.1(2) *i.e.*, ‘M’ from the array of parties as other LRs of ‘K’ sufficiently represented his interest – Such a mistake could be corrected at any stage in exercise of powers u/ss.151 and 152 – Therefore, the plaintiff-respondent cannot take advantage of the said mistake. [Para 44]

Case Law Cited

Dwarka Prasad Singh and Others v. Harikant Prasad Singh and Others [1973] 2 SCR 1064: (1973) 1 SCC 179 – distinguished.

Lala Durga Prasad and Others v. Lala Deep Chand and Others [1954] 1 SCR 360: (1953) 2 SCC 509; *Bhurey Khan v. Yaseen Khan (Dead) by LRs & Ors.* (1995) Supp. 3 SCC 331; *Mahabir Prasad v. Jage Ram & Others* [1971] 3 SCR 301 : (1971) 1 SCC

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265; Y.B. Patil & Ors. v. Y.L. Patil [1977] 1 SCR 320 : (1976) 4 SCC 66; Bhanu Kumar Jain v. Archana Kumar & Anr. [2004] Supp. 6 SCR 1104 : (2005) 1 SCC 787; Satyadhyan Ghosal & Ors. v. Deorajin Debi (Smt.) & Anr. [1960] 3 SCR 590 : 1960 SCC OnLine SC 15 : AIR 1960 SC 941 – relied on.

R.C. Chandiok and Anr. v. Chuni Lal Sabharwal and Ors. [1971] 2 SCR 573: (1970) 3 SCC 140; Shivshankara & Anr. v. H.P. Vedavyasa Char [2023] 6 SCR 359 : (2023) 13 SCC 1; Mohammad Arif v. Allah Rabbul Alamin & Ors. (1982) 2 SCC 455; K. Naina Mohamed (Dead) through LRs v. A.M. Vasudevan Chettiar (dead) through LRs & Ors. [2010] 7 SCR 927 : (2010) 7 SCC 603; Mithailal Dalsangar Singh & Ors. v. Annabai Devram Kini & Ors. [2003] Supp. 3 SCR 822 : (2003) 10 SCC 691; Madhukar Nivrutti Jagtap & Ors. v. Pramila Bai Chandulal Parandekar (Dead) through LRs & Ors. [2019] 10 SCR 31 : (2020) 15 SCC 731 – referred to.

Maharaja Moheshur Singh v. Bengal Government (1859) 7 MIA 283 – referred to.

List of Acts

Code of Civil Procedure, 1908.

List of Keywords

Non-substitution of heirs/legal representatives (LRs) of a deceased party; Heirs/legal representatives (LRs) of a deceased party; Abatement on non-substitution of LRs; Abatement of proceedings; Abatement; Estate of a deceased party sufficiently represented by legal heirs on record; Proceedings would not abate if some of the heirs are left out; Appeal had not abated; Appeal did not abate; Interest of deceased party sufficiently represented; Interest of vendor sufficiently represented; Order 1 Rule 10 of Code of Civil Procedure, 1908; Impleadment of heirs and legal representatives; Principle of *res judicata*; Different stages of same proceeding; Separate subsequent proceeding; Impleadment of heirs as proforma respondents; Deletion of name from array of parties; Clerical/typographical mistake; Transferee *lis pendens*.

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 172 of 2026

Kishorilal (D) Thr. Lrs & Ors. v. Gopal & Ors.

From the Judgment and Order dated 12.09.2017 of the High Court of Madhya Pradesh at Gwalior in FA No. 213 of 2000

With

Civil Appeal No. 173 of 2026

Appearances for Parties

Advs. for the Appellant(s):

Puneet Jain, Sr. Adv., Ms. Pratibha Jain, Mrs. Christi Jain, Ms. Akriti Sharma, Harsh Jain, Mann Arora, Om Sudhir Vidyarthi, Aditya Jain, Siddharth Jain, Yogit Kamat, Abrar Ahmed, Arjun Kanadi.

Advs. for the Respondent(s):

Yatindra Singh, Sr. Adv., Prashant Shukla, Mrs. Anushree Shukla, Kartik Kumar, Ms. Ojasvi, M/s Prashant Shukla Law Chambers.

Judgment / Order of the Supreme Court**Judgment**

Manoj Misra, J.

SLP (C) No. 36787 of 2017

1. Leave granted.

Facts giving rise to appeal (i.e., SLP (C) No.36787 of 2017)

2. This appeal arises from Original Suit No. 5A of 1992 which was instituted by Gopal (first respondent) against Kishorilal (i.e., first appellant (since deceased), who is now represented through his LRs¹), *inter alia*, for declaration and injunction and, later, by way of amendment, for specific performance of agreement to purchase the suit scheduled property. During pendency of the suit, Brajmohan and Manoj (i.e., the appellants in the connected appeal), purchased the suit property from Kishorilal, *vide* sale-deed dated 20.04.1992.
3. The aforesaid suit was decreed on 18.10.2000. Aggrieved therewith, Kishorilal and the transferees *lis pendens*, namely, Brajmohan and Manoj, jointly filed appeal (i.e., F. A. No. 213 of 2000) before the High

¹ Legal Representatives

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Court of Madhya Pradesh, Bench at Gwalior². During pendency of the appeal, Kishorilal died on 17.12.2005. Therefore, *vide* order dated 10.07.2006, his LRs, namely, (i) Suresh, (ii) Murarilal, (iii) Prakash and (iv) Sitabai were substituted as appellants No. 1(1), 1(2), 1(3) and 1(4), respectively.

4. On 22.07.2007 Murarilal i.e., appellant No. 1(2) died. On his death, the remaining appellants filed an application (i.e., IA No.17118 of 2010) on 19.10.2010 for deletion of Murarilal from the array of parties on the ground that interest of Kishorilal in the suit property is already represented by Brajmohan and Manoj (i.e., appellants No. 2 and 3 who had purchased the suit property) and other LRs of Kishorilal. The said application was allowed by order dated 09.05.2011, which reads as under:

“Heard on I.A. No. 17118/2010, which is an application under Order XXII Rule 2, 4(4) and under Section 11 of CPC (which should be read Rule 11) for deleting the name of appellant no.1 who has died and sold the suit property to appellant no.2 and 3 who are his legal representatives.

Considering the averments made in this application, the same is allowed at the risk and cost of the appellants. The name of appellant no. 1 be deleted from the array of cause title within one week.”

[Note: There appears typographical mistake in the above extracted order as the prayer in IA No.17118/2010 was not to delete Kishorilal (appellant no.1) from array of parties but to delete one of his LRs, namely, Murarilal i.e., appellant 1(2), as the estate of Kishorilal was represented by appellants 2 and 3 and other LRs of Kishorilal.]

5. On deletion of Murarilal's name from the array of parties in the appeal, and non-substitution of his LRs, an application (IA No.2667/2011) was filed by the plaintiff-respondent (i.e., Gopal) to dismiss the appeal as having abated. This application was dismissed by the High Court *vide* order dated 04.03.2013, which is reproduced below:

“Heard on I.A. No. 2667/2011, which is an application filed on behalf of respondents for treating the appeal as abated

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as the legal representatives of appellant Kishorilal have not been brought on record.

Learned Counsel for the appellants submitted that appellants no.2 and 3 have already been brought on record as Legal Representatives of appellant Kishorilal *vide* order dated 09.05.2011 on the ground that the disputed property has been sold by Kishorilal to appellants no.2 and 3 therefore, appellants no.2 and 3, who are purchasers *lis pendens*, are legal representatives of appellant Kishorilal as the property has been purchased by them and legal heirs of appellant Kishorilal have no right, title or interest in the disputed property.

Since the Legal Representatives of appellant Kishorilal who are having the right, title and interest over the disputed property are already on record being appellants no.2 and 3, therefore, it cannot be said that the appeal has abated.

Appellants may implead other legal heirs of appellant Kishorilal as Legal Representatives if they are necessary party in the appeal.

List the case for final hearing in due course.”

After the aforesaid order was passed, on 14.03.2013 an application (IA No.1438/ 2013) was filed, under Order 22 Rules 4 and 11 read with Order 1 Rule 10 of the Code of Civil Procedure, 1908³, to implead heirs of Murarilal as respondents. On this application, an objection was filed by the plaintiff-respondent. However, the application was allowed *vide* order dated 03.05.2013, which is reproduced below:

“Heard on I.A. No. 1438/2013 which is an application under Order XXII Rule 4 and 11 C.P.C. and under Order I Rule 10 C.P.C. for deleting the name of original appellant no.1 as he has sold the property to appellant no.2 and 3 and to bring the Legal Representatives of appellant no. 1(2) on record. Other Legal Representatives of appellant no.1 are on record, therefore, there is no abatement of appeal.

Let the necessary amendment be carried out within 7 days from today.

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List the case for final hearing in Second Week of July, 2013.”

[Note: There appears some typographical error in this order as I.A. No.1438/2013 did not seek deletion of appellant no.1 rather it sought impleading the heirs of Murarilal as proforma respondents]

6. Thereafter, on 15.07.2017 an application was filed by the appellants for setting aside abatement of the appeal, if any, and for condoning the delay, if any, in the interest of justice. To this application, on 20.07.2017 an objection was filed by the plaintiff-respondent. While the aforesaid application was pending, an application was filed for recall of the order dated 09.05.2011 by which Kishorilal's name was erroneously deleted from the array of parties. To this application also, on 27.07.2017 an objection was filed by the plaintiff-respondent.
7. By the impugned order dated 12.09.2017, the High Court rejected the application of the appellants to recall the order dated 09.05.2011 and held that on deletion of Murarilal's name from the array of parties, the appeal had abated and, therefore, the appeal is liable to be dismissed as having abated.
8. Aggrieved by the order of the High Court dismissing the appeal as having abated, present appeal, by special leave, has been filed.

SLP (C) No. 397 of 2018

9. Leave granted.

Facts giving rise to connected appeal (i.e., SLP (C) No.397 of 2018

10. The connected appeal arises from Original Suit No. 10A of 1995. This suit was instituted by Brajmohan and Manoj (i.e., transferees of Kishorilal) for eviction of Gopal (i.e., plaintiff-respondent in the other appeal) from the suit scheduled property, *inter alia*, on the ground that the plaintiffs had purchased the suit property through sale deed executed by Kishorilal and the suit property is required for their use.
11. The Trial Court dismissed the suit *vide* judgment and order dated 18.10.2000. Against which, F. A. No. 217 of 2000 was filed before the High Court. As the High Court had dismissed First Appeal No. 213 of 2000 as abated, the decree of specific performance in favour of Gopal attained finality, rendering the sale-deed in favour of Brajmohan

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and Manoj void, F.A. No.217 of 2000 was dismissed by the High Court *vide* separate order dated 12.09.2017.

12. Aggrieved by dismissal of F.A. No.217 of 2000, the present appeal has been filed, by special leave to appeal (i.e., SLP (C) No. 397 of 2018).
13. Since the decision of the High Court in F. A. No. 217 of 2000 is a consequence of dismissal of F.A. No. 213 of 2000 as abated, these two appeals were heard together and are being decided by a common judgment and order.
14. We have heard Sri Puneet Jain, Sr. Adv., for the appellant; and Sri Yatindra Singh, Sr. Adv., for the respondents.

SUBMISSIONS ON BEHALF OF APPELLANTS

15. Learned counsel for the appellants submitted:
 - (i) Kishorilal (i.e. judgment-debtor in O.S. No. 5A of 1992) had already transferred his interest in the suit scheduled property (i.e., subject matter of the agreement), therefore, his interest was fully represented by the purchasers i.e., transferees *lis pendens*, namely, Brajmohan and Manoj, who were on record as appellants No. 2 and 3 in F.A. No. 213 of 2000; hence, on death of Kishorilal, the appeal would not abate as the right to pursue the appeal survived on the surviving appellant(s).
 - (ii) A transfer hit by Section 52 of the Transfer of Property Act, 1882 (i.e. the doctrine of *lis pendens*) is not void though subservient to the rights of the parties under the decree or order which may be made in the suit or the proceeding. In such circumstances, Brajmohan and Manoj were entitled to represent the estate of Kishorilal not only as transferee but also as an inter-meddlor of the estate of Kishorilal.
 - (iii) Besides that, on death of Kishorilal, his four legal heirs, namely, Suresh, Murarilal, Prakash and Sitabai, were brought on record. Even if one of them died, the estate of Kishorilal was substantially represented through Suresh, Prakash and Sitabai. Hence, there was no question of abatement of the appeal for non-substitution of the legal representatives of Murarilal.
 - (iv) If Kishorilal's name was erroneously deleted after his death, it could be restored by recall/ correction. Moreover, his heirs and

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legal representatives were already on record, therefore, there was no question of abatement of the appeal.

- (v) The High Court *vide* order dated 04.03.2013 had already negated the plea of abatement of appeal by observing that other LR's of Kishorilal were on record besides appellants No. 2 and 3 therefore, on non-substitution of one of the heirs of Kishorilal, High Court could not have declared appeal to have abated. Moreover, such declaration was barred by the principle of *res judicata*.
- (vi) Otherwise also, High Court *vide* order dated 04.03.2013 had given liberty to implead other legal representatives of Murarilal, in case necessary, therefore, impleadment application was allowed *vide* order dated 03.05.2013. In such circumstances, when all LR's of late Kishorilal were on record, there was no justification to dismiss the appeal as having abated.

SUBMISSIONS ON BEHALF OF RESPONDENT(S)

16. *Per contra*, learned counsel for the respondents submitted:

- (i) A suit for specific performance is for enforcement of contractual obligations. In such a suit, the decree must require the vendor and subsequent purchaser, if any, to execute the sale-deed in favour of decree-holder in terms of the agreement. This legal position is settled by this Court in ***Lala Durga Prasad and Others v. Lala Deep Chand and Others***⁴, followed in ***R.C. Chandiok and Anr. v. Chuni Lal Sabharwal and Ors.***⁵. Therefore, if all legal heirs of Kishorilal (i.e., vendor) including heirs of his legal heir (i.e., Murarilal) are not brought on record, within the limitation period, the decree of specific performance would attain finality *qua* one of the heirs of Kishorilal. And since decree of specific performance is inseparable, continuance of appeal might result in inconsistent decrees, therefore, the appeal would abate as a whole on non-substitution of one of the heirs of Kishori Lal, namely, Murarilal.
- (ii) In a suit for specific performance, the vendor is a necessary party. Therefore, even if the subsequent purchaser is on record,

4 (1953) 2 SCC 509

5 (1970) 3 SCC 140

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the vendor would have to be on the record for a valid decree. In such circumstances, the benefit of Order 41 Rule 4 of CPC is not available as was held by this Court in **Dwarka Prasad Singh and Others v. Harikant Prasad Singh and Others**⁶.

- (iii) Abatement is by operation of law. Therefore, even in absence of a formal order, the appeal or proceeding would abate for non-substitution within the period of limitation.
- (iv) Once abatement takes place, it can be set aside by substitution after condoning the delay and not by way of impleadment. Therefore, if time for substitution has lapsed and the appeal has abated, in absence of an order condoning the delay in seeking substitution and setting aside abatement, by mere impleadment of LR of a deceased party, abatement cannot be deemed set aside. Hence, the order dated 03.05.2013 is of no consequence more so because Murarilal died on 22.07.2007 and by the time impleadment was allowed, the appeal had already abated.
- (v) The application to set aside abatement was filed on 24.07.2017 i.e. about 10 years after Murarilal's death. Therefore, it was justifiably rejected by the High Court.
- (vi) The order dated 09.05.2011 permitting deletion of Kishorilal was at the risk of appellants No. 2 and 3 and, therefore, the said order cannot obviate subsequent adjudication regarding abatement of appeal on ground of *res judicata*.

Based on the aforesaid submissions, on behalf of respondents, it was submitted that both appeals are devoid of merit and should be dismissed.

17. We have considered the rival submissions and have carefully perused the materials on record.

ISSUES

18. Upon considering the rival submissions, in our view, following issues arise for our consideration:

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- (i) Whether F. A. No. 213 of 2000 abated on non-substitution of LR's of Murarilal i.e., appellant 1(2), who was one of the LR's of deceased-judgment debtor Kishorilal?
- (ii) Whether the order of the High Court, dated 03.05.2013, holding that appellants No. 2 and 3 along with other heirs of Kishorilal sufficiently represented the interest of Kishorilal in the appeal, would, by the principle of *res judicata*, bar a declaration that the appeal had abated?
- (iii) Whether by allowing impleadment of the heirs and legal representatives of Murarilal as proforma respondents in F. A. No. 213 of 2000, *vide* order dated 03.05.2013, the High Court, in effect set aside abatement, if any?
- (iv) Whether, in the peculiar facts of the case, the High Court ought to have condoned the delay and set aside the abatement, if any, of F.A. No.213 of 2000?

ANALYSIS

Summary of undisputed facts

- 19. Before addressing the issues, a brief resume of undisputed facts of the case would be apposite. Suit No. 5A of 1992 was instituted by Gopal (plaintiff-respondent) against Kishorilal for declaration and injunction and, later, by way of amendment, for specific performance of a purchase agreement between Kishorilal and Gopal concerning the suit property, which was sold by Kishorilal, during pendency of the suit, to Brajmohan and Manoj (i.e., the appellants), *vide* sale-deed dated 20.04.1992. In consequence, the appellants were also impleaded as defendants.
- 20. The suit was decreed by the trial court. Against which, F. A. No. 213 of 2000 was jointly filed by Kishorilal (i.e., appellant no.1), Brajmohan (appellant no.2) and Manoj (appellant no.3) before the High Court. During pendency of the appeal, Kishorilal died on 17.12.2005. His legal heirs including Murarilal were substituted *vide* order dated 10.07.2006. Thereafter, Murarilal died in the year 2007. An application was submitted for deleting him from the array of parties on the ground that interest of Kishorilal was sufficiently represented by his other LR's including appellants No. 2 and 3 (i.e., *lis pendens* transferees). On this application, an order was passed on 09.05.2011

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deleting appellant no.1 (Kishorilal) from the array of parties, when the prayer was to delete Murarilal. It is necessary to note that on the date when order dated 09.05.2011 was passed Kishorilal was already dead and stood substituted by his four legal heirs including Murarilal. Thus, it is clear that the direction to delete Kishorilal from the array of parties was nothing but a typographical mistake which ought to be read/considered as a direction to delete Murarilal as is clear from subsequent orders passed in the course of the appeal.

21. In the aforesaid context, when plaintiff-respondent filed an application for abatement on non-substitution of LRs of Murarilal, the High Court passed an order on 04.03.2013 holding that since LRs of Kishorilal, namely, appellants No. 2 and 3, who had purchased the property, and other legal heirs were there on record, the appeal cannot be said to have abated. However, the High Court gave liberty to implead other heirs of Kishorilal. Pursuant thereto, application was filed to bring on record heirs of Murarilal as proforma respondents. On this application, *vide* order dated 03.05.2013, the High Court allowed impleadment of Murarilal's heirs as proforma respondents.
22. Later, when, during hearing of the appeal, issue was raised by the decree holder that appeal has already abated consequent to non-substitution of the heirs of Murarilal, formal application was filed for setting aside abatement along with prayer to condone the delay. This application was rejected and the appeal (i.e., F.A. No.213 of 2000) was dismissed as having abated *vide* impugned order dated 12.09.2017.
23. In view of dismissal of F.A. No.213 of 2000, the decree of specific performance in favour of defendant in Suit No.10A of 1995 became operative, therefore, F.A. No.217 of 2000, arising from dismissal of Suit No.10A of 1995, was dismissed *vide* second impugned order dated 12.09.2017.
24. On summation of facts what becomes clear is that out of four heirs of Kishorilal, three remained on record. The fourth, namely, Murarilal, died and was not substituted within time. Though, later, his heirs and legal representatives were also brought on record as proforma respondents in the appeal. In that context, we shall address the issues.

Issues (i) and (ii)

25. Issues (i) and (ii) are inter-related, therefore we shall address them together.

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26. As we have noticed above that on death of Kishorilal (i.e., appellant No.1) all his four heirs were brought on record of F.A. No.213 of 2000 and, later, on death of one of his heirs i.e., Murarilal, his LRs were also brought on record, though beyond the period prescribed by the law of limitation. It is thus not a case where deceased Kishorilal (i.e., the vendor) was totally unrepresented. Rather, he was represented, initially, through his four legal heirs and, later, on death of one of them, namely, Murarilal, by three of them and the purchaser of his interest in the property (i.e., the appellants No. 2 and 3). Later, even legal heirs of Murarilal were brought on record as proforma-respondents through an order of impleadment.
27. The thrust of the submissions of the learned counsel for the respondent(s) is on there being no application of mind on the part of the High Court in allowing impleadment of the heirs of Murarilal as proforma respondents because, by that date, the appeal had already abated. According to him, in absence of condonation of delay in filing an application to set aside abatement, or to substitute the legal heirs, the appeal had abated by operation of law and, therefore, such impleadment cannot revive the appeal.
28. Besides that, the learned counsel for the respondents submitted that the order dated 09.05.2011 deleting the name of Kishorilal/ Murarilal was at the risk and cost of the appellants which means that the order would not bar subsequent adjudication of the issue on the principle of *res judicata*.
29. On the other hand, the learned counsel for the appellants laid emphasis on the observations in the subsequent order dated 04.03.2013 wherein the Court had observed that since legal representatives of Kishorilal, who have right, title and interest over the disputed property, are already on record as appellants No.2 and 3, the appeal would not abate. According to the appellants, this observation in the order dated 04.03.2013 coupled with subsequent order dated 03.05.2013 bars, by principle of *res judicata*, fresh consideration of the issue *qua* abatement of the appeal on non-substitution of the legal heirs of Murarilal (i.e., one of the heirs of deceased-party Kishorilal).
30. As far as the principle of *res judicata* is concerned, we are conscious of the law that it applies also as between two stages in the same litigation to the extent that a court, whether the trial court or a higher

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court having at an earlier stage decided a matter in one way will not allow the parties to re-agitate the matter again at a subsequent stage of the same proceedings⁷. However, what is important is that this does not preclude the appellate court or a higher court to test the correctness of that decision⁸.

31. However, before delving further on the above aspect, we shall first consider the decisions cited by the learned counsel for the respondents to canvass that a decree of specific performance must necessarily require the vendor to execute the sale deed even if the subject matter of sale agreement has been sold by the vendor to a third person. According to plaintiff-respondent's counsel, though a subsequent transferee may be required to join in the conveyance, particularly where the transferee is not a transferee *lis pendens*, the vendor would necessarily have to join in the execution of the sale deed. As a sequitur, it is argued, if the appeal abates *qua* the vendor it abates as a whole.

Vendor is necessary party in a suit for specific performance

32. In *Lala Durga Prasad*⁹, before this Court a question arose as to what would be the proper form of a decree in a suit for specific performance where the subject matter of the sale agreement has been sold and the title to the property has validly passed from the vendor and resides in the subsequent transferee i.e., where the sale to subsequent transferee is not void but only voidable at the option of the earlier contractor. On the said issue, this Court considered and rejected three alternative forms of decrees, namely, (a) compelling the vendor to execute the sale deed; (b) cancelling the subsequent sale and ordering conveyance in favour of plaintiff; and (c) conveyance in favour of plaintiff by the subsequent purchaser alone. After rejecting the above three options, this Court held:

“42. In our opinion, the proper form of decree is to direct specific performance of the contract between the vendor

7 See: *Satyadhyan Ghosal & Ors. v. Deorajin Debi (Smt.) & Anr.*, 1960 SCC OnLine SC 15: AIR 1960 SC 941

8 See: *Maharaja Moheshur Singh v. Bengal Government* (1859) 7 MIA 283; affirmed in *Satyadhyan Ghosal* (supra), paragraph 16.

9 See: Footnote 4

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and the plaintiff and direct the subsequent transferee to join in the conveyance so as to pass on the title which resides in him to the plaintiff. He does not join in any special covenants made between the plaintiff and his vendor; all he does is to pass on his title to the plaintiff.”

33. In ***R.C. Chandiok***¹⁰, decision of this Court in ***Lala Durga Prasad*** was followed.
34. In ***Dwarka Prasad***¹¹, the question that arose before this Court was whether in absence of substitution of legal heirs of the vendor, the appeal by a subsequent purchaser against the decree of specific performance would abate. Two arguments were raised on behalf of the appellant therein, namely, (a) that vendor was not a necessary party as the subsequent purchaser represents his interest; and (b) the case would be covered by the provisions of Order 41 Rule 4 of CPC. Both arguments were rejected by this Court. While rejecting the first argument, decision in ***Lala Durga Prasad*** was relied upon to hold that in a suit for specific performance the vendor is a necessary party as he must join in the execution of the sale deed. The second argument was rejected by holding that since the appeal *qua* the vendor would abate, the appeal at the behest of subsequent purchaser cannot continue as it might result in conflicting decrees.
35. The rationale of joining the vendor in the conveyance in favour of holder of a decree of specific performance, notwithstanding that vendor has passed on his interest in the property to a third person, is discernible from the following observations in ***Dwarka Prasad***:

“9. ... In a suit instituted by a purchaser against the vendor and a subsequent purchaser for specific performance of the contract of sale the proper form of the decree is to direct specific performance of the contract between the vendor and the plaintiff and further direct the subsequent transferee to join in the conveyance so as to pass on the title which resides in him to the plaintiff. ... Thus, ...the conveyance has to be executed by the vendor in favor of the plaintiff who seeks specific performance of the contract

10 See: Footnote 5

11 See: Footnote 6

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in his favor and the subsequent transferee has to join in the conveyance only to pass his title which resides in him. It has been made quite clear that he does not join in any special covenants made between the plaintiff and his vendor. All that he does is to pass on his title to the plaintiff. It is thus difficult to sustain the argument that the vendor is not a necessary party when, according to the view accepted by this court, the conveyance has to be executed by him although the subsequent purchaser has also to join as to pass on the title which resides in him to the plaintiff. It must be remembered that if there are any special covenants and conditions agreed upon in the contract for sale between the original purchaser and the vendor those have to be incorporated in the sale although it is only the vendor who will enter into them and the subsequent purchaser will not join in those special covenants. But without the vendor joining in the execution of the sale deed special covenants, if any, between him and the original purchaser cannot be incorporated in the sale deed. The whole idea and purpose underlying a decree for specific performance is that if a decree for such a relief is granted the person who has agreed to purchase the property should be put in the same position which would have obtained in case the contracting parties i.e., vendor and the purchaser had, pursuant to the agreement, executed a deed of sale and completed it in every way. Therefore, it is essential that the vendor must join in the execution of the sale deed. If that be so, it is not possible to comprehend how he is not a necessary party...”

36. The law is thus settled that the vendor is a necessary party in a suit for specific performance of an agreement for sale, notwithstanding that vendor has transferred his interest in the subject matter of the agreement to a third party. Reason being that the transferee/ third party cannot be subjected to special covenants, if any, between the vendor and the plaintiff-purchaser. Besides that, the object of the decree of specific performance is to put the person who has agreed to purchase the property in the same position which he would have obtained in case the contracting parties i.e., vendor and the purchaser had, pursuant to the agreement, executed a deed of sale and completed it in every way.

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Decisions relied on behalf of the Appellants

37. Now, we shall consider the decisions cited by the appellant, namely,

- (a) ***Bhurey Khan v. Yaseen Khan (Dead) by LRs & Ors.***¹². The issue under consideration in this case was whether the High Court was justified in abating the second appeal for non-impleadment of some of the heirs of the deceased respondent. This Court, following its earlier decision in ***Mahabir Prasad v. Jage Ram & Others***¹³, held that where the estate of a deceased party is sufficiently represented by his legal heirs on record, proceedings would not abate if some of the heirs are left out. The said view has been followed in ***Shivshankara & Anr. v. H.P. Vedavyasa Char***¹⁴.
- (b) ***Mohammad Arif v. Allah Rabbul Alamin & Ors.***¹⁵. In this case, it was held that transferee from a deceased party could represent the interest of the deceased party as an intermeddler and if such transferee is already on record, there is no necessity for an application to bring on record the legal heirs of the deceased appellant. [*Note: It is not clear from the reported judgment whether the suit here was for specific performance of a contract.*]
- (c) ***K. Naina Mohamed (Dead) through LRs v. A.M. Vasudevan Chettiar (dead) through LRs & Ors.***¹⁶. In this case, following ***Mohd. Arif (supra)***, it was held that party which has purchased the property concerned can represent the estate of deceased. [*Note: It is not clear from the reported judgment whether the suit was for specific performance of a contract. Although it appears to be based on right of pre-emption. Otherwise also, in this case decision in Lala Durga Prasad (supra) was not considered.*]

¹² (1995) Supp. 3 SCC 331

¹³ (1971) 1 SCC 265. See Paragraph 7, where it was observed:

“7. Where in a proceeding a party dies and one of the legal representatives is already on the record in another capacity, it is only necessary that he should be described by an appropriate application made in that behalf that he is also on the record, as an heir and legal representative. Even if there are other heirs and legal representatives and no application for impleading them is made within the period of limitation prescribed by the Limitation Act, the proceeding will not abate...”

¹⁴ (2023) 13 SCC 1, paragraphs 59 and 60

¹⁵ (1982) 2 SCC 455

¹⁶ (2010) 7 SCC 603

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- (d) ***Y.B. Patil & Ors. v. Y.L. Patil***¹⁷. In this case it was observed that principles of *res judicata* can be invoked not only in separate subsequent proceedings but also in subsequent stage of the same proceedings. Therefore, once an order is made during a proceeding it becomes final and is binding at any subsequent stage of that proceeding. The same principle was reiterated in ***Bhanu Kumar Jain v. Archana Kumar & Anr.***¹⁸
- (e) ***Mithailal Dalsangar Singh & Ors. v. Annabai Devram Kini & Ors.***¹⁹. In this case, it was, *inter alia*, held that a simple prayer to bring LRs on record, without specifically praying for setting aside abatement, may in substance be construed as a prayer to set aside the abatement. Further, the prayer for setting aside abatement is to be considered liberally and the courts must adopt a justice-oriented approach dictated by the uppermost consideration that ordinarily a litigant ought not to be denied an opportunity of having a *lis* determined on merits unless he has, by gross negligence, deliberate inaction or something akin to misconduct, disentitled himself from seeking the indulgence of the court.
- (f) ***Madhukar Nivrutti Jagtap & Ors. v. Pramilabai Chandulal Parandekar (Dead) through LRs & Ors.***²⁰. In this case it was held that the effect of doctrine of *lis pendens* is not to annul all transfers effected by the parties to a suit but only to render them subservient to the rights of the parties under the decree or order which may be made in that suit. [*Note: This was cited so as to canvass that the sale deed executed by Kishorilal in favour of the second and third appellants was not void and, therefore, they could validly represent the interest of Kishorilal and, therefore, the appeal would not abate*].

Relevant legal principles deducible from the decisions cited by both sides

38. Upon consideration of the decisions cited by both sides, the legal

¹⁷ (1976) 4 SCC 66

¹⁸ (2005) 1 SCC 787

¹⁹ (2003) 10 SCC 691

²⁰ (2020) 15 SCC 731

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principles deducible therefrom, and relevant to the issue in hand, are summarized below:

- (1) Before declaring a suit or proceeding to have abated on ground of non-substitution of the heirs/ legal representatives of a deceased party, the Court must examine whether the interest of the deceased party *qua* the subject matter of the proceeding is sufficiently represented by other parties already on record. If the interest of the deceased party is sufficiently represented by other parties already on record, and the decree/order eventually passed in the suit or proceeding would not be rendered non-executable for absence of that party, the suit or proceeding would not abate.
- (2) In a suit for specific performance of an agreement for sale of an immovable property, vendor is a necessary party notwithstanding he has transferred his interest in the property to a third party. As a sequitur, a suit or an appeal emanating from such a suit would abate if, upon death of the vendor, his legal heirs/ representatives are not substituted.
- (3) Though a transfer *lis pendens* is not always void, such transferee's title is subservient to the decree that may ultimately be passed in the pending suit. As a sequitur, a transferee *lis pendens* is not a necessary party in a suit for specific performance.
- (4) However, a transferee *lis pendens* may pursue the appeal against a decree of specific performance against the vendor, as a legal representative/ inter-meddler of the estate of the vendor. But, having regard to the nature of decree that is required to be passed in a suit for specific performance, as held in ***Lala Durga Prasad (supra)*** and ***Dwarka Prasad (supra)***, the vendor would have to be impleaded as a party in the appeal and on his death, on non-substitution of his heirs /legal representatives, the appeal would abate.

Kishorilal (deceased-defendant) sufficiently represented in the appeal before the High Court

39. Having culled out the relevant legal principles, we shall now consider whether, on non-substitution of the heirs of Murarilal, the appeal had abated or not. As noticed above, Murarilal was one of the four heirs of Kishorilal. Kishorilal (appellant No.1) had already transferred

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the property to appellants No. 2 and 3 during the course of suit proceeding. Therefore, on the date of filing the appeal, title in the subject matter of the sale agreement resided in those appellants albeit subservient to the decree. However, presence of Kishorilal was necessary to effectively execute the decree of specific performance which is in the nature of a direction to fulfil contractual obligations. In such circumstances, on death of Kishorilal, his LRs were required to be brought on record. In the present case, on the death of Kishorilal (i.e., appellant No.1) all his LRs were substituted as appellants No. 1(1), 1(2), 1(3) and 1(4), though, later, one of them, namely, Murarilal i.e., appellant 1(2), died. Since three legal heirs of Kishorilal were already on record, besides the appellants No.2 and 3 in whom title in the property resided, the estate of Kishorilal was sufficiently represented and, therefore, in our view, the appeal did not abate on non-substitution of LRs of Murarilal as was rightly held earlier by the High Court *vide* order dated 03.05.2013. The aforesaid view is in conformity with the law laid down by this Court in ***Bhurey Khan*** and ***Mahabir Prasad***.

40. The decision in ***Dwarka Prasad (supra)***, relied by the learned counsel for respondents, in our view, is not of much help to the respondents because in that case the vendor's interest was not represented at all. Whereas in the present case, three out of four legal heirs of Kishorilal (i.e., the vendor) were already on record. In our view, there is a clear distinction between non-substitution of the legal representatives/ legal heirs of a deceased party and non-substitution of one of the heirs of a deceased party. In the latter, if the interest of the deceased party is sufficiently represented by other heirs/ legal representatives on record, there will be no abatement as was held in ***Mahabir Prasad (supra)*** and ***Bhurey Khan (supra)***. Therefore, in our view, ***Dwarka Prasad's*** decision is distinguishable on facts.

High Court's final decision is hit by principle of *res judicata*

41. Besides above, once the High Court, *vide* order dated 03.05.2013, had taken the view that appeal had not abated on non-substitution of heirs of Murarilal i.e., appellant No.1(2), as other heirs of Kishorilal were on record besides appellants 2 and 3, it was not open for the High Court to revisit the issue later, because such an exercise by the High Court was hit by principle of *res judicata* which applies with equal force to different stages of the same proceeding as it does to a

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separate subsequent proceeding. In this regard we are supported by decisions of this Court in ***Satyadhyan Ghosal*²¹**, ***Y.B. Patil (supra)*** and ***Bhanu Kumar Jain (supra)***.

42. The argument on behalf of respondent that order dated 09.05.2011 specifically mentions that deletion was at the risk of the appellant and, therefore, the issue was kept open does not cut much ice, because in the subsequent orders dated 04.03.2013 and 09.05.2013, the High Court specifically held that appeal had not abated.
43. We are, therefore, of the considered view that the appeal had not abated on non-substitution of the heirs of Murarilal within time. Issue (i) and (ii) are decided in the aforesaid terms.

Direction to delete name of Appellant No. 1 (i.e., Kishorilal's name) from the array of parties was nothing but a clerical/typographical mistake in the order dated 9.5.2011

44. So far as the direction in the order dated 09.05.2011 to delete appellant No.1 is concerned, it was a pure clerical/ typographical error inasmuch as the prayer made was to delete appellant No.1(2) i.e., Murarilal from the array of parties as other LR's of Kishorilal sufficiently represented his interest. Such a mistake could be corrected at any stage in exercise of powers under Sections 151 and 152 of CPC. Therefore, the plaintiff-respondent cannot take advantage of the aforesaid mistake.

Issue (iii)

45. As we have already concluded that appeal had not abated on non-substitution of legal heirs of deceased Murarilal i.e., appellant No.1(2), there was no question of setting aside abatement. Rather, the High Court was well within its jurisdiction in allowing impleadment of his heirs as proforma respondents in exercise of powers under Order 1 Rule 10 of CPC. Issue (iii) is decided accordingly.

Issue (iv)

46. In view of our conclusion that the appeal had not abated, the High Court had the discretion to allow impleadment of Murarilal's heirs

21 See; Footnote 7

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and for such impleadment, it was not required to condone the delay or to set aside abatement. Issue (iv) is decided accordingly.

Conclusion

47. In view of our findings on the issues framed above, the view of the High Court that the appeal had abated is erroneous and is liable to be set aside. Since the connected appeal was dismissed by the High Court only on account of dismissal of the other appeal as abated, the order dismissing the said appeal is also liable to be set aside.
48. Consequently, these appeals are allowed. The impugned order(s) dated 12.09.2017 passed by the High Court in F.A. No.213 of 2000 and F.A. No.217 of 2000 are set aside. Both the aforesaid first appeals are restored to their original number on the file of the High Court and they shall be decided in accordance with the law.
49. Pending applications, if any, in both the appeals shall stand disposed of.

Result of the case: Appeals allowed.

[†]Headnotes prepared by: Divya Pandey

Dinesh Biwaji Ashtikar
v.
State of Maharashtra & Ors.

(Special Leave Petition (Civil) No. 10105 of 2017)

13 January 2026

**[Pamidighantam Sri Narasimha and
Atul S. Chandurkar, JJ.]**

Issue for Consideration

Effective implementation of the mandate of s.12, Right of Children to Free and Compulsory Education Act, 2009 ensuring admission of at least twenty-five percent of class strength in unaided schools with children of weaker and disadvantaged groups for free education.

Headnotes[†]

Constitution of India – Article 21A – Right to Education – Right of Children to Free and Compulsory Education Act, 2009 – s.12– Directions by Supreme Court for effective implementation of s.12 and its mandate – Inaccessibility of twenty-five percent of class strength in a neighbourhood school to children belonging to weaker and disadvantaged groups u/s.12 for multifarious reasons viz. online application process, language barrier and lack of help desks to assist the parents/guardians, lack of information about the availability of seats, absence of transparency in the admission process – Suggestions made by the *amicus curiae* and the Ld. Additional Solicitor General highlighting the concerns and identifying areas requiring improvement viz. implementation of s.12 by the States/UTs and providing online portal for admission; language; information and assistance; transparency; establishment of help-desks and pro-active assistance during the application stage etc. – National and State Commissions for Protection of Child Rights (NCPCR) assigned with the task of reviewing, monitoring and redressing the grievances arising under the Act, issued Standard Operating Procedure (SOP) for implementation of s.12(1)(c), structured in three stages, (i) the preparatory stage, (ii) processing applications,

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selection and admission and (iii) procedure after completion of admission:

Held: The obligation of a “neighbourhood school” to admit children belonging to weaker and disadvantaged sections of the society, to the extent of twenty five percent of the class strength, u/s.12 has the extraordinary capacity to transform the social structure of the society – Ensuring admission of such students must be a national mission and an obligation of the appropriate government and the local authority – To ensure a smooth and transparent admission process and in order to enable eligible children to access the right of admission u/s.12(1)(c), the steps to be taken as regards the Preparatory Stage (Finalization of seats, Advertisement, Schedule of admission, Centralized online system, Criteria, Documents, Information about the school, Dispute settlement); Processing Applications, Selection and Admission (Help-desks; Selection criteria; Scrutiny of applications, Window for correction of defects, Dispute resolution); After Completion of Admission Process (Speaking order, Admission process, Initiation of inquiry, Post-admission, Reimbursement, Finality of selection), enumerated – Appropriate authorities to prepare and issue, in consultation with the NCPCR and SCPCRs, as the case may be, as well as the National and State Advisory Councils, necessary rules and regulations u/s.38 of the Act for implementing the mandate of s.12(1)(c) of the Act – NCPCR, New Delhi to be impleaded as a party respondent – The copy of the order be sent to the Commission for compliance and monitoring – Commission to collate information about the issuance of rules and regulations by the appropriate Governments of the States and Union Territories and file an affidavit before this Court by 31st of March, 2026 – Commission for Protection of Child Rights Act, 2005 – ss.3, 17. [Paras 1, 6.3]

Constitution of India – Article 21A – Right to Education – Right of Children to Free and Compulsory Education Act, 2009 – s.12 – Extent of school’s responsibility for free and compulsory education – ‘neighbourhood school’ denied admission to petitioner’s children for free and compulsory elementary education in 2016 – Petitioner filing writ petition, High Court turned back the petitioner on the ground that he

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had failed to take up appropriate steps to admit his kids in the free education quota – SLP thereagainst pending in Supreme Court for a long time:

Held: Unfortunately, the matter has become infructuous – However, in order to ensure that this situation shall not revisit parents like the petitioner again and again, case taken up for precedent making and to examine the efficiency and effectiveness of the procedures for complying with the mandate of s.12 – *Amicus curiae* appointed. [Para 3]

Right of Children to Free and Compulsory Education Act, 2009 – ss.12, 6, 9, 2(h), 10 – Extent of school’s responsibility for free and compulsory education – Duty of appropriate Government and local authority to establish school – Duties of local authority – Fundamental duties – Duty of parents and guardian – Constitution of India – Arts.21A, 51A(k) – Right to Education:

Held: Constitution declares elementary education as a fundamental right, as against many other liberties, which are in the nature of fundamental freedoms – The consequence of identifying the right to elementary education as a positive right is the recognition of co-relative duties and identification of five duty bearers, being (i) the appropriate government, (ii) the local authority, (iii) the neighbourhood schools, (iv) the parents/guardians, and (v) the primary school teachers – Obligations and duties of the duty bearers, highlighted. [Paras 6-6.5]

Right of Children to Free and Compulsory Education Act, 2009 – s.12 – Extent of school’s responsibility for free and compulsory education – Constitutional philosophy & mandate of s.12 – Two foundational constitutional values:

Held: Not less than twenty-five percent of the strength of an entry-level class shall be reserved for and filled by children belonging to “weaker sections” and “disadvantaged groups”, who are thereby guaranteed access to free elementary education – Such children are to be admitted to unaided schools in their neighbourhood, thereby embedding within the statutory framework the principle that the constitutional promise of education under Article 21A is to be realised through common local schools rather than segregated or

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parallel systems – The legislative choice to implement the right to free and compulsory education through neighbourhood schools is not merely administrative; it is a deliberate constitutional strategy to operationalise equality of status, dignity, and social integration among children in their formative years – In sustaining s.12, the Supreme Court has recognised that the rights of children carry corresponding obligations on the State to “respect, protect and fulfill” those rights and to regulate private educational institutions so that children’s rights are not violated even in non-State spheres. [Para 7]

Constitution of India – Article 21A – Right to Education – Right of Children to Free and Compulsory Education Act, 2009 – Scheme of the Act:

Held: Statutory design is normatively ambitious – It envisages elementary education for all children, across the spectrum of class, caste, gender and economic position, in a shared institutional space – s.12 seeks to concretise the constitutional principle of fraternity alongside equality and liberty – The 25% inclusion u/s.12, in unaided neighbourhood schools, is not an isolated welfare measure but a vehicle through which the constitutional commitment to fraternity and the “development of the child” as recognised in Article 21A and Article 39(f) is sought to be realized. [Para 8]

Right of Children to Free and Compulsory Education Act, 2009 – s.12 – Extent of school’s responsibility for free and compulsory education – “neighbourhood schools” – Emphasis on “neighbourhood schools” is rooted in the National System of Education, as elaborated in the Kothari Commission Report, which recommended a Common School System whereby all children, irrespective of social or economic background, would attend the same neighbourhood schools and learn together in an integrated, non-segregated environment:

Held: This model envisages the school as a common civic space that breaks down barriers of caste, class and gender, and thereby advances substantive equality and social justice – Policy rationale underlying s.12, stated. [Para 9]

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Constitution of India – Article 21A – Right to Education – Right of Children to Free and Compulsory Education Act, 2009 – s.12 – Role of judiciary:

Held: Ensuring admission of at least twenty-five percent of class strength in unaided schools with children of weaker and disadvantaged groups is certainly a national mission – Effective implementation of the statutory policy will be transformative and, in this regard, each one, be it the institution or an individual, be it the Central or the State Governments, Advisory Councils or Commissions are duty bearers – The most important role is of the neighbourhood schools and its teachers – In this mission, the judiciary also bears the burden to ensure that the process of admission is easily accessible, effective and efficient – Court must also ensure that judicial remedies against inaction or inefficiency are redressed effectively and expeditiously. [Para 10]

List of Acts

Right of Children to Free and Compulsory Education Act, 2009; Commissions for Protection of Child Rights Act, 2005; Constitution of India.

List of Keywords

Right under Article 21A, Constitution of India; Right to Education; Section 12, Right of Children to Free and Compulsory Education Act, 2009; Free and compulsory elementary education; “neighbourhood school” to admit children belonging to weaker and disadvantaged sections of our society, to the extent of twenty-five percent of the class strength; National and State Commissions for Protection of Child Rights; “neighbourhood schools”; Appropriate Government; Local authority to establish school; National System of Education; Kothari Commission Report.

Case Arising From

CIVIL APPELLATE JURISDICTION: Special Leave Petition (Civil) No. 10105 of 2017

From the Judgment and Order dated 20.12.2016 of the High Court of Judicature at Bombay at Nagpur in WP No. 6415 of 2016

Dinesh Biwaji Ashtikar v. State of Maharashtra & Ors.**Appearances for Parties**

Advs. for the Appellant(s):

Varinder Kumar Sharma.

Advs. for the Respondent(s):

Ms. Aishwarya Bhati, A.S.G., Omkar Deshpande, Siddharth Dharmadhikari, Aaditya Aniruddha Pande, Shrirang B. Varma, Bhuvan Kapoor, Mili Baxi, Rajesh Singh Chauhan, Padmesh Mishra, Ms. Neelakshi Bhadauria, Sudarshan Lamba, Amit Gupta, Ms. Muskan Nagpal, Prannv Dhawan, M/s Mitter & Mitter Co.

Judgment / Order of the Supreme Court**Judgment**

1. The obligation of a “neighbourhood school” to admit children belonging to weaker and disadvantaged sections of our society, to the extent of twenty-five percent of the class strength, under Section 12 of the Right of Children to Free and Compulsory Education Act, 2009¹ has the extraordinary capacity to transform the social structure of our society. Earnest implementation can truly be transformative. It is not only a step towards educating young India, but also a substantive measure in securing the preambular objective of ‘equality of status’. The *constitutional declaration* of the right under Article 21A, followed by the *statutory mandate* under Section 3 of the Act for free and compulsory elementary education can be realised only with effective implementation of the provisions of the Act. We have held that ensuring admission of such students must be a national mission and an obligation of the appropriate government and the local authority. Equally, Courts, be it constitutional or civil, must walk that extra mile to provide easy access and efficient relief to parents who complain of denial of the right.
2. We need not refer to the detailed facts of the case as by the time our attention was drawn to this special leave petition, the time within which effective relief could be granted to the petitioner had long passed. The petitioner had approached a ‘neighbourhood school’ for admitting his children for free and compulsory elementary education

¹ Hereinafter referred to as the Act.

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way back in 2016. It is his case that, even though information through RTI indicated that seats were available, the neighbourhood school did not respond. Therefore, he was compelled to approach the High Court by filing a writ petition under Article 226 of the Constitution. However, by the order impugned before us, the High Court turned back the petitioner on the ground that, “*the petitioner had failed to take up appropriate steps to admit his kids in the free education quota, the petitioner must blame himself.*” The “appropriate steps” that the High Court was referring to pertained to the alleged failure to apply as per the *online procedure* for filling up the twenty-five percent seats for children of weaker and disadvantaged sections. This is despite the fact that the primary education officer of the Zila Parishad, Gondia had addressed a letter to the Deputy Education Officer to admit petitioner’s children, though online procedure had not been followed, as his house is within 3 kms of the neighbourhood school and also that he comes from a very poor family. Further, the petitioner had also placed before the authorities RTI information that 648 seats are still lying vacant.

3. Unfortunately, the Special Leave Petition against the High Court’s order has been pending in this Court for a long time without appropriate orders and many years have passed by. The standard submission that we hear at the Bar, when such unfortunate cases are called for hearing is that– “*the matter has become infructuous.*” Sadly, this is true for the purpose of decision making on the facts of this case. However, in order to ensure that this situation shall not revisit parents like the petitioner again and again, we considered it appropriate to take up the case for precedent making and decided to examine the efficiency and effectiveness of the procedures for complying with the mandate of Section 12. We, therefore, appointed Shri Senthil Jagadeesan, learned senior counsel, as the amicus curiae to assist the Court.
4. The learned amicus curiae has brought to our notice the inaccessibility of twenty-five percent of class strength in a neighbourhood school to children belonging to weaker and disadvantaged groups under Section 12 for multifarious reasons. He would submit that the online application process to access the Right under Section 12 ignores the *prevalent digital illiteracy*. Apart from that, he also highlighted the *language barrier* and *lack of help-desks* to assist the parents/

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guardians. In addition to this, lack of information about the availability of seats, absence of transparency in the admission process and uncertainty about the forums for redressal of grievances are some of the issues highlighted by the learned amicus curiae. Before we deal with the text of Section 12, which we will in due course, it is also necessary to examine the context in which it is located in the scheme of the Act and the constitutional mandate.

A True Understanding of the Fundamental Right to Education.

5. Article 21A declares the fundamental right to free and compulsory education of all children of the age of 6 to 14 years.

“Article 21A. Right to Education – The State shall provide free and compulsory education to all children of the age of six to fourteen years in such manner as the State may, by law, determine.”

The obligation that the, “*State shall provide free and compulsory education in such manner as maybe determined by law*”, translates into the 2009 legislation, the Right of Children to Free and Compulsory Education Act.

“Section 3. Right of child to free and compulsory education –

(1) Every child of the age of six to fourteen years, including a child referred to in clause (d) or clause (e) of section 2, shall have the right to free and compulsory education in a neighbourhood school till the completion of his or her elementary education.”

6. It is important to recognize that the Constitution declares elementary education as a fundamental right, as against many other *liberties*, which are in the nature of fundamental freedoms. The consequence of identifying the right to elementary education as a *positive right* is the recognition of *co-relative duties* and identification of five *duty bearers*, being (i) the appropriate government, (ii) the local authority, (iii) the neighbourhood schools, (iv) the parents/guardians, and (v) the primary school teachers. It is important to highlight the obligations and duties of these duty bearers in detail not only for accountability, but also to ensure that they have sufficient support from the Government and the society.

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- 6.1 *The first duty bearer*, is the “appropriate Government”. The duty of the appropriate Government to establish neighbourhood schools is prescribed in Section 6.

“Section 6. Duty of appropriate Government and local authority to establish school - *For carrying out the provisions of this Act, the appropriate Government and the local authority shall establish, within such area or limits of neighbourhood, as may be prescribed, a school, where it is not so established, within a period of three years from the commencement of this Act.”*

The financial responsibilities under the Act are shared between the Central and the State Governments under Section 7. Further duties upon establishing the neighbourhood schools are prescribed in Section 8, which inter alia mandate that the appropriate government shall, “ensure availability of a neighbourhood school as specified in Section 6”.

- 6.2 *The second duty bearer*, is the “local authority”². To ensure implementation of the right at the grassroot level, Section 9 obligates the local authority to ensure availability of a neighbourhood school as specified in Section 6 (Section 9(b)), maintain records of children up to the age of fourteen years (Section 9(d)) and also ensure and monitor admission, attendance and completion of elementary education by every child residing within its jurisdiction (Section 9(e)). The relevant part of Section 9 is as follows -

“Section 9. Duties of local authority.- *Every local authority shall—*

(b) ensure availability of a neighbourhood school as specified in section 6;

(d) maintain records of children up to the age of fourteen years residing within its jurisdiction, in such manner as may be prescribed;

² Section 2(h) -“local authority” means a Municipal Corporation or Municipal Council or Zila Parishad or Nagar Panchayat or Panchayat, by whatever name called, and includes such other authority or body having administrative control over the school or empowered by or under any law for the time being in force to function as a local authority in any city, town or village;

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(e) ensure and monitor admission, attendance and completion of elementary education by every child residing within its jurisdiction.”

- 6.3 *The third duty bearer*, is the neighbourhood school. Under Section 12, a neighbourhood school is impressed with the responsibility of providing free and compulsory education. Section 12 articulates the responsibility of a neighbourhood school in the following terms -

“Section 12. Extent of school’s responsibility for free and compulsory education.-

(1) *For the purposes of this Act, a school,—*

(a) specified in sub-clause (i) of clause (n) of section 2 shall provide free and compulsory elementary education to all children admitted therein;

(b) specified in sub-clause (ii) of clause (n) of section 2 shall provide free and compulsory elementary education to such proportion of children admitted therein as its annual recurring aid or grants so received bears to its annual recurring expenses, subject to a minimum of twenty-five per cent.;

(c) specified in sub-clauses (iii) and (iv) of clause (n) of section 2 shall admit in class I, to the extent of at least twenty-five percent of the strength of that class, children belonging to weaker section and disadvantaged group in the neighbourhood and provide free and compulsory elementary education till its completion:

Provided further that where a school specified in clause (n) of section 2 imparts pre-school education, the provisions of clauses (a) to (c) shall apply for admission to such pre-school education.

(2) *The school specified in sub-clause (iv) of clause (n) of section 2 providing free and compulsory elementary*

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education as specified in clause (c) of sub-section (1) shall be reimbursed expenditure so incurred by it to the extent of per-child-expenditure incurred by the State, or the actual amount charged from the child, whichever is less, in such manner as may be prescribed:

Provided that such reimbursement shall not exceed per-child-expenditure incurred by a school specified in sub-clause (i) of clause (n) of section 2:

Provided further that where such school is already under obligation to provide free education to a specified number of children on account of it having received any land, building, equipment or other facilities, either free of cost or at a concessional rate, such school shall not be entitled for reimbursement to the extent of such obligation.

(3) Every school shall provide such information as may be required by the appropriate Government or the local authority, as the case may be."

The definition of 'School' takes within its fold any recognised school imparting education and includes (i) governmental school, (ii) aided school receiving grants, (iii) schools belonging to specified categories such as the Kendriya Vidyalaya etc. and most importantly, (iv) unaided school not receiving any grants. With respect to the specified and unaided schools not receiving any grants, Section 12 mandates that the "neighborhood schools" shall admit in Class I, to the extent of at least twenty-five percent of the strength of that class, children belonging to weaker section and disadvantaged group for free and compulsory education. We will be examining this obligation of the school under Section 12(1)(c) in detail.

- 6.4 *The fourth duty bearer*; is the Parent. This duty is now constitutionally recognised in Article 51A(k) of the Constitution.

"51A. Fundamental duties.- *It shall be the duty of every citizen of India-*

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(k) who is a parent or guardian to provide opportunities for education to his child or, as the case may be, ward between the age of six and fourteen years”.

Following the constitutional mandate, Section 10 of the Act mandates every parent to perform this pious duty.

“10. Duty of parents and guardian - *It shall be the duty of every parent or guardian to admit or cause to be admitted his or her child or ward, as the case may be, to an elementary education in the neighbourhood school.”*

- 6.5 *The fifth duty bearer*, is the elementary school teacher. There is no human resource or value higher than development of a student’s mind and character. Therefore, the elementary school teachers have the most important role in nation building and as such, they have to be treated with utmost respect and care. A society that does not take care of its elementary school teachers is bound to fail in securing the constitutional objective.

The Constitutional Philosophy & Mandate of Section 12.

7. It is necessary to underscore two foundational constitutional values that Section 12 of the Right of Children to Free and Compulsory Education Act, 2009 (RTE Act) is designed to articulate and secure. The first, in unequivocal terms, mandates that not less than twenty-five percent of the strength of an entry-level class shall be reserved for and filled by children belonging to “weaker sections” and “disadvantaged groups”, who are thereby guaranteed access to free elementary education. The second is that such children are to be admitted to unaided schools in their neighbourhood, thereby embedding within the statutory framework the principle that the constitutional promise of education under Article 21A is to be realised through common local schools rather than segregated or parallel systems. The legislative choice to implement the right to free and compulsory education through neighbourhood schools is not merely administrative; it is a deliberate constitutional strategy to operationalise equality of status, dignity, and social integration among children in their formative years. In sustaining Section 12, the Supreme Court has recognised that the rights of children carry corresponding obligations on the State to “respect, protect and fulfill” those rights and to regulate private educational institutions so that children’s rights are not violated even in non-State spheres.

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8. Properly understood, this statutory design is normatively ambitious. It envisages elementary education for all children, across the spectrum of class, caste, gender and economic position, in a shared institutional space. It makes it possible, normatively and structurally, for the child of a multi-millionaire or even of a Judge of the Supreme Court of India to sit in the same classroom and at the same bench as the child of an autorickshaw driver or a street vendor. This is the manner in which Section 12 seeks to concretise the constitutional principle of fraternity alongside equality and liberty. A correct appreciation of fraternity must displace the traditional but mistaken view, often repeated in constitutional discourse, that it is not an enforceable value. Our constitutional jurisprudence compels us to read *fraternity* as a value requiring the State to structure institutions that nurture co-existence, mutual respect, and a sense of common membership. Unlike *equality* and *liberty*, which are frequently framed as individual rights-claims, fraternity is relational; it operates through institutional arrangements that enable individuals to “lose suspect identities” based on caste, class or other hierarchies and to form solidaristic bonds. In this sense, the 25% inclusion under Section 12, in unaided neighbourhood schools, is not an isolated welfare measure but a vehicle through which the constitutional commitment to fraternity and the “development of the child” as recognised in Article 21A and Article 39(f) is sought to be realised.
9. The emphasis on “neighbourhood schools” is rooted in the National System of Education, as elaborated in the Kothari Commission Report, which recommended a Common School System whereby all children, irrespective of social or economic background, would attend the same neighbourhood schools and learn together in an integrated, non-segregated environment. This model envisages the school as a common civic space that breaks down barriers of caste, class and gender, and thereby advances substantive equality and social justice. The neighbourhood common school system under the RTE Act envisages that each child must have access to a neighbourhood school and such a system is central to the project of democratising schooling and reducing entrenched social inequalities. The policy rationale underlying Section 12 of the RTE Act is evident from the following statement of the Ministry of Human Resource Development;

“The idea that schooling should act as a means of social cohesion and inclusion is not new; it has been oft repeated.

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Inequitable and disparate schooling reinforces existing social and economic hierarchies, and promotes in the educated sections of society an indifference towards the plight of the poor.

The currently used term 'inclusive' education implies, as did earlier terms like 'common' and 'neighbourhood' schools, that children from different backgrounds and with varying interests and ability will achieve their highest potential if they study in a shared classroom environment. The idea of inclusive schooling is also consistent with Constitutional values and ideals, especially with the ideals of fraternity, social justice and equality of opportunity.

For children of socio-economically weaker backgrounds to feel at home in private schools, it is necessary that they form a substantial proportion or critical mass in the class they join. The relevant universe in which the proportion needs to be considered is the class/section. It is for this reason that the RTE Act provides for admission of 25% children from disadvantaged groups and weaker sections in class I only. This implies that these children cannot be pooled together in a separate section or afternoon shift. Any arrangement which segregates, or treats these children in a differentiated manner vis-à-vis the fee-paying children will be counter-productive.

The rationale for 25% lies in the fact that the composition of caste/class indicated in the Census is fairly representative of the composition of children who are seeking admission under this provision. As per Census 2001, SCs constitute 16.2%, and STs constitute 8.2% (total 24.4%) of the population. Further, the Tendulkar Committee, set up by the Planning Commission to measure poverty, has estimated the below poverty line (BPL) population to be 37.2%. It is a fact that much of the population that suffers economic deprivation also suffers from social disadvantage. Thus, taken together, the figure of 25% for admission of children from disadvantaged groups and weaker sections is considered reasonable. Any lower proportion would jeopardize the long-term goal of the policy which is to

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strengthen social cohesion and bring out the best human resource potential inherent in our society as a whole. A smaller proportion would serve only a token purpose, and it will run the serious risk of creating the feeling of alienation among the children belonging to disadvantaged groups and weaker sections. Their participation in classroom interaction will be neither strong nor sufficiently manifest to enrich the overall experiential learning taking place in any given subject area. Only a critical mass can play such a role.

The RTE Act provides for admission of 25% children from disadvantaged groups and weaker sections in Class I, not across the whole school. As children admitted to class I move to class II, new children will be admitted to class I, and so on till completion of 8 years of elementary education. The rationale for admission in class I only must be appreciated in human terms. Teachers who are used to a selective, homogeneous classroom environment cannot be expected to develop the required positive attitude and professional skills to deal with a diversified class overnight. The same applies to children. Children who have grown up to an age of nine or ten in a homogeneous or segregated environment have been socialized into a structure of norms and behaviour. They cannot be transformed on demand. Also, the overall school ethos cannot be expected to respond to a new policy in a positive manner all of a sudden. Education is indeed an act of faith and social engineering - but not quick-fix social engineering. In view of the fact that children take time to socialize and teachers take time to develop new attitudes and pedagogic skills, the RTE Act provides for admission of disadvantaged and poor children at the entry level, covering pre-school and Class I. With these children moving up, and a new cohort of children entering pre-school and Class I in each successive year, the school will gradually have a more diverse population spread across all classes. Progression at this pace will allow children the opportunity to grow up together and create bonds: bonds that can survive social walls. Progression at this pace can allow the school to develop the professional capacity to respond to the intellectual and emotional needs

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of children from diverse backgrounds. Children who are younger than eight years of age are yet to develop a stable social identity. Their values are still forming, and their motivation to derive meaning from experience, both concrete and social is very strong. Therefore, it is a valid argument that the policy of mixing children from different socio-economic strata has the best chance of succeeding if it starts from the formative years of nursery/kindergarten and Class I. Diversity enhances learning and development, while segregation impoverishes the classroom environment of all schools, private or government.

Admission of 25% children from disadvantaged groups and weaker sections in the neighbourhood is not merely to provide avenues of quality education to poor and disadvantaged children. The larger objective is to provide a common place where children sit, eat and live together for at least eight years of their lives across caste, class and gender divides in order that it narrows down such divisions in our society. The other objective is that the 75% children who have been lucky to come from better endowed families, learn through their interaction with the children from families who haven't had similar opportunities, but are rich in knowledge systems allied to trade, craft, farming and other services, and that the pedagogic enrichment of the 75% children is provided by such intermingling. This will of course require classroom practices, teacher training, etc. to constantly bring out these pedagogic practices, rather than merely make children from these two sections sit together. The often voiced concern about how the 25% children from disadvantaged groups and weaker sections can cope in an environment where rich children exist can be resolved when the teaching learning process and teachers use these children as sources of knowledge so that their esteem and recognition goes up and they begin to be treated as equals."

10. Our concern is about the effective, rather, the ineffective implementation of the mandate under Section 12 of the Act. We have to ensure admission of at least twenty-five percent of class strength in unaided schools with children of weaker and disadvantaged groups. This is

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certainly a national mission. Effective implementation of the statutory policy will be transformative and, in this regard, each one of us, be it the institution or an individual, be it the Central or the State Governments, Advisory Councils or Commissions are duty bearers. The most important role is of the neighbourhood schools and its teachers. In this mission, the judiciary also bears the burden to ensure that the process of admission is easily accessible, effective and efficient. Court must also ensure that judicial remedies against inaction or inefficiency are redressed effectively and expeditiously. It is in this context that we have examined the procedure and practice for implementing Section 12 of the Act.

11. Considering the importance of implementing the purpose and object of the Act, Parliament has assigned the task of reviewing, monitoring and redressing the grievances arising under the Act to the National and State Commissions for Protection of Child Rights³ under Section 31 of the Act.

“Section 31. Monitoring of child’s right to education. —

(1) The National Commission for Protection of Child Rights constituted under section 3, or, as the case may be, the State Commission for Protection of Child Rights constituted under section 17, of the Commissions for Protection of Child Rights Act, 2005 (4 of 2006), shall, in addition to the functions assigned to them under that Act, also perform the following functions, namely:—

(a) examine and review the safeguards for rights provided by or under this Act and recommend measures for their effective implementation;

(b) inquire into complaints relating to child’s right to free and compulsory education; and

(c) take necessary steps as provided under sections 15 and 24 of the said Commissions for Protection of Child Rights Act.

(2) The said Commissions shall, while inquiring into any matters relating to child’s right to free and compulsory

3 Hereinafter referred to as “the NCPCR” and “the SCPCRs”.

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education under clause (c) of sub-section (1), have the same powers as assigned to them respectively under sections 14 and 24 of the said Commissions for Protection of Child Rights Act.

(3) Where the State Commission for Protection of Child Rights has not been constituted in a State, the appropriate Government may, for the purpose of performing the functions specified in clauses (a) to (c) of sub-section (1), constitute such authority, in such manner and subject to such terms and conditions, as may be prescribed.”

12. The Commissions are established under Sections 3 and 17 of the Commission for Protection of Child Rights Act, 2005. In exercise of its statutory duty, NCPCR issued Standard Operating Procedure (SOP) for implementation of Section 12(1)(c) of the Act. The preamble of the SOP is as follows:

“Through the redressal of grievances and feedback during different formal and informal meetings/consultations, it came to NCPCR’s notice that different mechanism and modalities are being followed by the States/UTs based on their interpretation of the said provision. To examine the compliance of the above-mentioned clause in true spirit and to understand ground reality NCPCR undertook a study on implementation of the provision in private unaided schools of Delhi. The findings of the study revealed challenges faced by all stakeholders involved specially the children and parents. Most importantly, it helped to discover the issues right from the process of admission to the inclusion of children admitted under this section in the school. Consequently, the Standard Operating Procedure (SOP) for Implementation of Section 12(1)(c) of the RTE Act, 2009 has been developed to present a systematic mechanism/ procedure to be followed by the State Governments in making the entire process streamlined and transparent.”

13. Learned amicus curiae also brought to our notice SOP for Delhi and the relevant rules for the State of Maharashtra. He has also placed on record certain other material having a direct bearing on the issue under consideration. A statement of joint suggestions made by the amicus curiae and the learned Additional Solicitor General (ASG) is

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also placed before us, highlighting the concerns and identifying areas requiring improvement. The issues and suggestions are as follows:

- (i) *Implementation of Section 12 by the States/UTs and providing online portal for admission:* Presently, all States and Union Territories have neither implemented the mandate of Section 12, nor established a portal dedicated to ensuring a transparent admission process.
- (ii) *Language:* It is suggested that all States and Union Territories should provide information in at least three languages – two being the official languages (Hindi and English) and the third being the local language of the area concerned.
- (iii) *Information and assistance:* Information regarding the admission process has to be made available to parents and guardians.
- (iv) *Transparency:* Schools should be directed to publish the number of available seats for children belonging to disadvantages groups and weaker sections much in advance and before the application stage commences.
- (v) *Establishment of help-desks and pro-active assistance during the application stage:* Either the designated school staff, the District Education Officer, the Block Officer, the Block Committee Office or the Jan Sewa Kendras must set up help-desks to assist parents for completing the application process.
- (vi) *Window for clearance of defects:* Instead of simpliciter rejection of a defective application, a defect clearance window should be established with an assistant to clear mistakes.
- (vii) *Complaints:* A redressal mechanism for complaints by parents/guardians should be set up and the grievances must be resolved within strict timelines.
- (viii) *Transparency in denial of admissions:* Denial of admissions should be recorded and uploaded with reasons and the same should be reviewed by the Block Education Officer within 72 hours.
- (ix) *Training:* Training must be imparted to prevent discrimination of children belonging to disadvantaged groups and weaker sections.

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14. The suggestions of the learned amicus curiae and the learned ASG, seen in the context of SOP issued by NCPCR may be restated. In fact, NCPCR's SOP is structured in three stages, (i) the first relates to the preparatory stage, (ii) the second stage relates to processing applications, selection and admission and (iii) the third stage relates to procedure after completion of admission. To ensure a smooth and transparent admission process and in order to enable eligible children to access the right of admission under Section 12(1)(c), the following steps should be taken –

14.1 Preparatory Stage

- (i) *Finalization of seats*: The schools should be given 20 working days to submit the requisite data of the declared strength for purpose of Section 12(1)(c).
- (ii) *Advertisement*: Appropriate Government and local authority should advertise the schedule of admission under Section 12(1)(c) in print and electronic media as well as locally used medium of broadcasting/publicising important announcements, especially in rural areas. This shall contain all the essential information regarding the admission process.
- (iii) *Schedule of admission*: A calendar for admission under Section 12(1)(c) shall be scheduled in such a manner that the admission process is completed before beginning of admission of children under DG/EWS category. This is to be done at least two months from the commencement of the next academic year.
- (iv) *Centralized online system*: The appropriate Government shall develop centralized online portal for admission under Section 12(1)(c). The joint suggestions recognize the existence of digital illiteracy and have suggested that the process must be accessible with the aid of help-desks etc., to bridge the gap of digital divide.
- (v) *Criteria*: for determining children belonging to disadvantaged groups and weaker sections must have clarity and simplicity.

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- (vi) *Documents:* The requirement of documents necessary for processing the application for admission must be clearly mentioned.
- (vii) *Information about the school:* It is necessary to ensure that the school is fully prepared and ready to undertake the process of admission effectively and efficiently. Public awareness in the local area about the admission process is necessary. The school as well as local authority have an obligation to disseminate this information.
- (viii) *Dispute settlement:* Dispute Settlements Committees must be set up and their availability must be made known.

14.2 Processing Applications, Selection and Admission

- (i) *Help-desks:* The local authority, respective neighbourhood schools and non-governmental organisations shall set up help-desks for free of cost facilitation of parents/guardian in filling the form on the online portal and other connected steps. For this purpose, assistance under the Common Service Centres Scheme shall also be made readily available.
- (ii) *Selection criteria:* The criteria employed for giving preference to one applicant over the another and the process of draw of lots shall be laid out in simple and clear terms, and it must be widely published.
- (iii) *Scrutiny of applications:* Scrutiny of applications shall be carried out by zonal/local teams, as directed to be constituted as per SOP notified by the GNCTD of Delhi dated 02.01.2025, instead of private unaided recognized schools.
- (iv) *Window for correction of defects:* No application shall be summarily rejected on the ground of deficiency of required documents without first giving an opportunity for correction. For this purpose, a set timeline and procedure for providing window of correction shall be prescribed, taking specific guidance from the NCPCR's SOP in this regard.

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- (v) *Dispute resolution*: Easy and effective mechanism for dispute resolution under Section 32 or by the Dispute Settlement Committee must be formulated.

14.3 After Completion of Admission Process

- (i) *Speaking order*: The outcome of selection must be published through a speaking order.
- (ii) *Admission process*: The online portal shall notify school-wise list of children selected. An updated record of the children taking admission must be maintained.
- (iii) *Initiation of inquiry*: The authorities must monitor and keep a constant watch. In case there is a trend noticed with respect to reserved seats going vacant in a specific school, the causes must be enquired into.
- (iv) *Post-admission*: The basic essentials for effective inclusion post admission must be undertaken.
- (v) *Reimbursement*: Per-Child Expenditure reimbursement must be done without delay.
- (vi) *Finality of selection*: The admitted children shall not be subjected to any further scrutiny by the respective schools.

15. The above referred procedure, as indicated in the SOP issued by NCPCR, is only in the nature of guidelines. These guidelines do not partake the character of enforceable rules, violation of which would render the duty bearers answerable to the reviewing or controlling authority. Uncertainty about the obligation to comply with the requirements would also make judicial review complicated. We are of the opinion that it is necessary and compelling to formulate subordinate legislation by issuing necessary rules and regulations, prescribing the method and manner by which children of weaker and disadvantaged sections are to be admitted in neighbourhood schools. Without such enforceable rules and regulations, the object of Article 21A and the statutory policy under Section 12(1)(c) would be a dead letter.

16. In view of the above, we direct the appropriate authorities to prepare and issue, in consultation with the NCPCR and SCPCRs, as the

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case may be, as well as the National and State Advisory Councils, necessary rules and regulations under Section 38 of the Act for implementing the mandate of Section 12(1)(c) of the Act.

- 16.1 We direct that the NCPCR, New Delhi shall be impleaded as a party respondent. The copy of our order shall be sent to the Commission for compliance and monitoring.
- 16.2 We further direct the Commission to collate information about the issuance of rules and regulations by the appropriate Governments of the States and Union Territories and file an affidavit before this Court by 31st of March, 2026.
- 16.3 List this Special Leave Petition for further hearing on 6th of April, 2026.

Result of the case: Special Leave Petition to be listed for further hearing.

†Headnotes prepared by: Divya Pandey

Kanchana Rai
v.
Geeta Sharma & Ors.

(Civil Appeal No(s). 245-246 of 2026)

13 January 2026

[Pankaj Mithal* and S.V.N. Bhatti, JJ.]

Issue for Consideration

Whether a daughter-in-law, who becomes a widow after the death of her father-in-law, is a dependant upon the estate of the father-in-law, and entitled to claim maintenance from his estate.

Headnotes[†]

Hindu Adoptions & Maintenance Act, 1956 – Chapter III, ss.18 to 28 – Maintenance – Widow daughter-in-law – A daughter-in-law became widow after death of her father-in-law – She is dependent upon the estate of father-in-law – Whether she is entitled to claim maintenance from her father-in-law’s estate – Whether the words “any widow of his son” would mean “widow of his predeceased son” only:

Held: In view of the language so used in s.21(vii) of the Act and guided by the settled principles, there is hardly any scope to interpret that the words “any widow of his son” used therein would mean “widow of his predeceased son” only – The courts cannot add or subtract any word from the text of the statute – Any such restrictive interpretation would fail the test of constitutional validity u/Art.14 of the Constitution – The classification sought to be made between widowed daughters-in-law based solely on the timing of the husband’s death, namely, (a) those whose husbands died during the lifetime of the father-in-law, and (b) those whose husbands died after him; is manifestly unreasonable and arbitrary – Any interpretation contrary to one opined above, would also infringe upon Art.21 of the Constitution, which guarantees the right to life with dignity – Denying maintenance to a widowed daughter-in-law from the estate of her deceased father-in-law on a narrow or technical construction of the statute would expose her to destitution and social marginalization, thereby offending her fundamental right to live with dignity – The provisions of the Act must, therefore, be

* Author

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read purposively and in conformity with constitutional values, so as to advance social justice and protect the dignity of vulnerable dependants rather than defeat it – The Act does not envisage to rule out the above obligation of the father-in-law to maintain his widowed daughter-in-law, irrespective of the fact when she became a widow whether prior or after his death – s.19 of the Act simply contemplates that a Hindu wife is entitled to be maintained after the death of her husband by her father-in-law – Whereas, s.22 contemplates “maintenance of dependants” including “widowed daughter-in-law” from the estate of her father-in-law meaning thereby that a claim u/s.22 can be raised only after the death of the father-in-law – This Court is clearly of the opinion that “any widow of the son” of a deceased Hindu is a dependant within the meaning of s.21(vii) of the Act and is entitled to claim maintenance u/s.22 of the Act. [Paras 22, 23, 24, 26, 28, 29]

Case Law Cited

B. Premanand v. Mohan Koikal [2011] 3 SCR 932: (2011) 4 SCC 266; *Vinod Kumar v. DM, Mau* [2023] 10 SCR 387 : (2023) 19 SCC 126 – referred to.

Crawford v. Spooner (1846) 4 Moo IA 179 – referred to.

Books and Periodicals Cited

Manu Smriti *vide* Chapter 8, verse 389.

List of Acts

Hindu Adoptions and Maintenance Act, 1956; Hindu Succession Act, 1956; Constitution of India.

List of Keywords

Literal interpretation; Widow daughter-in-law; Widow dependent on father-in-law; Estate of father-in-law; Maintenance; Section 19 of Hindu Adoptions and Maintenance Act, 1956; Section 22 of Hindu Adoptions and Maintenance Act, 1956; Maintenance of dependents; Article 14 of Constitution of India; Article 21 of Constitution.

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No(s). 245-246 of 2026

Kanchana Rai v. Geeta Sharma & Ors.

From the Judgment and Order dated 20.08.2025 and 26.08.2025 of the High Court of Delhi at New Delhi in MATAPP (FC) No. 303 of 2024 and CMAPPL No. 52693 of 2025, respectively

With

Civil Appeal No. 247 of 2026

Appearances for Parties

Advs. for the Appellant(s):

Dr. Abhishek Manu Singhvi, V. Giri, Arvind Nayyar, Sr. Advs.,
D. Abhinav Rao, B. Shravanth Shanker, Rahul Narang.

Advs. for the Respondent(s):

Vikas Singh, Sr. Adv., Varun Singh, Nitin Saluja, Ms. Deepeika Kalia, Ms. Alankriti Dwivedi, Ms. Somesa Gupta, Sudeep Chandra, Ms. Khushi.

Judgment / Order of the Supreme Court**Judgment**

Pankaj Mithal, J.

1. Leave granted.
2. Heard Dr. Abhishek Manu Singhvi and Shri V. Giri, senior counsel appearing for the respective appellants in the two appeals and Shri Vikas Singh, senior counsel for the contesting respondents, in both the appeals.
3. The controversy is *inter se* the heirs/family members of late Dr. Mahendra Prasad who died on 27.12.2021. He had three sons, namely, Ranjit Sharma, who passed away on 02.03.2023, Devinder Rai, husband of the appellant-Kanchana Rai and Rajeev Sharma. It is alleged that late Dr. Mahendra Prasad executed a registered Will on 18.07.2011, appointing the appellant, the wife of his pre-deceased son Devinder Rai, as the executor while bequeathing his properties in favour of her two sons, completely ignoring his own two sons namely Ranjit Sharma and Rajeev Sharma.
4. Smt. Geeta Sharma, Respondent No. 1, wife of one of the sons, Ranjit Sharma, who died after the death of Dr. Mahendra Prasad, applied for maintenance from the estate of her father-in-law, before the

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Family Court under the Hindu Adoptions and Maintenance Act, 1956¹. The petition was dismissed by the Family Court as not maintainable as Respondent no.1 was not a widow on the date of death of Dr. Mahindra Prasad, since her husband, Ranjit Sharma was alive at the time of his father's demise. The High Court, in appeal, set aside the order of the Family Court recording a categorical finding that the petition was maintainable as Respondent no.1 was the widow of one of the sons of late Dr. Mahindra Prasad and as such was a dependant. Accordingly, the High Court directed the Family Court to consider the matter on merit and to decide about the quantum of maintenance.

5. Aggrieved by the aforesaid judgment and order of the High Court dated 20.08.2025, the appellant-Smt. Kanchana Rai, the wife of late Devinder Rai, the pre-deceased son of late Dr. Mahindra Prasad, has preferred one of these appeals on the issue of maintainability of the maintenance petition filed by the Respondent No.1
6. The other appeal has been preferred by one Smt. Uma Devi, the alleged partner of late Dr. Mahindra Prasad, contending that she was in a live-in relationship with him over the last forty years and that Respondent No. 1 had no legal right for seeking maintenance from the estate of late Dr. Mahendra Prasad.
7. In these facts and circumstances, a short and simple question, which has been made intricate by legal engineering of the legal minds, arising in these appeals is: whether a daughter-in-law, who becomes a widow after the death of her father-in-law, is a dependant upon the estate of the father-in-law, and entitled to claim maintenance from his estate.
8. Since the issue which is falling for our consideration is purely legal in nature, we intend to proceed and decide it on our own thinking and reasoning on the simple interpretation of the provisions of the Act, independent of the view taken by either of the courts below i.e. the Family Court and the High Court or on the basis of the Hindu Succession Act, 1956, which is completely alien for the purposes of any interpretation of the provisions of the present Act.

1 Hereinafter referred to as "the Act"

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9. The law on the grant of maintenance of Hindus has been codified by enacting the Hindu Adoptions & Maintenance Act, 1956. The aforesaid Act provides for the adoption as well for the maintenance. The adoption part is dealt under Chapter II of the Act, whereas Chapter III of the Act provides for maintenance to the dependants of a Hindu under Sections 18 to 28.
10. The “dependants” have been defined under Section 21 of the Act *inter alia* to include the following relatives of the deceased.

“ ...

2 (vii). any widow of his son or of a son of his predeceased son, so long as she does not remarry: provided and to the extent that she is unable to obtain maintenance from her husband's estate. or from her son or daughter, if any, or his or her estate; or in the case of a grandson's widow, also from her father-in-law's estate;

... ”

11. A plain reading of the above definition of the dependants makes it crystal clear that the relatives of the deceased, namely, “any widow of his son” would be a dependant provided she is unable to maintain herself from her husband's estate or from her son or her daughter's estate and in the case of grandson's widow, from her father-in-law's estate.
12. Section 22 of the Act provides for the maintenance of dependants and casts an obligation upon all the heirs of the deceased Hindu to maintain the dependants of the deceased out of the estate inherited by them from the deceased. In simpler words, all the heirs of the deceased Hindu are obliged to maintain the dependants of the deceased from the funds inherited out of the estate of the deceased.
13. Sub-section (2) of Section 22 further provides that where a dependant of the deceased Hindu has not obtained share in the estate of the Hindu either by testamentary or intestate- succession, such a dependant shall be entitled to maintenance from those who take the estate. Therefore, anyone succeeding to the estate of the deceased Hindu is under an obligation to maintain the dependant of the deceased.
14. Section 23 of the Act provides for the manner and the factors on the basis of which maintenance to a dependant has to be determined.

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15. Section 21 of the Act, as stated earlier, is only a defining section which defines the “dependants” of the deceased Hindu. One of the relatives of the deceased Hindu who has been defined as a dependant is clearly “any widow of his son” meaning thereby a widow of the deceased son of the Hindu is a dependant irrespective of the time she becomes a widow.
16. The above definition is quite clear and unambiguous. It is not open for any other meaning except that a “widow of the son” of the deceased is a dependant. In view of such a clear definition, it is not open for anyone to infer and assign any other meaning to the said definition so as to say that only a widow of the predeceased son of a Hindu would be covered by the said definition. The aforesaid definition nowhere uses the word “widow of a predeceased son”. It simply uses the words “any widow of a son”. The legislature in its wisdom has deliberately avoided to use the word “predeceased” before the “son” so as to include any widow of the son. The time of her becoming a widow or the death of the son is immaterial.
17. It is a cardinal principle of interpretation of law that where the provision is clear and unambiguous, it has to be interpreted literally provided the literal interpretation is not in conflict with the purpose of the Act or is otherwise not impractical.
18. This foundational principle of literal interpretation finds unequivocal support in a consistent line of judicial precedents.
19. In ***Crawford v. Spooner***² the Privy Council observed that the construction of an Act must be taken from its bare words, and it is not for the courts “to add, and mend, and, by construction, make up deficiencies” left by the legislature, nor to “fish out what possibly may have been the intention” if not clearly expressed. Judges must take the words as they are and give them their natural meaning, unless controlled or altered by the context or the preamble.
20. In ***B. Premanand v. Mohan Koika***³ this Court emphasized that departure from the literal rule should be an exception in very rare cases, as once courts depart from the literal rule where the language is clear, the result would be destructive of judicial discipline and

2 (1846) 4 Moo IA 179

3 (2011) 4 SCC 266

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contrary to the constitutional scheme as the exclusive domain to legislate is upon the legislature. The Court aptly noted that “the literal rule of interpretation simply means that we mean what we say and we say what we mean.” The Court further cautioned that even if a literal interpretation results in hardship or inconvenience, the same cannot be a ground to depart from the plain meaning of the statutory text.

21. More recently, in ***Vinod Kumar v. DM, Mau***⁴ this Court reaffirmed that the literal rule is the first and foremost principle of statutory interpretation. Where the words are absolutely clear and unambiguous, recourse cannot be had to any other principle. The Court explicitly held that “the language employed in a statute is the determinative factor of the legislative intent” and that judges cannot correct or make up a perceived deficiency in the words used by the legislature. The Court held that courts cannot correct or supply an assumed omission in the statute, as the legislature is presumed to have intended what it has expressly stated.
22. In view of the language so used in Section 21 (vii) of the Act and guided by the settled principles reiterated above, there is hardly any scope to interpret that the words “any widow of his son” used therein would mean “widow of his predeceased son” only. The courts cannot add or subtract any word from the text of the statute. The provisions of the statute cannot be re-written by the courts by assuming or inferring something which is not implicit from the plain language of the statute.
23. Even otherwise, any such restrictive interpretation would fail the test of constitutional validity under Article 14 of the Constitution. The classification sought to be made between widowed daughters-in-law based solely on the timing of the husband’s death, namely, (a) those whose husbands died during the lifetime of the father-in-law, and (b) those whose husbands died after him; is manifestly unreasonable and arbitrary. Such a classification bears no rational nexus with the object and purpose of the Act, which is to secure maintenance to dependants who are unable to maintain themselves. In both situations, the women are similarly situated in so far as the object of the Act is concerned, having suffered widowhood, being without

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spousal support, and facing comparable financial vulnerability. Denial of maintenance to one category based on a fortuitous circumstance beyond their control is manifestly arbitrary and violative of the guarantee of equality before law under Article 14 of the Constitution.

24. Any interpretation contrary to one opined above, would also infringe upon Article 21 of the Constitution, which guarantees the right to life with dignity. The right to life has been judicially expanded to include the right to livelihood and basic sustenance. Denying maintenance to a widowed daughter-in-law from the estate of her deceased father-in-law on a narrow or technical construction of the statute would expose her to destitution and social marginalization, thereby offending her fundamental right to live with dignity. The provisions of the Act must, therefore, be read purposively and in conformity with constitutional values, so as to advance social justice and protect the dignity of vulnerable dependants rather than defeat it.
25. Section 4 of the Act has an overriding effect but it does not erase away fundamental principles of Hindu law particularly where some doubt is raised about the codified provisions. The Hindu law specially *Manu Smriti* vide Chapter 8, verse 389 says:

“न माता न पिता न स्त्री न पुत्रस्त्यागमर्हति ।
त्यजन्नपतितानेतान राज्ञा दण्ड्यः शतानि षट्” ॥

No mother, no father, no wife, and no son deserves to be forsaken. A person who abandons these blameless (relatives) should be fined six hundred (units) by the king. This verse emphasizes duty of the family head to support female family members.

26. A son or the legal heirs are bound to maintain all the dependant persons out of estate inherited i.e. all persons whom the deceased was legally and morally bound to maintain. Therefore, on the death of son, it is the pious obligation of the father-in-law to maintain widowed daughter-in-law, if she is unable to maintain herself either on her own or through the property left behind by the deceased son. The Act does not envisage to rule out the above obligation of the father-in-law to maintain his widowed daughter-in-law, irrespective of the fact when she became a widow whether prior or after his death.
27. Though, it may not be very much in context to refer to Section 19 of the Act but we consider it proper to refer to it as the Courts below

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have considered and dealt with it and some arguments on its basis have been advanced before us.

28. Section 19 of the Act provides for the maintenance of “widowed daughter-in-law” of the deceased Hindu. It simply contemplates that a Hindu wife is entitled to be maintained after the death of her husband by her father-in-law. Thus, it casts an obligation upon the father-in-law to maintain his daughter-in-law. The said obligation subsists only during the lifetime of the father-in-law as the aforesaid provision nowhere contemplates that the daughter-in-law would be entitled to maintenance from the estate of the father-in-law. In other words, Section 19 contemplates for the maintenance of the daughter-in-law during the lifetime of father-in-law, whereas, Section 22 contemplates “maintenance of dependants” including “widowed daughter-in-law” from the estate of her father-in-law meaning thereby that a claim under Section 22 can be raised only after the death of the father-in-law.
29. In view of the aforesaid facts and circumstances, we are clearly of the opinion that “any widow of the son” of a deceased Hindu is a dependant within the meaning of Section 21 (vii) of the Act and is entitled to claim maintenance under Section 22 of the Act. Therefore, no illegality has been committed by the High Court in passing the impugned order holding the petition of Respondent no.1, who is a widow of the son of the deceased, to be maintainable and in directing the Family Court to consider it on merits in accordance with law.
30. The appeals as such lack merits and are dismissed with no order as to costs.

Result of the case: Appeals dismissed.

X

v.

O/o Speaker of the House of People & Ors.

(Writ Petition (Civil) No. 1233 of 2025)

16 January 2026

[Dipankar Datta* and Satish Chandra Sharma, JJ.]

Issue for Consideration

Does the first *proviso* to s.3(2) of the Judges (Inquiry) Act, 1968 require the constitution of a Joint Committee where notices, having been given in both Houses on the same day, is later followed by refusal to admit the motion by the Presiding Officer of one House and admission of the motion by the Presiding Officer of the other House; whether, in view of the office of the Chairman of the Rajya Sabha falling vacant, the Deputy Chairman of the Rajya Sabha was competent to refuse admission of the notice of motion; what is the effect, if any, of the Deputy Chairman's refusal to admit the motion on the validity of the Speaker's action under Section 3(2) of the Inquiry Act; whether the draft decision prepared by the Secretary-General of the Rajya Sabha recording that the notice of motion given to the Chairman is not "in order" justified in law; whether the petitioner is entitled to any relief.

Headnotes[†]

Judges (Inquiry) Act, 1968 – First *proviso* to s.3(2) – Interpretation – Allegations of misbehaviour were levelled against the petitioner, a serving Judge of the Delhi High Court after burnt currency notes were allegedly discovered at his house during the course of dousing the fire that occurred at his residence – In accordance with the "In-House Procedure", a three-member committee was constituted by then CJI to examine the allegations, which submitted its report to the CJI recording that the allegations were substantiated and that they warranted initiation of proceedings for the petitioner's removal from office – CJI then forwarded the report to the Hon'ble President and the Hon'ble Prime Minister of India –

* Author

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Writ petition was filed by the Petitioner before Supreme Court, challenging Paragraphs 5(b) and 7 of the In-House Procedure, the forwarding of the report of the three-member committee by the CJI, and the report itself, which was dismissed – In the meanwhile, Members of both Houses, gave two notices of motion in their respective Houses on the same day seeking removal of the petitioner from office – The Chairman of the Rajya Sabha resigned from his office of the Vice-President of India later that day – Deputy Chairman (discharging the functions of the Chairman in his absence) rejected the motion – Subsequently, the Speaker of the Lok Sabha proceeded to admit the notice given in the Lok Sabha and in accordance with s.3(2), constituted a three-member Committee – Challenged by the petitioner – Plea of the petitioner that since notices u/s.3(1) were given in both Houses on the same day, the Committee constituted solely by the Speaker of the Lok Sabha violates the *proviso* – Does the first *proviso* to s.3(2) require the constitution of a Joint Committee where notices, having been given in both Houses on the same day, is later followed by refusal to admit the motion by the Presiding Officer of one House and admission of the motion by the Presiding Officer of the other House:

Held: No – The *proviso* applies to only one specific situation, namely, where notices of motion given on the same day have been admitted by both Houses – It does not restrict or negate the individual authority of either House of Parliament – In a case where notices of motion were given in both Houses on the same day, the fact that a notice is not admitted in one House will not necessitate constitution of a Joint Committee and the Speaker or the Chairman, as the case may be, can independently proceed to constitute a Committee – The interpretation of the first *proviso*, as advanced by the petitioner, that where notices of motion have been given in both Houses on the same day, the rejection of a notice in one House would automatically result in the notice in the other House failing, not accepted – The first *proviso* does not address all possible permutations but is confined to one specific situation, namely, where notices of motion given in both Houses on the same day have been admitted in both Houses – It is only in that limited situation that the statute mandates the constitution of a Joint Committee – The first *proviso* is not exhaustive but situational

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in nature – It does not contemplate a scenario where a notice of motion is accepted in one House and rejected in the other – To interpret the said *proviso* in the manner suggested by the petitioner would require to read into it a disabling consequence, namely, that the motion pending in the other House must also necessarily fail – Such an interpretation would amount to judicial legislation – There is nothing in the Inquiry Act to suggest that rejection of a motion in one House would render the other House incompetent to proceed in accordance with law. [Paras 12.1-12.3, 12.5, 14, 54]

Judges (Inquiry) Act, 1968 – s.3 – Constitution of India – Article 91 – Rules of Procedure of the Rajya Sabha – rr.7-9 – Plea of the petitioner that the Deputy Chairman of the Rajya Sabha, acting as the Chairman, was not even empowered to consider the question of admission of the motion, far less refusing to admit it – Whether, in view of the office of the Chairman of the Rajya Sabha falling vacant, the Deputy Chairman of the Rajya Sabha was competent to refuse admission of the notice of motion:

Held: Yes – The Deputy Chairman was competent to consider the notice and refuse admission of the motion – Constitution is the supreme law of the land and all laws validly enacted owe their origin to the Constitution – To proceed in disregard of what the Constitution ordains would be an act of gross impropriety on our part – To read the statute in isolation of the Constitution would be grossly incorrect – Any interpretation of a statute which has the effect of generating an interpretation fouling the Constitution should be eschewed – A *fortiori*, a narrow interpretation of the word “Chairman” appearing in s.3 overlooking Article 91 would be incoherent – The onerous obligation, *nay*, duty of the Deputy Chairman, to perform the duties of the office of the Chairman is sacrosanct to the functioning of the Council of States – The duties that the Chairman and the Deputy Chairman (in case of a vacancy in the former office) perform under the Inquiry Act cannot be separated from the office that they hold as the Presiding Officer of the House – Furthermore, Doctrine of necessity also compels the Deputy Chairman, or whosoever is the incumbent acting in place of the Chairman, to exercise the functions of the Chairman in his place – Judges (Inquiry) Rules, 1969 – Doctrine of necessity. [Para 17.2, 17.3, 18.3, 22, 54]

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Judges (Inquiry) Act, 1968 – First *proviso* to s.3(2) – What is the effect, if any, of the Deputy Chairman’s refusal to admit the motion on the validity of the Speaker’s action u/s.3(2):

Held: No need to examine this issue, as the order of the Deputy Chairman is not under challenge – *Arguendo*, even if it were examined, it would have no effect, since the Speaker committed no illegality in constituting the committee – Moreover, the validity of the Speaker’s action does not hinge upon the correctness or otherwise of the decision taken by the Deputy Chairman – The first *proviso* would spring into action only when notices of motion (given on the same day in both Houses) have been admitted in both Houses – Thus, even if the refusal by the Deputy Chairman (performing the duties of the office of the Chairman of the Rajya Sabha) were to be ignored as legally unsustainable, the factual as well as legal position would still remain as it is: that, as on the date when the Speaker acted, there was no admitted motion pending in the Rajya Sabha – In the absence of an admitted motion in one House, the statutory *sine qua non* for the applicability of the *proviso* stood unfulfilled – Furthermore, at the highest, a declaration that the Deputy Chairman of the Rajya Sabha had erred in the exercise of his statutory power by failing to act in accordance with law which would entail reconsideration of the notice by the Presiding Officer of the Rajya Sabha, in accordance with law – However, it cannot, retrospectively invalidate a lawful exercise of power already undertaken by the Speaker of the Lok Sabha, which was founded on an admitted motion – Even if the act of the Deputy Chairman were to be held illegal and consequently set aside / or a reconsideration were ordered, the same would never result in restoration of the *status quo ante* – Even such limited declaratory relief, however, cannot be granted in the present case in the exercise of writ jurisdiction under Article 32 of the Constitution. [Para 24-26, 27.1, 54]

Judges (Inquiry) Act, 1968 – Judges (Inquiry) Rules, 1969 – Whether the draft decision prepared by the Secretary-General of the Rajya Sabha recording that the notice of motion given to the Chairman is not “in order” justified in law:

Held: No; the manner in which the notice of motion was processed at the Secretariat level does not fully align with the role contemplated

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under law – The Inquiry Act does not contemplate a substantive assessment of the merits of the allegations by the Secretariat of a House – The Secretary General’s role was expected to remain confined to administrative scrutiny, such as verification of procedural compliance, and could not extend to assuming a quasi-adjudicatory function – Neither the Inquiry Act nor the Rules framed thereunder prescribe a mandatory form for a notice of motion – In the absence of defined parameters, it is not readily apparent on what basis the Secretary General concluded that the Notice of Motion was not ‘in order’ – Where no prescribed format exists, a notice containing allegations of impropriety against a Judge could not reasonably be treated as ineffective solely on account of perceived deficiencies in drafting or form – The role of the Secretary General was confined to placing the notice before the competent authority, namely, the office of the Chairman, without expressing any conclusion as to its admissibility – The Secretary General went beyond a purely administrative role is apparent from the language employed in the document itself – Clarified, that the procedure leading to the decision of the Deputy Chairman has been discussed purely academically and shall not, directly or indirectly, be relied upon or invoked to claim any benefit, leverage, or advantage by the petitioner. [Para 49-54]

Constitution of India – Article 32 – Whether the petitioner is entitled to any relief:

Held: The extraordinary remedy under Article 32 is confined to enforcement of Fundamental Rights and does not extend to issuing advisory or corrective directions in relation to internal statutory mechanisms of the Parliament, where no present or inevitable infraction of any Fundamental Right is evinced – Petitioner is, thus, not entitled to any relief – No interference is called for. [Paras 55, 56]

Interpretation of Statutes – Judges (Inquiry) Act, 1968 – First proviso to s.3(2):

Held: A *proviso* cannot be read in a way which nullifies the provision to which it is a *proviso*, unless such an intention is manifest – The main part of s.3(2) vests the power to constitute a Committee in the Speaker or the Chairman, as the case may be, upon admission of the notice of motion – The first *proviso* cannot be read to curtail this power except in one clearly defined circumstance, namely, the admission of notices in both Houses – In all other cases, the

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power of the Speaker or the Chairman to constitute a Committee remains unaffected. [Para 12.4]

Judges (Inquiry) Act, 1968 – First *proviso* to s.3(2) – Plea of the petitioner that the rejection of a notice in one House results in the notice automatically failing in the other House:

Held: Such interpretation would entail consequences of a most serious nature – The members would be put to square one and the process has to be initiated afresh in either House – Had the Parliament intended such far-reaching consequences, it would have articulated the first *proviso* in clear and unambiguous terms – Accepting such an argument would produce absurd results where the individual capacity of one House in initiating a motion under Article 124(4) becomes contingent upon the outcome in the other House, even at the stage of admission of such a motion – Taking away the autonomy of one of the two Houses of the Parliament could not have been the intent behind the first *proviso* – Such an interpretation must also be rejected on the ground that it renders the first *proviso* open to abuse. [Paras 12.5-12.7]

Judges (Inquiry) Act, 1968 – First *proviso* to s.3(2) – The first *proviso* must be construed to balance prescribed protection with the effective functioning of the mechanism for removal of a Judge from office triggered by the peoples’ representatives, and not to frustrate it altogether – Plea of the petitioner that the legislative intent underlying the *proviso* is to confer an additional layer of protection to a Judge, by ensuring that if either House is unwilling to admit the motion, the process of impeachment must necessarily fail:

Held: Such contention not agreed with – The protection afforded to a Judge remains fully intact as, even where a motion is admitted and a Committee is constituted, either House retains the absolute authority to reject the motion after the Committee’s report is placed before it – Moreover, assuming *arguendo*, that the *proviso* was intended to provide such heightened protection, it cannot be interpreted in a manner that renders the mechanism of removal practically unworkable – Constitutional safeguards for Judges cannot come at the cost of paralysing the removal process itself – The first *proviso* must, therefore, be construed to balance prescribed protection with the effective functioning of the mechanism for removal of a Judge from office triggered by the peoples’ representatives, and not to frustrate it altogether. [Para 12.9]

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Prejudice – Plea of the petitioner that initiation of proceedings against the petitioner has caused irreparable reputational and constitutional prejudice and that the doctrine of “no prejudice” cannot apply where mandatory safeguards are violated:

Held: This argument presupposes illegality in the constitution of the Committee, which has not been accepted – Once the Committee is lawfully constituted, the statute itself provides for elaborate safeguards at the investigation stage, including framing of charges, opportunity of defence, cross-examination of witnesses, and adjudication by a body comprising of senior constitutional functionaries – At this nascent stage, no civil consequences follow; the motion itself remains pending and can succeed only if both Houses ultimately adopt it by the constitutionally mandated special majority – Moreover, reputational injury, howsoever unfortunate, cannot be a ground to subvert a constitutionally sanctioned statutory process, particularly when the Parliament has consciously designed a multi tiered safeguard structure before any adverse consequence can ensue – Also, the ultimate safeguard of Parliamentary approval under Article 124(4) also remains intact – Even from the standpoint of the petitioner, no vested or accrued right gets defeated and the petitioner has failed to establish infringement of any vested or accrued right. [Para 31-34]

Constitution of India – Article 32 – Decision of the Deputy Chairman declining to admit the motion was not challenged – Effect of:

Held: In the absence of any challenge to the decision of the Deputy Chairman, there is no reason to outlaw it – The settled limits of writ jurisdiction do not permit the Court to confer relief in vacuum, divorced from a direct challenge to the order which is alleged to be the source of illegality. [Para 44, 45]

Constitution of India – Article 217 read with Article 124 – Removal of a Judge from office – Procedure for – Six stages viz., Introduction of Motion & Admission by Speaker/Chairman; Formulation of a Committee of three members for making investigation; Formulation of Charges and Investigation; Report by the Committee and discussion in Parliament; Discussion in the Parliament; Order of the President, discussed. [Paras 6.1-6.10]

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Sub-Committee on Judicial Accountability v. Union of India [1991] **Supp. 2 SCR 1 : (1991) 4 SCC 699**; *Central Bank of India v. Workmen* [1960] **1 SCR 200 : 1959 SCC OnLine SC 1**; *Election Commission of India v. Subramaniam Swamy* [1996] **Supp. 1 SCR 637 : (1996) 4 SCC 104**; *Vipulbhai M. Chaudhary v. Gujarat Coop. Milk Mktg. Federation Ltd.* [2015] **3 SCR 997 : (2015) 8 SCC 1**; *Hindustan Petroleum Corpn. Ltd. v. Sunita Mehra* (2001) **9 SCC 344**; *Chandigarh Administration v. Laxman Roller Flour Mills (P) Ltd.* (1998) **8 SCC 326**; *Amina Marwa Sabreen v. State of Kerala* (2018) **14 SCC 193**; *Fuleshwar Gope v. Uol* [2024] **10 SCR 315 : 2024 SCC OnLine SC 2610 - para 27**; *Vijay Narayan Thatte v. State of Maharashtra* [2009] **14 SCR 891 : (2009) 9 SCC 92 - paras 5, 10, 12, 13, 14 & 15**; *G Narayanaswami v. G Pannerselvam* [1973] **1 SCR 172 : (1972) 3 SCC 717 - para 18-20**; *S.L. Kapoor v. Jagmohan* [1981] **1 SCR 746 : (1980) 4 SCC 379**; *P.D. Dinakaran (2) v. Judges Inquiry Committee* (2011) **8 SCC 474**; *Sarojini Ramaswami (Mrs) v. Union of India* [1992] **Supp. 1 SCR 108 : (1992) 4 SCC 506**; *Krishna Swami v. Union of India* [1992] **Supp. 1 SCR 53 : (1992) 4 SCC 605**; *Dwarka Prasad v. Dwarka Das Saraf* [1976] **1 SCR 277 : (1976) 1 SCC 128**; *Vishesh Kumar v. Shanti Prasad* [1980] **3 SCR 32 : (1980) 2 SCC 378**; *S. Sundaram Pillai v. V.R. Pattabiraman* [1985] **2 SCR 643 : (1985) 1 SCC 591**; *J.K. Industries Ltd. v. Chief Inspector of Factories and Boilers* [1996] **Supp. 6 SCR 798 : (1996) 6 SCC 665**; *Director of Education (Secondary) v. Pushpendra Kumar* [1998] **3 SCR 432 : (1998) 5 SCC 192**; *Rohitash Kumar v. Om Prakash Sharma* [2012] **13 SCR 47 : (2013) 11 SCC 451**; *ECIL v. B. Karunakar* [1993] **Supp. 2 SCR 576 : (1993) 4 SCC 727**; *State Bank of Patiala v. S.K. Sharma* [1996] **3 SCR 972 : (1996) 3 SCC 364**; *State of U.P. v. Sudhir Kumar Singh* [2020] **13 SCR 571 : (2021) 19 SCC 706**; *S.P. Gupta v. U.P. State Electricity Board* (1991) **2 SCC 263**; *State of Karnataka v. Sri Darshan* [2025] **9 SCR 194 : 2025 SCC OnLine 1702**; *L&T Housing Financing Limited v. Trishul Developers* (2020) **10 SCC 659**; *Welfare Assn., A.R.P. v. Ranjit P. Gohil* [2003] **2 SCR 139 : (2003) 9 SCC 358**; *Ashoka Kumar Thakur v. Union of India* [2008] **4 SCR 1 : (2008) 6 SCC 1**; *Chief Justice of A.P. v. L.V.A. Dixitulu* [1979] **1 SCR 26 : (1979) 2 SCC 34**; *Jindal Stainless Ltd. v. State of Haryana* [2016] **10 SCR 1 : (2017) 12 SCC 1**; *Jayant Verma v. Union of*

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India [2018] 2 SCR 679 : (2018) 4 SCC 743; *Rajendra Diwan v. Pradeep Kumar Ranibala* [2019] 17 SCR 1089 : (2019) 20 SCC 143 – referred to.

Attorney-General for Ontario v. The Hamilton Street Railway Company and Ors. [1903] A.C. 524 – referred to.

List of Acts

Judges (Inquiry) Act, 1968; Constitution of India; Rules of Procedure of the Rajya Sabha; Judges (Inquiry) Rules, 1969.

List of Keywords

First *proviso* to s.3(2) of the Judges (Inquiry) Act, 1968; Article 217 read with Article 124 of the Constitution of India; Allegations of misbehaviour against the Judge, Serving Judge of the Delhi High Court; Burnt currency notes allegedly discovered; Impeachment; In-House Procedure; Notices of motion given on the same day in both Houses; Constitution of a Joint Committee; Refusal to admit the motion by the Presiding Officer of one House; Admission of the motion by the Presiding Officer of the other House; Draft decision prepared by the Secretary-General of the Rajya Sabha; Deputy Chairman of the Rajya Sabha was competent to refuse the motion; Notice of motion given to the Chairman is not “in order”; notices of motion; Doctrine of necessity; Reputational injury.

Case Arising From

CIVIL ORIGINAL JURISDICTION: Writ Petition (Civil) No. 1233 of 2025

Under Article 32 of the Constitution of India

Appearances for Parties

Advs. for the Appellant(s):

Mukul Rohatgi, Sidharth Luthra, Jayant Mehta, Siddharth Aggarwal, Sr. Advs., Ms. Stuti Gujraj, Vaibhav Niti, Ms. Devanshi Singh, Keshav Sehgal, Ms. Sowjhanya Shankaran, Vishwajeet Singh, Abhinav Sekhri, Kartikeye Dang, Adarsh Joshi.

Adv. for the Respondent(s):

Tushar Mehta, Solicitor General, Aman Mehta, Ms. Astha Singh.

X v. O/o Speaker of the House of People & Ors.**Judgment / Order of the Supreme Court****Judgment****Dipankar Datta, J.****INDEX**

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* Ed. Note: Pagination as per the original Judgment.

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PREFACE

1. This writ petition tasks us to decide an important question relating to proper interpretation of Section 3 of the Judges (Inquiry) Act, 1968¹, which hitherto has never emerged. Petitioner, a High Court Judge, contends that the procedure prescribed for the constitution of a Committee under Section 3 of the Inquiry Act has not been followed, thereby infringing his Fundamental Rights.

FACTS

2. Facts in brief, relevant for deciding this writ petition, are these.

The incident

- 2.1 While serving as a Judge of the Delhi High Court, a fire occurred at the petitioner's residence on 14th March, 2025. During the course of dousing the fire, burnt currency notes were allegedly discovered at his house. Following this incident, allegations of misbehaviour were levelled against the petitioner. In accordance with the "In-House Procedure" adopted by the Supreme Court in its Full Court meeting of 15th December, 1999, the Chief Justice of India² constituted a three-member committee on 22nd March, 2025 to examine the allegations. The three-member committee submitted its report to the CJI on 3rd May, 2025, recording that the allegations were substantiated and that they warranted initiation of proceedings for the petitioner's removal from office. In terms of the procedure, the CJI then forwarded the report to the Hon'ble President³ and the Hon'ble Prime Minister of India.

Precursor Litigation

- 2.2 Aggrieved, the petitioner filed a writ petition⁴ before this Court, challenging Paragraphs 5(b) and 7 of the In-House Procedure, the forwarding of the report of the three-member committee by

1 Inquiry Act

2 CJI

3 President

4 Writ Petition (Civil) No. 699 of 2025

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the CJI, and the report itself. Four days after the said petition was filed, i.e., on 21st July, 2025, the Monsoon Session of the Parliament commenced. During this session, Members of both Houses, desirous of initiating proceedings for removal of the petitioner from office, gave two notices of motion in their respective Houses on the same day (21st July, 2025). In the following part of this judgment, we will discuss, *inter alia*, the process of removal of a Judge from office, the notices that are required to be given, and the consequences of such notices being given on the same day.

- 2.3 It is, however, apposite to note that the petitioner's writ petition was dismissed on 7th August, 2025, by a two-Judge Bench of this Court of which one of us (Dipankar Datta;') was a member.

Notices of motion seeking removal of the petitioner from office: incidents of 21st July, 2025

- 2.4 Invoking the provisions of the Inquiry Act, a notice was given on 21st July, 2025, of a motion signed by more than 100 members in the Lok Sabha for presenting an address to the President praying for the petitioner's removal. The said notice was received by the Speaker of the Lok Sabha at 12:30 p.m., but was not admitted on the same day.
- 2.5 After a brief interval, between 4:07 p.m. and 4:19 p.m., a notice for the same purpose, signed by more than 50 members, was given in the Rajya Sabha. The Chairman of the Rajya Sabha addressed the House regarding the said notice. In his speech, among other matters, the Chairman noted that a similar notice may have been given in the Lok Sabha. Referring to the proviso to Section 3(2) of the Inquiry Act (which requires the constitution of a Committee by the Presiding Officers of both Houses of the Parliament when notices of motion for the removal of a Judge are given in both Houses on the same day), the Chairman directed that "the Secretary-General will take necessary steps in this direction".
- 2.6 Notably, the Chairman resigned from his office of the Vice-President of India later that day (21st July, 2025).

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- 2.7 Pursuant to the direction of the then Chairman, the Secretariat of the Rajya Sabha requested information from its counterpart in the Lok Sabha as to whether such a notice had indeed been given, to which the response was in the affirmative. Following this, the notice given in the Rajya Sabha was sent to the Members' Salaries & Allowances Branch of the Rajya Sabha Secretariat for verification of the signatures of the notice givers. Out of the 62 notice givers, the signatures of three did not match their specimen signatures.

Consideration of the Notice by the Secretary General and non-admission by Deputy Chairman

- 2.8 On 11th August, 2025, the notice given in the Rajya Sabha was scrutinized by its Secretary-General, who observed various deficiencies therein and held it to be not "in order." The draft decision of the Secretary-General was then placed before the Deputy Chairman, discharging the functions of the Chairman in his absence, who concurred with the conclusion and accordingly recorded that the notice was "not admitted". This decision was communicated to the Secretary-General of the Lok Sabha on the same day.

Admission of notice by the Speaker of the Lok Sabha and constitution of Committee

- 2.9 On 12th August, 2025, having received the communication that the notice had not been admitted by the Deputy Chairman (performing the duties of the office of Chairman), the Speaker of the Lok Sabha proceeded to admit the notice given in the Lok Sabha on 21st July, 2025. The Speaker announced this admission in the House and, in accordance with Section 3(2) of the Inquiry Act, constituted a three-member Committee⁵.
- 2.10 The Committee subsequently served upon the petitioner the memo of charges. There is some dispute as to whether all the materials that are sought to be relied upon have been furnished or not. That, however, is not a matter for our consideration.

X v. O/o Speaker of the House of People & Ors.**PROCEDURE FOR REMOVAL OF A JUDGE**

3. For a clearer understanding of the arguments advanced referring to the Constitutional and the statutory provisions relatable to removal of a Judge from office, we consider it apposite to first outline the process for such removal.
4. Article 124 of the Constitution of India provides for “Establishment and constitution of Supreme Court”. Clause (4)⁶ thereof provides that a Judge of the Supreme Court can be removed from office by the order of the President. It further lays down two conditions for removal: first, that the Judge must be guilty of “proved misbehaviour or incapacity”; and second, that the resolution for removal must be passed in each House of Parliament “by a majority of the total membership of that House and by a majority of not less than two-thirds of the members of that House present and voting”. From this, it is clear that a “resolution” is to be moved in each House of the Parliament and that misbehaviour or incapacity must be “proved”. Article 124, however, does not specify the procedure for presenting such an address, who may move it, how it is to be moved, or for investigating allegations against a Judge. Clause (5)⁷, however, empowers the Parliament to regulate these procedural aspects by law. In exercise of this power, the Parliament, in the nineteenth year of the Republic, enacted the Inquiry Act.
5. The procedure applicable for removal of a Judge of the Supreme Court is also applicable for removal of a High Court Judge, as adopted under sub-clause (b) of clause (1) of Article 217 of the Constitution.
6. On a reading of the relevant provisions, we find that the process of removal of a Judge is indeed a tedious one involving various stages. The process for removal of a Judge, as envisaged in the Constitution and the Inquiry Act, is discussed below for completeness of understanding.

6 (4) A Judge of the Supreme Court shall not be removed from his office except by an order of the President passed after an address by each House of Parliament supported by a majority of the total membership of that House and by a majority of not less than two – thirds of the members of that House present and voting has been presented to the President in the same session for such removal on the ground of proved misbehaviour or incapacity.

7 (5) Parliament may by law regulate the procedure for the presentation of an address and for the investigation and proof of the misbehaviour or incapacity of a Judge under clause (4).

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Stage I: Introduction of Motion & Admission by Speaker/Chairman

- 6.1 Section 3(1) of the Inquiry Act provides that to initiate the process for removal of a Judge, a notice must be given of a motion for presenting an address to the President praying for removal of such Judge. The said notice may be given in any house of the Parliament. In the Lok Sabha, the said notice must be signed by at least 100 of its members. A minimum of 50 signatories is required in the case of the Rajya Sabha. Once such a notice has been given, it is for the Speaker (if the motion is given in the Lok Sabha) or the Chairman (if the motion is given in the Rajya Sabha) to take a call on admission of the motion.
- 6.2 The Speaker or the Chairman may either admit or reject the motion after *“consulting such persons, if any, as he thinks fit and after considering such materials, if any, as may be available to him”* [see: Section 3(1) of the Inquiry Act]. If the motion is not admitted, it brings down the curtain; if accepted, then the Committee [referred to in Section 3(2) of the Inquiry Act] is to be formed for taking the process ahead. User of the modal verb “may” in Section 3(1) suggests that the Speaker or the Chairman, as the case may be, is vested with a discretion whether or not to admit the motion.

Stage II: Formulation of a Committee of three members for making investigation

- 6.3 Section 3(2) of the Inquiry Act provides that once a notice is admitted, the motion is to be kept pending, and the Speaker or the Chairman is required to constitute a Committee for the purpose of investigating the grounds on which the removal of a Judge is sought. The Committee shall consist of three members: one chosen from among the Chief Justice and other Judges of the Supreme Court, who would preside over the meetings of the committee⁸; one chosen from among the Chief Justices of the High Courts; and one person who, in the opinion of the Speaker or, as the case may be, the Chairman, is a distinguished jurist.

8 Rule 3 of the Judges (Inquiry) Rules, 1969

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- 6.4 The second proviso to Section 3(2) provides that if notices have been given in both Houses of the Parliament, *albeit* on different dates, the notice submitted later in point of time shall stand rejected. Consequently, in such a case, the Committee shall be constituted by the Speaker of the Lok Sabha or the Chairman of the Rajya Sabha, wherever notice is given prior in point of time.
- 6.5 The first proviso to Section 3(2) contemplates a situation in which notices are given in both Houses on the same day. In such a case, *“no Committee shall be constituted unless the motion has been admitted in both Houses; and where such motion has been admitted in both Houses, the Committee shall be constituted jointly by the Speaker and the Chairman”*. Thus, this situation calls for the formation of a Joint Committee. It is this provision that forms the fulcrum of the dispute in the present case, and we propose to address the same a little later.

Stage III: Formulation of Charges and Investigation

- 6.6 The Committee is required to frame definite charges against the Judge proceeded against; provide such Judge with a statement of the grounds on which such charges are based; afford him a reasonable opportunity of being heard; and, where the allegation relates to physical or mental incapacity, the Committee would have the power to constitute a Medical Board [see: Sections 3(3), (4), (5), (6), (7) & (8) of the Inquiry Act].
- 6.7 The Committee, being empowered to regulate its own procedure, is mandated to afford the Judge a reasonable opportunity to cross-examine witnesses, adduce evidence, and be heard in his defence [see: Section 4(1) of the Inquiry Act].

Stage IV: Report by the Committee and discussion in Parliament

- 6.8 After conclusion of the investigation, the Committee must submit a report to the Speaker or the Chairman or both stating its findings on each charge. If the committee finds the Judge not guilty, it is the end of the matter; however, if the finding is of guilt, the motion for removal is taken up for discussion in the Parliament. [see: Sections 4 (2) & (3) and 6 of the Inquiry Act].

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Stage V: Discussion in the Parliament

- 6.9 Upon receiving a report that finds the Judge guilty of any misbehaviour or suffering from any incapacity, the motion—which has been kept pending—shall be taken up for consideration by the House(s) of Parliament in which it was pending, together with the report of the Committee. Both Houses, after discussion, shall either adopt or reject the motion in accordance with the numerical requirements prescribed under Article 124(4) of the Constitution, namely, *“by a majority of the total membership of that House and by a majority of not less than two – thirds of the members of that House present and voting”*. When the motion is adopted by both Houses, the *“misbehaviour or incapacity of the Judge shall be deemed to have been proved”*.

Stage VI : Order of the President

- 6.10 As is required by Article 124(4), a Judge can be removed only *“by an order of the President”*. Thus, after a motion has been passed by both houses, it is the President’s order which results in removal of a Judge from office.

THE CONUNDRUM

7. Proviso 1 to Section 3(2) of the Inquiry Act reads:
- “Provided that where notices of a motion referred to in sub-section (1) are given on the same day in both Houses of Parliament, no Committee shall be constituted unless the motion has been admitted in both Houses and where such motion has been admitted in both Houses, the Committee shall be constituted jointly by the Speaker and the Chairman.”*
8. Petitioner is aggrieved by the constitution of the Committee solely by the Speaker of the Lok Sabha. Since notices under Section 3(1) of the 1968 Act were given in both Houses on the same day, the petitioner has contended that the Committee constituted by the Speaker of the Lok Sabha violates the proviso. According to the petitioner, since notices were given in both Houses on the same day, a Joint Committee should have been formed by the Speaker of the Lok Sabha and the Chairman of the Rajya Sabha, subject to the motion having been admitted in both the Houses; and if the

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motion fails in any House, the consequence, in his submission, is that the notice given in the other House must also fail. In essence, the petitioner's argument is that where notices are given in both Houses on the same day, and the motion is not admitted in one House, the Presiding Officer of the other House, i.e., the Speaker or the Chairman, as the case may be, ceases to have the authority to proceed with the motion.

9. On the other hand, the respondents have invited us to interpret the provision in a manner that facilitates the proceedings for investigation rather than bringing them to a grinding halt. According to their reading of the first proviso, the decisive factor is not the mere giving of notices of motion in both Houses on the same day, but their admission on the same day. It was contended that even if notices are given in both the Houses, where the motion is admitted in only one House, that House remains competent to proceed with the constitution of a Committee through its Presiding Officer, i.e., the Speaker or the Chairman, as the case may be, notwithstanding that the motion might have been rejected by the Presiding Officer of the other House. Drawing our attention to the documents, since placed on record, the respondents submitted that the motion was never admitted by the Chairman of the Rajya Sabha. Consequently, it has been their argument, that the Committee was validly constituted by the Speaker of the Lok Sabha.

SUBMISSIONS

10. The written submissions filed by the parties have been made part of this judgment as appendices. We find reference to numerous precedents by the parties, which were not cited in course of hearing. For brevity's sake, the key arguments have been referred to by us in the judgment wherever necessary.

ISSUES

11. Based on the arguments advanced during proceedings in Court and the written submissions filed by the parties, the following questions arise for our consideration:
 - I. How should the first proviso to Section 3(2) of the Inquiry Act be construed? Does it require the constitution of a Joint Committee where notices, having been given in both Houses on the same day, is later followed by refusal to admit the motion by the

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Presiding Officer of one House and admission of the motion by the Presiding Officer of the other House?

- II. Whether, in view of the office of the Chairman of the Rajya Sabha falling vacant, the Deputy Chairman of the Rajya Sabha was competent to refuse admission of the notice of motion?
- III. What is the effect, if any, of the Deputy Chairman's refusal to admit the motion on the validity of the Speaker's action under Section 3(2) of the Inquiry Act?
- IV. Whether the draft decision prepared by the Secretary-General of the Rajya Sabha recording that the notice of motion given to the Chairman is not "in order" justified in law?
- V. Whether the petitioner is entitled to any relief?

ANALYSIS

ISSUE I : HOW MUST THE FIRST PROVISIO BE CONSTRUED?

12. Under the heading "Conundrum," we have examined the differing views presented before us on the proper construction of the first proviso. Section 3 of the Inquiry Act, *inter alia*, prescribes the procedure to be followed by the Parliament in considering a motion and in conducting an investigation into the allegations made against a Judge. The first proviso to Section 3(2) addresses the specific situation where notices of motion are given in both Houses but on the same day. There is no dispute that the object of the said proviso is to provide an additional safeguard to the Judge by requiring the constitution of a Joint Committee of the Speaker and the Chairman and to prevent a situation where the Judge is made to attend proceedings before two separate committees constituted by the Speaker and the Chairman. The question before us, however, is: when precisely is this safeguard triggered?
 - 12.1. We are unable to accept the interpretation of the first proviso, as advanced by Mr. Rohatgi, learned senior counsel for the petitioner, namely, that where notices of motion have been given in both Houses on the same day, the rejection of a notice in one House would automatically result in the notice in the other House failing for the following reasons.

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- 12.2. The first proviso does not address all possible permutations but is confined to one specific situation, namely, where notices of motion given in both Houses on the same day have been admitted in both Houses. It is only in that limited situation that the statute mandates the constitution of a Joint Committee. The said proviso does not prescribe a condition precedent for the formation of a Committee in cases other than the one expressly provided.
- 12.3. In other words, the first proviso is not exhaustive but situational in nature. It does not contemplate a scenario where a notice of motion is accepted in one House and rejected in the other. To interpret the said proviso in the manner suggested by Mr. Rohatgi would require us to read into it a disabling consequence, namely, that the motion pending in the other House must also necessarily fail. Such an interpretation would amount to judicial legislation, a course we are neither empowered nor inclined to undertake.
- 12.4. It is a settled principle of statutory interpretation that a proviso cannot be read in a way which nullifies the provision to which it is a proviso⁹, unless such an intention is manifest. The main part of Section 3(2) vests the power to constitute a Committee in the Speaker or the Chairman, as the case may be, upon admission of the notice of motion. The first proviso cannot be read to curtail this power except in one clearly defined circumstance, namely, the admission of notices in both Houses. In all other cases, the power of the Speaker or the Chairman to constitute a Committee remains unaffected.
- 12.5. There is nothing in the Inquiry Act to suggest that rejection of a motion in one House would render the other House incompetent to proceed in accordance with law. The argument, therefore, lacks any legal foundation. The interpretation advanced by the petitioner of rejection of a notice in one House resulting in the notice automatically failing in the other House would entail consequences of a most serious nature. The members

⁹ see: A.N. Sehgal v. Raje Ram Sheoran (1992) Supp. 1 SCC 304; Tribhovandas Haribhai Tamboli v. Gujarat Revenue Tribunal (1991) 3 SCC 442; Haryana State Cooperative Land Development Bank Ltd. v. Haryana State Cooperative Land Development Banks Employees Union & Anr. (2004) 1 SCC 574; and Kerala State Housing Board v. Ramapriya Hotels (P) Ltd. (1994) 5 SCC 672.

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would be put to square one and the process has to be initiated afresh in either House. Had the Parliament intended such far-reaching consequences, it would have articulated the first proviso in clear and unambiguous terms. The absence of any express provision to that effect is, in our opinion, determinative.

- 12.6. Looked from another angle, accepting such an argument would produce absurd results where the individual capacity of one House in initiating a motion under Article 124(4) becomes contingent upon the outcome in the other House, even at the stage of admission of such a motion. Taking away the autonomy of one of the two Houses of the Parliament could not have been the intent behind the first proviso.
- 12.7. Such an interpretation must also be rejected on the ground that it renders the first proviso open to abuse. It would permit a situation where, upon getting the wind of a notice of motion being given for removal of a Judge with a real likelihood of the same being admitted by the Presiding Officer of one House, certain members of the other House not inclined to have the process of removal initiated against the Judge may deliberately give a defective notice on the same day, solely with the intention of scuttling the proceedings. Upon such notice subsequently being found to be defective and not admitted, the mere fact that such a notice was introduced on the same day would lead to the first proviso being set in action mandating constitution of a Joint Committee, as argued by the petitioner, thereby leading to frustration of the proceedings in the first House. Furthermore, it is also possible that upon introduction of the notice of motion in the second House, the Speaker or the Chairman does not admit or reject the motion. Such an act, on a literal application of the first proviso, would be sufficient to trigger the requirement of Joint Committee. The proviso cannot be allowed to be used as a weapon for scuttling proceedings or giving a veto to the Houses of Parliament.
- 12.8. In our opinion, the mischief which the Inquiry Act sought to remedy was the absence of a statutory mechanism for investigating into allegations against a Judge and for facilitating such investigation. The Inquiry Act cannot be interpreted in a

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manner that frustrates this objective by permitting the proviso to be employed as an instrument of obstruction.

- 12.9. It has been contended, with considerable emphasis, that the legislative intent underlying the proviso is to confer an additional layer of protection to a Judge, by ensuring that if either House is unwilling to admit the motion, the process of impeachment must necessarily fail. We are unable to agree with such contention. In our view, the protection afforded to a Judge remains fully intact as, even where a motion is admitted and a Committee is constituted, either House retains the absolute authority to reject the motion after the Committee's report is placed before it. Moreover, assuming *arguendo*, that the proviso was intended to provide such heightened protection, it cannot be interpreted in a manner that renders the mechanism of removal practically unworkable. Constitutional safeguards for Judges cannot come at the cost of paralysing the removal process itself. The first proviso must, therefore, be construed to balance prescribed protection with the effective functioning of the mechanism for removal of a Judge from office triggered by the peoples' representatives, and not to frustrate it altogether.
13. Also, as contended by Mr. Mehta, learned Solicitor General representing the respondents, the first proviso is intended to obviate the risk of parallel committees being constituted by the Presiding Officers of the both Houses of Parliament in a circumstance where the Presiding Officers of both Houses, unaware of a notice given in the other, proceeds to admit the motions and constitutes two separate committees. Highly improbable though it seems to be (unawareness of the Presiding Officers), we cannot rule out the possibility. Such a situation would inevitably result in the formation of two committees, giving rise to a serious possibility of conflicting and inconsistent conclusions apart from requiring the Judge to face two investigations.
14. Finding ourselves in disagreement with the interpretation proposed by the petitioner, we hold that the first proviso caters to only one situation, that is, when notices of motion were given in both Houses on the same day and were admitted by both Houses (irrespective of their admission on the same or different dates). Therefore, in a case where notices of motion were given in both Houses on the same day, the fact that a notice is not admitted in one House will

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not necessitate constitution of a Joint Committee and the Speaker or the Chairman, as the case may be, can independently proceed to constitute a Committee.

ISSUE II : WHETHER THE DEPUTY CHAIRMAN OF THE RAJYA SABHA WAS COMPETENT TO REFUSE THE MOTION?

15. The above issue stems from the contention of the petitioner that the Deputy Chairman of the Rajya Sabha, acting as the Chairman, was not even empowered to consider the question of admission of the motion, far less refusing to admit it, which has strongly been resisted by the respondents by contending that the office of the Chairman having fallen vacant, in terms of the Constitutional scheme, it is the Deputy Chairman who has to perform the duties of the office of Chairman.
 - 15.1. Petitioner contended that clause (a) of Section 2 of Inquiry Act defines Chairman as the Chairman of the Council of States. The fact that the legislature has used the word “means” and not the phrase ‘means and includes’ suggests that the definition is exhaustive. Thus, the Deputy Chairman could not have usurped the statutory power vested in the Chairman of the Rajya Sabha and act in his place, and consequently could not have taken any decision whatsoever concerning the motion.
 - 15.2. Reference was made by Mr. Rohatgi to the rules framed under the Inquiry Act being the Judges (Inquiry) Rules, 1969¹⁰. After drawing our attention to Rules 16 and 17, it was argued that the rules expressly but narrowly enumerate certain functions that may be discharged by the Deputy Speaker or the Deputy Chairman in the absence of the Speaker or the Chairman, as the case may be. Emphasis was laid on the fact that these rules confer authority only in limited and specified circumstances, and do not extend to the exercise of powers contemplated under Section 3 of the Inquiry Act. The legislative intent is clear that the authority conferred on the Speaker or the Chairman under the Inquiry Act does not extend to the Deputy Speaker or the Deputy Chairman, unless expressly provided.

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- 15.3. Drawing support from this Court's decision in ***Sub-Committee on Judicial Accountability v. Union of India***¹¹, it was contended that the rules of procedure of the Rajya Sabha cannot govern the proceedings under the Inquiry Act. The Inquiry Act operates as a code in itself. Paragraphs 91, 92, 95 and 96 of ***Sub-Committee on Judicial Accountability*** (supra) were relied on by him.
- 15.4. Should in terms of Article 91 the Deputy Chairman were held empowered to act as the Chairman and decide on the question of admission of a motion moved by certain members of the Rajya Sabha, Mr. Rohatgi next expressed an apprehension that a situation could arise where the Deputy Chairman himself is a signatory to the notice of motion in his capacity as a member of the House. In such a circumstance, if the Deputy Chairman were to take any decision on the motion as the Presiding Officer, it was feared that he would effectively be acting as a judge in his own cause.
16. *Per contra*, Mr. Mehta invited our attention to Part V of the Constitution, and in particular, Articles 89 and 91. Clause (1) of Article 89 provides that the Vice-President of India shall be the *ex officio* Chairman of the Council of States. Clause (2) thereof provides that the Council of States shall, as soon as may be, choose a member of the Council to be the Deputy Chairman.
- 16.1. Further, he referred to Article 91 of the Constitution. We can do no better than reproduce it in its entirety for a better understanding:

91. Power of the Deputy Chairman or other person to perform the duties of the office of, or to act as, Chairman:

(1) While the office of Chairman is vacant, or during any period when the Vice-President is acting as, or discharging the functions of, President, the duties of the office shall be performed by the Deputy Chairman, or, if the office of Deputy Chairman is also vacant, by such member of the Council of States as the President may appoint for the purpose.

¹¹ (1991) 4 SCC 699

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(2) During the absence of the Chairman from any sitting of the Council of States the Deputy Chairman, or, if he is also absent, such person as may be determined by the rules of procedure of the Council, or, if no such person is present, such other person as may be determined by the Council, shall act as Chairman.

- 16.2. We were also shown Rule 7 of the Rules of Procedure of the Rajya Sabha, framed under Article 118 of the Constitution, which provides that the Deputy Chairman is elected by the members of the House. Rule 9 of the Rules of Procedure further delineates the powers of the Deputy Chairman, which reads as under:

9. The Deputy Chairman or other member competent to preside over a sitting of the Council under the Constitution or these rules shall, when so presiding, have the same power as the Chairman when presiding over the Council and all references to the Chairman in these rules shall in these circumstances be deemed to be, references to any such person so presiding.

(emphasis by counsel)

17. After having considered the constitutional and statutory provisions and the arguments advanced, we find ourselves in disagreement with the contention that the Deputy Chairman could not have rejected the motion.
- 17.1. Clauses (1) and (2) of Article 91, envisage two distinct scenarios: vacancy and absence, respectively. Clause (1) applies where the office of the Chairman is vacant or the Chairman is acting as the President, in which case the Deputy Chairman performs the duties of the office of the Chairman. Clause (2), by contrast, applies where the office is not vacant but the Chairman is merely absent from a sitting, and the Deputy Chairman only acts as the Chairman for that sitting.
- 17.2. To read the statute in isolation of the Constitution would be grossly incorrect. True it is, this Court in ***Sub-committee on Judicial Accountability*** (supra) held that the rules

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framed under Article 118¹² of the Constitution would not govern the procedure under the Inquiry Act; however, the observations were made in the specific context of the issue which was considered. It is important to notice that neither Section 3(2) of the Inquiry Act nor its proviso was under consideration.

- 17.3. We see no reason why Article 91 of the Constitution should be kept aside when a court is tasked to make a meaningful interpretation of any provision of the Inquiry Act or, for that matter, any other enactment. After all, the Constitution is the supreme law of the land and all laws validly enacted owe their origin to the Constitution. To proceed in disregard of what the Constitution ordains would be an act of gross impropriety on our part.
- 17.4. Any interpretation of a statute which has the effect of generating an interpretation fouling the Constitution should be eschewed. *A fortiori*, a narrow interpretation of the word “Chairman” appearing in Section 3 overlooking Article 91 would be incoherent. The onerous obligation, *nay*, duty of the Deputy Chairman, to perform the duties of the office of the Chairman is sacrosanct to the functioning of the Council of States. The duties that the Chairman and the Deputy Chairman (in case of a vacancy in the former office) perform under the Inquiry Act cannot be separated from the office that they hold as the Presiding Officer of the House.
18. As regards Mr. Rohatgi’s apprehension that the Deputy Chairman may himself be a signatory to the notice, apart from the fact that the situation posited is purely hypothetical and need not detain us, we are unable to agree with Mr. Rohatgi on this proposition.
- 18.1. We find it profitable to refer to the following observations made by the Privy Council in ***Attorney-General for Ontario v. The Hamilton Street Railway Company And Ors.***¹³ as relied

¹² Rules of Procedure
Each House of Parliament may make rules for regulating, subject to the provisions of this Constitution, its procedure and the conduct of its business.
...

¹³ [1903] A.C. 524

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upon by the Constitution Bench in ***Central Bank of India v. Workmen***¹⁴:

...They would be worthless as being speculative opinions on hypothetical questions. It would be contrary to principle, inconvenient, and inexpedient that opinions should be given upon such questions at all. When they arise, they must arise in concrete cases, involving private rights; and it would be extremely unwise for any judicial tribunal to attempt beforehand to exhaust all possible cases and facts which might occur to qualify, cut down, and override the operation of particular words when the concrete case is not before it.

- 18.2. Be that as it may, assuming that the Deputy Chairman happens to be a signatory to the motion, he must, in his administrative prudence recuse to act as the Deputy Chairman in that case. After all, the Rules of Procedure of the Rajya Sabha, under Rule 8, do provide for a panel of Vice-Chairmen to be nominated by the Chairman, who would act in the absence of the Chairman as well as the Deputy Chairman.
- 18.3. That apart, if at all such a situation arises, the doctrine of necessity could also compel the Deputy Chairman, or whosoever is the incumbent acting in place of the Chairman, to exercise the functions of the Chairman in his place.
- 18.4. Doctrine of necessity, as elaborated by a 3-Judge Bench of this Court in ***Election Commission of India v. Subramaniam Swamy***¹⁵ would make it clear that despite the apprehension of a possible bias, the decision-making authority must proceed to adjudicate the issue in the interest of necessity. The relevant portion of the decision reads thus:

16. We must have a clear conception of the doctrine. It is well settled that the law permits certain things to be done as a matter of necessity which it would

¹⁴ 1959 SCC OnLine SC 1

¹⁵ (1996) 4 SCC 104

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otherwise not countenance on the touchstone of judicial propriety. Stated differently, the doctrine of necessity makes it imperative for the authority to decide and considerations of judicial propriety must yield. It is often invoked in cases of bias where there is no other authority or Judge to decide the issue. If the doctrine of necessity is not allowed full play in certain unavoidable situations, it would impede the course of justice itself and the defaulting party would benefit therefrom. Take the case of a certain taxing statute which taxes certain perquisites allowed to Judges. If the validity of such a provision is challenged who but the members of the judiciary must decide it. If all the Judges are disqualified on the plea that striking down of such a legislation would benefit them, a stalemate situation may develop. In such cases the doctrine of necessity comes into play. If the choice is between allowing a biased person to act or to stifle the action altogether, the choice must fall in favour of the former as it is the only way to promote decision-making. In the present case also if the two Election Commissioners are able to reach a unanimous decision, there is no need for the Chief Election Commissioner to participate, if not the doctrine of necessity may have to be invoked.

(emphasis ours)

19. The argument touching upon the provisions of Rule 16 and 17 of the Inquiry Rules, howsoever appealing, is without merit and must be rejected. The Inquiry Rules envisage a possible absence of the Chairman whereas the Constitution provides for the Deputy Chairman in the event of the office of Chairman being vacant. Similar is the case for the Deputy Speaker of the Lok Sabha. Hence, when the statute is silent on a particular aspect, the Constitution and the doctrine of silence, must be read into the statute to fill its gaps. The Constitution is the supreme and overarching legal framework, to which all statutes must conform. For an elaborate understanding, it would be profitable to refer to a decision of this Court in **Vipulbhai**

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M. Chaudhary v. Gujarat Coop. Milk Mktg. Federation Ltd¹⁶, which expounded the law in the following terms:

24. No doubt, in the cases referred to above, the respective Acts contained a provision regarding no confidence. What about a situation where there is no express provision regarding no confidence? Once the cooperative society is conferred a constitutional status, it should rise to the constitutional aspirations as a democratic institution. So, it is for the respective legislative bodies to ensure that there is democratic functioning. When the Constitution is eloquent, the laws made thereunder cannot be silent. If the statute is silent or imprecise on the requirements under the Constitution, it is for the court to read the constitutional mandate into the provisions concerned and declare it accordingly. Article 243-ZT has given a period of one year to frame/reframe the statutes in consonance with Part IX-B and thereafter i.e. with effect from 12-1-2013, those provisions which are inconsistent with Part IX-B, cease to operate.

25. Silence in the Constitution and abeyance as well has been dealt extensively by Michael Foley in his celebrated work *The Silence of Constitutions*. To quote from the Preface:

“Abeyances refer to those constitutional gaps which remain vacuous for positive and constructive purposes. They are not, in any sense, truces between two or more defined positions, but rather a set of implicit agreements to collude in keeping fundamental questions of political authority in a state of irresolution. Abeyances are, in effect, compulsive hedges against the possibility of that which is unresolved being exploited and given meanings almost guaranteed to generate profound division and disillusionment. Abeyances are important, therefore, because of their capacity to deter the formation of conflicting positions in just those areas where the potential for conflict is

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most acute. So central are these abeyances, together with the social temperament required to sustain them, that when they become the subject of heightened interest and subsequent conflict, they are not merely accompanied by an intense constitutional crisis, they are themselves the essence of that crisis.”

In Part II, Chapter Four, the author has also dealt with the constitutional gaps and the arts of prerogative. To the extent relevant, it reads as follows (p. 82):

“Gaps in a constitution should not be seen as simply empty space. They amount to a substantial plenum of strategic content and meaning vital to the preservation of a constitution. Such interstices accommodate the abeyances within which the sleeping giants of potentially acute political conflict are communally maintained in slumber. Despite the absence of any documentary or material form, these abeyances are real, and are an integral part of any constitution. What remains unwritten and indeterminate can be just as much responsible for the operational character and restraining quality of a constitution as its more tangible and codified components.”

26. Where the Constitution has conceived a particular structure on certain institutions, the legislative bodies are bound to mould the statutes accordingly. Despite the constitutional mandate, if the legislative body concerned does not carry out the required structural changes in the statutes, then, it is the duty of the court to provide the statute with the meaning as per the Constitution. “[T]he job of the Supreme Court is not to expound the meaning of the Constitution but to provide it with meaning.” [Walter Berns, “Government by Lawyers and Judges”, *Commentary*, June 1987, 18.] The reference obviously is to the United States Supreme Court. As a general rule of interpretation, no doubt, nothing is to be added to or taken from a statute. However, when there are adequate grounds to justify an inference, it is the bounden duty of the court to do so.

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“... It is a corollary to the general rule of literal construction that nothing is to be added to or taken from a statute unless there are adequate grounds to justify the inference that the legislature intended something which it omitted to express.” [*Maxwell on Interpretation of Statutes* (12th Edn.) 33.]

According to Lord Mersey in *Thompson (Pauper) v. Goold and Co.* [1910 AC 409 (HL)] : (AC p. 420)

“... It is a strong thing to read into an Act of Parliament, words which are not there, and in the absence of clear necessity it is a wrong thing to do.”

In the case of cooperative societies, after the Ninety-seventh Amendment, it has become a clear or strong necessity to do the strong thing of reading into the legislation, the constitutional mandate of the cooperative societies to be governed as democratic institutions.

“45. ... The constitutional provisions have to be construed broadly and liberally having regard to the changed circumstances and the needs of time and polity.” [The Constitutional Bench decision in *State of W.B. v. Committee for Protection of Democratic Rights*, (2010) 3 SCC 571, p. 591, para 45 : (2010) 2 SCC (Cri) 401]

20. History is replete with such instances where, in absence of the constitutionally delineated office, the deputy or the in-charge incumbent has performed the functions relatable to the constitutional office. The idea behind it is that vacancy or absence, for whatever reason, may not bring the constitutional machinery to a standstill. Ultimately, the show must go on to ensure that institutional continuity is maintained. We may take judicial notice of a couple of historic events. For instance, when former President Dr. Zakir Hussain passed away while in office on 3rd May, 1969, Vice President V.V. Giri was sworn in as the Acting President. Later, when Vice President V.V. Giri resigned to contest for the presidential election, Hon'ble Mohammad Hidayatullah, the then CJI acted as the President of India. While acting as such, His Lordship appointed Shri Shanti Swaroop Dhavan as the Governor of West Bengal. Similarly, when

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the former President Fakhruddin Ali Ahmed passed away on 11th February, 1977 while in office, the then Vice President Sri B.D. Jatti acted as the President and performed all the presidential functions, including appointment of Judges. Pointedly, Sri B.D. Jatti, as the acting President, appointed Sri Manoj Kumar Mukherjee in June, 1977 as an Additional Judge of the High Court at Calcutta (who then went on to serve as the Chief Justices of the Allahabad High Court and the Bombay High Court, and was later elevated as a Judge of this Court). Obviously, such appointments could not have been nullified on the ground that the acting President, and not the President, had made such appointments.

21. If we were to read the law in the manner proposed by Mr. Rohatgi, we would be left with a constitutional vacuum which, in the absence of the Chairman of the Council of States, or the Speaker of the House of People, as the case may be, would render the provisions of the Inquiry Act otiose in the given circumstance.
22. Thus, Issue II framed above must be answered in the affirmative; we unhesitatingly hold that the Deputy Chairman was competent to consider the notice and refuse admission of the motion.

**ISSUE III: WHAT IS THE EFFECT, IF ANY, OF THE DEPUTY
CHAIRMAN'S REFUSAL TO ADMIT THE MOTION ON THE VALIDITY OF
THE SPEAKER'S ACTION UNDER SECTION 3(2) OF THE INQUIRY ACT?**

WHAT, IF THE ORDER OF THE DEPUTY CHAIRMAN, WAS TO BE HELD ILLEGAL?

23. Although the petitioner has not, as such, mounted any challenge to the decision of the Deputy Chairman of the Rajya Sabha in not admitting the motion, having regard to the gamut of arguments made, we deem it appropriate to proceed on the premise that the refusal of the Deputy Chairman of the Rajya Sabha to admit the motion is illegal (on a ground other than competence), and to examine what, if at all, would turn on such assumption. Prefatorily, we clarify that this exercise is to demonstrate that even on such a hypothetical plank, the edifice of the petitioner's case does not materially improve.
24. In brief, the relief sought by the petitioner cannot follow, for the simple reason that the validity of the Speaker's action does not hinge upon the correctness or otherwise of the decision taken by the Deputy Chairman.

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25. As discussed by us in the preceding segment, the first proviso would spring into action only when notices of motion (given on the same day in both Houses) have been admitted in both Houses.
26. The logical culmination, thus, is even if the refusal by the Deputy Chairman (performing the duties of the office of the Chairman of the Rajya Sabha) were to be ignored as legally unsustainable, the factual as well as legal position would still remain as it is: that, as on the date when the Speaker acted, there was no admitted motion pending in the Rajya Sabha. In the absence of an admitted motion in one House, the statutory *sine qua non* for the applicability of the proviso stood unfulfilled.
27. What, then, would be the consequence of holding the refusal by the Deputy Chairman to be bad in law?
 - 27.1. At the highest, a declaration that the Deputy Chairman of the Rajya Sabha had erred in the exercise of his statutory power by failing to act in accordance with law which would entail reconsideration of the notice by the Presiding Officer of the Rajya Sabha, in accordance with law. However, it cannot, retrospectively invalidate a lawful exercise of power already undertaken by the Speaker of the Lok Sabha, which was founded on an admitted motion.
 - 27.2. Next, we ponder as to what is the error, if any, committed by the Speaker in this case. Facts noticed, reveal that the Speaker proceeded to constitute the Committee only after receiving an official communication that the notice given in the Rajya Sabha was not admitted by its Presiding Officer. The Speaker, in such a case, was adequately empowered to proceed in conformity with Section 3(2)(a), (b) and (c) of the Inquiry Act.
 - 27.3. Viewed from the perspective of parliamentary functioning, members of the Lok Sabha who initiated the motion were exercising constitutional responsibility in terms of Article 124(4). Upon valid admission of their motion by the Speaker, they acquired a statutory entitlement to have the matter examined by a duly constituted committee. To interpret the statute in a manner that nullifies this entitlement due to procedural infirmities, assumed or real, in the other House, would tantamount to curtailing the participatory rights of

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elected representatives without statutory warrant. *Per contra*, the members of the Rajya Sabha suffer no prejudice, by the Speaker's action. They did have a right in law to claim that the notice given in the Rajya Sabha be dealt with in accordance with law by the competent authority. If at all they felt prejudiced, the decision of the Deputy Chairman refusing to admit the motion could have been laid to challenge by them. We assume that they did not prefer to challenge the decision because their purpose of having an inquiry conducted under the Inquiry Act stood fructified, once the Speaker admitted the motion of the Lok Sabha members and constituted the Committee.

28. Thus, even if the act of the Deputy Chairman were to be held illegal and consequently set aside / or a reconsideration were ordered, the same would never result in restoration of the *status quo ante*. Even such limited declaratory relief, however, cannot be granted in the present case in the exercise of writ jurisdiction under Article 32 of the Constitution (discussed in detail hereafter).

THE PREJUDICE ANGLE – NEED NOT BE TESTED

29. With fervour, Mr. Mehta argued that the petitioner has not shown that any “*demonstrable, gross or real prejudice*” is caused to him owing to the Deputy Chairman's decision not to admit the motion and that, in fact, such a decision operated to his benefit. The mere loss of a Joint Committee, absent *mala fides* or tangible disadvantage, does not amount to legal prejudice.
30. On the other hand, Mr. Rohatgi, by referring to the celebrated decision in **S.L. Kapoor v. Jagmohan**¹⁷ submitted that prejudice caused need not be separately established; non-observance of principles of natural justice is by itself sufficient proof of prejudice. He reminded us of the oft-quoted observation of Hon'ble O. Chinappa Reddy, J. (as His Lordship then was) that “*(I)t ill comes from a person who has denied justice that the person who has been denied justice is not prejudiced*”.
31. We have heard arguments that initiation of proceedings against the petitioner has caused irreparable reputational and constitutional

17 (1980) 4 SCC 379

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prejudice and that the doctrine of “no prejudice” cannot apply where mandatory safeguards are violated. This argument presupposes illegality in the constitution of the Committee which, for reasons already discussed, we are unable to accept. Once the Committee is lawfully constituted, the statute itself provides for elaborate safeguards at the investigation stage, including framing of charges, opportunity of defence, cross-examination of witnesses, and adjudication by a body comprising of senior constitutional functionaries. At this nascent stage, no civil consequences follow; the motion itself remains pending and can succeed only if both Houses ultimately adopt it by the constitutionally mandated special majority.

32. Mr. Mehta argued that constitution of a Single-House Committee instead of a Joint-Committee, on facts and in the circumstances, does not undermine the fairness of the procedure. We accept this submission. Reputational injury, howsoever unfortunate, cannot be a ground to subvert a constitutionally sanctioned statutory process, particularly when the Parliament has consciously designed a multi-tiered safeguard structure before any adverse consequence can ensue.
33. We also find ourselves in complete accord with Mr. Mehta’s contention that the ultimate safeguard of Parliamentary approval under Article 124(4) also remains intact. Germane, it is, to note that even after the Committee submits its report, the constitutional and statutory scheme does not render the petitioner remediless or exposed to automatic consequences. The report, by itself, is neither determinative nor self-executory. Rather, it merely triggers the next stage of Parliamentary consideration, where the motion for removal, kept pending till then, is required to be taken up separately in each House and can culminate in an address to the President only upon satisfaction of the rigorous special majority stipulated under Article 124(4) of the Constitution. Thus, in consideration of the edifice of the parties’ submissions, even from the standpoint of the petitioner, no vested or accrued right gets defeated.
34. Undoubtedly, the removal of a Judge of a High Court is constitutionally anchored in Article 217 read with Article 124 of the Constitution, with the procedural framework being provided by the Inquiry Act. That said, a grievance raised by a Judge, who, though a constitutional

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functionary by virtue of the office held, is nonetheless a public servant, questioning the desirability, advisability or necessity of initiating proceedings, or alleging procedural infirmities therein, partakes the character of a service-related dispute. This Court has, in a long line of decisions, consistently held that every infraction of the rules governing discipline and control does not, by itself, vitiate disciplinary proceedings. A plea founded on infraction of procedure must necessarily be examined through the prism of prejudice, having regard to the nature of the rule alleged to have been infringed, namely, whether it is mandatory or merely directory. Such an enquiry presupposes the existence of infraction of a governing rule. In the present case, however, it is unnecessary to undertake such an exercise, for the petitioner has failed to establish infringement of any vested or accrued right.

EFFECT OF NOT CHALLENGING THE DECISION OF THE DEPUTY CHAIRMAN

35. The decision of the Deputy Chairman is not part of the writ petition because despite the petitioner asking for it, the same was not furnished to him. In fact, it is the petitioner's claim that he derived knowledge of such decision once the counter affidavit to the writ petition came to be filed by the respondents. Acting in deference to our observation in Court on 7th January, 2026, the decision of the Deputy Chairman was placed on record simultaneously with furnishing a copy thereof to the petitioner.
36. Upon receipt of the decision of the Deputy Chairman together with the "draft decision" of the Secretary General, Rajya Sabha, no exception has been taken by the petitioner, in black and white, either by amending his writ petition or by filing an affidavit obviously because the decision does not adversely affect him. Rather, the decision is in the petitioner's favour in the sense that the Deputy Chairman did not, *inter alia*, find sufficient material to substantiate the claim of the notice givers that a case for removal of the petitioner from office by proceeding under the Inquiry Act had been set up.
37. However, in course of oral hearing, the thrust of Mr. Rohatgi's submission has been that the decision of the Deputy Chairman, for reasons urged, is *non-est*; therefore, the clock must be put back to explore a meeting of minds of the Presiding Officers of the two Houses for constitution of a Joint Committee.

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38. Acceptance of Mr. Rohatgi's argument would essentially require us to not only examine the legality, propriety and/or correctness of the decision of the Deputy Chairman but to quash the same.
39. The question as to whether a court can quash an order without the same being subjected to challenge came up for consideration in ***Hindustan Petroleum Corpn. Ltd. v. Sunita Mehra***¹⁸. This Court held:

3. The short question that arises for consideration in this case is whether there being no challenge to the order of eviction passed by the Estate Officer under the Act, in the writ petition was the High Court justified in setting aside that order in appeal. It was urged that after the order of eviction was passed the writ petition was not amended by challenging the order of eviction passed by the Estate Officer. No ground as regards its invalidity was also stated. It is not disputed that the writ petition was not amended after the order of eviction was passed by the Estate Officer. Even in the letters patent appeal, the order of eviction was not made to form part of the records of the case and under such circumstances the Division Bench of the High Court was not legally justified in setting aside the order dated 24-2-1982 passed by the Estate Officer. Consequently, the appeal succeeds and is allowed. There shall be no order as to costs.

40. We are in agreement with the aforesaid view. If an order has been passed to the prejudice or detriment of a suitor and such suitor seeks to have the order declared invalid and quashed in writ proceedings, it is imperative that he lays the order to a challenge, makes specific averments and urges cogent legal grounds to demonstrate its invalidity to enable him claim relief based thereon. This is required to serve as a notice to the opponent as to what are the grounds likely to be urged based whereon the suitor would seek to have the order quashed. Unless the opponent is put to notice, he cannot, perhaps, by projecting his own imagination discover all that may be in the contemplation of the suitor to be used and established against the opponent. Once put to notice, the opponent is entitled to raise an

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effective defence in support of the order under challenge to persuade the court not to quash it. This is a very basic rule of essential justice, which serves twin purposes: (i) of abortion of any attempt to spring surprises at the hearing; and (ii) prevention of miscarriage of justice.

41. In **Chandigarh Administration v. Laxman Roller Flour Mills (P) Ltd.**¹⁹, this Court succinctly enunciated as follows:

4. A perusal of the relief extracted above shows that the writ petitioner-respondent never asked for any relief in the writ petition commanding the Chandigarh Administration to issue completion certificate in its favour. Learned counsel for the respondent frankly stated that there is no allegation in the writ petition to the effect that Chandigarh Administration has illegally withheld the completion certificate. It is settled law that unless the allegations are made in the writ petition and a relief to that effect is also prayed for in the writ petition, the High Court is not justified in issuing any order in excess of the relief prayed for in the writ petition. We are, therefore, satisfied that in the absence of pleading and prayer in the writ petition, the High Court fell in error in issuing directions to the appellant to issue completion certificate to the writ petitioner-respondent. In such circumstances, we set aside the order of the High Court to the extent it directs the Chandigarh Administration to issue completion certificate to the writ petitioner-respondent. The appeal is thus allowed. There shall not be any order as to costs.

42. What has been laid down in **Sunita Mehra** (supra) and **Chandigarh Administration** (supra) in relation to exercise of writ power under Article 226 of the Constitution would equally extend to exercise of similar powers under Article 32.
43. A profitable reference may be made in this regard to the decision of this Court in **Amina Marwa Sabreen v. State of Kerala**²⁰ as far as exercise of writ jurisdiction under Article 32 is concerned. Relevant paragraphs from such decision read as follows:

¹⁹ (1998) 8 SCC 326

²⁰ (2018) 14 SCC 193

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14. Reverting to the preliminary objections raised by the respondent State, as already mentioned above, there is no reference to the G.O. in the entire writ petition. This document is not even part of the writ petition. Therefore, there are no foundational facts and/or pleadings in the writ petition challenging this G.O. as unconstitutional. More importantly, there is no prayer in the writ petition seeking quashing of this G.O. Even when the learned counsel for the State had pointed out fundamental infirmity in the writ petition, no attempt was made by the petitioners to amend the writ petition so as to incorporate challenge to the said G.O. as well. In the absence of any pleadings and the prayer seeking quashing of the said G.O., it is not permissible for the petitioners to seek a relief by making oral submissions in this behalf.

15. For the aforesaid reasons, we dismiss the writ petition on the ground of maintainability only as we do not deem it necessary to go into the issue on merits for lack of pleadings as well as requisite prayers in this behalf. No costs.

44. Tested on this anvil, the petitioner's grievance plainly cannot be addressed. In the absence of any challenge to the decision of the Deputy Chairman, we find no reason to outlaw it.
45. It is trite that writ jurisdiction is exercised to test the legality of an existing order, and not to grant relief on the hypothesis that another authority ought to have acted differently. The Inquiry Act does not contemplate constitution of two committees by the Presiding Officers of both Houses, as rightly pointed out by Mr. Mehta. Thus, if at all, two committees are constituted, one each by one Presiding Officer of a House, to investigate common allegations against a Judge, any right can accrue to the Judge to question such constitution as well as the legality of the subsequent process or outcome. This is because the legal framework does not allow parallel proceedings by two committees. Such an occurrence could be rare and if the occasion therefor arises, certainly the court may interfere. However, that obviously is not the case here. Judicial interference, bearing in mind the stage the proceedings have reached, would amount to travelling beyond the pleadings and trenching upon areas where no enforceable legal injury has yet arisen. The settled limits of writ jurisdiction do not permit the Court to confer relief in vacuum,

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divorced from a direct challenge to the order which is alleged to be the source of illegality.

ISSUE IV: DRAFT DECISION PREPARED BY THE SECRETARY-GENERAL OF THE RAJYA SABHA – WHETHER JUSTIFIED IN LAW?

46. For the limited purpose of future cases of a similar nature, and for no other purpose whatsoever, we briefly record our opinion on the procedure leading to the decision of the Deputy Chairman. It is clarified in unequivocal terms that this discussion is purely academic and shall not, directly or indirectly, be relied upon or invoked to claim any benefit, leverage, or advantage by the petitioner.
47. We were furnished with a certified copy of the decision taken by the Deputy Chairman of the Rajya Sabha declining to admit the motion. The document, spanning seven pages, comprises fifteen numbered paragraphs and one unnumbered paragraph. The fifteen numbered paragraphs set out what is described as a “draft decision of the Chair,” concluding that the notice was not “in order,” which was thereafter placed before the Deputy Chairman for approval. In the unnumbered paragraph, the Deputy Chairman expressly concurred with the decision of the Secretary General in the following terms:

“Having carefully considered the facts of the case and legal position enunciated above, I agree with the conclusion drawn. The Notice given by Hon’ble MPs is found to be not in order and, thus, not admitted. Secretary-General, Lok Sabha, may be informed accordingly.”

48. Upon a reading of the document in open court, we expressed our *prima facie* reservations regarding the conduct of the Secretary General in holding the notice to be not “in order”. The same were not fully addressed by the submissions advanced by Mr. Mehta. For the reasons set out in the paragraphs that follow, we are unable to find a clear legal basis for the course of action adopted by the Secretary General. To facilitate a clearer understanding of this conclusion, we deem it appropriate to reproduce paragraph 14 of the said document, which sets out the reasons on the basis of which the Secretary General found the notice to be not “in order”:

“11. Pursuant to the directions of the then Chairman, a closer scrutiny of the said Notice of Motion was undertaken, which revealed the following deficiencies:

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- (i) The said Notice of Motion is not drawn in proper terms to elicit a decision of the House;
- (ii) The said Notice of Motion has relied on certain documents and material facts. However, no such authenticated copy of these documents and reports has been enclosed for consideration of the Chairman, Rajya Sabha.
- (iii) The prayer in the said Notice of Motion request that *“the present Motion under section 3(1)(b) of the Judges (Inquiry) Act, 1968 ought to be admitted in the House”*. However, section 3 (1) (b) of the Act provides that *“the Speaker or, as the case may be, the Chairman may, after consulting such persons, if any, as he thinks fit and after considering such materials, if any, as may be available to him, either admit the motion or refuse to admit the same”*. It may be seen that section 3 (1) (b) gives discretion to admit or refuse to admit the Notice of Motion to the Chairman, Rajya Sabha and not to the House. Accordingly, an incorrect provision has been invoked in the prayer in the said Notice of Motion invoking incorrect provision of the Act display a casual and cavalier approach to an extremely serious matter.
- (iv) The Notice of Motion also contains certain factual inaccuracies. In the **‘Sequence of Events’**, it is stated that *“... on 3 March, 2025, the three-member In-House Committee conducted a spot inspection at the site of the incident, during which electronic evidence was examined and statement of 55 witnesses were record (sic. recorded). Based on the findings, a report was finalized and submitted to the Hon’ble Chief Justice of India on 5 May 2025. This 64-page report was published in the public domain by multiple news portals on 19 June,*

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2025'. It needs to be seen that the impugned fire incident at the residence of Justice xxxx occurred on the night of 14 March, 2025. It is highly unlikely that the spot inspection could have taken place on 3rd March, 2025 i.e. the day before the fire incident. Further, in absence of any material record appended with their said Notice of Motion, it is not possible to determine the veracity of these facts.

(emphasis supplied in original)

49. The material placed by the Secretary General before the Deputy Chairman raises certain concerns. First, there appears to be an insistence on the use of 'proper terms' for the notice, a requirement which does not find express recognition in law. Secondly, a requirement seems to have been read into the law for furnishing authenticated documents in support of the material facts, which, particularly in view of documents already in the public domain, may not have been necessary at that stage. In any event, the substance of the allegations was required to be considered, as there was no statutory obligation upon the notice-givers to produce supporting evidence at that juncture. Thirdly, exception appears to have been taken to an incorrect reference to a statutory provision, without due appreciation of the legal position governing the subject. Fourthly, the Secretary General appears to have examined the correctness of the facts pleaded, including with reference to certain dates, thereby traversing beyond the scope of his designated role. The Inquiry Act does not contemplate a substantive assessment of the merits of the allegations by the Secretariat of a House. The Secretary General's role was expected to remain confined to administrative scrutiny, such as verification of procedural compliance, and could not extend to assuming a quasi-adjudicatory function.
50. It is relevant to note that neither the Inquiry Act nor the Rules framed thereunder prescribe a mandatory form for a notice of motion. In the absence of defined parameters, it is not readily apparent on what basis the Secretary General concluded that the Notice of Motion was not 'in order.' Where no prescribed format exists, a notice containing allegations of impropriety against a Judge could not reasonably be

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treated as ineffective solely on account of perceived deficiencies in drafting or form. The role of the Secretary General was confined to placing the notice before the competent authority, namely, the office of the Chairman, without expressing any conclusion as to its admissibility.

51. That the Secretary General went beyond a purely administrative role is apparent from the language employed in the document itself. The concluding paragraph (paragraph 15) thereof states: “***A draft decision of the Chair***, indicating the aforesaid Notice of Motion not being in order and hence, non est is accordingly placed for approval. Subject to its approval, a communication would be sent to Secretary-General, Lok Sabha”. (emphasis ours)
52. Without venturing further into the matter, we consider it appropriate to note that the manner in which the notice of motion was processed at the Secretariat level does not fully align with the role contemplated under law.
53. That said, we repeat, these observations are confined solely to the procedural aspects noted above and are occasioned by the particular course of action adopted at the Secretariat level. Since the decision of the Deputy Chairman declining to admit the motion is not under challenge, and has been taken independently in accordance with his constitutional role, these observations do not, in any manner, impinge upon or affect the validity of that decision.
54. We do hope that no other Judge faces proceedings for his removal from service on allegations of misbehaviour. Should, at all, there be an unfortunate recurrence of a Judge *prima facie* indulging in misbehaviour and the representatives of the people of the nation demand an investigation based on allegations of misbehaviour, it would be just and proper if Secretariat exercises restraint and leaves it to the Speaker of the Lok Sabha or the Chairman of the Rajya Sabha, as the case may be, to decide the question of admission of a motion instead of concluding as to what should be the future course of action.

SO FAR

Issue I : Does the first proviso to Section 3(2) of the Inquiry Act require the constitution of a Joint Committee where notices, having

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been given in both Houses on the same day, is later followed by refusal to admit the motion by the Presiding Officer of one House and admission of the motion by the Presiding Officer of the other House?

- No, it does not. The proviso applies to only one specific situation, namely, where notices of motion given on the same day have been admitted by both Houses. It does not restrict or negate the individual authority of either House of Parliament.

Issue II : Whether the Deputy Chairman of the Rajya Sabha was competent to refuse admission of the notice of motion?

- Yes, he was.

Issue III : What is the effect, if any, of the Deputy Chairman's refusal to admit the motion on the validity of the Speaker's action under Section 3(2) of the Inquiry Act?

- There is no need to examine this issue, as the order of the Deputy Chairman is not under challenge. *Arguendo*, even if it were examined, it would have no effect, since the Speaker committed no illegality in constituting the committee.

Issue IV: Whether the draft decision prepared by the Secretary-General of the Rajya Sabha recording that the notice of motion given to the Chairman is not "in order" justified in law?

- No; does not align with the procedure contemplated under law.

ISSUE V : WHETHER THE PETITIONER IS ENTITLED TO ANY RELIEF?

55. The extraordinary remedy under Article 32 is confined to enforcement of Fundamental Rights and does not extend to issuing advisory or corrective directions in relation to internal statutory mechanisms of the Parliament, where no present or inevitable infraction of any Fundamental Right is evinced. Petitioner is, thus, not entitled to any relief.

CONCLUSION

56. For the foregoing reasons, no interference is called for. The present writ petition stands dismissed.

Supreme Court Reports**APPENDIX- I****WRITTEN SUBMISSIONS ON BEHALF OF PETITIONER****A. CHALLENGE BEFORE THE HON'BLE COURT**

1. The Petition challenges the unilateral constitution of the Judges Inquiry Committee (“JIC”) by the Speaker under Section 3(2) of the Judges (Inquiry) Act, 1968 (the “Act”) on 12.08.2025 after admitting a motion given in the Lok Sabha on 21.07.2025 seeking removal of the Petitioner as a Judge, despite a motion presented in the Rajya Sabha on the same day not having been admitted (as communicated to petitioner during the course of hearing). The motion was stated to have been “not admitted” in the Rajya Sabha on 11.08.2025 pursuant to a scrutiny undertaken by the Secretary General of the Rajya Sabha and affirmed by the Deputy Chairman, purportedly seeking to derive authority from Article 91 of the Constitution of India.
2. Petitioner contends that the action of the Speaker is contrary to the first proviso of Section 3(2) of the Act, thus vitiating the constitution of the JIC and all consequential proceedings. This, since where notices of motion are given on the same day before both Houses of Parliament, the JIC could not have been constituted unless (a) both Houses had admitted the motions; and (b) a JIC constituted thereafter jointly by the Hon'ble Speaker and Hon'ble Chairman.
3. It is further submitted that the Deputy Chairman could not have exercised the powers comprised in Section 3(2) which stands exclusively reserved in the Hon'ble Chairman as the persona designata. Article 91 is merely a *pro tem* measure limited to ensuring continuity of proceedings in the House and cannot extend to statutory powers solely exercisable by the Hon'ble Chairman.

B. PETITION IS MAINTAINABLE

4. Contrary to the counter-affidavit, during oral arguments, Respondents did not challenge the maintainability of the Petition. In any event, it is settled law that all processes relating to the removal of a Judge under the Act [up until the point proceedings in the House(s) commence upon submission of a Report by the JIC] are proceedings outside the House, amenable to judicial review as these flow from Article

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124(5), and not Articles 118, 119 or 122 [**Sub-Committee on Judicial Accountability v. UoI [(1991) 4 SCC 699 - paras 76-79, 81-82, 86, 91 & 93-101]**].

C. CONSTITUTION OF JIC IS CONTRARY TO LAW

5. Indisputably, the Act is a plenary and comprehensive legislation referable to Article 124(5) and thus liable to be strictly construed. The scheme of the Act, broadly, conceives of four different parts to the process of removal.
 - a. Introduction [Section 3(1)]: All Members of Parliament have a right to present notices of motion seeking removal of a Judge. Where motions are endorsed by a specific number of Members [100 in the Lok Sabha, 50 in Rajya Sabha], it leads to the next step — consideration of the motion by the Speaker or Chairman to decide whether it merits admission.
 - b. Admission / Rejection [Sections 3(1) and (2)]: The admission or rejection of a motion is a statutory power of immense moment and thus vested in two high constitutional functionaries, namely, the Speaker and Chairman who are to independently assess and evaluate whether the notice of motion merits admission and the initiation of further steps under the Inquiry Act.
 - c. Committee Formation and Report (Sections 3-5): In the event a motion is admitted, it is kept pending enabling the Hon'ble Speaker or the Chairman, as the case may be, to constitute a three-member committee for inquiring into the allegations. This committee must conduct an inquiry as per the provisions of the Act and its Rules and furnish its report within the specified time-frame.
 - d. Consideration of Report and Address (Section 6): Only if the report of the committee recommends the removal of the Judge, would it then be transmitted for discussion by Members in the Houses, which may thereafter resolve to present a joint address to the President of India seeking removal of the Judge in question.
6. Section 3 constitutes the fulcrum of the legislation, and covers the entire field of presentation and consideration of motions. Since it constitutes a constitutional safeguard, it is liable to be interpreted

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strictly. It exhausts all contemplated scenarios on the giving of motions, namely: (i) motion in one House alone; (ii) motions in both Houses on different days (in which case the second *proviso* applies); and (iii) motions given in both the Houses on the same day (triggering the first *proviso*). Undisputedly, in the present case motions were given on the same day in both the Houses and the challenge thus centers upon the first *proviso*.

7. As per the Petitioner, the JIC could not have been constituted unless both the Speaker and the Chairman had admitted the motions in both Houses and only thereafter proceeded to constitute the JIC jointly. The use of double peremptory negatives (“no” committee and “unless”) is evidence of a manifest intent to underscore its mandatory and non-derogable character [***Fuleshwar Gope v. Uol* [2024 SCC OnLine SC 2610 - para 27; *Vijay Narayan Thatte v. State of Maharashtra* (2009) 9 SCC 92 - paras 5, 10, 12, 13, 14 & 15]**].
8. Since the power to admit a motion stands conferred upon two co-equal constitutional authorities, the statute mandates concurrence to avoid conflicting decisions, separate committees coming to be constituted or parallel inquiries being initiated. A decision not to admit if taken by one of those authorities would undoubtedly cast a cloud of invalidity on the other. It is these considerations which inform the mandate of concerted action.
9. Implicit in the first *proviso* is the situation where one motion is rejected and one admitted. In such a situation the motion would clearly fail and cannot be proceeded with. Lapsing of a motion is a consequence that follows not only from the plain and exhaustive words of the proviso but also from the fact that both the Houses are equal and the determination of the Speaker and Chairman (as the case may be) to not admit a motion cannot be overridden or overruled by a contrary view of the other functionary. To read the *proviso* as not providing for that consequence would mean that Section 3 is incomplete.
10. It would be incorrect and inconceivable to assume that Parliament was either not cognizant or unaware of such a possibility or conundrum even though it chose to introduce a specific provision to deal with motions presented on the same date and promulgated a complete and exhaustive code. Legislative oversight cannot be readily assumed or inferred.

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11. The admission of both motions is not liable to be read as a condition precedent for the applicability of the first *proviso*. This condition is indelibly linked to the expression ‘no committee shall be constituted...’. If the Inquiry Act were to be interpreted in any other manner, it would compel one to hold that it fails to provide for a situation where one of the motions presented on the same day is rejected. This, despite the Inquiry Act having been acknowledged to be a complete code, a comprehensive legislation on the subject of removal, and Section 3 thereof constituting its center piece.
12. Respondents’ interpretation that the first *proviso* applies only when both motions are “admitted” is wrong. This interpretation seeks to introduce the phrase ‘given and admitted’ into the statute and contradicts settled principles of statutory interpretation [**G Narayanaswami v. G Pannerselvam, (1972) 3 SCC 717 – para 18-20**]. This more so since adhering to the plain text of the statute does not lead either to absurdity or to any unworkable situations.
13. Respondents’ contention that there is no prejudice caused due to non-compliance with the statute cannot be countenanced [**S.L. Kapoor v. Jagmohan, (1980) 4 SCC 379**]. The doctrine of prejudice or useless formality has no application to mandatory statutory safeguards and more so when we are concerned with salutary constitutional safeguards. Petitioner is facing removal proceedings even though one of the two similar and identical motions were found not to warrant further consideration. The mere fact that an adverse report may ultimately be placed before both Houses cannot justify a Judge being subjected to a process which is constitutionally infirm and unwarranted. Additionally, the mere right of addressing both Houses at a belated stage cannot overcome the prejudice caused. Last but not the least, the reputational damage caused as a result of the impugned proceedings is prejudice in itself.

D. CONSIDERATION OF RAJYA SABHA MOTION IS CONTRARY TO LAW

14. The Rajya Sabha motion was “not admitted” by the Deputy Chairman on 11.08.2025. No formal order to this effect has been communicated or supplied to Petitioner. The file notings supplied demonstrate

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that the consideration on the motion was by the Secretary General (Respondent No. 2) and merely “affirmed” by the Deputy Chairman.

15. Petitioner submits that the Deputy Chairman lacked authority to exercise any powers in respect of the motion given on 21.07.2025. The Act defines “Chairman” and “Speaker” exhaustively by using the categorical “means”, rather than the fluid or expansive “means and includes”. The use of “means” is intended to be an explicit statement of the full connotation of a term, thus, leaving no room for ambiguity. The definitions (absent in the Bill) were included in the Act to “*ensure and maintain the independence of the judiciary*” [**Joint Committee Report on the Judges (Inquiry) Bill, 1964**]. Where any role was perceived for the Deputies, it had been specifically carved out (*See* Rules 16 & 17, Judges Inquiry Rules, 1969) and which too is plainly a limited, expressly defined role, confined to proceedings in the House *after* the submission of the JIC Report.
16. Article 91 confers only limited, *pro tem* authority relating to proceedings in the House and cannot extend to statutory functions under the Act. Parliament was conscious of Article 91 and still adopted exhaustive definitions under the Act reserving admission powers in the Speaker/Chairman alone as *persona designata*. The Parliament appears to have been guided *inter alia* by Article 100 which gives only a casting vote to the Speaker/Chairman (unlike a member of the House including the Deputy Chairman who can sign the motion and vote on it if the Report calls for removal of the Judge).
17. Further, unlike Article 65(3) which effects a complete substitution of authority, Article 91 envisages only a *pro tem* role. Accepting the Respondents’ contention would mean that any other member temporarily presiding over House proceedings (in the absence of the Deputy Chairman) could also exercise powers under Section 3. This would clearly be contrary to the import and intent of the statute.

Therefore, Petitioner submits that for all the reasons set out above, the constitution of the JIC is liable to be declared *non est*, and this Hon’ble Court ought to allow the present petition.

Filed on: 12.01.2026

Place: New Delhi.

X v. O/o Speaker of the House of People & Ors.**APPENDIX- II****SHORT NOTE****ON BEHALF OF TUSHAR MEHTA, SOLICITOR GENERAL OF INDIA****A. PRELIMINARY SUBMISSIONS**

1. The Petitioner has assailed the action of the Hon'ble Speaker admitting the notice of motion on 12.08.2025 and the constitution of a three-member Inquiry Committee under Section 3(2) of the Judges (Inquiry) Act, 1968 ("**Act**"). It is the Petitioner's case that since notices of motion were "**given**" in both Houses on the same day, the proviso to Section 3(2) mandated that no Committee could be constituted unless the motion was **admitted** in both Houses and, if admitted, the Committee must be constituted **jointly** by the Speaker and the Chairman.
2. It is respectfully submitted that the Writ Petition is misconceived and founded on an erroneous reading of the statutory scheme. At the outset, the Respondents' have divided their arguments broadly on the following four issues :
 - a. The proviso to Section 3(2) of the Act is attracted only where the motions are "**admitted**" in both Houses, and not just being "**given**"
 - b. In any event, the Petitioner demonstrates no real, demonstrable and gross prejudice so as to invoke the extraordinary jurisdiction of this Hon'ble Court under Article 32; and
 - c. The Rajya Sabha motion was, upon scrutiny, expressly "not admitted" by the Deputy Chairman, who was validly acting as the Chairman under Article 91 when the office fell vacant and was constitutionally and statutorily permitted to exercise such a power. This order is not and could not have been challenged.

B. INTERPRETATION OF PROVISO TO SECTION 3(2)

3. It is respectfully submitted that Articles 121 and 211 of the Constitution prohibit any discussion in the House with regard to the conduct of any judge of the Supreme Court or the High Court, except upon a

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motion for presenting an address to the President praying for the removal of the Judge. A perusal of Article 124(4) read with Article 217 and 218, makes it crystal clear that a Judge of the Supreme Court or the High Court cannot be removed from office except on the ground of proven misbehaviour or incapacity.

4. Therefore, the constitutional scheme for removal of a Judge culminating in an order of the Hon'ble President is passed only after an address by each House of Parliament supported by a majority of the total membership of that House and by a majority of not less than two-thirds of the members present and voting, ensuring stringent thresholds that operate as a substantive inbuilt safeguard. It ensures that such motions for removal of Judges are not initiated in a routine manner and that the process is insulated against proceedings founded on frivolous allegations, extraneous considerations or patently false claims.
5. It is thus respectfully submitted that by virtue of Article 122, these notices of motion cannot be impugned in a court of law as long as they do not contravene any constitutional or statutory mandate.
6. The Act incorporates an important safeguard in Section 3(1) by drawing a clear distinction between a motion being “**given**” and its subsequent “**admission**”. A motion does not automatically set the statutory machinery in motion merely upon being “given”. It is only upon “admission” that the statutory consequence of constituting a three-member Committee follows. The Legislature has, therefore, consciously used two distinct expressions, and the language employed is the determinative factor of the legislative intention. At this stage, it is also pertinent to note that, as per Rule 2(e) of the Judges (Inquiry) Rules, 1969, “motion” is defined to mean **the motion admitted under Section 3(1)**.
7. As per Section 3(1) of the Act, “**giving**” a motion is essentially a ministerial act of presentation/filing, whereas “**admission**” is a substantive, independent decision that necessarily entails due scrutiny and application of mind by the Speaker or the Chairman after consulting such person, if any, as he thinks fit. Thus, the Speaker or the Chairman has an option either to *admit* the motion or *refuse to admit* the motion.
8. This Hon'ble Court in ***P.D. Dinakaran (2) v. Judges Inquiry Committee, (2011) 8 SCC 474*** had held that the Speaker/Chairman, is

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not bound to admit the motion submitted with the requisite numerical strength as a matter of course because he had the discretion under the Act to consult such persons as he may think fit and consider any material which is made available to him before taking a decision on the admission of motion. This Hon'ble Court also held that, in a given case, he may even choose to refuse to admit the motion.²¹

9. It is crucial to highlight that this Hon'ble Court in ***Sarojini Ramaswami (Mrs) v. Union of India, (1992) 4 SCC 506*** has also held the following:

95. “.....The law so enacted under Article 124(5) provides that any accusation made against a sitting judge to enable initiation of the process of his removal from office has to be only by not less than the minimum number of Members of Parliament specified in the Act, all other methods being excluded. On initiation of the process in the prescribed manner, the Speaker/Chairman is to decide whether the accusation requires investigation. If he chooses not to act on the accusation made in the form of motion by the specified minimum number of Members of Parliament, the matter ends there. On the other hand, if the Speaker/Chairman, on a consideration of the materials available and after consulting such persons as he thinks fit, forms the opinion that a prima facie case for investigation into the accusation against the Judge is made out, he constitutes a Committee of judicial functionaries in accordance with Section 3(2) of the Act.”

10. If this condition of an independent application of mind with an order “admitting” the motion is not read, there is a possibility of members gathering mere requisite numerical strength “filing” motions even on the basis of some unpopular judgment given by a Judge resulting in the appointment of a Committee. Such a reading of Section 3(1) would render a mere achievement of numerical strength as the only condition precedent for forming a Committee under Section 3(2), rendering the second part of Section 3(1) otiose.
11. Further, it is humbly submitted that in the absence of a mandatory requirement of independent scrutiny culminating in a formal order of

²¹ Paragraphs 26 & 31 of *P.D. Dinakaran (2)*. See also *Krishna Swami v. Union of India, (1992) 4 SCC 605 ¶45*.

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“admitting” the motion, the statutory safeguard would be rendered illusory. Mere fulfilment of the numerical strength of the members could trigger the process of removal by simply “giving” the notice of motion, even on the basis of an unpopular judgment given by a Judge, thereby mechanically leading to the constitution of a Committee without any threshold assessment of whether the motion warrants such grave proceedings.

12. The procedure contemplated in the Act is *sui generis* and will have to be interpreted in view of the constitutional scheme in general and Articles 121 and 211 in particular. Section 3(2) of the Act also specifically and consciously uses the word “*if the motion referred to in subsection (1) is **admitted***”. This further highlights the significance of “admission” of the motion, which is different from mere “giving” of the motion. It thus provides that if a motion for removal of a Judge is admitted by the Speaker or the Chairman, the Speaker or the Chairman shall keep the motion pending and “constitute, as soon as may be,” a three-member Committee to investigate the grounds for removal of a judge.
13. It is pertinent to note that the proviso to Section 3(2) stipulates that where notices of a motion are given on the same day in both Houses of Parliament, “*no Committee shall be constituted unless the motion has been admitted in both Houses*” and it is only when the motion is admitted in both Houses, that the Committee shall be constituted jointly by the Speaker and the Chairman. Thus, when notices of motion are initiated simultaneously in both Houses, the law envisages a joint action **only if** both Houses admit the motion. The proviso is intended to avoid two committees being constituted simultaneously to inquire into the same allegations, which may result in conflicting views.
14. The logical corollary of this is that when notices of motion are given on the same day, but only admitted by one House and rejected by the other House, then the Speaker/Chairman, as the case may be, who admits the motion is well within its statutory right to keep it pending and constitute a Committee as per Section 3(2) of the Act.
15. In the facts of the present case, notices of motion were indeed submitted on the same day, i.e., 21 July 2025, in both Houses of Parliament. On the one hand, the notice of motion for removal given in the Lok Sabha was received by the Hon’ble Speaker at **12:30 pm**

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and was signed by 146 members belonging to different political parties. On the other hand, the notice of motion given in the Rajya Sabha was signed by 62 members, and the then Chairman made an announcement in the House between **4:07 pm to 4:19 pm**. The address of the then Chairman makes it evidently clear that he was neither “admitting” the motion nor “refusing to admit” the motion.²² Moreover, the Hon’ble Law Minister had also informed the Chairman that another motion was given in the Lok Sabha, pursuant to which the Chairman directed the Secretary General to “*take necessary steps in this direction*”.

16. It is pertinent to note that the then Chairman of the Rajya Sabha resigned as the Vice-President on 21 July 2025, and the Deputy Chairman assumed charge under Article 91 of the Constitution. Upon scrutiny of the notice, the Deputy Chairman, on 11 August 2025, concluded that the motion contained infirmities and that the notice was not in order and thus not admitted. The Hon’ble Deputy Chairman, Rajya Sabha, directed that the Secretary General, Lok Sabha, may be informed accordingly. This decision of refusal to admit the motion was communicated in writing by the Rajya Sabha Secretariat to the Lok Sabha Secretariat on the same day, i.e. 11 August 2025.
17. Thus, after following the due process, the Speaker admitted the motion received from members of the Lok Sabha and made an announcement to this effect on 12 August 2025 and kept it pending for inquiry. Accordingly, considering the fact that Rajya Sabha’s motion was not admitted, on 12 August 2025, only one House, i.e., Lok Sabha, had an admitted motion for the removal of the Petitioner.
18. Therefore, the requirement of a joint committee under the proviso to Section 3(2) was not triggered in these circumstances. The proviso operates only when (i) notices of motion are given on the same day and (ii) both the Houses admit the motion. The Hon’ble Speaker, before constituting the Committee, waited for the Rajya Sabha’s decision, and only when he was formally informed that the Rajya Sabha motion was not admitted, the Committee was constituted on 12 August 2025.
19. It is pertinent to note that while the proviso bars constituting a Committee unless both Houses admit the motion, it nowhere says that the rejection

²² The then Chairman, specifically mentioned that “Then the right of the Speaker or the Chairman to admit or reject the motion is not there” (Pg. 47 of the Petition @ Para 1).

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of a motion in one House automatically invalidates an admitted motion in the other. To hold otherwise would allow one House's refusal to admit the motion (potentially even a nefarious rejection) to defeat the removal process approved by the other House, which is neither the intent of the law nor a reasonable interpretation of the proviso.

20. The Petitioner's contention that the constitution of the Committee is invalid "*because the motion was not admitted in both Houses*" is misplaced. Such a situation arose only because the Rajya Sabha's motion failed to meet the threshold for admission. The law does not prohibit the Speaker from acting on a properly admitted motion of one House when the notice of motion given in the other House did not culminate in an admission. It is humbly submitted that any other interpretation would undermine the removal process by effectively giving one House a veto over the initiation of an inquiry, even where the other House has fulfilled all statutory requirements.
21. At this juncture, it is submitted that it is a settled law that a proviso has to be understood from the language used in the main provision and not vice versa. Moreover, it is also a settled law that if the substantive provision is clear on fair interpretation, the language in the proviso cannot be used to defeat the basic intent expressed in the said provision.²³

C. DEMONSTRATIVE, GROSS AND REAL PREJUDICE SHOULD BE SHOWN FOR INVOKING ARTICLE 32

22. It is submitted that the Petitioner has not shown any "*demonstrable, gross or real prejudice*" caused to him by the manner in which the process for removal has been initiated, even if a purported procedural lapse is assumed to have taken place. It is submitted that such a demonstrable, gross or real prejudice must be proved by the Petitioner.²⁴ In substance, the Petitioner's complaint is that he lost

23 See *Dwarka Prasad v. Dwarka Das Saraf*, (1976) 1 SCC 128 ¶16; *Vishesh Kumar v. Shanti Prasad*, (1980) 2 SCC 378 ¶9; *S. Sundaram Pillai v. V.R. Pattabiraman*, (1985) 1 SCC 591 ¶27; *J.K. Industries Ltd. v. Chief Inspector of Factories and Boilers*, (1996) 6 SCC 665 ¶35; *Director of Education (Secondary) v. Pushpendra Kumar*, (1998) 5 SCC 192 ¶8; *Rohitash Kumar v. Om Prakash Sharma*, (2013) 11 SCC 451 ¶20.

24 See *ECIL v. B. Karunakar*, (1993) 4 SCC 727 ¶30[v]; *State Bank of Patiala v. S.K. Sharma*, (1996) 3 SCC ¶28, 33(3) & 33(7); *State of U.P. v. Sudhir Kumar Singh*, (2021) 19 SCC 706 ¶36 & 42.1-42.5; *S.P. Gupta v. U.P. State Electricity Board*, (1991) 2 SCC 263 ¶5; *State of Karnataka v. Sri Darshan*, 2025 SCC OnLine 1702 ¶20.1.3-20.1.7; *L&T Housing Financing Limited v. Trishul Developers*, (2020) 10 SCC 659 ¶19.

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the “benefit” of a joint committee constituted by both the Speaker and the Chairman. However, this does not translate into any prejudice or a real or demonstrable disadvantage.

23. The Committee constituted by the Speaker is a duly authorized body formed strictly in conformity with Section 3(2) (a), (b) and (c) of the Act. The Committee is bound to conduct its investigation fairly and give the Petitioner full opportunity to be heard. The Petitioner remains entitled to submit his defence, adduce evidence, cross-examine witnesses and respond to any allegations before this Committee, in the same manner as he would before a joint committee.
24. It is respectfully submitted that the ultimate safeguard of Parliamentary approval under Article 124(4) also remains intact. Even if the Committee holds that the Judge is guilty of any misbehaviour or suffers from any incapacity, then the motion, along with the report of the Committee, would be taken up for consideration by the Houses of Parliament. Removal of a Judge cannot take place except by an order of the President passed after an address by each House of Parliament supported by a majority of the total membership of that House and by a majority of not less than two-thirds of the members of the House present and voting. Therefore, a procedural divergence (a single-House Committee as opposed to a Joint Committee) does not undermine the fairness of the process or the Petitioner’s ability to defend himself. He suffers no substantive disadvantage at this stage.
25. It is submitted that the proviso to Section 3(2) is primarily for avoiding an anomalous situation arising out of a possibility of two simultaneous committees being appointed and to avoid a contingency where two motions remain “pending” with two different committees investigating the same act. The proviso does not confer any right on anyone, including the recipient of the charge memo by the Committee. The real purpose behind the proviso is for the benefit of the members.
26. When the constitution of the Committee jointly does not confer any right, there can be no prejudice. The prejudice can possibly arise in the event that both motions are given on the same day and are admitted, and the Speaker or the Chairman alone constitute a Committee.
27. The extraordinary remedy under Article 32 of the Constitution is available only to address breaches of fundamental rights or patent gross injustice. In the present case, the Petitioner’s grievances are

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at best technical and procedural. He has not pointed to any breach of his fundamental rights. It is submitted that the Petitioner's rights are safeguarded by the presence of an impartial and independent Committee and the multiple stages of decision-making that lie ahead.

D. DEPUTY CHAIRMAN TO EXERCISE THE FUNCTIONS OF THE CHAIRMAN WHEN THE OFFICE IS VACANT AS PER ARTICLE 91 OF THE CONSTITUTION

28. It is submitted that Article 91(1) of the Constitution of India explicitly provides for the contingency where the office of Chairman of the Rajya Sabha is **vacant**. In such a case, the duties of the office shall be performed by the Deputy Chairman of the Rajya Sabha. The Constitution thus, ensures that the absence or vacancy of the Chairman does not paralyze the functioning of the House. The Deputy Chairman automatically steps into the role by a constitutional mandate.
29. It is humbly submitted that a statute cannot be read in isolation to negate a clear constitutional authorization. In the present case, the trigger for invoking Article 91 was the resignation of the Hon'ble Chairman from the office of the Vice-President on 21 July 2025. Since then, by operation of law, the Deputy Chairman of the Rajya Sabha was empowered to perform all duties and exercise all the powers of the Chairman, including admitting/refusing to admit motions, as envisaged under Section 3(1). Therefore, the Deputy Chairman's authority in this capacity flows directly from the Constitution, and any other interpretation would render Article 91, in the context of the Act, unworkable, redundant, and otiose.²⁵

Result of the case: Writ petition dismissed.

[†]Headnotes prepared by: Divya Pandey

²⁵ It is a settled position of law that no provision of the Constitution of India can be considered to be otiose. See *Welfare Assn., A.R.P. v. Ranjit P. Gohil*, (2003) 9 SCC 358 ¶28; *Ashoka Kumar Thakur v. Union of India*, (2008) 6 SCC 1 ¶126; *Chief Justice of A.P. v. L.V.A. Dixitulu*, (1979) 2 SCC 34 ¶74; *Jindal Stainless Ltd. v. State of Haryana*, (2017) 12 SCC 1 ¶13 & 15; *Jayant Verma v. Union of India*, (2018) 4 SCC 743 ¶25; *Rajendra Diwan v. Pradeep Kumar Ranibala*, (2019) 20 SCC 143 ¶75.

Sandeep Singh Bora
v.
Narendra Singh Deopa & Ors.

(Civil Appeal No. 691 of 2026)

02 February 2026

[Vikram Nath* and Sandeep Mehta, JJ.]

Issue for Consideration

The instant appeal is directed against the interim order dated 18.07.2025 passed by the High Court wherein it directed the Returning Officer to allot a symbol to respondent no.1 (the writ petitioner) and permit him to participate in the election to the office of Zila Panchayat Member.

Headnotes[†]

Constitution of India – Art.243-O – Uttarakhand Panchayati Raj Act, 2016 – The Uttarakhand State Election Commission issued a revised notification resuming the Panchayat elections in the State – Pursuant thereto, respondent no.1 submitted his nomination for election to the post of Zila Panchayat – On failure to make requisite disclosures, the Returning Officer, *vide* order dated 09.07.2025, cancelled the candidature of respondent no.1 – Aggrieved, respondent no.1 filed a writ petition before the High Court, which was dismissed, observing that the election process had already set in motion – The present appellant was declared elected unopposed to the office of Zila Panchayat Member – In an intra-court appeal, the Division Bench, *vide* the impugned interim order, stayed the operation of the judgment rendered by the Single Judge and directed the Returning Officer to allot a symbol to respondent no.1 (the writ petitioner) and to permit him to participate in the election to the office of Zila Panchayat Member – Correctness:

Held: In considered view of this Court, the Division Bench transgressed the limits of its jurisdiction in interfering with the electoral process, in disregard of the settled position of law – By virtue of the express constitutional embargo contained in Art.243-O of the Constitution of India, the High Court is precluded

* Author

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from exercising jurisdiction u/Art.226 of the Constitution where a law enacted by the State Legislature provides for the remedy of an election petition to redress grievances arising during the course of an election – The State of Uttarakhand has enacted the Uttarakhand Panchayati Raj Act, 2016 – Consequently, the bar envisaged u/Art.243-O of the Constitution stands attracted – The election process cannot be lightly interdicted or stalled at the behest of an individual grievance – The right to contest or question an election being statutory in nature, must be strictly construed and exercised in accordance with the statute governing the field – The High Court must, therefore, eschew the grant of liberal interim reliefs in favour of individuals and instead remain mindful of the overarching public interest in ensuring the smooth and uninterrupted conduct of elections across the State – In respect of individual grievances, the ultimate and exclusive remedy lies by way of an election petition – Given the non-obstante nature of Art.243-O of the Constitution, its mandate is required to be adhered to in both letter and spirit – Where the statute provides a complete and efficacious mechanism for redressal, the extraordinary exercise of jurisdiction u/Art.226 of the Constitution would defeat the very object for which Art.243-O was enacted as a non-obstante provision – Accordingly, the interim order dated 18.07.2025, passed by the High Court of Uttarakhand at Nainital in Special Appeal No.192 of 2025 is set aside. [Paras 9, 10, 12]

Case Law Cited

Harnek Singh v. Charanjit Singh, 2005 INSC 498 : [2005] Supp. 4 SCR 223 : (2005) 8 SCC 383 – relied on.

Laxmibai v. Collector, 2020 INSC 197 : [2020] 2 SCR 880 : (2020) 12 SCC 186; *N.P. Ponnuswami v. Returning Officer, Namakkal Constituency*, 1952 INSC 2 : [1952] 1 SCR 218 : (1952) 1 SCC 9 – referred to.

List of Acts

Constitution of India; Uttarakhand Panchayati Raj Act, 2016.

List of Keywords

Article 243-O of Constitution of India; Article 226 of Constitution of India; Election Petition; Writ jurisdiction; Individual grievance; Liberal interim reliefs; Efficacious mechanism for redressal; Non-obstante provision; Electoral process.

Sandeep Singh Bora v. Narendra Singh Deopa & Ors.**Case Arising From**

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 691 of 2026
From the Judgment and Order dated 18.07.2025 of the High Court of Uttarakhand at Nainital in SPA No. 192 of 2025

Appearances for Parties

Advs. for the Appellant(s):

B D Pande, S. K. Verma, Ms. Rakshanda Pande, Saurabh Upadhyay, Ms. Hardikaa Kalia, Gaurav Kandpal, Manish Chaurasia, Vinay Kumar Singh.

Adv. for the Respondent(s):

Ms. Farhat Jahan Rehmani.

Judgment / Order of the Supreme Court**Judgment**

Vikram Nath, J.

1. Leave granted.
2. The present appeal is directed against the interim order dated 18th July, 2025, passed by High Court of Uttarakhand at Nainital¹ in Special Appeal No. 192 of 2025, whereby the High Court stayed the operation of the judgment dated 11th July, 2025, rendered by the learned Single Judge in Writ Petition (MS) No. 2083 of 2025 and further directed the Returning Officer to allot a symbol to respondent No. 1 (the writ petitioner) and permit him to participate in the election to the office of Zila Panchayat Member.
3. The brief facts, in a nutshell, insofar as they are relevant for the disposal of the present appeal, are as follows:
 - 3.1. The Uttarakhand State Election Commission issued a revised notification dated 28th June, 2026, thereby resuming the Panchayat elections in twelve districts of the State. Pursuant thereto, respondent No. 1 submitted his nomination for election to the post of Zila Panchayat Member from Constituency No. 11-Bharhgaon, District Pithoragarh.

¹ Hereinafter, referred to as "High Court".

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- 3.2. Subsequently, the appellant raised an objection alleging failure on the part of respondent No. 1 to make the requisite disclosures. Upon consideration thereof, the Returning Officer, *vide* order dated 9th July, 2025, cancelled the candidature of respondent No. 1.
- 3.3. Aggrieved by the said action, respondent No. 1 approached the High Court by filing Writ Petition (MS) No. 2083 of 2025. The learned Single Judge, *vide* order dated 11th July, 2025, dismissed the writ petition, observing that in view of the election process having already been set in motion, the writ petition was not liable to be entertained at that stage. On the very same date, namely 11th July, 2025, the present appellant was declared elected unopposed to the office of Zila Panchayat Member, the remaining two candidates, including respondent No. 1, having been declared disqualified by the Election Officer.
- 3.4. In the meantime, respondent No. 1 preferred an intra-court appeal, being Special Appeal No. 192 of 2025, without impleading the present appellant as a party. The learned Division Bench, *vide* the impugned interim order, stayed the operation of the judgment rendered by the learned Single Judge and directed the Returning Officer to allot a symbol to respondent No. 1 (the writ petitioner) and to permit him to participate in the election to the office of Zila Panchayat Member.
4. Therefore, the appellant is before this Court.
5. This Court, *vide* order dated 23rd July, 2025, issued notice to the respondents and stayed the operation of the interim order dated 18th July, 2025, passed by the High Court. It was further clarified that the election process would continue in accordance with law, and that the result thereof would remain subject to the final outcome of the present appeal.
6. Finally, when the matter was taken up for hearing on 12th January, 2026, learned counsel for respondent No. 1, who had earlier entered appearance, was not present. As per the office report, respondents Nos. 2 to 5 were reported to be unserved. However, since the said respondents are only pro-forma parties, we proceeded to hear learned counsel appearing for the appellant and reserved judgment on the same day.

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7. We have heard the learned counsel appearing for the appellant and have carefully perused the material available on record.
8. At the outset, we are unable to concur with the view taken by the Division Bench of the High Court and, for the reasons that shall be delineated hereinafter, are inclined to set aside the same.
 - 8.1. The learned Single Judge, while dismissing the writ petition instituted by respondent No. 1, assigned the following reasons: -
 - a. That Article 243-O of the Constitution of India² contains an express bar, stipulating that no election to any Panchayat shall be called in question except by way of an election petition, to be governed by the law enacted by the Legislature of the concerned State.
 - b. That Section 131H of the Uttarakhand Panchayati Raj Act, 2016³ provides an efficacious alternative remedy by way of an election petition in cases of improper rejection of nomination, and therefore, at that stage, the writ petition before the High Court was not maintainable.
 - 8.2. In the intra-court appeal preferred by respondent No. 1, the Division Bench, by the impugned interim order, stayed the operation of the order dated 11th July, 2025, passed by the learned Single Judge and directed the Returning Officer to allot a symbol to respondent No. 1 (the writ petitioner therein) and permit him to participate in the election process for the office of Zila Panchayat Member. In arriving at this conclusion, the Division Bench assigned the following reasons: -
 - a. That the bar contained in Article 243-O of the Constitution was held to be inapplicable to the present case, as the challenge was not directed against the election of any candidate, but was confined to the alleged illegal rejection of the nomination of respondent No. 1, for which, according to the Division Bench, no efficacious alternative remedy was available.

2 Hereinafter, referred to as "Constitution".

3 Hereinafter, referred to as "Panchayati Raj Act".

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- b. That Section 90 of the Panchayati Raj Act enumerates the circumstances and grounds attracting disqualification for the office of Zila Panchayat Member, and in the facts of the present case, the alleged non-disclosure of an acquittal in a prior criminal case did not fall within any of the disqualifications so specified.
9. In our considered view, the Division Bench transgressed the limits of its jurisdiction in interfering with the electoral process, in disregard of the settled position of law. The election jurisprudence in this country has undergone a significant evolution. With a view to maintaining a delicate balance between decisions rendered by statutory authorities and judicial intervention by way of judicial review, a stage was reached where Parliament considered it appropriate to accord constitutional status to the Panchayati Raj institutions.
 - 9.1. Accordingly, Part IX, titled “The Panchayats”, was inserted into the Constitution by the Constitution (73rd Amendment) Act, 1992. The said constitutional amendment gives effect to Article 40 of the Directive Principles of State Policy, which enjoins the State to take steps to organise village panchayats and to endow them with such powers and authority as may be necessary to enable them to function as units of self-government. By virtue of this amendment, the Panchayati Raj institutions were elevated from a non-justiciable to a constitutionally enforceable framework. At the same time, the States were accorded sufficient latitude to structure and implement the Panchayati Raj system having due regard to their distinct geographical, political, administrative and other local conditions.
 - 9.2. Article 243-O of the Constitution, introduced by the aforesaid constitutional amendment, places an express embargo on judicial interference in matters relating to elections to the Panchayats. The provision reads as follows: -

243O. Bar to interference by courts in electoral matters.— Notwithstanding anything in this Constitution—

 - (a) the validity of any law relating to the delimitation of constituencies or the allotment of seats to such

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constituencies, made or purporting to be made under article 243K, shall not be called in question in any court;

(b) no election to any Panchayat shall be called in question except by an election petition presented to such authority and in such manner as is provided for by or under any law made by the Legislature of a State.

(emphasis supplied)

Therefore, Article 243-O(b) of the Constitution makes it abundantly clear that no election to any Panchayat can be called in question except by way of an election petition presented to such authority and in such manner as may be provided by the State Legislature.

9.3. This Court, in ***Harnek Singh v. Charanjit Singh***,⁴ while examining the object and purpose underlying the incorporation of the bar contained in Article 243-O of the Constitution, also considered the said provision in juxtaposition with the plenary jurisdiction of the High Courts under Article 226. The Court observed as follows:

“15. Prayers (b) and (c) aforementioned, evidently, could not have been granted in favour of the petitioner by the High Court in exercise of its jurisdiction under Article 226 of the Constitution. It is true that the High Court exercises a plenary jurisdiction under Article 226 of the Constitution. Such jurisdiction being discretionary in nature may not be exercised inter alia keeping in view the fact that an efficacious alternative remedy is available therefor. (See *Sanjana M. Wig v. Hindustan Petroleum Corpn. Ltd.* [(2005) 8 SCC 242 : (2005) 7 Scale 290])

16. Article 243-O of the Constitution mandates that all election disputes must be determined

4 (2005) 8 SCC 383

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only by way of an election petition. This by itself may not per se bar judicial review which is the basic structure of the Constitution, but ordinarily such jurisdiction would not be exercised. There may be some cases where a writ petition would be entertained but in this case we are not concerned with the said question.

17. In *C. Subrahmanyam* [(1998) 8 SCC 703] a three-Judge Bench of this Court observed that a writ petition should not be entertained when the main question which fell for decision before the High Court was non-compliance with the provisions of the Act which was one of the grounds for an election petition in terms of Rule 12 framed under the Act.”

(emphasis supplied)

Thus, it is evident that where a specific statutory remedy is available by way of an election petition, the High Court must exercise great circumspection and restraint in invoking its jurisdiction under Article 226 of the Constitution. The need for such judicial restraint is further reinforced by the non-obstante clause with which Article 243-O opens, namely, the expression “Notwithstanding anything in this Constitution”.

- 9.4. Article 243-O(b), thus, places a bar on the exercise of jurisdiction by Courts under the Constitution in matters relating to elections to Panchayats, where a law has been enacted by the Legislature of a State providing for such elections. The existence of a law made by the State Legislature is a condition precedent for the operation of the embargo contemplated under Article 243-O. The provision does not abrogate the sacrosanct power of judicial review, which forms part of the basic structure of the Constitution; rather, it channels such review through a statutorily prescribed and efficacious mechanism, namely, an election petition to be presented before the authority designated under the law enacted by the State Legislature for that purpose.

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10. In the present case, the State of Uttarakhand has enacted the Uttarakhand Panchayati Raj Act, 2016. Consequently, the bar envisaged under Article 243-O of the Constitution stands attracted. Therefore, if respondent No. 1 was aggrieved by the order dated 9th July, 2025, passed by the Election Officer rejecting his nomination, the appropriate remedy lay within the framework of the Panchayati Raj Act itself. At this stage, it would be apposite to advert to Section 131H of the Panchayati Raj Act, being the statutory provision which directly governs the issue at hand. The said provision is reproduced hereinbelow: -

“131H. Application regarding election and their revision.— (1) The election of a person as Pradhan or Up-Pradhan or as member of a Gram Panchayat shall not be called in question except by an application presented to such authority within such time and in such manner as may be prescribed, on the ground:-

(a) that this election has not been free election by reason that the corrupt practice of bribery or undue influence has extensively prevailed at the election; or

(b) **that the result of the election has been materially affected-**

(i) by the acceptance or rejection of any nomination in improper manner; or

(ii) by gross failure to comply with the provisions of this Act or the rules framed there under.

(2) . . .

(3) The application under sub-section (1) may be presented by any candidate at the election or any elector and shall contain such particulars as may be prescribed;

Explanation:- Any person, who filed a nomination paper at the election whether such nomination paper was accepted or rejected, shall be deemed to be a candidate at the election.

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(5) Without prejudice to the generality of the powers to be prescribed under sub-section (4) the rules may be provided for summarily hearing and disposal of an application under subsection (1).

(6) Any party aggrieved by an order of the prescribed authority who shall be Assistant Collector (first class)/ Pargana Magistrate of concerned Tehsil/ Pargana upon an application under subsection (1) may, within thirty days from the date of the order, apply to the District Judge for revision of such order or any one or more on the following grounds; namely: -

(a) that the prescribed authority has exercised such jurisdiction not vested in it by law;

(b) that the prescribed authority has failed to exercise a such jurisdiction so vested;

(c) that the prescribed authority has acted in the exercise of its jurisdiction illegally or with material irregularity.

(7) The District Judge may dispose of the application for revision himself or may assign it for disposal to any Additional District Judge, Civil Judge or Additional Civil Judge under his administrative control and may recall it from any such officer or transfer it to any other such officer.”

(emphasis supplied)

- 10.1. Section 131H specifically governs disputes relating to the election of a Pradhan, Up-Pradhan or a Member of a Gram Panchayat. The provision, being couched in negative terms, warrants heightened judicial circumspection while entertaining proceedings contrary to its mandate. It expressly stipulates that no election shall be called in question except by an application presented before the prescribed authority, within such time and in such manner as may be laid down.
- 10.2. Sub-section (1)(b) of Section 131H of the Panchayati Raj Act contemplates a situation where the result of an election has been materially affected by the improper acceptance or rejection of a nomination. It is the specific case of respondent No. 1 in the writ petition that the Election Officer rejected

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his candidature on a ground which, according to him, is not contemplated under Section 90 of the Panchayati Raj Act, the provision which enumerates the disqualifications for membership of a Zila Panchayat.

- 10.3. Therefore, if, according to respondent No. 1, there was a specific infraction of the statutory provisions by the Election Officer, the remedy availed by him was also required to be in consonance with the scheme of the very statute. It would thus not be permissible for respondent No. 1 to seek enforcement of compliance with the provisions of the Panchayati Raj Act by the authorities conducting the election, while at the same time electing to bypass the statutorily prescribed remedy available under the said enactment.
- 10.4. Sub-section (6) of Section 131H of the Panchayati Raj Act explicitly stipulates that the prescribed authority before whom an election petition is to be presented shall be an Assistant Collector (First Class) or a Pargana Magistrate. In view of the comprehensive statutory framework providing both the forum and the procedure for redressal of grievances arising out of non-compliance with the provisions of the Act, we find ourselves unable to concur with the undue haste with which the Division Bench proceeded to deal with the matter at hand.
- 10.5. A three-Judge Bench of this Court, in **Laxmibai v. Collector**,⁵ cited with approval the decision in **N.P. Ponnuswami v. Returning Officer, Namakkal Constituency**,⁶ wherein it was held that in cases of rejection of a nomination, the sole remedy available is by way of an election petition to be presented after the conclusion of the election process, and that even the High Court lacks jurisdiction under Article 226 of the Constitution during the interregnum. The Court categorically observed that the ground of rejection of a nomination paper cannot be agitated in any other manner, at any other stage, or before any other forum.
11. In the present case, the appellant had already been declared elected unopposed on 11th July, 2025 since the remaining two candidates, including respondent No. 1, had been declared disqualified by the

5 (2020) 12 SCC 186

6 (1952) 1 SCC 9

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competent authorities. The High Court, therefore, committed a manifest error in interfering in exercise of its extraordinary jurisdiction on three counts. *First*, the High Court acted in the teeth of the constitutional embargo contained in Article 243-O of the Constitution. *Second*, by directing the Returning Officer to allot a symbol to respondent No. 1 and permitting him to participate in the election process, the High Court issued directions contrary to a process which had already attained finality with the appellant having been declared elected unopposed. *Lastly*, the High Court proceeded to stay the order of the learned Single Judge dismissing the writ petition filed by respondent No. 1, without affording an opportunity of hearing to the appellant, who stood directly and adversely affected by such directions, having already been elected to the post in question.

12. In view of the foregoing discussion, we summarise our conclusions as under: -
 - I. By virtue of the express constitutional embargo contained in Article 243-O of the Constitution of India, the High Court is precluded from exercising jurisdiction under Article 226 of the Constitution where a law enacted by the State Legislature provides for the remedy of an election petition to redress grievances arising during the course of an election.
 - II. The election process cannot be lightly interdicted or stalled at the behest of an individual grievance. The right to contest or question an election being statutory in nature, must be strictly construed and exercised in accordance with the statute governing the field. The High Court must, therefore, eschew the grant of liberal interim reliefs in favour of individuals and instead remain mindful of the overarching public interest in ensuring the smooth and uninterrupted conduct of elections across the State.
 - III. In respect of individual grievances, the ultimate and exclusive remedy lies by way of an election petition. Given the non-obstante nature of Article 243-O of the Constitution, its mandate is required to be adhered to in both letter and spirit. Where the statute provides a complete and efficacious mechanism for redressal, the extraordinary exercise of jurisdiction under Article 226 of the Constitution would defeat the very object for which Article 243-O was enacted as a non-obstante provision.

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13. Accordingly, the interim order dated 18th July, 2025, passed by the High Court of Uttarakhand at Nainital in Special Appeal No. 192 of 2025 is set aside, and the writ appeal stands dismissed.
14. Consequently, the present appeal stands allowed.
15. Pending application(s), if any, shall stand disposed of.

Result of the case: Appeal allowed.

[†]Headnotes prepared by: Ankit Gyan

Rajia Begum
v.
Barnali Mukherjee

(Civil Appeal No. 674 of 2026)

02 February 2026

[Pamidighantam Sri Narasimha and Alok Aradhe,* JJ.]

Issue for Consideration

Whether the disputes can be referred to arbitration or an arbitrator can be appointed when the very existence of arbitration agreement itself is seriously disputed on the allegations of forgery and fabrication; whether in the factual matrix of the case, the disputes between the parties could have been referred to the arbitration u/s.8 of the Arbitration and Conciliation Act, 1996 and correspondingly whether the High Court was justified in declining the appointment of an arbitrator u/s.11 of the 1996 Act.

Headnotes[†]

Arbitration and Conciliation Act, 1996 – Impact of fraud on arbitrability of a dispute – Present appeals arise from a partnership dispute in which Respondent no.1 (in CA No.675 of 2026) claimed entry into the firm relying on an Admission Deed, and as foundation of arbitration agreement, whose execution is denied and is alleged to be forged by the Appellant therein – High Court on the same factual foundation involving the same alleged arbitration agreement, has in one proceeding directed the parties to resolve their disputes through arbitration and in another proceeding, declined to appoint an arbitrator on the ground, that the existence of the arbitration agreement is itself in serious doubt – Challenge to:

Held: When an allegation of fraud is made with regard to arbitration agreement itself, such a dispute is generally recognised as a dispute, which is in the realm of non-arbitrability and the court will examine it, as a jurisdictional issue only to enquire whether the dispute has become non-arbitrable due to one or the other reason – In the present case, admission Deed is not genuine – There exists substantial and cogent material which casts serious doubt

* Author

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on the genuineness of the Admission Deed – Arbitration clause does not exist independently but is embedded in the document whose existence is seriously disputed – The dispute relating to the Admission Deed involves serious allegations going to the root of the arbitration agreement itself and is not amenable to arbitration at this stage – Arbitration is founded upon consent – A party may be bound by the arbitral process only if it is first shown, even at a *prima facie* level, that such a party had agreed to submit disputes to arbitration – Where the arbitration agreement itself is alleged to be forged or fabricated, the disputes cease to be merely contractual and strikes at the very root of arbitral jurisdiction – A controversy of this nature falls squarely within the category of disputes that are generally recognized as non-arbitrable – Order passed by the High Court allowing the respondent no.1's application u/s.8 of the Act referring the dispute in Suit to be resolved through arbitration is unsustainable and is quashed and set aside – Order of the High Court rejecting the respondent no.1's application u/s.11 of the Act for the appointment of arbitrator warrants no interference and is affirmed. [Paras 15, 16, 20, 24]

Fraud – Arbitration and Conciliation Act, 1996 – Impact of fraud on arbitrability of a dispute:

Held: Mere allegation of fraud simpliciter may not be a ground to nullify the arbitration agreement between the parties, but where the court finds that there are serious allegations of fraud which make a case of criminal offence or where the allegations of fraud are so complicated, which need to be decided on the basis of voluminous evidence, the court can sidetrack the arbitration agreement and proceed with the suit – Court can proceed with the suit in cases where the fraud is alleged against the arbitration provision itself or is of a such a nature which permeates the entire contract, including the agreement to arbitrate, meaning thereby in those cases where fraud goes to the validity of the contract itself which contains an arbitration clause or the validity of the arbitration clause itself. [Para 12]

Constitution of India – Article 227 – Arbitration and Conciliation Act, 1996:

Held: Both the Trial Court and the First Appellate Court had concurrently held that the allegations of fraud in the present case were serious and that the respondent no.1 had failed to

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produce the original Admission Deed or a certified copy thereof, as required u/s.8(2) of the Act – The aforesaid findings were not perfunctory, but were grounded in the material on record and in the statutory requirements – Supervisory jurisdiction of the High Court under Article 227 of the Constitution is not an appellate jurisdiction in disguise, and it does not permit reappreciation of evidence – High Court, while exercising jurisdiction under Article 227 of the Constitution, was not justified in dislodging the concurrent findings and directing reference of the dispute to arbitration, particularly when the very existence of the arbitration agreement was under serious doubt – Conversely, the High Court was correct in dismissing the respondent no.1's application u/s.11 of the 1996 Act – When the existence of the arbitration agreement itself is in serious dispute and requires adjudication, appointment of an arbitrator would be premature and legally impermissible. [Paras 21-23]

Arbitration and Conciliation Act, 1996 – s.9 – Appellant (in CA No.675 of 2026), respondent no.2 and respondent no.3, constituted a partnership firm – Respondent no.1 issued notice to the appellant and relied upon an Admission Deed as the source of her induction into the firm and as foundation of arbitration agreement – Appellant denied the execution of the Admission Deed and stated that Admission Deed is a forged and fabricated document – Respondent no.1 applied to the Trial Court u/s.9, 1996 Act, allowed by Trial Court – Appeal filed by the appellant, allowed by High Court – Appeal filed by respondent no.1, dismissed by Supreme Court and the order of the High Court rejecting the application of the respondent no.1 u/s.9 of the Act, attained finality – Appellant filed civil suit *inter alia* seeking a declaration that the 'Admission Deed' is a forged document; respondent no.1 filed application u/s.8 to refer the suit to arbitration – Application dismissed by Trial Court – Appeal thereagainst also dismissed – Revision filed by respondent no.1 – Allowed by High Court, orders of the Trial Court and First Appellate Court set aside, and the dispute in Suit was referred to be resolved through arbitration – Parallely, respondent no.1 had filed petition u/s.11 for the appointment of an arbitrator – Dismissed by High Court:

Held: Findings in s.9 proceedings are undoubtedly *prima facie* in nature, such findings, when they attain finality, cannot be ignored

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in subsequent proceedings founded on the very same issue – The *prima facie* satisfaction recorded by the High Court regarding the doubtful existence of the arbitration agreement was, therefore, a relevant consideration while examining applications u/ss.8 and 11 of the Act. [Para 19]

Case Law Cited

A. Ayyasamy v. A Paramasivam & Others, **2016 INSC 948 : [2016] 11 SCR 521**; *Rashid Raza v. Sadaf Akhtar*, **2019 INSC 1002 : [2019] 12 SCR 460**; *Vidya Drolia & Ors. v. Durga Trading Corporation*, **2020 INSC 697 : [2020] 11 SCR 1001**; *N.N. Global Mercantile Pvt. Ltd. v. Indo Unique Flame Ltd.* **[2021] 4 SCR 933 : (2021) 4 SCC 379**; *Avitel Post Studios Ltd. & Ors. v. HSBC PI Holdings (Mauritius) Ltd.*, **2024 INSC 242 : [2024] 3 SCR 971**; *Sushma Shivkumar Daga & Anr. v. Madhurkumar Ramkrishnaji Bajaj & Ors.* **2023 INSC 1081 : [2023] 15 SCR 909**; *K. Mangayarkarasi & Anr. v. N.J. Sundaresan & Anr.*, **2025 INSC 687 : [2025] 5 SCR 1199**; *ITI Ltd. v. Siemens Public Communications Network Ltd.*, **2002 INSC 282 : [2002] 3 SCR 1122**; *Nirma Ltd. v. Lurgi Lentjes Energietechnik GMBH*, **2002 INSC 23 : [2002] 3 SCR 911**; *Deep Industries Ltd. v. Oil and Natural Gas Corporation Ltd. & Anr.*, **2019 INSC 1299 : [2019] 17 SCR 995**; *Bhaven Construction v. Executive Engineer, Sardar Sarovar Narmada Nigam Ltd.* **2021 INSC 9 : [2021] 1 SCR 1**; *SBP & Co. v. Patel Engineering Ltd. and Anr.*, **2005 INSC 526 : [2005] Supp. 4 SCR 688**; *Managing Director Bihar State Food and Civil Supply Corporation Limited and Another v. Sanjay Kumar*, **2025 INSC 933 : [2025] 8 SCR 1551 – referred to.**

List of Acts

Arbitration and Conciliation Act, 1996; Constitution of India.

List of Keywords

Allegation of fraud is made with regard to arbitration agreement; Arbitrability in cases involving allegations of serious fraud; Impact of fraud on arbitrability of a dispute; Existence of arbitration agreement itself is seriously disputed on the allegations of forgery and fabrication; Dispute non-arbitrable; Admission Deed; Admission Deed foundation of arbitration agreement; Admission Deed not genuine; Serious doubt on the genuineness of the

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Admission Deed; Existence of the arbitration agreement under serious doubt; Doubtful existence of the arbitration agreement; Existence of the arbitration agreement itself is in serious dispute; Dispute relating to Admission Deed involves serious allegations; Allegations going to the root of the arbitration agreement itself; Allegations of forgery and fabrication; Not amenable to arbitration; Supervisory jurisdiction of the High Court under Article 227 of the Constitution.

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 674 of 2026

From the Judgment and Order dated 11.03.2021 of the High Court at Calcutta in AP No. 350 of 2018

With

Civil Appeal No. 675 of 2026

Appearances for Parties

Advs. for the Appellant(s):

Siddhartha Dave, Shailesh Madiyal, Sr. Advs., Aakash Sirohi, Indra Lal, Subhojit Seal, Sunando Raha, Sk Sayan Uddin, Ms. Manishitha Bhattacharjee, Aviral Saxena.

Advs. for the Respondent(s):

Siddhartha Dave, Shailesh Madiyal, Sr. Advs., Subhojit Seal, Sunando Raha, Aviral Saxena, Aakash Sirohi, Indra Lal.

Judgment / Order of the Supreme Court

Judgment

Alok Aradhe, J.

Leave granted.

2. The present appeals arise from a partnership dispute in which appellant claims entry into the firm by virtue of a document whose execution is stoutly denied and is alleged to be forged. The High Court on the same factual foundation involving the same alleged arbitration agreement, has in one proceeding directed the parties to resolve their disputes through arbitration and whereas in another

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proceeding, declined to appoint an arbitrator on the ground, that the existence of an arbitration agreement is itself in serious doubt. A common issue namely, whether the disputes can be referred to arbitration or an arbitrator can be appointed when the very existence of arbitration agreement itself is seriously disputed on the allegations of forgery and fabrication, arises for consideration in these appeals.

(i) NARRATION OF FACTS

3. The appellant, Barnali Mukherjee, in the appeal @ SLP (C) No. 20262 of 2021 (appellant), Aftabuddin (respondent no.2) and Raihan Ikbali (respondent no.3), constituted a partnership firm styled as 'M/s RDDHI Gold' (firm) by virtue of partnership deed dated 01.12.2005. Rajia Begum (respondent no.1) claims that the respondent nos.2 and 3 executed a power of attorney on 17.04.2007 empowering her to manage the affairs of the firm on their behalf pursuant to which she executed a deed of admission and retirement (Admission Deed) by which respondent nos.2 and 3 retired from the firm.
4. The appellant contends that the business of the reconstituted partnership firm was absorbed and taken over by a company named 'RDDHI Gold Pvt. Ltd.' (company) pursuant to the absorption deed dated 27.02.2011. On 02.10.2016, the respondent no.1 issued a notice to the appellant asserting that, on the basis of the aforesaid Admission Deed dated 17.04.2007, she had acquired an interest to the extent of 50.33% in the erstwhile partnership firm and that respondent nos.2 and 3 had retired as partners in 2007 itself. The appellant by reply dated 21.11.2016, categorically denied the execution of the Admission Deed by her or by the other respondents and further denied the very induction of the respondent no.1 in the firm as a partner at any point in time. Thus, the appellant took a stand that the Admission Deed is a forged and fabricated document, concocted by the respondent no.1.

(ii) APPLICATION UNDER SECTION 9 OF THE ACT

5. The respondent no.1 applied to the Trial Court under Section 9 of the Arbitration and Conciliation Act, 1996 (Act), for preservation of the subject matter of dispute and for appointment of receiver for the Company which came to be allowed by the Trial Court. The High

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Court, by an order dated 04.05.2018, allowed the appeal filed by the appellant *inter alia* finding that the very existence/execution of the 'Admission Deed' is in dispute and, in view of the availability of cogent material which would indicate the non-existence of the Admission Deed, it would not be prudent on the part of the Court exercising jurisdiction under Section 9 of the Act, to accord interim protection to the respondent no.1 who has failed to demonstrate the existence of an arbitration agreement in a *prima facie* manner. Aggrieved by the order of the High Court dated 04.05.2018, the respondent no.1 preferred an Appeal to this Court which came to be dismissed. Thus, the said order of the High Court dated 04.05.2018, rejecting the application of the respondent no.1 under Section 9 of the Act, attained finality between the parties.

(iii) APPLICATION UNDER SECTION 8 OF THE ACT

6. The appellant, on 16.05.2018, filed a civil suit bearing No.71/2018 before the competent civil court seeking the relief of declaration and injunction against the respondent no.1 *inter alia* seeking a declaration that the 'Admission Deed' is a forged document. The respondent no.1, in the said suit, preferred an application to the Trial Court under Section 8 of the Act, to refer the suit to arbitration, owing to the existence of an arbitration agreement between the parties in respect of disputes concerning the 'Admission Deed'. The said application preferred by the respondent no.1, under Section 8 of the Act, came to be dismissed by the Trial Court vide order dated 06.09.2018 which *inter alia* held that the allegations of fraud relating to the validity of the impugned Admission Deed were complicated in nature and that the respondent no.1 had failed to produce either the original Admission Deed or a certified copy thereof.
7. The respondent no.1 preferred an appeal against the said Order dated 06.09.2018, before the Additional District Judge, who also dismissed the appeal in terms of the order dated 25.09.2020. Being aggrieved, the respondent no.1 further preferred a revision under Article 227 of the Constitution to the High Court, which by order dated 24.09.2021 set aside the orders of the Trial Court and the First Appellate Court, and allowed the revision filed by the respondent no.1 by referring the dispute in Suit No.71/2018 to be resolved through arbitration.

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8. Parallely, when the aforesaid proceedings under Sections 8 and 9 were ongoing, the respondent no.1 had also filed a petition under Section 11 of the Act before the High Court, seeking appointment of an arbitrator for resolving the disputes between the parties which had arisen in terms of the arbitration clause contained in the 'Admission Deed'. The High Court dismissed the petition filed by the respondent No.1, under Section 11 of the Act, by order dated 11.03.2021, *inter alia* holding that it would not be expedient to appoint an arbitrator till such time that the issue regarding the existence of an arbitration agreement between the parties has been answered finally. In the appeal @ SLP (c) No.6013 of 2021, the respondent no.1 has challenged the judgment and order dated 11.03.2021 by which her application under Section 11 of the Act has been dismissed. In the appeal @ SLP (C) No.20262 of 2021, the appellant has assailed the judgment dated 24.09.2021 by which petition filed by the respondent no.1 under Article 227 was allowed and the title suit filed by the appellant was referred to arbitration.

(v) SUBMISSIONS

9. The learned counsel for respondent no.1 submitted that the observations made by the High Court while deciding an appeal, arising out of an order under Section 9 of the Act, are only for the purposes of deciding the appeal and it has been clarified that the views expressed in the order are tentative and should not prejudice the respondent no.1 in any other proceeding. Alternatively, it is contended that *prima facie* observation on the existence of arbitration agreement made in an appeal, arising out of an order under Section 9 of the Act, cannot affect the jurisdiction of the Court under Section 11 of the Act. It is urged that the dispute pertains to allegations of fraud challenging the arbitration agreement itself, is arbitrable and well within the jurisdiction of the arbitrator. It is submitted that the High Court, in exercise of supervisory powers under Article 227, has rightly set aside the orders passed by the Trial Court and the Appellate Court. It is, therefore, contended that the dispute be referred to the arbitration by appointing an arbitrator and the order dated 24.09.2021 passed by the High Court under Article 227 be

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maintained. In support of the aforesaid submissions, reliance has been placed on the decisions of this Court¹.

10. On the other hand, learned senior counsel for the appellant submitted that the Admission Deed is forged and fabricated document and there is no privity of contract between the parties. It is submitted that the High Court in its order dated 04.05.2018 has categorically recorded a finding that the Admission Deed is not a genuine document. It is submitted that the material on record does not indicate that the respondent no.1 has acted as a partner since 2007 till date. It is contended that the Admission Deed is a manufactured and a forged document. It is argued that the High Court erred in interfering with the orders passed by the Trial Court and the Appellate Court in exercise of powers under Article 227 of the Constitution of India. In support of the aforesaid submissions, reliance has been placed on the decisions of this Court².

(vi) ISSUE

11. We have bestowed our consideration upon rival submissions and have carefully traversed the record placed before us. The central question which emerges for our determination is whether in the factual matrix of the case, the disputes between the parties could have been referred to the arbitration under Section 8 of the Act and correspondingly whether the High Court was justified in declining the appointment of an arbitrator under Section 11 of the Act.

(vii) IMPACT OF FRAUD ON ARBITRABILITY

12. The legal position with regard to the impact of fraud on arbitrability of a dispute under the Act is well delineated by decisions of this Court. A two-Judge Bench of this Court³ held that mere allegation

1 A. Ayyasamy v. A Paramasivam & Others (2016) 10 SCC 386; Rashid Raza v. Sadaf Akhtar (2019) 8 SCC 710; Vidya Drolia & Ors. v. Durga Trading Corporation (2021) 2 SCC 1; N.N. Global Mercantile Pvt. Ltd. v. Indo Unique Flame Ltd. (2021) 4 SCC 379; Avitel Post Studioz Ltd. & Ors. v. HSBC PI Holdings (Mauritius) Ltd. (2021) 4 SCC 713; Sushma Shivkumar Daga & Anr. v. Madhurkumar Ramkrishnaji Bajaj & Ors. (2024) 12 SCC 253; K. Mangayarkarasi & Anr. v. N.J. Sundaresan & Anr. (2025) 8 SCC 299; ITI Ltd. v. Siemens Public Communications Network Ltd. (2002) 5 SCC 510; Nirma Ltd. v. Lurgi Lentjes Energietechnik GMBH (2002) 5 SCC 520; Deep Industries Ltd. v. Oil and Natural Gas Corporation Ltd. & Anr. (2020) 15 SCC 706 and Bhaven Construction v. Executive Engineer, Sardar Sarovar Narmada Nigam Ltd. (2022) 1 SCC 75.

2 A. Ayyasamy (supra); Vidya Drolia & Ors. (supra); SBP & Co. v. Patel Engineering Ltd. and Anr. (2005) 8 SCC 618 and Deep Industries Ltd. (supra).

3 A. AYYASAMY v. A. PARAMASIVAM AND OTHERS (supra)

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of fraud simpliciter may not be a ground to nullify the arbitration agreement between the parties, but where the court finds that there are serious allegations of fraud which make a case of criminal offence or where the allegations of fraud are so complicated, which need to be decided on the basis of voluminous evidence, the court can sidetrack the arbitration agreement and proceed with the suit. It has further been held that the court can proceed with the suit in cases where the fraud is alleged against the arbitration provision itself or is of a such a nature which permeates the entire contract, including the agreement to arbitrate, meaning thereby in those cases where fraud goes to the validity of the contract itself which contains an arbitration clause or the validity of the arbitration clause itself.

13. The aforesaid principle was referred to with approval, by another two-Judge Bench of this Court⁴ and two working tests were laid down for determining serious allegations of fraud, which would render the subject matter of an agreement non-arbitrable namely, (1) does this plea permeate the entire contract and above all, the agreement of arbitration, rendering it void, or (2) whether the allegations of fraud, touch upon the internal affairs of the parties, *inter se* having no implication in the public domain. It was further held that the first test is satisfied only when it can be said that the arbitration clause or agreement itself cannot be said to exist in a clear case in which the court finds that the party against whom breach is alleged cannot be said to have entered into the agreement relating to arbitration at all. Thus, in a case where plea is taken with regard to non-existence of an arbitration clause or agreement, the same would amount to serious allegation of fraud and would render the subject matter of an agreement non-arbitrable.
14. Recently, a two-Judge Bench of this Court in **Managing Director Bihar State Food and Civil Supply Corporation Limited**⁵ (to which one of us P.S. Narasimha, J. was a party) took note of the previous decisions of this Court⁶ and restated the principles governing

4 AVITEL POST STUDIOZ LIMITED AND OTHERS v. HSBC PI HOLDINGS (MAURITIUS) LTD. (supra)

5 Managing Director Bihar State Food and Civil Supply Corporation Limited and Another v. Sanjay Kumar, 2025 SCC OnLine SC 1604

6 A. Ayyasamy (supra), Lalchand Shah v. Rishabh Enterprises (2018) 15 SCC 678, Rashid Raza v. Sadaf Akhtar (2019) 8 SCC 710 and Avitel Post Studios Limited And Others (supra)

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arbitrability in cases involving allegations of serious fraud. The relevant extract of para 21 of the decision in **Managing Director (supra)** is extracted below:-

“21. In view of our decision, it is unnecessary to delve deep on this issue, but sufficient to restate the law on the subject. The position of law as it applies to initiation of arbitral proceedings in the teeth of allegations of criminality involved in the dispute, where criminal proceedings are either pending or to be initiated is considered in several decisions of this Court. In *A. Ayyasamy v. A. Paramasivam*, this Court has considered the matter in detail and laid down certain principles. As the relevant portions of the decision in *Ayyasamy* (supra) have been extracted in the subsequent decisions of this Court in *Ameet Lalchand Shah v. Rishabh Enterprises*, *Rashid Raza v. Sadaf Akhtar*, and *Avitel Post Studios Limited v. HSBC PI Holdings (Mauritius) Limited*, we are of the opinion that our judgment need not be burdened by extracting excerpts from the judgment all over again. Instead, we seek to restate the principles as follows:—

XXX XXX XXX

VI. “Serious allegations of fraud” is to be understood in the context of facts. In *Rashid Raza* (supra) this Court laid down two tests. The first test is satisfied only when it can be said that the arbitration clause or agreement itself cannot be said to exist in a clear case in which the court finds that the party against whom breach is alleged cannot be said to have entered into the agreement relating to arbitration at all. The second test can be said to have been met in cases in which allegations are made against the State or its instrumentalities of arbitrary, fraudulent, or mala fide conduct, thus necessitating the hearing of the case by a writ court in which questions are raised which are not predominantly questions arising from the contract itself or breach thereof, but questions arising in the public law domain.

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IX. However, the allegations of fraud with respect to the arbitration agreement itself stand on a different footing. This position is generally recognized as a dispute which is in the realm of non-arbitrability. In such cases, the arbitral tribunal will not examine the allegation of fraud but will consider the submission only for the purpose of examining exclusion of jurisdiction. This principle, in its application, can be seen in the judgment of this Court in *Avitel*.”

15. Thus, it is evident that when an allegation of fraud is made with regard to arbitration agreement itself, such a dispute is generally recognised as a dispute, which is in the realm of non-arbitrability and the court will examine it, as a jurisdictional issue only to enquire whether the dispute has become non-arbitrable due to one or the other reason.

(viii) ANALYSIS

16. In the backdrop of the aforesaid well settled legal position, we may advert to the facts of the case in hand. At the heart of the controversy lies the Admission Deed which is relied upon by respondent no.1 as the source of her induction into the firm and as foundation of arbitration agreement. On a *prime facie* consideration of the material placed on record, we find that there exists substantial and cogent material which casts serious doubt on the genuineness of the Admission Deed. The following circumstances are of particular relevance: -

“(i) Respondent No.2, Aftabuddin, is the husband of the respondent no. 1. While the Admission Deed records that Respondent Nos.2 and 3 retired from the partnership on 17.04.2007, the respondent No.1 herself admits that her husband continued to function as a partner of the firm from 2005 till 2010. This admission is wholly inconsistent with the recitals of the document relied upon by the respondent No.1.

(ii) The Admission Deed does not find mention in any contemporaneous documentary record for nearly nine years and surfaced for the first time only on 02.10.2016, when the respondent No.1 issued a legal notice asserting a 50.33% stake in the firm. The complete absence of the document from the documentary trail prior thereto is a circumstance that cannot be lightly brushed aside.

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(iii) The record further discloses that even after 17.04.2007, the respondent no.1 role in relation to the firm was not that of a partner but was confined to that of a guarantor for financial facilities availed by the firm. This is evident from several contemporaneous documents, including banking correspondent, promissory notes, hypothecation agreements, and letters addressed to Allahabad Bank between 2009 and 2010, all of which consistently portray Respondent Nos.2 and 3 as continuing partners of firm.”

17. It is also of significance that, in proceedings under Section 9 of the Act, the High Court, by order dated 04.05.2018, had recorded a *prima facie* finding that the existence of the Admission Deed was doubtful and declined to grant interim protection. The relevant extract of the order reads as under: -

“Even without considering such aspect of the matter, the order impugned cannot be sustained on the simple ground that it was the admitted case of the respondent herein that for a period of more than ten years after the purported execution of the document of April 17, 2007 she had not been allowed any access to the partnership business or its books of accounts or given a share of its profits. If a party had not been diligent enough to protect her interest for a period of ten years, the party could not have come to court and expected any positive order by way of interim measure.

Since it is evident that the court of the first instance in the present case failed to take relevant considerations into account while coming to an unreasoned tentative finding that the purported deed of April 17, 2007 had been executed by the parties, such order cannot be sustained.”

18. The Special Leave Petition filed against the said order was dismissed by this Court, thereby lending finality to the said *prima facie* assessment between the parties, in the absence of any subsequent change in circumstances.
19. While findings in Section 9 proceedings are undoubtedly *prima facie* in nature, such findings, when they attain finality, cannot be ignored

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in subsequent proceedings founded on the very same issue. The *prima facie* satisfaction recorded by the High Court regarding the doubtful existence of the arbitration agreement was, therefore, a relevant consideration while examining applications under Sections 8 and 11 of the Act.

20. The cumulative effect of the aforesaid circumstances lends considerable credence to contention of the appellant that the Admission Deed is not genuine. At the very least, the Admission Deed is under grave cloud of doubt, requiring a detailed and full-fledged inquiry. In the present case, arbitration clause does not exist independently but is embedded in the document whose existence is seriously disputed. Arbitration, it bears reiteration, is founded upon consent. A party may be bound by the arbitral process only if it is first shown, even at a *prima facie* level, that such a party had agreed to submit disputes to arbitration. Where the arbitration agreement itself is alleged to be forged or fabricated, the disputes ceases to be merely contractual and strikes at the very root of arbitral jurisdiction. A controversy of this nature falls squarely within the category of disputes that are generally recognized as non-arbitrable.
21. Both the Trial Court and the First Appellate Court had concurrently held that the allegations of fraud in the present case were serious and that the respondent no.1 had failed to produce the original Admission Deed or a certified copy thereof, as required under Section 8(2) of the Act. The aforesaid findings were not perfunctory, but were grounded in the material on record and in the statutory requirements.
22. The supervisory jurisdiction of the High Court under Article 227 of the Constitution is not an appellate jurisdiction in disguise, and it does not permit reappraisal of evidence. The High Court, while exercising jurisdiction under Article 227 of the Constitution, was not justified in dislodging the concurrent findings and directing reference of the dispute to arbitration, particularly when the very existence of the arbitration agreement was under serious doubt.
23. Conversely, the High Court was correct in dismissing the respondent no.1's application under Section 11 of the Act. When the existence of the arbitration agreement itself is in serious dispute and requires adjudication, appointment of an arbitrator would be premature and legally impermissible.

Supreme Court Reports**(ix) CONCLUSION**

24. For the reasons aforesaid, we hold as follows:

- (i) The dispute relating to the Admission Deed dated 17.04.2007 involves serious allegations going to the root of the arbitration agreement itself and is not amenable to arbitration at this stage.
- (ii) The order dated 24.09.2021 passed by the High Court allowing the respondent no.1's application under Section 8 of the Act is unsustainable and is hereby quashed and set aside.
- (iii) The order dated 11.03.2021 passed by the High Court rejecting the respondent no.1's application under Section 11 of the Act warrants no interference and is accordingly affirmed.

25. In the result, the appeal @ SLP (C) No. 6013 of 2021 is dismissed whereas the appeal @ SLP (C) No. 20262 of 2021 is allowed. There shall be no order as to costs.

Result of the case: CA No.674 of 2026 is dismissed and CA No.675 of 2026 is allowed.

[†]Headnotes prepared by: Divya Pandey

**The State of Tamil Nadu
v.
The State of Karnataka & Anr.**

(Original Suit No. 1 of 2018)

02 February 2026

[Vikram Nath* and N.V. Anjaria, JJ.]

Issue for Consideration

Matter pertains to dispute as regards the sharing of the waters of the Pennaiyar River between the State of Tamil Nadu and the State of Karnataka.

Headnotes[†]

Inter-State River Water Disputes Act, 1956 – ss.3, 4 – Inter-State River Pennaiyar – Dispute as regards the sharing of the waters of the Pennaiyar River and arising from the alleged construction of a check dam/diversion by the State of Karnataka-defendant-State on the said river, impeding the free flow of water, thereby depriving the State of Tamil Nadu-plaintiff-State of the benefits of the river waters flowing through the territories of Tamil Nadu and Karnataka and thereafter into Puducherry – Suit by the plaintiff-State against defendant-State and the Union of India seeking declaration that the said unilateral action of the defendant-State, illegal and violates the fundamental rights of the inhabitants of the plaintiff-State; grant permanent injunction restraining the defendant-State, from proceeding with the construction of Check Dam/diversion structure across the Pennaiyar river and its tributaries, and pumping water from them to the existing tanks in the Pennaiyar basin by the defendant-State; and other directions:

Held: Pennaiyar River water dispute has been pending consideration before this Court since the year 2018 – Multiple efforts have been undertaken by the concerned stakeholders to bring about an amicable resolution of the dispute – However, the negotiation process has not yielded any mutually acceptable outcome – In view of the inability of the parties to arrive at a common settlement,

* Author

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appropriate to call upon the Central Government to constitute a tribunal in terms of the statutory framework, so that the dispute may be adjudicated in accordance with law – In addition, the affidavit filed by the Union records that, during the ministerial-level negotiations, the plaintiff-State unequivocally conveyed that the Pennaiyar River water dispute ought to be resolved through adjudication by a Tribunal and in view thereof, the defendant no.2 took a decision to indefinitely defer the negotiation process – Thus, issuance of direction to the Central Government to issue an appropriate notification in the Official Gazette and to constitute a Water Disputes Tribunal for the adjudication of the inter se water dispute between the parties, within the one month from the date of judgment. [Paras 7-10]

Case Law Cited

T.N. Cauvery Neerppasana Vilaiporulgal Vivasayigal Nala Urimai Padhugappa Sangam v. Union of India [1990] 3 SCR 83 : (1990) 3 SCC 440 – referred to.

List of Acts

Constitution of India; Supreme Court Rules, 2013; Inter-State River Water Disputes Act, 1956.

List of Keywords

Pennaiyar River; Inter-State River Pennaiyar dispute; Construction of check dam/diversion; Impeding free flow of water; Construction of Check Dam/ Anicut across Markandeyanadhi near Yargol village, Bangarapettai Taluk.

Case Arising From

CIVIL ORIGINAL JURISDICTION: Original Suit No. 1 of 2018
Original Suit has been instituted under Article 131 of the Constitution of India

Appearances for Parties

Advs. for the Plaintiff(s):
V. Krishnamurthy AAG/Sr. Adv., P. Wilsson, N.R. Elango, G. Umapathy, Sr. Advs., Ms. Misha Rohatgi, Nakul Mohta, Amulya Upadhyay, Ayush Kashyap, Ms. Azka Sheikh Kalia, Sachin S.

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Adv. for the Defendant(s):

Ms. Aishwarya Bhati, A.S.G., Shashi Kiran Shetty, Advocate General, Shyam Divan, Mohan V Katarki, Sr. Advs., Ms. Chitrangda Rastravara, Pratyush Shrivastav, Sachin Sharma, Navanjay Mahapatra, Dr. N. Visakamurthy, Nishanth Patil, Mayank Jain, Ms. Addoorya Harish, Nishanth Patil.

Judgment / Order of the Supreme Court**Judgment**

Vikram Nath, J.

1. The present suit has been instituted by the State of Tamil Nadu (hereinafter referred to as the “plaintiff-State”) invoking the original jurisdiction of this Court under Article 131 of the Constitution of India, read with Part III of the Supreme Court Rules, 2013, against the State of Karnataka (hereinafter referred to as the “defendant-State”) and the Union of India (hereinafter referred to as “defendant no. 2”), praying, *inter alia*, the grant of the following reliefs.: -
 - (a) Declare that the unilateral action of the defendant-State, in proceeding to construct/ having proceeded to construct new Check Dams/ Dams and diversion structures across the Pennaiyar river its tributaries, Streams etc. to divert the water by gravity or pumping, and pumping from tanks surplus into the Pennaiyar river or its tributaries without obtaining the prior consent of the plaintiff-State is illegal and violates the fundamental rights of the inhabitants of the plaintiff-State;
 - (b) Grant permanent injunction restraining the defendant-State, from proceeding with the construction of Check Dam/ Anicut across Markandeyanadhi near Yargol village in Bangarapettai Taluk and construction of check dam/diversion structure across the Pennaiyar river and its tributaries, and pumping water from them to the existing tanks in the Pennaiyar basin by the defendant-State;

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- (c) Direct the defendant-State to ensure the natural flows in the Pennaiyar river and its tributaries to the Plaintiff State; and
 - (d) Grant mandatory injunction directing the defendant-Union to take action on the plaintiff-State's letter dated 16.03.2018 with reference to construction of Dams and diversion structures and pumping schemes undertaken by the defendant-State in the Pennaiyar river; and
 - (e) Pass such further decree or decrees or order or orders as this Hon'ble Court may deem fit and proper in the facts and circumstances of the case.
2. The facts, insofar as they are relevant and material for the adjudication of the controversy at hand, are set out hereinafter:
- 2.1. The plaintiff-State and the defendant-State are riparian States, being two among the three basin States, along with the Union Territory of Puducherry, through which the inter-State River Pennaiyar flows. According to the plaintiff-State, the dispute centres around the sharing of the waters of the Pennaiyar River and arises from the alleged construction of a check dam/diversion by the defendant-State on the said river, which is stated to have impeded the free flow of water, thereby depriving the plaintiff-State of the benefits of the river waters flowing through the territories of Tamil Nadu and Karnataka and thereafter into Puducherry.
 - 2.2. In the year 1892, with a view to delineate and acknowledge the extent of the rights of the party-States in relation to the use, control and distribution of the waters of an inter-State River, an agreement came to be executed between the erstwhile States of Madras and Mysore, the predecessor States of the present plaintiff-State and defendant-State, respectively.
 - 2.3. According to the plaintiff-State, the dispute arose upon the defendant-State taking a decision to undertake five distinct works in the Pennaiyar River Basin within its territory. It is alleged that the execution of these works would interfere with the natural flow of the river, resulting in a substantial reduction of the waters reaching the plaintiff-State and thereby adversely

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impacting its water requirements. It is further asserted that the said projects have the potential to gravely affect the livelihood of lakhs of farmers in the districts of Krishnagiri, Dharmapuri, Thiruvannamalai, Villupuram and Cuddalore in the plaintiff-State.

- 2.4. In this context, the Chief Secretary of the plaintiff-State called upon the defendant-State to adhere to the Agreement of 1892, contending that, in terms thereof, no such works could have been undertaken by the defendant-State on the inter-State River without obtaining the prior consent of the plaintiff-State.
- 2.5. Subsequently, the plaintiff-State became aware that the defendant-State was proposing to construct check dams across a tributary of the River Pennaiyar. On 22nd May, 2013 when officials of the plaintiff-State conducted a field inspection of the site, they submitted a report recording that preliminary works relating to the construction of the dam had commenced, a fact which was further corroborated by the display board erected at the site.
- 2.6. Ultimately, *vide* communication dated 1st July, 2013, the defendant-State responded to the concerns raised by the plaintiff-State. In the said reply, the defendant-State asserted that the Agreement of 1892 was merely a political arrangement entered into in the prevailing regime of that period and had ceased to have effect upon the attainment of independence by the Union of India. On that premise, it was contended by the defendant-State that no consent of the lower riparian State, namely the plaintiff-State, was required.
- 2.7. Aggrieved by what is alleged to be the unilateral refusal of the defendant-State to comply with and act in accordance with the Agreement of 1892, the plaintiff-State approached this Court by instituting the present suit through a plaint dated 18th May, 2018. The pleadings stood completed upon the filing of the replication by the plaintiff-State on 7th May, 2019.
- 2.8. During the pendency of the present suit, the plaintiff-State filed an interlocutory application¹, seeking, *inter alia*, the issuance of the following directions: -

1 I.A. No. 95384 of 2019

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“a. restrain the defendant-State and its instrumentalities from proceeding further with the construction of dam across Markandeyanadhu near Yargol Village;

b. direct the defendant-State and its instrumentalities not to obstruct the natural flows to the downstream plaintiff-State pending the disposal of the present application.”

- 2.9. This Court, *vide* order dated 14th November, 2019, dismissed the said application and declined to grant any interim relief, primarily on the ground that nearly 75% of the construction work had already been completed by the defendant-State and that the material on record *prima facie* indicated that the project in question had been undertaken after obtaining all requisite sanctions and permissions. However, the plaintiff-State was granted liberty to move an appropriate application invoking the powers of the Central Government for the constitution of an Inter-State River Water Disputes Tribunal in accordance with the provisions of the Inter-State River Water Disputes Act, 1956.
- 2.10. On 30th November, 2019 the plaintiff-State lodged a complaint under Section 3 of the Inter-State River Water Disputes Act, 1956, calling upon the Central Government to constitute a Tribunal for the adjudication of the Pennaiyar River water dispute.
3. In pursuance thereof, the process for the constitution of an Inter-State River Water Disputes Tribunal commenced under the aegis of the Central Government. In the interregnum, the plaintiff-State filed a further application² dated 16th December, 2019, before this Court, seeking a direction to the Central Government to constitute an Inter-State River Water Disputes Tribunal.
4. Upon the negotiation process having been undertaken and no amicable resolution having been arrived at between the parties, defendant no. 2 filed an affidavit dated 2nd January, 2025, before this Court, stating that: -

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“6. It is further submitted that this report is concluded that the Committee made sincere attempts to resolve the issue amicably between States of Tamil Nadu and Karnataka through discussions on multiple dates. The Committee has suggested some solutions to resolve the dispute. However, in view of the firm stand taken by the Govt. of Tamil Nadu, no consensus could be reached between two States on solutions.

7. . . . it was decided, as a last effort, to organise a meeting of the Water Resource Ministers of both States to try and create a consensus on the solutions suggested by the Negotiation Committee. . . .”

5. Thus, negotiations in respect of the Pennaiyar River water dispute were initiated at the ministerial level. However, on 7th October, 2025 defendant no. 2, coordinating the negotiations between the plaintiff-State and the defendant-State, filed an additional affidavit before this Court stating that the earlier proposed meeting at the ministerial level had been postponed indefinitely. The relevant extract of the said affidavit reads as under: -

“5. . . . First meeting notice was issued to all party states for meeting scheduled on 19.12.2024 at Ministers level but did not take place due to request of State of Karnataka to postpone the same as Winter Session of Karnataka Legislature Assembly was going during that period. . . .

6. It is submitted that as per the direction of competent Authority, a preliminary meeting was held with the officials of party States under the Chairpersonship of Secretary (DoWR, RD&GR), on 03.03.2025. During the meeting, the Karnataka, reiterated that it has agreed for a total 15% release of water including 7.5% from Yargol dam and 7.5% from other tributary (Masti Sub-Basin), at the border, expressed interest to iron out any differences through negotiations. **On the other hand, the Tamil Nadu stood to its position that a Tribunal be constituted for the resolution of dispute.**

7. It is submitted that Second Meeting notice was issued to all party states for meeting scheduled on 18.03.2025

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at Ministers Level. However, the Tamil Nadu expressed an opinion that any further negotiation would only delay the constitution of the Tribunal and stated that there is no need for any further negotiation at the level of Hon'ble Minister of Water Resources of the States. Further, the State of Tamil Nadu has reiterated its stand for constitution of Tribunal to resolve the Pennaiyar Water Dispute vide its communication dated 15.03.2025. . . .

8. It is submitted that in view of the opinion and stand taken by the Tamil Nadu, the proposed meeting [on 18.03.2025] at Ministers level has been postponed indefinitely vide DOWR, RD&GR dated 17.03.2025. . . ."

(emphasis laid)

6. We have heard Mr. V. Krishnamurthy and Mr. P. Wilson, learned Senior counsel for the plaintiff-State of Tamil Nadu, Mr. Shyam Diwan and Mr. Mohan V. Katarki learned Senior counsel, along with Mr. Shashi Kiran Shetty, learned Advocate-General, appearing for the defendant-State of Karnataka and Ms. Aishwarya Bhati, learned Additional Solicitor General, appearing for defendant no. 2 - Union of India.
7. The present Pennaiyar River water dispute has been pending consideration before this Court since the year 2018. Multiple efforts have been undertaken by the concerned stakeholders to bring about an amicable resolution of the dispute. However, we have no hesitation in recording that the negotiation process has not yielded any mutually acceptable outcome. In view of the inability of the parties to arrive at a common settlement, we consider it appropriate to call upon the Central Government to constitute a Tribunal in terms of the statutory framework, so that the dispute may be adjudicated in accordance with law.
8. In addition, the affidavit dated 7th October, 2025, filed by defendant no. 2 elucidates the prevailing position on the ground with respect to the statutorily mandated negotiation process. The said affidavit records that, during the ministerial-level negotiations, the plaintiff-State unequivocally conveyed that the Pennaiyar River water dispute

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ought to be resolved through adjudication by a Tribunal. It was in view of this firm stand adopted by the plaintiff-State that defendant no. 2 took a decision to indefinitely defer the negotiation process.

9. This Court, in *T.N. Cauvery Neerppasana Vilaiporulgal Vivasayigal Nala Urimai Padhugappa Sangam v. Union of India*,³ has held that where the statutorily prescribed negotiation process conducted under the aegis of the Central Government fails to bring about a resolution of an inter-State River water dispute, it becomes imperative for the Central Government to constitute a River Water Disputes Tribunal, and to refer the dispute for adjudication to such Tribunal. The Court accordingly observed as follows: -

“18. Section 4 indicates that on the basis of the request referred to in Section 3 of the Act, if Central Government is of the opinion that the water dispute cannot be settled by negotiation, it is mandatory for the Central Government to constitute a Tribunal for adjudication of the dispute. We were shown the Bill where in Section 4 the word ‘may’ was used. Parliament, however, substituted that word by ‘shall’ in the Act. Once we come to the conclusion that a stage has reached when the Central Government must be held to be of the opinion that the water dispute can no longer be settled by negotiation, it thus becomes its obligation to constitute a Tribunal and refer the dispute to it as stipulated under Section 4 of the Act. . . .”

(emphasis laid)

10. We, therefore, find no reason to refrain from directing the Central Government to issue an appropriate notification in the Official Gazette and to constitute a Water Disputes Tribunal for the adjudication of the inter se water dispute between the parties herein, within a period of one month from today.
11. We order as above.
12. With the aforesaid direction, the present suit stands disposed of.

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13. Needless to mention that all questions, including those relating to the reliefs that may be available to the parties, are kept open for consideration by the Tribunal.

Result of the case: Suit disposed of.

[†]Headnotes prepared by: Nidhi Jain

C. Velusamy

v.

K Indhera

(Civil Appeal No. 696 of 2026)

03 February 2026

**[Pamidighantam Sri Narasimha and
Atul S. Chandurkar, JJ.]**

Issue for Consideration

Whether a Court can entertain an application u/s.29A(5) of the Arbitration and Conciliation Act, 1996 to extend the mandate of the arbitrator(s) for making the award even after an 'award' is rendered, though after the expiry of the statutory limit of eighteen-month period.

Headnotes[†]

Arbitration and Conciliation Act, 1996 – s.29A, 29A(5) – Disputes between the parties, sole arbitrator appointed – Pleadings were completed on 20.08.2022 which was the commencement of the period of twelve months provided u/s.29A(1) for making the Award – Before the conclusion of twelve months, parties filed a joint memo u/s.29A(3) and extended the mandate of the arbitrator by a further period of six months, ending on 20.02.2024 – Matter was reserved for final award on 09.09.2023 – Arbitrator finally passed the award on 11.05.2024 – In the meantime, the mandate of the arbitrator had terminated on 20.02.2024 – Respondent filed application u/s.34 for setting aside the award on the ground that the mandate of the arbitral tribunal expired and arbitral proceedings stood terminated before passing of the award – Appellant filed application u/s.29A seeking extension of the mandate of the tribunal – High Court dismissed the application u/s.29A as not maintainable whereas, s.34 petition filed by the respondent was allowed – Challenge to:

Held: Provisions of the Act, particularly s.29A, must not be interpreted to infer a threshold bar for an application u/s.29A(5) for extension of the mandate of the arbitrator even when an award is passed, though after the expiry of the mandate – Court can entertain an application u/s.29A(5) and pass appropriate orders u/s.29A(4)

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for extension of the mandate of the arbitrator even after the award is rendered in the meanwhile – Thus, an application u/s.29A(5) for extension of the mandate of the arbitrator is maintainable even after the expiry of the time u/ss.29A(1) and (3) and even after rendering of an award during that time – Such an award is ineffective and unenforceable – But the power of the court to consider extension is not impaired by such an indiscretion of the arbitrator – While considering the application, the Court will examine if there is sufficient cause for extending the mandate, and in the process, it may impose such terms and conditions as the situation demands – It will also take into account other factors such as reduction of the fee of the arbitrator under proviso to s.29A(4) and also impose costs on parties if the fact situation so demands – Substitution is an option for the Court as the provision itself says, “it shall be open for the Court to substitute”, and it will be exercised carefully – If the mandate is extended, the arbitral tribunal will pick up from where it was left, and seamlessly continue the proceeding from the stage at which the mandate had expired, and conclude within the time granted – Appeal against the judgment in Application No. 5993 of 2024 passed by the High Court is allowed – Application is restored to its original number – High Court will proceed with the said application and dispose it of as per the principles laid down in the present judgment. [Paras 2, 20, 21, 23, 24]

Arbitration and Conciliation Act, 1996 – s.29A – Interpretation:

Held: Sub-section (1) of s.29A mandates that the award shall be made within 12 months of the completion of pleadings before the Arbitral Tribunal – While sub-section (2) incentivises expeditious making of the Award, proviso to sub-section (4) and sub-section (8) authorises the Court to impose penalty for delay in making the award – Sub-section (3) enables parties, by consent, to extend the period of 12 months for making the award by a further period not exceeding 6 months – If the award is not made within the stipulated period of 12 months or the extended period of 6 months, the mandate of the arbitrator(s) shall terminate – This termination is subject to the power of the Court to extend the period – The ‘Court’ u/s.29A shall be the Civil Court of ordinary original jurisdiction in a district and includes the High Court in exercise of its original civil jurisdiction u/s.2(1)(e), and shall not be the High Court or the Supreme Court u/s.11(6) of the Act – s.42 of the Act relating to jurisdiction for applications will also not apply to s.11 of the Act – There is no statutory prescribed time limit for the Court to exercise

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the power u/s.29A(4) for extending the period, except for its own discretion – Court can exercise the power before or after the expiry of the period u/sub-sections 29A(1) or (3) – Further, there is no prescription of an outer limit for extending the time for the conclusion of arbitral proceedings – Given this power, the Court will exercise it with circumspection, balancing the remedy with the rights of other stakeholders – The power of the Court to extend the time u/sub-section (4) may be exercised on an application by any of the parties – Once such an application for extension of time is pending, the mandate of the arbitrator shall continue till the disposal of such application u/sub-section (9) – The Court shall endeavour to dispose of such an application within 60 days – Delay in the delivery of an arbitral award, by itself, is not sufficient to set aside that award – It is only when the effect of the undue delay in the delivery of an arbitral award is explicit and adversely reflects on the findings therein, such delay and, more so, if it remains unexplained, can be construed to result in the award being in conflict with the public policy of India – Under s.29A(6), while exercising the power of extension, it shall be open to the Court to substitute one or all the arbitrators – This is a discretionary power that the Court would exercise in the facts and circumstances of the case – Upon substitution, the reconstituted tribunal shall be deemed to be in continuation of the previously appointed tribunal as per s.29A(7) and shall continue from the stage already reached and on the basis of evidence already on record – The newly appointed arbitrators shall be deemed to have received the evidence and materials – Vesting of the power of substitution, u/s.29A(6), is on the “Court” and this Court is the “Court” as defined in s.2(1)(e) – The text, as well as the context for identifying the Court in s.29A(6), as well as in s.29A(4), is the Court in s.2(1)(e) – The expression ‘Court’ in other provisions must be guided by the meaning given in s.2(1)(e). [Paras 13 I-X]

Arbitration and Conciliation Act, 1996 – Arbitration Act, 1940 – Timelines for commencement, conduct, conclusion and termination of arbitral proceedings under both the Acts – Need for the prescription of timelines for making the award; recommendation of the law commission – International perspective on the validity of the arbitral award rendered after the stipulated statutory time limit – Discussed. [Paras 7-10]

Arbitration and Conciliation Act, 1996 – s.29A, (4), (6) – “if an award is not made”:

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Held: s.29A does not, in terms, bar an application for extension of the mandate of an arbitrator in the event of the delivery of an award – There is no such prescription anywhere in the section – In the first place, if an award is made after expiry of the mandate, then there is no doubt about the fact that such an award is *non est* – A better expression would be to hold that such an award would be unenforceable u/s.36 – Such an award need not be challenged u/s.34 – A unilateral act or the indiscretion of the arbitrator in making such an award will have no bearing on the power and jurisdiction vested in the Court u/s.29A – It cannot be that the Parliament has never intended that the act of an arbitrator in delivering an award when the mandate had expired would denude the power and jurisdiction vested in the Court – This power and jurisdiction stand on its own footing and is uninfluenced by the act of the arbitrator in passing an award without mandate – Further, the expression, “if an award is not made” in sub-section (4) is employed in the context of enabling the Court to extend the mandate of the arbitrator – The context in which the phrase is used makes it clear that the sub-section is not addressing a situation where an arbitral award has been rendered after the mandate of the arbitrator has expired, but rather to declare that the Court can extend the period before or after the expiry of the mandate – ss.29A(4), (6) make it evident that the intention of the Parliament is to safeguard the conduct and conclusion of arbitral proceedings. [Paras 15, 16, 18]

Arbitration and Conciliation Act, 1996 – ss.29A(4), 29A(5), 29A (6), 29A(8) – Empowerments thereunder, in the nature of instruments in s.29A, enable the courts to deploy them as and when the factual matrix demands – Stated. [Para 20]

Interpretation of Statutes – Statute providing legal remedies for the resolution of disputes – Duty of constitutional court:

Held: While interpreting an enactment providing legal remedies for the resolution of disputes, a constitutional court has the obligation to ensure that the provision is: (a) accessible, (b) affordable, (c) expeditious and (d) cohesive – Accessibility requires the remedy to be easily available – Affordability is an aspect that is related to the cost of availing the remedy, it must be at a reasonable price – Expeditious nature of a remedy is concerned with the quick disposal and abhors unreasonable delays – Yet another facet of effective remedy is in its cohesiveness. [Para 22]

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Rohan Builders (India) Pvt. Ltd. v. Berger Paints India Ltd. [2024] **9 SCR 473 : 2024 SCC OnLine SC 2494**; *Ajay Protech Private Limited v. General Manager and Anr.* [2024] **11 SCR 850 : 2024 SCC OnLine SC 3381**; *Lancor Holdings Ltd v. Prem Kumar Menon & Ors.*, **2025 SCC OnLine SC 2319**; *Jagdeep Chowgule v. Sheela Chowgule*, **2026 INSC 92 – relied on.**

Mohan Lal Fatehpuria v. M/s Bharat Textiles & Ors., **2025 INSC 1409 : [2025] 12 SCR 408**; *NBCC (India) Ltd. v. State of West Bengal*, **2025 INSC 54 : [2025] 1 SCR 610**; *State of West Bengal v. Associated Contractors* [2014] **10 SCR 426 : (2015) 1 SCC 32 – referred to.**

Suryadev Alloys & Power Private Ltd. v. Sh. Govindaraja Textiles Pvt. Ltd., **2020 SCC OnLine Mad 7858**; *Ayyasamy v. A. Shanmugavel*, **2024 SCC OnLine Mad 4338**; *RKEC Projects Limited v. Cochin Port Trust*, **2024 SCC OnLine Ker 4192 – referred to.**

Oakland Metal Co Ltd. v. D. Benaim & Co. Ltd. [1953] **2 QB 261**; *Alphamix Ltd v District Council of Rivière du Rempart (Mauritius)* [2023] **UKPC 20, at para 26**; *Ting Kang Chung John v. Teo Hee Lai Building Constructions Pte Ltd.* [2010] **SGHC 20, at para 41 – referred to.**

Books and Periodicals Cited

‘Part II: The Process of an Arbitration, Chapter 6: Establishing the Procedural Framework’, in Jeffrey Maurice Waincymer, *Procedure and Evidence in International Arbitration* (2012), p. 418; ‘9. Award’, in Nigel Blackaby, Constantine Partasides, et al., *Redfern and Hunter on International Arbitration* (Seventh Edition) (2023), at para.9.169; Fadri Lenggenhager, ‘Chapter 17, Part II: Commentary on the ICC Rules, Article 31 [Time limit for the final award]’, in Manuel Arroyo (ed), *Arbitration in Switzerland: The Practitioner’s Guide* (Second Edition) (2018). pp. 2447; The Law Commission’s 176th Report @ 2.21.5.

List of Acts

Arbitration and Conciliation Act, 1996; Arbitration Act, 1940.

List of Keywords

Section 29A(5) of the Arbitration and Conciliation Act, 1996; Application under Section 29A(5) of the Arbitration and Conciliation

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Act, 1996; Extension of mandate of the arbitrator(s) for making the award even after an ‘award’ is rendered, though after the expiry of the statutory limit of eighteen-month period; Extension of the mandate of arbitrator even after award is rendered in the meanwhile; Application u/s.29A(5) of the Arbitration and Conciliation Act, 1996 for extension of the mandate of the arbitrator is maintainable even after the expiry of the time u/ss.29A(1) and (3) and even after rendering of an award during that time; Sufficient cause for extending the mandate; Section 29A(4) of the Arbitration and Conciliation Act, 1996; Section 29A(6) of the Arbitration and Conciliation Act, 1996.

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 696 of 2026
From the Judgment and Order dated 24.01.2025 of the High Court of Judicature at Madras in AN No. 5993 of 2024

Appearances for Parties

Advs. for the Appellant(s):
Mrs. V Mohana, Sr. Adv., B Ragunath, Pranav V Shankar, Mrs. N C Kavitha, Mrs. Nimisha Thomas, Vijay Kumar, Ms. Runjhun Garg.

Advs. for the Respondent(s):
M. Vijayan, M. Harish Kumar, P. S. Sudheer, Rishi Maheshwari, Ms. Anne Mathew, Bharat Sood, Jai Govind M J, Jashan Vir Singh.

Judgment / Order of the Supreme Court

Judgment

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1. Leave granted.

I. Question of Law

The following question of law has arisen for our consideration.

Whether a Court can entertain an application under Section 29A(5) of the Arbitration and Conciliation Act, 1996 to extend the mandate of the arbitrator(s) for making the award even after an 'award' is rendered, though after the expiry of the statutory limit of eighteen-month period?

2. We have considered the text as well as the context in which Parliament introduced Section 29A to the Act, empowering the Court to extend the mandate of the arbitrator. The power and the jurisdiction of the Court are not impaired by the indiscretion of the arbitrator in rendering an 'award' without a mandate, particularly when such an award does not partake the character of a decree and is unenforceable under Section 36. We have also explained the important role that the Court plays while balancing the twin interests - of securing the remedy of resolution of disputes through arbitration and ensuring integrity in its conduct. Though, the questions that we are required to consider had not arisen for consideration in *Rohan Builders (India) Pvt. Ltd. v. Berger Paints India Ltd.*¹, we approve the observations made therein that the Court can entertain an application under Section 29A(5)

¹ 2024 SCC OnLine SC 2494.

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and pass appropriate orders under Section 29A(4) for extension of the mandate of the arbitrator even after the award is rendered in the meanwhile.

II. Facts

3. The contractual relationship between the appellant and the respondent is governed by three agreements to sell². As disputes arose, the appellant filed an application under Section 11 of the Act and the High Court, by its order dated 19.04.2022,³ appointed a sole arbitrator. The arbitrator issued notice on 04.05.2022 and convened the first meeting on 28.05.2022, and the pleadings were completed on 20.08.2022, which date marked the commencement of the period of twelve months provided under Section 29A(1) of the 1996 Act for the making the Award. Before the conclusion of twelve months, parties filed a joint memo under Section 29A(3) and extended the mandate of the arbitrator by a further period of six months, ending on 20.02.2024. Arguments concluded, and the matter was reserved for final award on 09.09.2023.

- 3.1 Events that unfolded thereafter are indicative of myriad instances when real life fails to keep pace with human discipline for timelines. Despite the award being indicated to be almost ready, the proceedings were reopened on the representation of the parties. On the basis of emails from the respondent that settlement discussions are ongoing and are expected to be finalised by 15.11.2023, the matter was adjourned to 07.01.2024 and thereafter to 27.01.2024. However, when it was reported that the discussions did not fructify into a settlement, the arbitrator reserved the matter for award on 30.01.2024. Notwithstanding the reservation, discussions continued until March 2024, when a tripartite agreement was entered into between the appellant, the respondent, and a third party, M/s G Square Realtors Private Limited, which agreement was, however, not placed before the arbitrator. We are informed that the matter was adjourned to 27.04.2024 and thereafter to 04.05.2024, and the arbitrator finally passed the award on 11.05.2024, which was later stamped and issued to the parties on 25.06.2024. In the meantime, as

2 Agreements to sell dated 19.12.2015, 31.07.2018 and 24.03.2021.

3 Order dated 19.04.2022 in Arb.O.P.(Com.Div) No.2 of 2022.

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indicated earlier, the mandate of the arbitrator had terminated on 20.02.2024.

- 3.2 Aggrieved by the award dated 11.05.2024, the respondent filed an application under Section 34 of the 1996 Act for setting aside the award on the ground that the mandate of the arbitral tribunal expired and arbitral proceedings stood terminated before passing of the award. On the other hand, on 12.11.2024, the appellant filed an application under Section 29A of the Act seeking an extension of the mandate of the tribunal.
4. The High Court, by order dated 24.01.2025, impugned before us dismissed the application under Section 29A as not maintainable. On the other hand, the Section 34 petition filed by the respondent was allowed by the High Court on 14.02.2025, relying on the order dated 24.01.2025.

III. Judgment of High Court

5. Rejecting reliance of respondent on the judgment of this Court in *Rohan Builders (Supra)*, the High Court held that the said precedent only settles the issue about the timing of an application for extension of time and holds that it can be made even after the expiry of the initial twelve months or the extended six months period. The High Court felt that the Supreme Court was neither dealing with a situation where the award had already been passed, nor has laid down any principle permitting extension of the mandate after making of the award.
- 5.1 The High Court also distinguished the judgment of this Court in *Ajay Protech Private Limited v. General Manager and Anr.*⁴ by holding that, in that case award had not been passed, and the Court was only concerned with *sufficient cause* for the extension of time.
- 5.2 The High Court followed the decision rendered by the coordinate bench in *Suryadev Alloys & Power Private Ltd. v. Sh. Govindaraja Textiles Pvt. Ltd.*⁵ which held that under the 1996 Act, unlike the Arbitration Act, 1940, there is no provision empowering

4 2024 SCC OnLine SC 3381.

5 2020 SCC OnLine Mad 7858.

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the Court to enlarge time after the award is made, and that an award passed after expiry of the arbitrator's mandate is a nullity. Apart from the decision of the coordinate bench in *Suryadev Alloys (supra)*, the High Court also referred to and relied on the decision in *Ayyasamy v. A. Shanmugave⁶*, which held that the Court cannot exercise power to extend the mandate after the award is delivered.

- 5.3 Referring to the decision of the Kerala High Court in *RKEC Projects Limited v. Cochin Port Trust⁷*, which had taken the view that extension can be granted even after the award was passed, the High Court, without much discussion, held that it does not lay down correct law, as it reads into Section 29A a power which the provision does not confer.
- 5.4 In conclusion, the High Court held that if an award is passed subsequent to the expiry of the mandate of the arbitrator, it is a nullity and the application for extension of the mandate of the arbitrator is not maintainable.

IV. Submission

6. Appearing for appellant, Mrs. V Mohana, learned senior counsel relied on the decision in *Rohan Builders (supra)*, to contend that an application under Section 29A is maintainable even after expiry of the prescribed period of 12 months or the extended 6 months, as the Court has power to extend the mandate either before or after expiry of the period under Sections 29A(1) and 29A(3). On the other hand, Mr. M. Vijayan, learned counsel assisted by Mr. P.S. Sudheer, AOR distinguished *Rohan Builders (supra)* and relied on the decision of the Madras High Court in *Suryadev Alloys (supra)* to argue that time cannot be extended after passing of the award as the 1996 Act contains no provision allowing post-award extension.

V. Timelines for commencement, conduct, conclusion and termination of arbitral proceedings

7. Access to justice constitutes the very foundation of democratic governance, serving as the linchpin of a fair and equitable society.

⁶ 2024 SCC OnLine Mad 4338.

⁷ 2024 SCC OnLine Ker 4192.

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Our Constitution, in its wisdom, establishes a comprehensive judicial architecture, encompassing the Supreme Court, the High Courts, and District Courts for public and ordinary civil/criminal remedies to safeguard this inalienable right. It is imperative that these judicial remedies are effective. In fact, the *effectiveness of judicial remedies* is a constitutional mission, and it is always a *work in progress* for the Supreme Court to ensure that the remedies are impartial, readily accessible, financially viable, swiftly administered, and comprehensively tailored. Beyond the realm of public law and ordinary civil/criminal remedies, as indicated hereinabove, parties to a dispute may elect to resolve their differences through mutually agreed procedures, crystallised in the form of contractual agreements. It is permissible in law to have such alternative dispute resolution mechanisms through contract. Section 28 of the Contract Act protects these alternative dispute resolution agreements through arbitration between contesting parties, fostering an environment conducive to expeditious and amicable dispute resolution.

- 7.1 The Arbitration and Conciliation Act, 1996 provides a simple, efficient, cost-effective, confidential, and fair dispute resolution remedy by empowering the parties to choose their arbitrators and also the procedure for the conduct of the arbitral proceedings.
- 7.2 Efficiency in the conduct of arbitral proceedings is integral to the effectiveness of the dispute resolution remedy through arbitration. Efficiency is inextricably connected with the expeditious conclusion of arbitral proceedings. While the statute incorporates party autonomy even with respect to the conduct and conclusion of arbitral proceedings, there is a statutory recognition of the power of the Court to step in wherever it is necessary to ensure that the process of resolution of the dispute is taken to its logical end, if, according to the Court, the circumstances so warrant.

VI. Timelines under the 1940 Act

- 8. Under the Arbitration Act, 1940, the First Schedule prescribed that an arbitral award shall be made within four months from the date of reference or from the date on which the arbitrator was called upon to act by notice, subject to any extension granted thereafter. Section 28 of the 1940 Act empowered the Court to enlarge the time

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for making the award, regardless of whether the prescribed period for making the award had expired or not or *whether the award had already been made or not*. Section 28 of the Arbitration Act, 1940, is extracted below for ready reference

“Section 28- Power to Court only to enlarge time for making award.

(1) The Court may, if it thinks fit, whether the time for making the award has expired or not and whether the award has been made or not, enlarge from time to time for making the award.

(2) Any provision in an arbitration agreement whereby the arbitrators or umpire may, except with the consent of all the parties to the agreement, enlarge the time for making the award, shall be void and of no effect.”

(emphasis supplied)

VII. Timelines under the 1996 Act

9. Party autonomy, coupled with minimal intervention of judicial authorities, has been the guiding principle for the 1996 Act. This is perhaps the reason for not provisioning a statutory timeline for delivering awards and prescribing consequences of not delivering them on time.

- 9.1 In the event of failure of an arbitrator to act without undue delay, recourse was provided under Section 14 of the Act of 1996 to dual remedies-by approaching the arbitrator first and then the Court⁸. Section 14(1)(a) states that the mandate of an arbitrator would stand terminated if he either becomes *de jure* or *de facto* unable to perform his functions or, for other reasons, fails to act without undue delay. Section 14(2) states that, if a controversy remains concerning any of the grounds referred to in Section 14(1)(a), a party may, unless otherwise agreed with by the parties, apply to the Court to decide on the termination of the arbitrator’s mandate.

⁸ *Lancor Holdings Ltd v. Prem Kumar Menon & Ors.*, 2025 SCC OnLine SC 2319.

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On the other hand, Section 34 of the 1996 Act does not postulate delay in the delivery of the arbitral award as a ground in itself, to set it aside, except, as explained in the *Lancor Holdings (supra)*, where the negative effect of the delay in the arbitral award is explicit and adversely reflects on the findings of the award.

VIII. The felt need for the prescription of timelines for making the award and the recommendation of the law commission

10. The absence of a statutory time limit under the Act of 1996 had resulted in arbitrations remaining pending for several years, even without Court intervention, thereby defeating the very object of arbitration as a speedy dispute resolution mechanism. Accordingly, the Law Commission proposed the introduction of a structured timeline, with limited extensions by party consent and supervisory control by the Court thereafter, not with a view to terminating arbitral proceedings, but to compel their timely progress. The emphasis was on continuation of the arbitration, even pending applications for extension, so that procedural delays do not result in wastage of time, costs, or evidence already led. The legislative intent, therefore, was to ensure that an arbitral award is ultimately passed, with judicial intervention operating as a facilitative and corrective mechanism to curb delay, rather than as a means to abort the arbitral process. The relevant extract from the 176th Report of the Law Commission of India is extracted below:

“2.21.1 (...)But the omission of the provision for extension of time and therefore the absence of any time limit has given rise to another problem, namely, that awards are getting delayed before the arbitral tribunal even under the 1996 Act. One view is that this is on account of the absence of a provision as to time limit for passing an award.”

xx xx xx

2.21.3 (...)The time limit can be more realistic subject to extension only by the court. Delays ranging from five years to even fourteen years in a single arbitration have come to the Commission’s notice. The Supreme Court of India has also referred to these delays of the arbitral tribunal. The point here is that these delays are occurring even in cases where there is no court intervention during the

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arbitral process. The removal of the time limit is having its own adverse consequences. There can be a provision for early disposal of the applications for extension, if that is one of the reasons for omitting a provision prescribing a time limit, say one month. Parties can be permitted to extend time by one year. Pending the application for extension, we propose to allow the arbitration proceedings to continue.(...)

xx xx xx

2.21.4 It is, therefore, proposed to implement the recommendation made in the 76th Report of the Law Commission with the modification that an award must be passed at least within one year of the arbitrators entering on the reference. The initial period will be one year. Thereafter, parties can, by consent, extend the period upto a maximum of another one year. Beyond the one year plus the period agreed to by mutual consent, the court will have to grant extension. Applications for extension are to be disposed of within one month. While granting extension, the court may impose costs and also indicate the future procedure to be followed by the tribunal . There will, therefore, be a further proviso, that further extension beyond the period stated above should be granted by the Court. We are not inclined to suggest a cap on the power of extension as recommended by the Law Commission earlier. There may be cases where the court feels that more than 24 months is necessary. It can be left to the court to fix an upper limit. It must be provided that beyond 24 months, neither the parties by consent, nor the arbitral tribunal could extend the period. The court's order will be necessary in this regard. But in order to see that delay in disposal of extension applications does not hamper arbitration, we propose to allow arbitration to continue pending disposal of the application.

2.21.5 One other important aspect here is that if there is a delay beyond the initial one year and the period agreed to by the parties (with an upper of another one year) and also any period of extension granted by the Court, there

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is no point in terminating the arbitration proceedings. We propose it as they should be continued till award is passed. Such a termination may indeed result in waste of time and money for the parties after lot of evidence is led. In fact, if the proceedings were to terminate and the claimant is to file a separate suit, it will even become necessary to exclude the period spent in arbitration proceedings, if he was not at fault, by amending sec. 43(5) to cover such a situation. But the Commission is of the view that there is a better solution to the problem.

The Commission, therefore, proposes to see that an arbitral award is ultimately passed even if the above said delays have taken place. In order that there is no further delay, the Commission proposes that after the period of initial one year and the further period agreed to by the parties (subject to a maximum of one year) is over, the arbitration proceedings will nearly stand suspended and will get revived as soon as any party to the proceedings files an application in the Court for extension of time. In case none of the parties files an application, even then the arbitral tribunal may seek an extension from the Court. From the moment the application is filed, the arbitration proceedings can be continued. When the Court takes up the application for extension, it shall grant extension subject to any order as to costs and it shall fix up the time schedule for the future procedure before the arbitral tribunal. It will initially pass an order granting extension of time and fixing the time frame before the arbitral tribunal and will continue to pass further orders till time the award is passed. This procedure will ensure that ultimately an award is passed."

(emphasis supplied)

IX. Introduction of Section 29A & its interpretation:

11. It is in the above-referred background that the Arbitration Act was amended with retrospective effect from 23.10.2015 to effectively deal with delays in arbitral proceedings by inserting Section 29A. The Statement of Objects and Reasons records that practical difficulties

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had arisen, necessitating amendments to make arbitration more user-friendly, cost-effective, and expeditious. Accordingly, provision was made requiring the arbitral tribunal to render the award within twelve months from the date it enters upon the reference, with liberty to the parties to extend the period by a further six months, any extension thereafter being permissible only by order of the Court on sufficient cause being shown. Thereafter, the Act of 1996 was further amended w.e.f. 30-8-2019 to provide, inter alia, that, where an application seeking extension of time under sub-section (5) of Section 29A is pending, the mandate of the arbitrator shall continue until such application is finally decided.

11.1 Section 29A of the 1996 Act as amended is extracted below for ready reference;

“Section 29A: Time limit for arbitral award.

(1) The award in matters other than international commercial arbitration shall be made by the arbitral tribunal within a period of twelve months from the date of completion of pleadings under sub-section (4) of section 23.

Provided that the award in the matter of international commercial arbitration may be made as expeditiously as possible and endeavour may be made to dispose off the matter within a period of twelve months from the date of completion of pleadings under sub-section (4) of section 23.

(2) If the award is made within a period of six months from the date the arbitral tribunal enters upon the reference, the arbitral tribunal shall be entitled to receive such amount of additional fees as the parties may agree.

(3) The parties may, by consent, extend the period specified in sub-section (1) for making award for a further period not exceeding six months.

(4) If the award is not made within the period specified in sub-section (1) or the extended period specified under sub-section (3), the mandate of the arbitrator(s)

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shall terminate unless the Court has, either prior to or after the expiry of the period so specified, extended the period:

Provided that while extending the period under this sub-section, if the Court finds that the proceedings have been delayed for the reasons attributable to the arbitral tribunal, then, it may order reduction of fees of arbitrator(s) by not exceeding five per cent. for each month of such delay:

[Provided further that where an application under sub-section (5) is pending, the mandate of the arbitrator shall continue till the disposal of the said application:

Provided also that the arbitrator shall be given an opportunity of being heard before the fees is reduced.]

(5) The extension of period referred to in sub-section (4) may be on the application of any of the parties and may be granted only for sufficient cause and on such terms and conditions as may be imposed by the Court.

(6) While extending the period referred to in sub-section (4), it shall be open to the Court to substitute one or all of the arbitrators and if one or all of the arbitrators are substituted, the arbitral proceedings shall continue from the stage already reached and on the basis of the evidence and material already on record, and the arbitrator(s) appointed under this section shall be deemed to have received the said evidence and material.

(7) In the event of arbitrator(s) being appointed under this section, the arbitral tribunal thus reconstituted shall be deemed to be in continuation of the previously appointed arbitral tribunal.

(8) It shall be open to the Court to impose actual or exemplary costs upon any of the parties under this section.

(9) An application filed under sub-section (5) shall be disposed of by the Court as expeditiously as possible,

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and endeavour shall be made to dispose of the matter within a period of sixty days from the date of service of notice on the opposite party.”

X. International perspective on the validity of the arbitral award rendered after the stipulated statutory time limit.

12. It is well recognized that a fixed time limit for the rendering of an arbitral award may foreclose the mandate of a tribunal if breached. However, such limits are not intended to frustrate the arbitral process. In appropriate cases, Courts have retroactively extended timelines and even upheld awards rendered outside agreed deadlines where it was necessary to preserve justice and prevent the arbitration from being defeated by technical non-compliance.
 - 12.1 Under the earlier English Arbitration Act, 1950, Section 27 expressly empowered the Court to enlarge the time for making an award “whether that time has expired or not.” Interpreting this provision, the English Court of Appeal in *Oakland Metal Co Ltd. v. D. Benaim & Co. Ltd.*⁹ confirmed that the expiry of a contractual time limit does not automatically extinguish the Court’s jurisdiction to enlarge time. The Court recognised that it retained a wide discretion to extend time even after the agreed deadline had passed, thereby preventing the arbitration from failing solely by effluxion of time.
 - 12.2 Similar language has been retained in the current English Arbitration Act 1996. Section 50(4) provides that the Court’s power to extend the time for making an award “*may be exercised whether or not the time previously fixed has expired.*” The statutory scheme, therefore, makes it clear that an agreed deadline for making an arbitral award does not automatically and irreversibly invalidate an award rendered late. Rather, the Act preserves a retrospective judicial power to extend time, where the statutory conditions are met.
 - 12.3 Although English case law directly applying section 50(4) remains limited, leading commentaries have recognized that, where an arbitral tribunal fails to comply with an agreed time

9 [1953] 2 QB 261.

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limit, recourse to the Court may be the only practical solution. For example, Jeffrey Waincymer observes in *Procedure and Evidence in International Arbitration* that difficulties arise where an arbitrator is removed or replaced for failure to comply with a time limit, and the deadline has already expired. In such circumstances, Courts may step in and even retroactively extend the mandate:

“If a time limit is imposed and an application is made to remove an arbitrator for failing to comply with the time limit, a problem arises in terms of the powers of a truncated or replacement tribunal to subsequently render an award. If there is no power to extend, how can a truncated tribunal or a replacement arbitrator meet the deadline that has expired? Some lex arbitri allow for extensions in such circumstances. The functus officio problem has led Belgian law to adopt a more practical solution to the effect that after six months has elapsed, the parties may apply to the court to set a time limit for rendering of the award. Section 50(4) of the English Arbitration Act 1996 allows a court to extend the time even if the time previously fixed has expired.”¹⁰

(emphasis supplied)

- 12.4 In Redfern and Hunter on International Arbitration, it is noted that Courts in many jurisdictions have been reluctant to invalidate an award solely on the basis that it was rendered late:

“It is important that a fixed time limit for rendering the award should not enable one of the parties to frustrate the arbitration. This might happen if a fixed limit were to run from the date of the appointment of the arbitral tribunal, rather than, for example, that of the end of the hearings. If a court has no power to intervene on the application of one party alone and the time limit can be extended only by agreement of the parties, a party might frustrate the proceedings simply by

¹⁰ ‘Part II: The Process of an Arbitration, Chapter 6: Establishing the Procedural Framework’, in Jeffrey Maurice Waincymer, *Procedure and Evidence in International Arbitration* (2012), p. 418.

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refusing to agree to any extension of time. However, the courts of many countries would be reluctant to invalidate a late award in such a case. For example, in New York, it was held that an untimely award was not a nullity, even though the issue of timeliness was properly raised: the court stated that, without a finding of prejudice, there was no justification for denying confirmation of the award.”¹¹

(emphasis supplied)

- 12.5 Commentaries on institutional rules such as ICC Rules acknowledge similar powers. Article 31(1) of the Rules sets a six-month limit from the signing of the terms of reference for the rendering of the final award. Under Article 31(2), a Court may render an extension of the time limit and revive the mandate of a tribunal that is deemed *functus officio*. In doing so, a Court may retroactively revive the tribunal’s mandate, and even render an award passed beyond the time limit valid.¹²
- 12.6 A recent decision of the Privy Council further illustrates this pragmatic approach. In *Alphamix Ltd v District Council of Rivière du Rempart (Mauritius)*¹³, the Privy Council upheld an arbitral award that had been annulled by the Mauritian Courts on the basis that it was issued three days after the agreed deadline. The applicable Mauritian Civil Procedure Code provided that an arbitrator’s mandate would lapse after six months unless extended, and that an award rendered outside the mandate was liable to annulment. Although the award was formally issued three days late, the Privy Council found that the parties had tacitly and unequivocally agreed to permit the short delay, particularly in light of the arbitrator’s illness and the absence of objection from either party. That tacit agreement was held to have extended the arbitrator’s mandate, with the result that the award remained valid.

11 ‘9. Award’, in Nigel Blackaby, Constantine Partasides, et al., *Redfern and Hunter on International Arbitration* (Seventh Edition) (2023), at para.9.169.

12 Fadri Lenggenhager, ‘Chapter 17, Part II: Commentary on the ICC Rules, Article 31 [Time limit for the final award]’, in Manuel Arroyo (ed), *Arbitration in Switzerland: The Practitioner’s Guide* (Second Edition) (2018). pp. 2447.

13 [2023] UKPC 20, at para 26.

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- 12.7 By contrast, there are also authorities demonstrating that Courts may annul late awards where delay is substantial and unjustified. Under Singapore law, the High Court in *Ting Kang Chung John v Teo Hee Lai Building Constructions Pte Ltd*.¹⁴ set aside an award that had been issued well beyond the agreed deadline. The arbitration concerned a modest construction dispute conducted under the Arbitration Rules of the Singapore Institute of Architects, which required the arbitrator to issue an award within 60 days of the close of the hearing. The arbitrator issued the award more than a year after that deadline.
- 12.8 When the award was challenged, the arbitrator sought belatedly to apply for an extension of time. The Court refused his application, noting that where parties had agreed to specify a deadline for the award to be issued, the principle of party autonomy meant that the Court should not lightly override this agreement. The Court noted that an extension would be granted only to (i) prevent substantial injustice, (ii) where there was no prejudice to the opposing party, and (iii) where there were very good reasons to justify the delay. One crucial factor in refusing the application was the failure by the arbitrator to apply for an extension until after his award was challenged.

XI. Conclusions

13. Section 29A, as explained in recent decisions of this Court in *Rohan Builders (supra)*, *Lancor Holdings (supra)* and *Jagdeep Chowgule v. Sheela Chowgule*¹⁵ can be formulated as under:
- (I) Sub-section (1) of Section 29A mandates that the award shall be made within 12 months of the completion of pleadings before the Arbitral Tribunal¹⁶. While sub-section (2) incentivises expeditious making of the Award, proviso to sub-section (4)

¹⁴ [2010] SGHC 20, at para. 41.

¹⁵ 2026 INSC 92.

¹⁶ Explained, in *Rohan Builders (India) Pvt Ltd v. Berger Paints India Limited*, 2024 SC Online SC 2494, as “Prior to the enactment of Section 29A of the A & C Act did not specify a time limit for making an arbitral award. This was deliberate, given the fact that the First Schedule and Section 28 of the Arbitration Act, 1940 led to litigation and delay. Section 29A, as quoted above, was inserted by Act 3 of 2016 with retrospective effect from 23.10.2015. The Arbitration and Conciliation (Amendment) Act, 2015 aimed to ensure that arbitration proceedings are completed without unnecessary adjournments and delay.”

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and sub-section (8) authorises the Court to impose penalty for delay in making the award.

- (II) Sub-section (3) enables parties, by consent, to extend the period of 12 months for making the award by a further period not exceeding 6 months.
- (III) If the award is not made within the stipulated period of 12 months or the extended period of 6 months, the mandate of the arbitrator(s) shall terminate¹⁷.
- (IV) This termination is subject to the power of the Court to extend the period¹⁸.
- (V) The 'Court' under Section 29A shall be the Civil Court of ordinary original jurisdiction in a district and includes the High Court in exercise of its original civil jurisdiction under Section 2(1)(e), and shall not be the High Court or the Supreme Court under Section 11(6) of the Act. Section 42 of the Act relating to jurisdiction for applications will also not apply to Section 11 of the Act¹⁹.
- (VI) There is no statutory prescribed time limit for the Court to exercise the power under Section 29A(4) for extending the period, except for its own discretion. The Court can exercise the power before or after the expiry of the period under sub-

17 Section 29A(4) of the 1996 Act.

18 The Law Commission's 176th Report @ 2.21.5 explains the purpose and object of vesting of this power as follows: "*One other important aspect here is that if there is a delay beyond the initial one year and the period agreed to by the parties (with an upper of another one year) and also any period of extension granted by the Court, there is no point in terminating the arbitration proceedings. We propose it as they should be continued till award is passed. Such a termination may indeed result in waste of time and money for the parties after lot of evidence is led. In fact, if the proceedings were to terminate and the claimant is to file a separate suit, it will even become necessary to exclude the period spent in arbitration proceedings, if he was not at fault, by amending sec. 43(5) to cover such a situation. But the Commission is of the view that there is a better solution to the problem. The Commission, therefore, proposes to see that an arbitral award is ultimately passed even if the above said delays have taken place. In order that there is no further delay, the Commission proposes that after the period of initial one year and the further period agreed to by the parties (subject to a maximum of one year) is over, the arbitration proceedings will nearly stand suspended and will get revived as soon as any party to the proceedings files an application in the Court for extension of time. In case none of the parties files an application, even then the arbitral tribunal may seek an extension from the Court. From the moment the application is filed, the arbitration proceedings can be continued. When the Court takes up the application for extension, it shall grant extension subject to any order as to costs and it shall fix up the time schedule for the future procedure before the arbitral tribunal. It will initially pass an order granting extension of time and fixing the time frame before the arbitral tribunal and will continue to pass further orders till time the award is passed. This procedure will ensure that ultimately an award is passed.*"

19 State of West Bengal v. Associated Contractors (2015) 1 SCC 32.

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sections 29A(1) or (3)²⁰. Further, there is no prescription of an outer limit for extending the time for the conclusion of arbitral proceedings. Given this power, the Court will exercise it with circumspection, balancing the remedy with the rights of other stakeholders.

- (VII) The power of the Court to extend the time under sub-section (4) may be exercised on an application by any of the parties. Once such an application for extension of time is pending, the mandate of the arbitrator shall continue till the disposal of such application under sub-section (9). The Court shall endeavour to dispose of such an application within 60 days²¹.
- (VIII) Delay in the delivery of an arbitral award, by itself, is not sufficient to set aside that award. It is only when the effect of the undue delay in the delivery of an arbitral award is explicit and adversely reflects on the findings therein, such delay and, more so, if it remains unexplained, can be construed to result in the award being in conflict with the public policy of India.²²
- (IX) Under Section 29A(6), while exercising the power of extension, it shall be open to the Court to substitute one or all the arbitrators. This is a discretionary power that the Court would exercise in the facts and circumstances of the case. Upon substitution, the reconstituted tribunal shall be deemed to be in continuation of the previously appointed tribunal as per Section 29A(7) and shall continue from the stage already reached and on the basis of evidence already on record. The newly appointed arbitrators shall be deemed to have received the evidence and materials.
- (X) Vesting of the power of substitution, under Section 29A(6), is on the “Court” and this Court is the “Court” as defined in Section 2(1)(e). The text, as well as the context for identifying the Court in Section 29A(6), as well as in Section 29A(4), is the Court in Section 2(1)(e). The expression ‘Court’ in other provisions must be guided by the meaning given in Section 2(1)(e)²³.

20 Section 29A(4) of the 1996 Act.

21 Section 29A(9) of the 1996 Act.

22 Lancor Holdings (supra).

23 Jagdeep Chowgule (supra).

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14. Section 29A of the Act does not, in terms, bar an application for extension of the mandate of an arbitrator in the event of the delivery of an award. There is no such prescription anywhere in the section. In the first place, if an award is made after expiry of the mandate, then there is no doubt about the fact that such an award is *non est*. A better expression would be to hold that such an award would be unenforceable under Section 36. Such an award need not be challenged under Section 34.
15. Naturally, a unilateral act or the indiscretion of the arbitrator in making such an award will have no bearing on the power and jurisdiction vested in the Court under Section 29A. We have more hesitation in concluding that the Parliament has never intended that the act of an arbitrator in delivering an award when the mandate had expired would denude the power and jurisdiction vested in the Court. This power and jurisdiction stand on its own footing and is uninfluenced by the act of the arbitrator in passing an award without mandate.
16. Secondly, the expression, “*if an award is not made*” in sub-section (4) is employed in the context of enabling the Court to extend the mandate of the arbitrator. The context in which the phrase is used makes it clear that the sub-section is not addressing a situation where an arbitral award has been rendered after the mandate of the arbitrator has expired, but rather to declare that the Court can extend the period before or after the expiry of the mandate. This is clearly explained in *Rohan Builders (supra)*.
17. *Rohan Builders (supra)* also clarifies the context in which the expression ‘terminates’ has been used in the section. It is explained that it is transitory and is subject to the exercise of power by the Court.

“14. Accordingly, the termination of the arbitral mandate is conditional upon the non-filing of an extension application and cannot be treated as termination stricto sensu. The word “terminate” in the contextual form does not reflect termination as if the proceedings have come to a legal and final end, and cannot continue even on filing of an application for extension of time. Therefore, termination under Section 29A(4) is not set in stone or absolutistic in character.

20. Lastly, Section 29A(6) does not support the narrow interpretation of the expression “terminate”. It states

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that the court - while deciding an extension application under Section 29A(4) - may substitute one or all the arbitrators. Section 29A(7) states that if a new arbitrator(s) is appointed, the reconstituted Arbitral Tribunal shall be deemed to be in continuation of the previously appointed Arbitral Tribunal. This obliterates the need to file a fresh application under Section 11 of the A & C Act for the appointment of an arbitrator. In the event of substitution of arbitrator(s), the arbitral proceedings will commence from the stage already reached. Evidence or material already on record is deemed to be received by the newly constituted tribunal. The aforesaid deeming provisions underscore the legislative intent to effectuate efficiency and expediency in the arbitral process. This intent is also demonstrated in Sections 29A(8) and 29A(9). The court in terms of Section 29A(8) has the power to impose actual or exemplary costs upon the parties. Lastly, Section 29A(9) stipulates that an application for extension under sub-section (5) must be disposed of expeditiously, with the endeavour of doing so within sixty days from the date of filing.”

18. Intention of the Parliament to secure the arbitral proceedings and to ensure that they are taken to their logical conclusion of a binding award is evident from provisions such as, enabling Courts to exercise the power of extension before or after the expiry of the 18 month period [Section 29A(4)], declaring continuation of the proceedings till the application for extension is pending [proviso to 29A(4)], declaring that upon extension, the existing proceedings would continue uninterrupted [Section 29A(6) & (7)]. These provisions make it evident that the intention of the Parliament is to safeguard the conduct and conclusion of arbitral proceedings.
19. Though the fact situation that has arisen in our case was not available in *Rohan Builders (supra)* in the sense that the arbitrator had not passed an award after expiry of the mandate, the following observation in *Rohan Builders* is relevant for our consideration;

“21. ...The power to extend time period for making of the award vests with the court, and not with the Arbitral Tribunal. Therefore, the Arbitral Tribunal may not pronounce the award till an application under Section 29A(5) of the

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A & C Act is sub-judice before the court. In a given case, where an award is pronounced during the pendency of an application for extension of period of the Arbitral Tribunal, the court must still decide the application under sub-section (5), and may even, where an award has been pronounced, invoke, when required and justified, sub-sections (6) to (8), or the first and third proviso to Section 29A(4) of the A & C Act."

(emphasis supplied)

20. Vesting of power and jurisdiction in the Court, in our opinion, is a complete answer to any apprehension that extension of time, even in cases where an 'award' is passed, could introduce a culture of indiscipline, as arbitrator(s) and/or counsels could become indifferent to the mandatory timelines. This apprehension is not true. There is no automatic extension of time. The Court will and must exercise its discretion only after evaluating the facts and circumstances after close scrutiny. Section 29A, in terms, enables the court to adopt distinct measures to ensure dynamic and efficient conduct of arbitral proceedings with integrity and expedition. The following empowerments are in the nature of *instruments* in the toolkit of Section 29A, enabling the courts to deploy them as and when the factual matrix demands:
 - i. Court has the power to extend the time before or after the expiry of the statutorily stipulated period. [Section 29A(4)]
 - ii. Court is empowered to take measures to reduce the fee of the arbitrators if the Court is of the opinion that the proceedings are delayed for the reasons attributable to the Arbitrators. [Proviso to Section 29A(4)]
 - iii. Court can grant an extension of the time period upon a finding that there is sufficient cause for such extension. [Section 29A(5)]
 - iv. Court, while extending the mandate even when there is sufficient cause, is empowered to impose such terms and conditions as it thinks fit for efficiency and integrity of the arbitral proceedings. [Section 29A(5)]

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- v. Courts are specifically empowered to substitute any one or all the arbitrators, if in the opinion of the Court the facts demand. This is a discretion that the Court would exercise with caution and circumspection²⁴. [Section 29A(6)]
 - vi. The Court is empowered not only to grant costs but also to impose exemplary and actual costs upon any of the parties, if the situation so demands. [Section 29A(8)]
21. In view of the above analysis, we are of the opinion that provisions of the Act, particularly Section 29A, must not be interpreted to infer a threshold bar for an application under Section 29A(5) for extension of the mandate of the arbitrator even when an award is passed, though after the expiry of the mandate.
 22. While interpreting an enactment providing legal remedies for the resolution of disputes, a constitutional court has the obligation to ensure that the provision is: (a) accessible, (b) affordable, (c) expeditious and (d) cohesive. Accessibility requires the remedy to be easily available²⁵. Affordability is an aspect that is related to the cost of availing the remedy, it must be at a reasonable price. Expeditious nature of a remedy is concerned with the quick disposal and abhors unreasonable delays. Yet another facet of effective remedy is in its cohesiveness.
 23. In conclusion, we hold that an application under Section 29A(5) for extension of the mandate of the arbitrator is maintainable even after the expiry of the time under Sections 29A(1) and (3) and even after rendering of an award during that time. Such an award is ineffective and unenforceable. But the power of the court to consider extension is not impaired by such an indiscretion of the arbitrator. While considering the application, the Court will examine if there is sufficient cause for extending the mandate, and in the process, it may impose such terms and conditions as the situation demands.

²⁴ It is clarified that *Mohan Lal Fatehpuria v. M/s Bharat Textiles & Ors.* 2025 INSC 1409 does not mandate the substitution of an arbitrator as an inevitable consequence when the court is considering extension of mandate that had already expired as was argued. In fact, it is clear that the judgment proceeds to substitute the arbitrator as the situation “warranted”. The court held “*in view of the statutory scheme and undisputed factual position, we are satisfied that the case warranted the exercise of jurisdiction under Section 29A(6) of the Act*”. This quotation is sufficient to conclude that the power of substitution would be exercised as such by the Court as a discretion and in the facts and circumstances of the case.

²⁵ NBCC (India) Ltd. v. State of West Bengal, 2025 INSC 54.

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The Court will also take into account other factors such as reduction of the fee of the arbitrator under proviso to Section 29A(4) and also impose costs on parties if the fact situation so demands. Substitution is an option for the Court as the provision itself says, “*it shall be open for the Court to substitute*”, and it will be exercised carefully. If the mandate is extended, the arbitral tribunal will pick up the thread from where it was left, and seamlessly continue the proceeding from the stage at which the mandate had expired, and conclude within the time granted.

24. In view of the above, the appeal against the judgment and order dated 24.01.2025 in Application No. 5993 of 2024 passed by the High Court of Judicature at Madras is allowed. The Application No. 5993 of 2024 is restored to its original number and the High Court will proceed with the said application and dispose it of as per the principles laid down in our judgment.

Result of the case: Appeal against the judgment in Application No. 5993 of 2024 is allowed.

[†]Headnotes prepared by: Divya Pandey

